Syrma SGS Tech. (SYRMA)

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Call: Nov 2022

Date: November 21, 2022

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Conference Call held for Q2 Results of FY 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the Financial and Operational Performance of the Company for the quarter and half year ended September 30, 2022 , held on Tuesday, November 15, 2022 , at 14:00 hrs (I ST).

The transcript of the conference call can also be accessed at the website of the Company at https://syrmasgs.com/investors/investors -update/ .

We request you to take the same on your record.

Kindly take the same on record and acknowledge receipt.

For Syrma SGS Technology Limited

Rahul Sinnarkar
Company Secretary & Compliance Officer
Membership No: A39709
Place: Mumbai

“Syrma SGS Technologies Limited
H1 FY23 Earnings Conference Call ”

November 15, 2022

MANAGEMENT : MR. SANDEEP TANDON - CHAIRMAN

Moderator: Ladies and gentlemen, good day and welcome to Syrma SGS Q2 FY'23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, Mr. Joshi.

Aniruddha Joshi: Yes. Thanks, Tanvi. Good afternoon to everybody and welcome to Syrma SGS Technology Q2 FY'23 and H1 FY'23 earnings call. I would like to welcome the Senior Management fr om Syrma SGS Technology and thank them for the opportunity.

Now, I hand over the conference call to Mr. Nikhil Gupta, from Investor Relations Syrma SGS. Thanks, and over to you, Mr. Nikhil.

Nikhil Gupta: Yes. Thank you, Aniruddha. Good afternoon, ev eryone. A very warm welcome to Syrma SGS H1 financial year '23 earnings call. We have with us today Mr. Sandeep Tandon, Chairman, Syrma SGS; Mr. J. S. Gujral, Managing Director; Mr. Jayesh Doshi, Director; and Mr. Bijay Agrawal, our Chief Financial Officer to discuss the performance of the company during the first half year of the fiscal to 2023, followed by a detailed Q&A.

Note, during this call, certain statements that will be made are forward -looking, which involve several risks, uncertainties, assumpti ons, and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made here are based on the information presently available to the management and the company d oes not undertake to update any forward -looking statements that may be made during this call. In this regard, please do review the disclaimer statements in the Investor release and all other factors that can cause the difference.

I now hand over the call to our Chairman, Mr. Sandeep Tandon. Over to you, sir.

Sandeep Tandon: Thank you, Nikhil. Thank you, Anirudh, and ICICI for hosting this, and thank you all for joining the call. This is our first analyst call post -IPO. And before we jump in, I would like to introduce Syrma SGS and the lineage and the legacy we come from. My father actually had started first electronics manufacturing export unit in India, and we actually were fortunate enough to build the first floppy drive that went into the first IBM PC. So we have tremendous experience of electronics manufactu ring and specially the unique opportunities and challenges India offers.

And in addition to IBM back in 1978, we also have served long slew of customers like Apple, Dell with various of electronic needs. But in 2000, China was the person that the care, the government they had made a very strong move to move electronic manufactu ring to their shores. And with this, they give various incentives, and capital subsidies and other subsidies that made India not a viable option for manufacturing and our government also didn't have clarity what we wanted to do. So, at that time, this oppo rtunity, which had actually helped the growth of most of our South East and Far East neighbors like Japan and others grow this electronics manufacturing ended up being a playhouse for China. And you can see the growth they saw since 2000 onwards.

But this change, I mean with we started Syrma SGS as a new avatar in this change with the pandemic. I mean, the pandemic has really changed that look and then addition to the pandemic, the various geopolitical relatio

nships as well as China's own aspirations have changed. So, that has opened the space for India to take a leadership in electronics manufacturing. As you know, this is a huge industry and we have barely even touched the surface of this industry.

But this pandemic, it has changed in attitude, has helped create an equivalent of what I would like to call a Y2K no moment. What Y2K took for IT services this pandemic

and geopolitical situation has created for electronics manufacturing services, because suddenly there's put a huge spotlight on India from all the major MNCs to have a Indian sourcing strategy. They were already there, very well accustomed to using India for their design strategies, but this has really helped in putting attention to the manufacturing strategy. So, that is something that has real ly helped, and we have always had the genetics or the DNA to be able to do export, so that has really helped us in being able to address these needs of these customers.

We shared our numbers yesterday that to me is just a forensic study of what we are doing. But more than anything, what we are seeing on the ground is what the numbers you saw is actually from effort that was done close to 18 months back. So, what we are seeing effo rt on the ground right now with all the interest that we are getting, we are seeing lot of interest and from export as well as domestic customers to meet the manufacturing and design needs of our customers to build their product.

In our industry, of cours e, as you know cost and quality are hygiene, you have to meet those. We don't have luxuries like software industry that we can send an update over the cloud we have to make sure a product works every time, so those are things that we really strive and buil d on that we have to have super quality, super price. And we also in addition to building the product, we also entirely manage the supply chain of this product and that's as you know has been a huge challenge in last 2 years with all the constraints that are there. But despite that, I mean I must acknowledge our team, we were able to meet our customers' needs, which is what that is most important to us is being customer -focused and meeting their needs and we've been able to do that and continue to be at zero defect levels.

We have delivered lot of growth and in addition to that, we've also activated 2 new facilities, though, the facilities have not yet provided the growth yet, there the numbers are still happening, there takes time to get these facilities ready and going of course the cost come first and the benefits come later, so we want you to be aware of that. We continue to have strong customer interest in helping design you know what trends we are seeing in design fr om a customer side is more sustainable footprints, so lot of designs and the power systems that can help make them more efficient then the second piece is we are seeing is more intelligence in the system that is adding more sensors or IoTs which is interne t of things, more intelligence into the systems.

So, those are also creating some design wins for us to be able to add more value to our customers. And, of course, organic growth continues to grow. There is demand reduction from Europe or mainly, I think it's the uncertainty of energy size of Europe, which is causing a lot of supply chain issues or even on customer pick up, but we strongly believe that the interest and the value that we offer our customers will continue to be continued to help support us. And I don't believe we look at our business quarter -to-quarter, so what I am seeing today as you know forecast in the space is very, very encouraging in the growth that we're seein

g.

So, thank you for the support that you're giving and thank you for liste ning to us. We strongly believe that this industry itself can be a very strong pillar for our nation to meet our GDP growth targets and also provide the kind of level of depth of inclusion, because manufacturing will provide that for the nation.

So thank you again and hand it back to you, Nikhil.

Jasbir Singh Gujral: Thank you, ladies, and gentlemen for joining us on our first ever earning call, post the listing in August this year . Building on what Sandeep ji just shared with you, the environment for el ectronic manufacturing has never been as good as it is today. And we are fortunate to be present at this cusp of transformation of the electronic manufacturing and we have our plans ready. The CapEx cycle has started and as Sandeep explained to you, the CapEx cycle reaching its optimal stage would take a spot for 2 quarters. So, while the CapEx of the cost attendant to it are factored in the financial for the half year ended September '22, the full potential of the CapEx will be reflected in the coming quarters, which would reduce the operating costs as a percentage of sales.

Now, taking you through the broad financi als, we have registered 147% year -on-year growth to INR867 crore on a consolidated basis and on a pro forma basis if we were

to consolidate all the subsidiaries for the last year is for a healthy 46% growth, higher than the industry growth witnessed in thi s half year. Profits have also continued to grow at a healthy pace, and our EBITDA is up on a proforma basis 35% and on a consolidated basis 164% , to INR91crore in line with almost what we had budgeted. Similarly, our profit is also in line with what we ha d budgeted. Our EBITDA margins are at 10.5%, which is superior to what the industry is witnessing.

There's been a broad secular growth across industrial sectors, automotive being slightly more and hence our material gross margin is what we projected at ab out 30% odd in our financials and that's what we are having it today. One sector, which I would like to highlight to you is that there are certain non -cash expenses, non -operating expenses which have impacted in the P&L, which is related to the ESOP s and foreign exchange losses which will get neutralized in the coming quarter. So, if we were to adjust that, the cash PAT would be INR61 crore for the half year ended September '22.

Our ODM, business continues to grow at a healthy pace and it accounted for approximately 27% of our total revenues. We have till September spent approximately INR120 crore in the CapEx cycle and all the senior management teams are being strengthened to make the o rganization future ready for the sort of huge industrial growth, which we foresee in the coming years, especially for the next 3, 4 years. So, making the organization, the systems and the infrastructure ready, so that we catching on the emerging opportunit ies. We are seeing huge traction from global players both for domestic and export. Exports in the short run looks soft, so it will be growing at a decent pace but not matching the pace at which the domestic business would be growing.

As an organization, w e are focusing on design led manufacturing that has been our motto and DNA as Sandeep just explain to you. And we believe and we are confident that going forward, we'll be able to match the industry growth rate with decent profit margins.

I now hand it ov er to Bijay, who our Chief Financial Officer to go through the detail financials. Thank you very much.

Bijay Kumar Agrawal: Yes. Hi. Thank you everyone for joining this earning call of Syrma SGS. I'll now take you through br

ief financials. On a consolidat ed basis, our revenue has grown up by almost 147%, and on a pro forma basis revenue has grown by 46%. Gross margin for this period is about 30.8%, which is about 70 basis points higher than the previous year on pro forma consolidated basis. EBITDA for this first half year is INR91.1 crore, a growth of approximately 164% over consolidated numbers and 35% on a pro forma consolidated basis. Despite the ongoing global issues , we are able to control our costs and being able to deliver this EBITDA. Coming to PBT, it has grown by almost 145% on a consolidated basis and 24% on a pro forma consolidated basis.

Please note that as Gujral ji has already explained, in this PBT, we have certai n provisions related to ESOPs and foreign exchange MTM , which is also factored in over here. Coming to PAT, our half year PAT has grew to INR46 crore, which is 135% on a consolidated basis increase, on a pro forma consolidated basis, this has increased to 22%. If we talk about treasury, currently treasury in hand is more than INR900 crore, and this is mainly because of the IPO money which we have received, a very smaller portion of it around INR11 crore is utilized so far, and rest is still there as an investment in FDs.

On the debt side, our total debt as on 30 September, 2022 is INR298 crore. On CapEx, as explained by Gujral ji, we had spent approximately INR120 crore near about till date and have plans to spend around INR80 crore to INR90 crore further in the coming second half of this financial year, seeing our CapEx plans. Working capital side, our net working capital investment as of 30th September is approximately INR376 crore, which come s around 80 days of sales. So, it is slightly lower than pro forma consolidated basis numbers for corresponding period previously about 3 to 4 days. But yes, we still continue to target a lower working capital number and with respect to new CapEx as we see that volume ramp up, this number s of overall net working capital days should come further down going forward.

Thank you very much for this and now we are open to any questions.

Moderator: The first question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: My first question is to understand a bit more in terms of the RFID portfolio which is a reasonably differentiate portfolio which Syrma has. What has been the performance of that segment in terms of revenue growth and gross margins? And also align with this if you can highlight, do we perceive any impact on the business especially with the impending slowdown which has been expected in the U.S. and the European market on our export s portfolio? This is the first question.

Jasbir Singh Gujral: RFID & Magnetics business together has grown at approximately 33% during the first 6 months. Slightly softer than the EMS growth, but that is because the EMS industry in India, the domestic de mand is simply ballooning. And we expect that this sustain of growth in the RFID sector in the medium to long run. Short term there could be some softening because of the energy crisis in Europe and the reduction in the discretionary spend. If I was to tal k of in absolute numbers or this business, this led also business have grown from INR140 crore to INR186 crore during this period. I hope that answers your questions.

Renu Baid: Sure. And sir, the impact of the slowdown in the European and the U.S. market would only on this portfolio? Or it could be in any of the other segments of the exports of EMS?

Jasbir Singh Gujral: In general, there's a softening of the growth, I would say there is a reduction but there is a softening of the growth which

we had projected, which we believe is for maybe 2 quarters or I don't know, it's just the geopolitical situation. But because of th e diversified portfolio which we have, we have been compensated by other segments of the business, which is the domestic -led business. So, we would see the export business impacting on our overall plan for this year, in terms of our customer mix .

Renu Baid: Sir, in this context, would it be p ossible for you to share the guidance if any for fiscal '23 as a year, as a whole, you've already done for first half in terms of sales and EBITDA margin?

Jasbir Singh Gujral: See, that we'll be, I think whether permitted or not, but let's put it this wa y, if the industry is growing at 40%, and we believe we are one of the best in the industry, so we should be able to exceed that growth target.

Renu Baid: And on maintaining this 10% to 11% EBITDA margins or we except operating leverage to kick in and mar gins to expand further?

Jasbir Singh Gujral: I would be conservative in my estimation, if any operational benefits kick -in, that we will count the chickens after the year -end. Today, I would maintain our saying of double -digit margins going forward in the short -term.

Renu Baid: Sure. Sir, the second question would be, when we look at multiple sectors where we have received PLI licenses under various schemes. So if you can share any update in terms of how is the status of CapEx across some of these segments? And how far are we in terms of adding new customers, which would be driving revenues in the PLI - link sector for us?

Jasbir Singh Gujral: So we have receive d 2 PLI application Approvals in the telecom and in white g oods air conditioning sector. As of date, the telecom PLI investments are on track, our new facility at Manesar has been commissioned, it has gone into production in the second quarter of thi s year and we expect huge traction in that business going forward in the coming quarters. The air conditioning PLI for products are under validation and it would be some quarters before we see whether we will be making the investments and all sort of takes -off. We'll cross the bridge when it comes. But we have developed the product for the Indian market both inverter and non -inverter which are what you call under validation. And because in Indian electronic manufacturing of air conditioning controls is at a very miniscule level, so there are challenges in getting very effective pricing from the chip manufacturers compared to the Big Daddy is working out of China. So we're working on it, clarity will emerge maybe Q1 of '23 or somewhere

around that. But on tel ecom, we're very bullish, the investments are on track and the business is also on track.

Renu Baid: Got it. And last question if I can, just a bookkeeping to Bijay. If you can quantify, what has been the ESOP charge in the current quarter and the FX impa ct as well MD&A?

Bijay Kumar Agrawal: So in the current first half of this year, total ESOP impact is about INR3.9 crore. And similarly if I talk about ForEx M2M, total M2M loss impact is INR6.7 crore, but that is Seggregated in 2 differ ent parts. Partly it is reflecting into my finance charge which is about INR3.4 crore and INR3.3 crore another is reflecting into my other expenses.

Moderator: The next question is from the line of Keshav Bharadia from PhillipCapital. Please go ahead.

Keshav Bharadia: Sir, I just had a 2 part question. First, if you could give an order book break up across industry and also the revenue break up across industry for both H1 and Q2?

Jasbir Singh Gujral: Okay. On the order book as of date, I have a broad figures, I'll ask Bijay to pull out the industry -wise. We have order book of INR1,700 plus crore, as of the month end, which is September. It would be split across automotive, industrial, health care and other. On the detail break up, I think we can share a top -line with you, that the order book is about INR1,700 plus crore, as of September.

Bijay Kumar Agrawal: And so far, as the quarter 2 revenue is around INR467 crore versus H1 revenue of INR856 crore of revenue from operations .

Jasbir Singh Gujral: Fairly secular sort of say, we now expect that the Q3 and Q4 would be having a higher gradient of growth than Q1 and Q2, because the CapEx cycle, which we have incurred till September.

Moderator: The next question is from the line of Amar Maurya from Alf Accurate PMS. Please go ahead.

Amar Maurya: Sir what would be your capacity utilization in this quarter?

Jasbir Singh Gujral: The capacity utilization of the plants which was there earlier till March would be approximately 75% to 80% on an average. The new plants which have been commissioned during this year, they would be working at less than 50% capacity.

Amar Maurya: Okay. So basically like when you say that, what would be the capacity which you now commission post March like what percentage?

Jasbir Singh Gujral: Post March till September, we calculate the capacity is in terms of the SMT line, we've commissioned 2 SMT line, and 3 more ar e in the process being set up now . So 1 line, we just bought i t last month, which is just September, so that's the thing.

Amar Maurya: So you said 5 lines earlier and 3 lines are yet getting commissioned, right?

Jasbir Singh Gujral: See, 2 lines, 1 line was commissioned somewhere in June -July; the second line was received in September, it has been commissioned post that, series production has to start; 3 lines are under transit or custom clearance should be with us by November or December, and will be commissioned in January. So if I was to take the overall lines which are going to be with us till December or January, we would be working at about a 50% capacity.

Amar Maurya: Okay. Perfect. So that is why you are saying third quarter and fourth quarter will see a higher transit, because now you have the capacities lined up?

Jasbir Singh Gujral: Absolutely. You're right.

Amar Maurya: Okay. And secondly sir, if I see your basically set -ups. In terms of set up you have R&D center in Germany as well. So it is primarily for the RFID -related products or it is also fo r the EMS business?

Jasbir Singh Gujral: Okay. It is primarily for the EMS. RFID we are now adding on to it. It is primarily for the EMS. And this center has been there since 2008, it is primarily to give comfort to the European customers and be nearer t o the customers to take care of the design requirements. So they gets the concept from there and then it is transferred back to India and the details, manpower and legwork and everything is done in India, so it's more of a concept and delivery center to th e European customers.

Amar Maurya: Okay. But then this is largely to cater the export market?

Jasbir Singh Gujral: Primarily to cater to the export market. Yes, absolute, you're right.

Moderator: The next question is from the line of Amit Bhinde from Morgan Stanley. Please go ahead.

Amit Bhinde: I just wanted to understand your outlook on the moment in net working capital, as mentioned in the opening remarks, that you are expecting it to go down. So what are the levers for it? And do you have any receivable factoring in this?

Jasbir Singh Gujral: We don't factor as of date any significant amount; it is very negligible. Goin

g forward,
it is once we are building up the scale, A; number 2, the supp ly chain constraint easing out. We expect that it will be our slighted sort of trajectory to bring the net working capital levels to below 70 days over the next couple of quarters or 3 quarter. As you are aware the last 4, 5 quarters that Sandeep was also referring to in his opening statement, we have never seen such shortages in semiconductors and electronics with lead times stretching to even 9 to 6 weeks, which forced us to take a conscious call to stock up inventory to meet the customer requirement.

And I must share with you that we are the single source for a lot of customers. So we didn't want our customers' line to stop. So, it was a conscious decision of the management to stock sort of safety stock the raw material and component to ensure the lines are running or as a transparent. With the semiconductor shortage easing, the volume is growing up, it is natural factor that the number of days working capital would come down, also a conscious focus of the management now with easing of those component sho rtage to sort of have a more efficient system. We have put in place

Hana S4, which also would facilitate us once it is matured in a better inventory management.

Amit Bhinde: Sir, and the second question that I had was, if I understand 5 main industrial, consumer, automotive, health care and others, so which one is firing right now more? I mean, I'm sure when you're seeing 40% growth all are doing good, but I mean, if you have to rank them, how would the industry be in the order process?

Jasbir Singh Gujr al: See in domestic, our automotive is on fire. Automotive industry is witnessing the highest growth rate. This is coupled sort of largely it is by the EV revolution, which is taking place in the two -wheeler segments, not so much in the four -wheeler segme nt. So both EV and combustion are growing at almost like automotive, for example, like half years view at about 70 -odd percent, 65%, 70 -odd percent followed by consumer and then health care and other industries.

Amit Bhinde: Yes. So sir, in terms of your SMT lines that you have put up and the CapEx that you have invested, are these lines fungible across the 5 types of customers that you highlighted in your PPT? So are these fungible?

Jasbir Singh Gujral: See, in our manufacturing C apEx, the main heart and soul is the SMT and the way soldering assembly, only dedicated is a functional testing. So if I was to say INR100 CapEx, INR90 to INR95 is fungible, INR5 rupees will be dedicated to the functional testing of the product, which will make for the customer.

Amit Bhinde: Right. Got it. So industry dynamics changing would not affect much on utilization that vehicle. Yes, those were my questions. Thank you.

Moderator: The next question is from the line of Nirmal Gop i from Goldman Sachs. Please go ahead.

Nirmal Gopi: Sir I just saw that over time the imports, there has been an increasing reliant of imports for raw materials over the years. So is that expected to increase going forward and in term is that going to ke ep pressure on the margins?

Jasbir Singh Gujral: See, India as a country currently a negligible electronic component base. So the electronic component by and large have to be imported. So what we believe and what we are witnessing is that once the electr onic manufacturing industry in the country grows as it is growing currently. It will attract investment in assembly and some of manufacturing of electronic components and I'm not referring to the semicon ductor policy, which is the big policy of the governm ent of India to have the Fab Lab. I'm talking of the normal c

omponents, the passive components like pastors, resistors.
Currently India didn't have a demand which justifies the setting of a component base. Now with the growth in the electronic manufacturin g which we are witnessing, it is but natural that the component manufacturing base would come in. As an analogy I would say, when Maruti came in, there was hardly any automotive component based in India, but Maruti or Suzuki at that point of time revolutio nize the whole state and today India has a very, very strong automotive component base compared to the best in the world.

We believe that going forward, so it's not a short -term sort of a low fruit hanging, it's a long harvest. Going forward, the compone nt base would naturally come up in India, once the electronic manufacturing goes up. Your second question was on margins because of imports. Well, we sort of have arrangements and contracts with the customers where margins are as a foreign exchange variati on are absorbed by the customer and since we have a export content also, so to that extent it also gives us a natural hedge offs currently.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Great set of numbers. Yes, my question is on the inorganic growth opportunity, is anything in the near future and your thoughts on the same? And how would inorganic contribute in the growth in the coming years?

Sandeep Tandon: Yes. So like we said, when we were going public, it's going to be very opportunistically determined by technology vertical or the customer requests to be geographically closer to th em. So those are the 2 things that we look at. We as a nature and culturally, we are very strong in the looking and understanding what is needed for our customers and for our technological growth. So we constantly are looking at opportunities, but as of no w, there's nothing that we would like to discuss, but we are very, very open and always seeing ideas that exist, that can help us make better relationships with our customers.

Dhaval Shah: Okay. So if at all we acquire a company, would that be limited to PCBs and RFIDs, or it can be some other product as well?

Sandeep Tandon: No. So we definitely seeing a huge opportunity for full box build assemblies also, so there might be requirements for bringing some technologies that can complete the box build or backward integration as well as box build forward integration. So both are opportunities we are looking at. And, of course, like I said, technology, when I say we talk IoT, not RFID is just 1 technology. So maybe adding to that IoT so that more intelligenc e can be added to the systems, as well as like being geographically closer to the customer if that's required.

Dhaval Shah: Okay. And by graphical, you mean, both in India, as well as outside India?

Sandeep Tandon: Both.

Dhaval Shah: Both. Okay. And does logistic play a very critical role in this being closer to the customer?

Sandeep Tandon: Yes, I mean its logistics as well as politics, right? I mean, when its overseas, politics, also plays a role. So those are the things we have to be very, very c autious, because running operations new plants just for 1 customer's always, so we're very careful in that. But if it adds, if there's a customer acquisition that we get, because of that it could be very interesting. And typically we are always looking at whatever is EBITDA

accretive, right, what will add to our EBITDA as a geography movement or technology movement.

Dhaval Shah: Got it. And sir, my second question is on this commentary you mentioned the press release about this demand slowdown which might

happen. So, A, so how are the schedules of the customers? So when they give you an order, when does that product go into their production line? So where are you in the entire production chain? And secondly, is there any change in terms of the order size w hat they were giving, or the timeline have they extended anything? Yes.

Sandeep Tandon: Every customer is different. Bijay, do you want to answer it? But it's like, it's not 1 answer for all customers, a very different customer , different stories. But ge nerally, if you were to see geographically Europe, we are seeing because of the energy situation there's muted demand for this quarter, which they have definitely not. They're just saying push it out this quarter that's the only little bit we're seeing. Bu t a lot of customers are asking for accelerated supplies. But within our supply chain challenges, right, that we see most customers are even afraid to reduce, I mean because supply chain challenges also at the same time existing. So if you slow down you do n't have, you get back in the queue. So it's a challenging situation.

Your question was also how the delivery works? I mean that depends on where you fit in the value of the product, right? If you're doing full box build, then they wanted last at the end this last time possible that close to the customer as possible. If you are sitting as a C -Class item, they'll build up inventory and ask you to ship as much as possible, so that they don't lose out. So it depends where the product finally goes, but we are in various different stages of that, right?

Dhaval Shah: Okay. So where you are on the inventory side, are you seeing any destocking from the customer, any resource?

Sandeep Tandon: So there's a slowdown , right? Because they think, well, we don't know if our plants will run full capacity during the winter, because of energy situations.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Group. Please go ahead.

Dhananjai Bagrodia: Congratulations on your listing. Wanted to ask you, in interim this industry obviously has strong industry tailwinds, but let's say, over a longer period time, how scalable is his business considering where are high mix, low volume kind of business model compared to let's say, larger EMS listed player?

Jasbir Singh Gujral: See, what we are talking about in number of say, we did INR800 crore or INR1,200 crore or whatever, it's a minuscule, we're not even scratching the surface of electronic manufacturing. The industry as such is so huge that low to medium volumes high mix will have its own traction of growth, high volume will have its own fraction of growth. I personally don't see that issue or a constraint in scaling it up. And going forward as a sort of journey pans out, we would be taking call s on how to maintain the scale of growth, but for the short -to-medium term, the segments that we're working and the segments that we're planning to work, offer us a huge opportunity for growth in line with what we have sort of plan internally.

The low -to-medium volume business is not a constant for growth, because we're not even scratching the surface of electronic manufacturing, the opportunities are so huge. And now with the focus of the multinational companies, shifting to India or pipeline of enquiries from multinational company, both for domestic and global demand is phenomenal, but then they take time, it doesn't happen overnight. The international agreements and arrangements with multinational customers it is 12 to 18 months, sort of a journey where they first visit you, they like you, then their quality teams come in, they do a quality audit, and then the inquiry is coming and all those things and the sampling starts, the process starts of products and the process are validated. So from the time, whe n we first have an eyeball contact with a customer to the time when it matu

res into series production, could be 2 years, sample production 18 months.

Dhananjai Bagrodia: Okay. And sir another question, what levers do we have in terms of growing our ROCE, because let's say, compared to let's say larger player working capital sales is

much better than ours, but they also work on much lower margins. So what do we have in terms of neos to get our ROCE?

Jasbir Singh Gujral: Perhaps increasing the ROCE are ba sically in 2 ways . One is increased our asset turn and the asset turn increases your milestone, you get more money into. And second is controlled of working capital in terms of number of days, I'm not talk about the absolute terms. In terms of number of da ys to bring it down to some 70 days level, 8 to 10 weeks level. Jayesh, would you like to add? Jayesh would like to share some?

Jayesh Doshi: I want to also state that when we look at the published ROCE, yes, we are quite low at 13% - 14%. But would like to also keep informed that we've just raised about INR800 crore in month of September, August -end. And it would be deployed over 2 to 3 years. So if you remove that, I'm not saying that arithmetically correct as what is published is published, but on the existing business our ROCE is 22% plus and endeavor is that with the new CapEx coming in, we will definitely endeavor to go beyond 24% - 25% of ROCE.

Moderator: The next question is from the line of Amit Bhinde from Morgan Stanley. Please go ahead.

Amit Bhinde: Thank you, sir for the repeat opportunity. I just wanted to understand that, as you said that there are supply chain challengers in semiconductor procurement, et cetera, and we're targeting the growth, which is like 40% plus. So how are we ensuring that semiconductor supply is sufficient for us for aiming the growth?

Jasbir Singh Gujral: See, we grew at 40% last year, we grew at more than 40% in the half year. When the supply chain constraints of semiconductors were at the peak, it is over credibility with the distributors and the manufacturers supported by the customers, which enables us to meet the delivery timelines and the grow th. And the facts that our inventory levels have gone up, that was a conscious decision as de -risking exercise to ensure enough material is available to meet the supply chain commitments to the customers.

Amit Bhinde: Got that. And sir, in the 2 PLIs tha t we have earned, we have the customers acquired or we would still be looking for a customer tie up, that does.

Jasbir Singh Gujral: The telecom customers have already been acquired, we already started sort of sales, series have been delivered, the volum es that we are to kick in. So the customers are in place, the technology partners are in place. And obviously, we'll keep adding more customers of the same vertical. But to kick start the production and everything, both the technology partner and the custo mers are in place.

Amit Bhinde: So just to understand, I mean, what kind of business are we tied up for, are we able to reach the threshold levels? I mean, would we need more customer acquisition for that?

Jasbir Singh Gujral: Over the current set off of customers whatever businesses we would meet the threshold or exceed the threshold levels required mandated by the PLI guidelines. But we are not guided by the PLI guidelines, if business is available, we would require irrespecti ve of the PLI . But current customers enabled me to claim the PLI.

Moderator: The next question is from the line of Keshav from Phillip Capital. Please go ahead.

Keshav Bharadia: Sir, I just wanted to do understand if it's possible, if you can give us some data on what was the component assembly

volumes in Q2 and H1 compared to last year? Just wanted to know sir, how many components were soldered?

Jasbir Singh Gujral: component could be INR0.05 paisa to INR500 value , so we don't know, but that will go by what are the hours of capacity we have got and if I just take hypothetical case, if I got 10 lines, I got 5,000 hours by in the month. If I have 20 lines, I have multiple of that. So we go by the capac ity based on that. We don't count how many component we have place, theoretically we can count what is the rated capacity, what is actual capacity. But essentially what we go by is the number of hours of SMT, which we have got at how much is the utilizatio n, because the component would be a INR0.05 or INR500, so it would be very misleading if I was to see, i.e., sold billions of resistors, then we were some thousands of dollars or a hundred thousands of dollars and I sold thousands of microcontrollers. They may be equivalent to millions of dollars.

Moderator: The next question is from the line of Amar Maurya from Alf a Accurate PMS. Please go ahead.

Amar Maurya: Sir, thank you for the opportunity. My first question was answered, like as I wanted to look d ata gone up. So you indicated that it is basically because we have deliberately stopped the more inventory for the fulfillment of order. Secondly sir, in terms of your cash which we are having, like, indicated the CapEx plan, as well as the acquisition. So if you can mitigate how much of this portion is going to go for the CapEx going forward and what would be for the acquisition?

Bijay Kumar Agrawal: So out of the money, we have received, we have ear marked about INR400 crore for CapEx, out o f which we have so far utilized only INR5 -odd crore, so the balance may be approximately INR400 crore is still available for CapEx thing, and about INR120 crore is available for working capital use, and rest is available for any inorganic acquisition or ot her gen corporate use.

Moderator: The next question is from the line of Chintan Mehta from Prudent Broking. Please go ahead.

Chintan Mehta: Sir, if you can explain the strategy in a big detail to achieve a 40% growth? Strategy for the how do you achiev e 40% growth.

Sandeep Tandon: I have a very interesting way of describing this, but please bear with me. When you go fishing, we have been doing 2 types of fishing, 1 is whale hunting and the other is normal fish laying out the net. So we do both. As whe n we whale hunting, I mean, we name customers that we're going after and really working to make sure that they come to us. And then the laying out the net is catching what in our chosen domains we can catch and those are 2 areas. But of course, in the trad itional way of hunting and mining, our mining part is what you're seeing right now that work that we had done 2 years back, but now we're driving more for next engines of growth. And like I said, this is the Y2K moment for India in the certain spot light i s making sure that most credible players get the attention and that's why 1 of the reasons we listed the company also, because that was the question we got, why?

Because we want to be not only leaders in call it defects remanufacturing, we also want to b e leaders in governance, we want to be leaders in giving return to shareholders. All those things are very important to us. So with that, we get the best customers as well, best employees, best customers will work for us. We work with that. So that's what we are really aiming for. So we want to make sure that all those engines make sure that this opportunity that is presented to us can be captured.

Jasbir Singh Gujral: Yes, Chintan, best captures the nut

shells the philosophy of Syrma SGS. We have a seriou s business model which will ensure sustained growth with profits and benefits for all the stakeholders. And for me, all the stakeholders starts with my employees, customers, vendors, and the society. And investors in any case. Without that, we wouldn't be ahead in this cause. So we are here because of the investors.

Chintan Mehta: Sir, can I say that the wallet share gets improved when the products get appreciated in terms of engineering or design?

Sandeep Tandon: Yes, absolutely.

Jasbir Singh Gujral: Absolutely. You see, one of our strengths has been that when we enter with the customer or engage with our customer, over a period of time we have the highest wallet share with them for the products which we supply. Very rarely would be num ber 3 or number 4 vendor to our customer would be either number 1 or at worst number 2 vendor with our customer over a period of time. We may enter small, but gradually with the surveys and the value addition which we give because of our design -led approac h, we tend to capture the wallet share with our customers.

Moderator: The next question is from the line of Saurabh from East Lane Capital. Please go ahead.

Saurabh Mehta: Congratulations on the very strong results. I have a couple of questions. The fi rst 1 is, I wanted to understand what is theoretically the asset on which the SMT line could

reach on the higher side? And the second question is, wanted to understand, what is the margin profile around the value chain like in the box build or the plane as sembly, like, what is the margin difference between the value chain? That's it.

Jasbir Singh Gujral: See, theoretically if we were doing a very high volume products, as said, would be 10x to 12x. But we are factoring 9x of the asset turn would be, which would be good. That would also depend upon the type of products which we make. On the margin profile, as there is no one single answer, the margin profile keeps changing because of the value addition which we offer to the customers. With box builds, the CapEx is less. The value addition is more, so in terms of the value of the product increases because of that.

So obviously with box builds, the return is higher than vanilla PCB board on an average. But the real me at in this is the value engineering and the design support, which we give to the customer. That's the key differentiator from a plain vanilla EMS manufacturing. This brings in customer delight, because we have strong engineering footprint as Sandeep had ex plained in the opening remarks, it's in the genetics or the DNA. So even if the customer doesn't ask for it, when we are making a product, we go back to him with value engineering prepositions, that's where the whole sort of meat in the businesses. I hope that answers your question?

Saurabh Mehta: Yes, it does. One small follow -up, is it only the SMT line CapEx or are you talking about the total CapEx, which could include some infrastructure investment as well?

Jasbir Singh Gujral: As we talk CapEx sid e, we take in the total infrastructure, but the return actually is given by the SMT line, though it gets sort of divided by the overall CapEx, create a INR5 lakhs top of a building. And if I have only 1 SMT line, this cannot give a return. So SMT lines of the heart which churn of the material, which results in the high churn of the total assets. If I was to take only SMT lines, then the figures would be sort of different. When I am referring to 8 to 9, or 10 to 12, it is the total asset base or the fixed as sets base of the company, including infrastructure.

Moderator: That was the last question for today

. I would now like to hand the conference over to the Chairman for closing comments.

Sandeep Tandon: So, Yes, I think I have run out of words, but thank you so much for all of you for being here. I mean, like I told you, I mean this is a huge opportunity for India. I mean, honestly, if you look all our neighbors have really benefit from electronics manufacturing, and now that our government is supporting, the policies are in place, I think this is the time for India. So really the huge opportunities is presenting us and we really feel at the same very accountable to deliver on these results, I mean for the nation as such to build this nation. So thank you s o much for being here and thank you all.

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

Date: February 16, 202 3

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Conference Call held for Q 3 Results of FY 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the Financial and Operational Performance of the Company for the quarter and nine mon ths ended December 31, 2022 , held on Thurs day, February 09 , 202 3, at 10:30 hrs (I ST).

The transcript of the conference call can also be accessed at the website of the Company at https://syrmasgs.com/investors/investors -update/ .

We request you to take the same on your record.

Kindly take the same on record and acknowledge receipt.

For Syrma SGS Technology Limited

Rahul Sinnarkar
Company Secretary & Compliance Officer
Membership No: A39709
Place: Gurga on, HR

"Syrma SGS Technology Limited
Q3 FY2023 Earnings Conference Call "

February 09, 202 3

MANAGEMENT : MR. SANDEEP TANDON – CHAIRMAN
MR. J S GUJRAL – MANAG ING DIRECTOR
MR. JAYESH DOSHI – DIRECTOR
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER
MR. NIKHIL GUPTA – INVESTOR RELATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

 Moderato r: Ladies and gentlemen, good day and welcome to Q3 FY202 3 Earnings Conference Call of Syrma SGS Technology Limited hosted by ICICI Securities . As a remin der, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask q uestions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conferenc e over to M r. Aniruddha Joshi from ICICI Securities . Thank you and over to you Sir.

Aniruddha Joshi : Thanks Michelle . On behalf of ICICI Securities, we we lcome you all to Q3 FY2023 results conference call of Syrma SGS Technology Limited . We have with us th e seni or management, but before I han d over to them just in one line , our view is positive on the company. The company has done extremely well in the seco nd results and we congratulate them for the excellent set of numbers. Now I hand over the call to Mr. Nikhil Gupta , Investor Relations to take it forward. Thanks and over to you Mr.

Nikhil Gupta: Thank you Aniruddha . A very good morning to everyone. A ver y warm welcome to Syrma SGS Technology Limited Q3 FY2023 earnings call. We have with us today, Mr. Sandee p Tandon our Chairman, Mr. J S G ujral, our Managing Director, Mr. Jayesh Doshi, Director and Mr. Bijay Agrawal our Chief Financial Officer to discuss the performance of the company during the Q3 FY2023 followed by detailed Q&A .

During this call, certain statements that will be made are forward looking , which involves several risks, uncertainties, assumptions, and other factors that could cause actual r esults to defer materially from those in such forward looking statements. All forward look ing st atements made therein are based on the information presently available to the management and the company does not undertake to update any forward looking statem ents that may be made during this call. In this regard please do review the disc laimer statements in the earnings r

elease and all other factors that can cause the difference. With this, I now hand over the call to Mr. Sandeep Tandon our Chairman for the op ening remarks.

Sandeep Tandon: Thank you all for joining this call. Like expected , we hav e quite strong growth this quarter over the last quarter -on-quarter as well as in the preceding quarter . We continue to see demand from all our customers. Of course , there is some slowing on export , but that is more like a misbalance of numbers not c oming through as we were expecting , and should be starting to trigger very quickly , because we are so well diversified across industrie s, we are able to keep our growth prospects the same despite certain turbulences in certain area th at mig ht hit. We are not used to doing quarter -on-quarter reviews so everything looks good , our year looks still continues to be strong. The team has done a fabulous job in bringing up our new facility in Manesar and Chennai for the design and development . We continue to double down on our design and development capabilities where we have added new talent
 this last quarter coming from marquee companies. W e are building out more ODM type development with our current and new customers. We have had very stron g audi ts done by new marquee customers throughout our facilities, so we are expecting new business to roll in over the next six to nine months with those customers. Generally a good quarter . Hats off to the team. Supply chain issues have calmed down somewhat , but not fully there .Also of course we were predicting Chinese New Year that comes , planning materials before that would have made som e changes on our inventory levels , but otherwise very strong performance on the team and very proud of what we have achi eved y ear-on-year and quarter -on-quarter over the last three months. I will hand it back to Nikhil now. Thank you.

Nikhil Gupta: Thank you. Now I hand over the call to Mr. Gujral , our Managing Director .

J S Gujral: Good morning lad ies and gentlemen. It is a pleasure to host you on the Q3 earnings call of the Syrma SGS Technology Limited . The Q3 has been an exciting and challenging one. Exciting because we continue to see robust growth in the domestic market and strong inbound enquir es fro m domestic and multinational customers both for domestic and exports. Challenging because we face d short term headwinds because of the recessionary con ditions in Europe , which impacted our exports but the long-term story remains intact. The quarter go ne by we have seen a good performance on almost all parameters and this is a testimony of the robust and resilient business model which our team has been able to craft out over the last years. We have seen growth across almost all segments bar ring exports and a couple of industry vertical s. The domestic business has done phenomenally well. As of December 31, 2022 , we have an order book of Rs.2100 Crores , whic h would be executed during CY2023 spilling over to CY2024.

Now I will just summarise the key financi al par ameters before I hand over to Bijay to run you through the detailed financial numbers. Our total consolidated revenue for the quarter ended December 2022 stood at Rs.524 Crores which is a 73% year -on-year rise and EBITDA grew by 53% to Rs.60 Crores and PBT by 5 1% to Rs.45 Crores . On nine-month basis of total consolidated revenues grew on expected lines by 55% to Rs.1391 Crores, EBITDA by 42% to Rs.151 Crores and PBT 34% to Rs.111 Crores. The growth is primarily led by our continuous efforts on design lead manufacturing and has broadly been across sectors , but led by auto and consumer. The growth in a few sect ors like healthcare and exports has been muted and slow because of the recessionary conditions and inflation in Europe , but we are very c onfident on the long term story and expect this to re

bound in the coming quarter or two quarters. Our margins , consolid ated PAT is Rs.34 Crores which is a 70% growth year -on-year. I now hand over you to Bijay Agrawal to run through the detailed finan cial n umbers of the quarter and the nine month ended December 2022.

Bijay Agrawal: Thank you and good morning everyone. I wil l just quickly take you through the brief financials. As explained by our MD . On a consolidated basis our revenue grew by 73% year -on-year for this quarter to Rs.524 Crores. EBITDA for this quarter stood at Rs.60 Crores a growth of 53% year -on-year.

 despite ongoing global issues . Also we are able to control some of our costs which is reflecting in EBITDA .

Coming to PBT , our PBT for this quarter is Rs.45 Crores with a 51% growth and PAT for this q uarter is Rs.34 Crores with a growth of 70%. This quarter our gross material cost increased by 300 basis points to 73% quarter on quarter as a factor of soften ing in to our export healthcare business and also coupled with our significant growt h in the consu mer segment specifically.

Coming to treasury position as on December end , we are continuing with the total treasury balance of around Rs.886 Crores as on Dece mber e nd, which includes some bit of short -term investments and mainly th e surplus fund s from IPO invested into FD s.

Moving to debt and capex update . Debt for this quarter is approximately Rs.326 Crores which includes Rs.236 Crores of working capital loan and a round Rs.90 Crores of term loan. On that basis the net cash position as on Decemb er end is Rs. 560 Crores.

Coming to capex , we had deployed around Rs.35 odd Crores of capex during this quarter and expecting to incur another Rs.40 Crores to Rs.60 Cror es in Q4 of this financial year.

Coming to our overall working capi tal position . Inven tory days has increased to 121 days from 108 days last quarter and mainly on account higher inventory built up, as we were expecting a Chinese New Year in the initial first two weeks of January and on a conservative basis there was a higher inventories that were carried on as on December end mainly. On receivable s, side there is a saving of almost 12 days on quarter -on-quarter basis, so my receivables have stood at 62 days as on December end. The same way trade payables are at aroun d 99 days as on December end and in totality my networking capital days are 83 days, a three days increase over the last quarter . So broadly that is the financial summary. I now hand this over to Nikhil.

Nikhil G upta: Thank you. Operator back to you for the Q&A .

Moderator : Thank you very much Sir. We will now begin the question and answer session. The first question is from the line of Bhoomika Nair from DAM Capital . Please go ahead.

Bhoomika Nair : Good morn ing Si r and congratulations on a good revenue nu mber this quarter . I see that the consumer segment has done quite well . We have seen very strong growth trajectory both on Y -o-Y basis and Q -o-Q so if you can talk about how sustainable is this number? What i s the kind of clientele that you have added clie nts or is it a wallet share gain , etc., and also if you can talk about , you did mention in your opening remarks that exports has seen a bit of softness so what is exports as a percentage of revenues? Are we s eeing an improvement in the enquiry levels, etc. , and then I will then take on more questions if there is time?

 J S Gujral: Okay now answering your last question first, the exports of the nine months ended December stood at about 34%, which are lower than the cor responding figure of last year and for th e quarter they stood at about 26% . So there was a significant headwind on the export front , but we are very confident that based on the inputs received from the cus

tomers and the inbound enquires , the long term expo rt
model remains intact and robust and we expect a rebound to happen in Q1 of FY24 in the export front
also. So as far as your question on the consumer growth business is concerned , this is primarily lead
by our entry into the fiber to home d evices and the telecom PLI scheme and the visibi lity which we
have received makes us confident that this will lead to a sustainable growth in this segment in the
coming quarters. It is not a one off growth , but a sustainable growth and we have also added m ore
techn ology partners in this segment , which w ill further broaden the base and derisk the segment from
the risk of a particular technology partner going down or a customer going down so we are
broadening the base on this front.
Bhoomika Nair: Okay and th ereby the margins have kind of reduce d because o f this new client?
J S Gujral: Yes, as an industry has lower margins but it has the fast spin-off of a higher turnaround which results
in a velocity of capital and sort of the working capital days comes down so it a tr ade off , but as an
industry , consumer is more price sensitive than industrial , exports and healthcare .
Bhoomika Nair: Sure Sir if I may just squeeze in one question , obviou sly we have a decent order book? We are seeing
good trajectory going a head , but a ny new areas that we are entering new clients that we have bagged
in the last quarter or so if you can just talk about that , that would be really helpful ?
J S Gujral: The new area which we discussed last year also the growth would be led by the autom otive , industrial
and consumer . In the auto motive, the higher traction of g rowth will be in the EV segment. As we
speak we are very strong into the EV mobility that is the electronics which go into the vehicles . The
new segment that is opening u p is the chargin g infrastructure and energy stor age infrastructure . Early
days, but we are having good inquiries . We are talking to technology providers who can provide
solutions for that so that is one area which we expect that going down to Q3 of this year 2023, the
energy charging the EV charging infrastructure should see a tracti on which currently is at a very sort
of a slow momentum. The mobility is very high , which is the electronics which go into the scooters.
We have been approved by three to four marquee cu stomer s, international customers and we have
come on to their global vendor list. These are into automotive, refrigeration and industr ial.
Bhoomika Nair: Got it Sir. I will come back in the question queue. Wishing you all the best.
Moderato r: Thank you. Th e next question is from the line of Nikunj Gala from Sundaram AMC . Please go ahead.
Nikunj Gala: Good morning everyone. Sir my first question is with respect to your material margin which you have
mentioned in the slide 11 of your presentat ion where consum er mat erial margin has declined from
 45% to 19 % so I understand quarter -on-quarter will not be a right thing but what will this number
from nine month to nine month and any color you can give us like why is there such a sharp
deterioration in there ?
J S Gu jral: You see the numbe rs on nin e months, I will ask Bijay and Nikhil to share with you separately. I do
not have it right away with me, but the sort of the contraction in the margin is that the consumer
earlier was predominantly ODM , so th is ODM component alway s has a higher margin and with a
plain play print to build consumer kicking it and that to a five value, the percentage the ODM to the
total bucket of consumer has gone down and hence the contraction i n the margin .
Nikunj Gala: Okay s o what was the p ercent age of ODM earlier and now ?
J S Gujral: Bijay if you can.
Bijay Agrawal: Yes for Q3 F Y23 ODM percentage is 11% and it was previously 26% a yea r ago This is main

ly on
account of change in this export business w hich was an ODM business . So the mo ment that comes
back again , it will be normal .
Nikunj Gala: Okay sure and what kind of a capex we have done in nine months and what is the gross book as of
nine month FY2023?
J S Gujral: Bijay will answer tha t.
Bijay Agrawal: So we have done appro ximate ly Rs.35 Crores of cap ex during this last quarter and this is split into
multiple different facilities our North facility and South based facilities also .
Nikunj Gala: The question was like till nine months what is total we have done and like what is the g ross block as
the end of December 20 22?
Bijay Agrawal: Against those projects we have spent almost Rs.180 Crores as of now and in the upcoming quarter we
are expecting to incur another Rs.40 Crores to Rs.60 Cror es.
Nikunj Gala: Okay and what is a gross block now?
Bijay Agrawal: Gross block currently is approximately Rs. 400 Crores.
Nikunj Gala: Okay Rs.400 Crores okay and any guidance for FY2024 capex if you can ?
Bijay Agrawal: For FY2024 we are estimating we should incur somewhere between Rs.200 Crore s to R s.250 Crores
of capex.
 Nikunj Gala: And currently like a nine-month basis what was our utilization levels ?
Bijay Agrawal: So we have started two facilities. One is in Gurgaon and another one is in Chenn ai so the first facility
which was initially sta rted t hat is doing at a very decent utilization of around 50 % plus and the second

one has just recently commissioned , the utilizations levels have to be seen on a run rate basis going forward .
Nikunj Gala: Okay so this Rs.600 Crores is still at gross block which you mentioned like still a large chunk is still underutilized right ?
J S Gujral: Yes, there is lot of room for utiliz ing the capex cycle which we have done and it typically takes three to six months for the asset to come to its optimum utilization so you a re right when you say that the capital investment done so far is yet to reach its optimum utilization stage.
Nikunj Gala: When we say optimum it is like 80 % to 90 %?
J S Gujral: 80% to 85% is typically we say 80% to 85% is the optimum utilization .
Nikunj Ga la: Okay and then in that case sir like 200 to 250 we will be spending in 2024 then like it that capex any customer backed or is this the anticipation with which we are working with that capex guidanc e?
J S Gujral: Typically the capex which we do is split into two , one is the fundamental basic infrastructure which is a land building and putting up a facility and the second is st uffing that infrastructure with the production equipment . The first one is done once we find that the existing space or the e xistin g facilit y cannot accommodate more lines. T he second expenditure is invariably incurred once the current asset reach es 80% to 85% of utilization and then we stuff in more lines which are dedicated to expe cted business inquiries from the customers . It is not done without any visibility of business.
Nikunj Gala: Sure Sir and just last question like since we have so many verticals , import and export . the nature of contract with the customers varie s very differently and hence the asset turns on the incr ement al cap ex which you put becomes very difficult to guess so as a thumb rule what is the threshold ROC with which you initially put the capex ?
J S Gujral: See we strive to get a ROC E of 25% overall ROCE, but to say that I will do this business at start i t shou ld giv e me this ROCE is very difficult to predict so on a long term we plan and we budget and we endeavor to get 25 % ROCE from the overall business.
Nikunj Gala: Sure Sir and like in that i f you can help me like just breaking down that number in terms of turns and the working capital requirement that would be helpful Sir?
 Bijay Agrawal: So that varies significantly from project to project and new business which we have recently added
that is giving us a better asset turns versus my overall average asset turn s. Currently for this quarter asset turn is about 5.6 times , but yes what do we expect going forward the n ew business which we will be adding that should give us an asset turn somewhere between six to eight times .
Nikunj Gala: Okay sure thank you . Thanks a lot for your comment . Thanks for your time .
Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabhudas Lilladher . Please go ahead.
Praveen Sahay: Thank you for taking my questi on. The first question is related to your order book so can you give some detail on the industry wise or domestic and export mix in your Rs.2100 Crores of order book ?
J S Gujral: See out of the Rs.2100 Crores order book what we have is the one which is exe cutable within 12 months is about Rs.1800 Crores and the spillover is about Rs.300 Crores.
Bijay Agrawal: If we tal k about export also here, export order b ook currently sto od at around somewhere between 35% to 40% and the balance is domestic order bo ok tha t way. I ndustry wise also maybe about 35%-40% is like a consumer sector order book and maybe about 20 % plus is what the current order book is there from t he auto sector and then again around 18% to 20% is like curre nt order book is there from industrial and ab out 7% to 8% from Healthcare sector .
Praveen Sahay: Okay great. The second question is related to what you had mentioned about the design led manufacturing driven the growth so can you explain that ?
J S Gujral: In DMS there is one built to print which is th e vani lla EMS. T he second one is where design component is involved and we have always been a design led manufacturing company and going forw ard we would be strengthening this design team to a bigger extent so that we can take benefit of the emerging techn ologie s and the emerging business opportunities so at talent level and senior leve l we are strengthening the team. It will be a quarter or so when the full team is in place and the results should kick in thereafter so it is a deeper involvement and engagem ent wi th the customers and with the semiconductor industry to design products , meeting the futuristic demand of the customers across vertical .
Praveen Sahay: Okay that is a helpful so what is our target for the ODM contribution in the coming years ?
J S Guj ral: We would strive that the ODM contribution should be a healthy mix of 25% to 30%, 25% plus on the increased top lines . With domestic and the automotive demand and other demands going up 25% of the increased tu rnover the resultant turnover we are striving and en deavoring and budgeting to have it from the ODM business .
 Praveen Sahay: Especially in the consumer segment you have largely the ODMs?

J S Gujral: No. We have ODM , but ODM in consumer as a percentage of t he total consumer sale would be less. The bulk of it is built to print that means the design and product is of the technology provider .
Praveen Sahay: Okay thank you Sir. Thank you for taking my questions .
Moderator: Thank you. The next question i s from the line of Dhaval Shah from Girik Capital . Please go ah ead.
Dhaval Shah: Great set of numbers and good visibility on the mar gins. Sir , a couple of questions. F irst thing th e cash balance on the book of Rs.800 odd Crores? N ext we will be using aroun d Rs.200 Crores to Rs.250 Crores from cash flow that will be ge nerati ng, how are we going to utilize this money if you can give some understanding of that ? The s econd question is given we also have a plan which is under PLI scheme? H ow will this PLI benefit s come to us , from which quarter or which year will it start co min

g i n the P&L and last question will be what is the ROC E for the nine months and Q3?
J S Gujral: On the cash and ROC E I think Bijay will come back to you immediately . I will take your q uestion till then on the PLI . On the Telecom PLI, we are already sort of achieve d the threshold capex and turnover limits so we are eligible for the PLI and as per the guidelines , we have to file the application after the close of the year so the PLI appli cation will be filed after March 31, 202 3. Now when we get that PLI we get it Q1 of 20 23-2024, Q2 of 2023 -2024 it is dependent on the government , but going by the past sense, I think in the first half year or maybe at worst by Q3 o f 2023 -2024 the PLI which accrues to us for the year ended March 2023 should be with us .
Dhaval Shah: Okay and broadly what is the amount ?
J S Gujral: Let us see. There are still two months remaining, but I think it should be , we are eligible for 5% or 6% on the PLI in telecom and I think we should be crossing the double digit in the PLI .
Bijay Agrawal: Now coming t o capex thin g against total raise of around Rs.800 Crores, what we estimating we should be able to use around Rs.300 Crores in next one year towards cap ex and some cap ex related funding can be used thereafter and about 100 to 150 is what we can use t owards working capital and balance is what we have kept as general purpose which we can use as and when depending upon the business requirements so that is whe re we are. C oming to our ROC E, ROC E for this quarter if we deduct the overall surplus unutilize d funds of IPO and also the goodwill on the balance sheet , my ROC E for this quarter i s 22.4 % and for nine month it will be appr oximately 21.7 %.
Dhaval Shah: Okay thank you very much .
Moderator: Thank you. The next question is from the line of Chirag Lodaya from Value Quest . Please go ahead.
 Chirag Lodaya: Thank you for the opportunity. S ir my first question was just wanted to unde rstand is there any
seasonality between the quarters for us ?
J S Gujral: Because we are spread across the various vertical s on overall top l ine numbers we would not be impacted , but within the industr y there is a seasonality and there could be impact on th e discretionary spend based on the recession o r the inflationary conditions and we were facing in export but because of the broad base of the vertical which we service , the depression or decline in one vertical is offset by a growth in the other vertical f or the top line , but the variation within vertical does have an impact on the earnings and the profits .
Chirag Lodaya: Right so what I am trying to understand is generally Q4 is much larger compared to other quart ers in this kind of business so do we also have that kind of scheme or more or less are all quarters are equal ?
J S Gujral: So, if we were to sort of split the nine months gone b y, Q1 we had a run rate of about Rs.128 Crores to Rs.129 Crores per month. Q2 it went up to Rs.148 Crores and Rs.149 Crores. Q3 it is Rs.168 Crores or Rs.169 Crores so we expect that it should be around that our sort of sustain that thing but since we are not de pendent on too much of government orders , the skewing towards the Q4 is invariably when you are dependent too much on the government orders and the grants are lapsing . So you tend to ship out bill out in the last quarter. Since we are not significantl y pres ent directly in the government sector sale , we do not see this skewi ng happening because of the quarter . The grow th would happen because of long term grow th. So quarter -on-quarter I am growing. It will be based on that quarter -on-quarter, I will keep growi ng.
Chirag Lodaya: Right and Sir coming to next year looking at the cu rrent order book we feel that overall growt h rates might not be that encouraging so just wanted to get

sense what kind of growth we are expecting next year?
J S Gujral: See we expe ct to grow in line with the industry and industry is expected to grow at a v ery strong level so to say that the orders do not justify the growth , I think we have Rs.2100 Crores of orders and the financial year is yet to begin. It is still almost like 50 da ys awa y so we are very confident that the growth momentum and trajectory wil l be maintained in the coming years .
Chirag Lodaya: Right and on profitability Sir, the current quarter our profitability was a bit muted ? It is to do with mix change which we have seen in the overall numbers and so going ahead also our mix will more or less be the same like what we have seen in Q3 so is it fair to assume our margins would be in the range of 10 % to 10.5% this kind of range ?

J S Gujral: Let me put it this way that th e Q3 g one by has seen headwinds in exports and healthcare. We expect a rebou nd of it to happen in the Q1 of FY2023 -FY20 24, so obviously when the rebound happens of which we are very confi dent, the margins would see an uptake. This is coupled with optimum

 utiliza tion of my investments and the operating benefits setting in. I think all these two to three factors will sort of add to the margins of the company .

Chirag Lodaya: Right Sir what would be our top 10 client concentration ?

J S Gujral: Top 10 client concentra tion would about I think …

Bijay Agrawal: It is approximately currently 47%.

J S Gujral: 46% or 50%.

Chirag Lodaya : Right okay Sir , thank you and all the best.

Moderator: Thank you. The next question is from the line of Sandeep Abhange from Anand Rath i Shar es & Stock Brokers . Please go ahead.

Sandeep Abhange: Sir I had a que stion related to the customer segments? In consumer segment apart from fiber to the home what other categories which are performing like we have also come about Firebol t so are the wearables category also seeing overall as we have seen quite a good shift from China to India the overall margins that we will be so that is I wanted some color on it in the consumer segment?

J S Gujral: So, the consumer business broadly is lead by the fiber to h ome telecom and the wearables as you rightly s aid and control lers for water purification. We also have ODM businesses like control lers for the energy saving devices, the brushless DC motors. We have got big traction and large order from a leading company in the count ry for our own desig n products in BLDC. Thus these three to four categories in the consumer segment would lead the growth .

Sandeep Abhange: Okay and like I wanted some color on the healthcare segment like as you said that it will come back in the next quarter so in h ealthc are overall what is the breakup like domesti c and exports and are you facing any difficulties from China like as you are aware that China is yet to recover and they have started something medical devices products in India so what is the overall scena rio in healthcare? Are you facing any difficulties ? Like what are the exact difficulties? Can you give some details on that?

J S Gujral: See on the healthcare front it is a predominately export lead business , very little component in domestic and wha t we s upply is a solution to the customer so it is not a commodity which we are supplying. At the end of the day , it results into a commodity , but backed by a n engineering solution which is going to the customer. Now this is facing a bit of a sort of a slow down b ecaus e of inflation, recessionary condit ion, and reduction in the discretionary spend of the customers. Now this healthcare products what we supply is not lifesaving that it is mandatory for the consumer to spend. These we re discr etionary spend s related and hence we have seen the sort of slowing down of the business in the

 Western world because of recession. We really do not see too much of sort of competition , but it would always there , but we are being threatened by a com petition f rom Ch ina or their dumping because it is not a sort of what you call sugar analyzer or that what you would say pulsometer and all those things . These are solutions which we have provided to the customer , my solution.

Sandeep Abhange: Okay thank y ou for the answe rs.

Moderator: Thank you. Th e next question is from the line of Varun Mohanraj from Skaniva Capital . Please go ahead.

Varun Mohanraj: Good morning . Thank you for the opportunity. So in the previous call we mentioned that we are looking at i norganic f orward expansion into box build as semblies so can you throw some color on it like what is our existing business in this box built assembly section and also when we move forward with the inorganic or the organic way into box build assemblies , will our margi ns go higher probably like peers w hich are in the mid teens for the EBITDA? Thank you.

J S Gujral: See as far as the inorganic thing is concerned, it is work in progress currently and we have nothing concrete to share with the industry and the ma rket. We a re eva luating continuously and as and when something would materialize , we would come back to you. The current box build as a percentage of my total sales are hovering at about 14% to 15%. Once we go into a box build depending upon the industry segments which we go into, it does have a pos itive rub off on the margins , but much would depend upon the industry vertical s where we go in because for example if it is appliances , it is not significant. T here this is a very sort of resultant margin. We are not plann ing to go into them but the margin profile would depend upon the industry vertical where the box build is supplied.

Varun Mohanraj: Okay so can our existing ODM as well as the PCB business integrated into the box build or will it be a separate ki nd of busi ness?

J S Gujral: See it is the sa me facility, fungib ility line and typically what happens is we could get a box build right from day one and these we start off with the PCB A and then gradually migrate up the value chain to end up supplying a box build product and that has been what we have been doing for the last n number of years that when we enter a customer , it could be PCBA , but if that PC BA was to go into a

final box build and not part form of a big machine or equipment then we sort of g o up the val ue cha in
to supply the box build product.
Varun Mohanraj: Okay thank you. That is it from my side.
Jayesh Doshi : In the inorganic as you had asked , yes we are looking at inorganic things as Mr. Gujral said and it is a
little early , but whatever inorganic we will do it will definitely increase the margins . That is how we
are targeting in inorganic and in terms of the order book on the earlier questions , if you see earlier the
 order book was about Rs.1700 C rores which is now Rs.210 0 Crores so not only the actual order to
conversion is happening at a faster space also the order book keeps on increasing so you cannot look
at in isolation the order books that Rs.2100 Crores will not get us in to the kind o f grow th which we
are looking a t. Thank you .
Moderator: Thank you Sir. The next question is from the line of Nishant Sharma from Nuvama Wealth
Management . Please go ahead.
Nishant Sharma: Thank you for the opportunity and congratulations for a good set of number s Sir. T wo questions from
my side. One question is related to margin on the ODM and OEM business ? If you can throw some
light like what would be the differential margin between ODM and OEM that would be great and the
second question woul d be around t he sta tus of the PLI, so if I am n

ot wrong we have two PLI one is
in the telecom segment where we have scale d it up very well and other is on the white good space if
you can throw some status and some guidelines on what would be the threshold in terms of c apex a nd
in terms of revenue and incentive percentage that would be helpful ? Thank you .
J S Gujral: On the PLI part , I will take the second question first. As I already confirmed that we have crossed the
threshold limit for capex and turnover in the teleco m PLI and we are well on our bu dgeted figure
numbers , which we had planned at the start of the year and what we have achieved as per the the
government. O n the air conditioning that is white goods PLI , unfortunately we have not started off the
capex cycle . The c apex c ycle is 5 years per year Rs.50 Crores over a period of five years and result ant
turnover of I think five times capex is the turnover which we have to do. We are supplying air
conditioning control boards to some companies , but the quantities are not large. Our own desig n
boards have been supplied to a couple of customers and they a re still under validation. T he investment
cycle for this PLI would kick in only when the ODM board gets approved that as of date however if
we were t o get a quantum jump in the ai r conditioning business on build to print , which means the
design of a cu stomer or a technology provider then the capex cycle would be set in but as of date it is
on sort of slow trajectory . Now on the first question which you said you said the delta betwe en ODM
and EMS well it is superior in ODM and what superior number it is would again depend upon the
vertical which we supply to .
Nishant Sharma: Understood Sir so basically I was looking at that because the consumer segment w hich is a low
margin wou ld be scaling up muc h faster and would have a share of like 50 % the consumer segment so
will there be any scope of like 100 to 150 basis point kind of a jump in the EBITDA margin going
forward is that a possibility so I was just loo king at from that perspe ctive and on the PLI side just to
reconfirm for air conditioning it is Rs.50 Crores over the period of 10 years ?
J S Gujral: No Rs.50 Crores over a period of five years . Capex Rs.10 Crores per year and telecom it is Rs.20
Crores per year approximately. The thres hold l imit is 20 you could spend more. In telecom the
threshold limit is Rs.10 Crores.
 Nishant Sharma: Okay so for this year we have spen t Rs.20 Crores on the telecom side and we are on that same
trajectory going forward also ?
J S Gujral: Yes. The 50 % of o ur turnover th at I think that is not correct. We do not see consumer forming a 50 %
of our turnover .
Nishant Sharma: Sir current order book 40% is consumer right the Rs.2100 Crores break up which you have
mentioned ?
Bijay Agra wal: Approximately 35% to 40% i s the ir order book so it will be that in that range only total consumer
business 35 % to 40 %.
Nishant Sharma: Okay understood. I will fall back in queue Sir. T hank you .
Moderator: Thank you. The next question is from the line of Dhananjai Bagrodia from ASK Asset & Wealt h
Management . Please go ahead.
Dhananjai Bagrodia: Sir Congratulations on a good set of numbers , this is a question in relation to your previous answer .
When you mention this healthcare for example as a solution based so just to understa nd a l ittle more
about this does it mean that there is some part of this business which is revenue accretive regardless
of any orders ? Is it sticky or does it move in tandem with orders how does this part work when it is a
solution based to a client ?
J S G ujral: The healthca re business which we are into is essentially a solutions -based product which we have

supplied to a customer and that customer is seeing a slowdown in demand because it goes only into the Western world. It

is not for the developing countr ies or this part o f the world so because of the inflation uncertainty, because of the Ukraine war, the energy crisis in the West and inflation which this generation of West whether America or Western Europe has never seen in the ir life inflation rate of 7% to 10 % so their discretionary spend has taken a big hit and big knock and hence the slowdown in the products which we s upply to our customers. T hey are not lifesaving as I said earlier. They are more lifestyle and healthcare products which go into the thi ng hen ce this is f acing a headwind and as I shared earlier , I think by Q1 of next year we expect a rebound to start kicking in and expect to attain previous levels going forward .

Dhananjai Bagrodia: Sure I understand that . I mean t like how does it work in terms of solution based ? Does it move in tandem with the order placed or is it some part of it which is sticky and you get a revenue for that regardless of how much ?

J S Gujral: We have developed the solution . If it has a life of 10 years or five years so it dep ends on the product lifecycle so on ce we have provided a solution the orders will keep kicking in till a new product is

 developed and once we are with the customer and if we have service d the customer well and we ha ve done that over the last four, five and six years so it is much natural that any new development of a product which comes in from the customer we would have a head start and we would be the preferred choice for the customer because we have service d that custom er very well over the last fo ur, fi ve, six, seven, and 10 years so that would be adding to the portfolio of the product or a repl acement of the existing product.

Dhananjai Bagrodia: Okay and Sir I know this might be a tougher , but is there any part of a busi ness which we could like let us say consider and let us say there is a global slowdown in all your segments? E ither some part of your business which you could say is like sticky which will see a minimum revenue regardless of how much slowdown let us say ha ppens ? Right now we are seeing a uto industri al doing really well and consumer but some durable companies are saying that they are starting to see slowdown would there be any part of our businesses which we could see as sticky ?

J S Gujral: The stickiness of the customers is evident t hat we have custo mers who have been with us for 30 years, 20 years, and 15 years and we are growing with the customers . The wallet share is growing with the customers . Now in the very unlikely situation of a global recession like 1930s , well then it is a macro l evel thing which will affect everyone, and it depends how much less we can be affected by it, but to say that we will not be affected by a global recession unlikely though. If it was to set in, I think would not be correct but based on our broad profi le of products and regions and geograph ies we believe that we are well placed to face any such headwinds . The fact that despite exports in Europe and America are slowing down we have still been able to grow at 50 % odd fo r the nine months and 73% for quarte r on i s a testimony of the robust business model which we have in place .

Dhananjai Bagrodia: Sure and Sir last question can I squeeze in PCB A so what could help us leap frog in terms of making PCBA a much larger portion of our revenue and how are we going about that?

J S Gujral: PCB A still account for about I think 70% odd of our r evenue .

Dhananjai Bagrodia: Okay so in terms of let us say us versus a consumer business a PCBA for consumer different types of industries ? In consumer obviously PCBA would be a l ower m argin, but for that too is there any way that we could see that in terms of margin increase if we do anything more value add or does that a fix across the board ?

J S Gujral

: We have all industrial. We have a busine ss model set in and fixed. We will b e conc entrating on different industry vertical and will not be skewed towards a particular vertical whether it is automotive or whether it is a consumer would like to have a healthy mix of all the verticals. Now if consu mer if you are referring to say mobi le pho nes, well that is a separate thing and as on date I am not saying that it is a no go forever , we are just not evaluating going into that segment because there are good pl ayers in that line and we d o not see that we will be able to give any value add. Our unique

 selling unique proportion which we offer to the customers will give a value add. If I am also just one of the manufacturers of a particular thing , then well that is not our DNA.

Dhananjai Bagrodia: Okay sure thank you .

Moderator: Thank you. The next question is from the line of Smitesh Sheth from Raedan Securities . Please go ahead.

Smitesh Sheth: Sir just now in the opening remark you have mentioned audits conducted by some of the marquee customers so which se gmen t they are into and how much time does it take from audit to an order finalization or replacement sta ge?

J S Gujral: Okay now the segments where we have been audited by our IT, telecom, automotive and industr ial.

Industrial is again a broad spectrum. I t could be renewable and Power. I t could be refrige ration. I t could be anything. N ow so it is across the industry verticals typically. Typically from the time when an audit is conducted and should the business ma terialize, it is a cycle of 12 to 18 months for volume production to kick in so whatever audits have been done in Q3 of FY2022 -FY2023 that is up to December, the business of this would come only towards the end of 2023 or FY2024 -FY2025 , so whatever audits were done in 2022, the business has started kicking in now so this is an ongoing process. When the new customers come in, it takes 12 to 18 months for volume production to start.

Smitesh Sheth: Okay Sir. Thanks a lot.

Moderator: Thank you. The next questio n is from the line of Suraj Nawandhar from Sampa da Inv estments . Please go ahead.

Suraj Nawandhar: Good morning Sir. Sir I joined the call a bit late so the question might be repetitive but I see the exports revenue has fallen to 26% of our revenue from ope rations so do we expect it to stay at lower levels or do we expect to bounce back ?

J S Gujral: Exports revenue has fallen to 26%. That is what I shared in the opening remarks and we are very confident that it wi ll rebound and kickback in Q1 of 2023-2024 and then gain traction and momentum thereafter and we expect that next year we should be back to whatever percentage is which is about 30% to 32% earlier if everything g oes as it is and if there are no surprises a cross the world then the exports should rebound and will re bound.

Suraj Nawandhar: Sir currently if we look at the rest of the world situation, it looks that they are going into a recession and a slowdown and Ind ia is all of that looks a very bright spot s o wh y are we not focusing more on India? D o we get better margin from exports ?

 J S Gujral: Since India is on the growth and that is what we said in the beginning, the growth in the current quarter is dominated from the domestic demand so it is not that we are loo king at the export versus India. I t is exports plus India and we are geared up to cater to both the market so it is not that we are sacrificing growth in India. We are bullish and we are very aggressive on achieving greater mar ket share for the verticals and indus try products that a re in India and would continue to be one of our prime focus areas. India is one of our prime what you call focus areas but it is not domestic verses

exports. It is domestic plus exports .

Suraj N awandh ar: Right and Sir let us say in case the global which does not rebound as we have expected so we should be able to fulfill that void with Indian business right ?

J S Gujral: Yes. Again, despite exports coming down, we have still achieved what we had se t out at the beginning of the year and based on the inquiries and the imports and the dialogue with the international customer it is only a question of time. May be one quarter or two quarters before the export traction gains momentum and comes back to its origi nal form .

Suraj Nawandhar: Sir do we get any better margins in exports or is that the same level as the domestic business ?

J S Gujral: See exports have two advantages. O ne is, it provides us a natu ral currency hedge because electronics we have all 60% of the cost of materials is import ed and second yes export s does have a better margin profi le.

Suraj Nawandhar: Okay and h ow are the semiconductor issues rig ht now? Do we have a very smooth suppl y?

J S Gujral: The passive components have eased out, but microcontro llers continue to be a challenge area because passive components at least has wider manufacturing base where as microcontrollers and the active components have a smaller manufacturing base. There would be a handful or two handfuls of companies making all those things and bulk of the semiconductors in being done by Taiwan Semiconductors and Samsung. They control about 85% to 87% of the market s hare of semiconductors so easing in the pass ive components but the challenges remain in the micro controller and a ctive components.

Suraj Nawandhar: Sir till when do you expect this to normalize or is it difficult to say ?

J S Gujral: It is difficult to say . It is very difficult to say but with the w ay the passive components have eased, we believe d last year that it wo uld be the easy by may be by middle of this year . May be in another two quarters from here it should ease out. It should ease out but , that necessitates long term planning . The growth has come despite the shortages .

Suraj Nawandhar: Right how is the freight costs behaving now ?

 J S Gujral: It has slightly softened. The container availability has also eased out at bit and the freight costs have
also eased out a bit . They were not what they were middle of last year or Q3 of last year.

Suraj Nawandhar: All right thank you Sir. T hank you for your time and all the best.

Moderator: Thank you. The next question is from the line of Saurabh Mehta from East Lane Ca pital. Please go ahead.

Saurabh Mehta: Thanks for this opportunity . Sir I would l ike to just understand the box build business better like what is the our current revenue mix from the box build and we see reach i t in the coming years and I also

want to und erstand our manufacturing capability in terms of box build like are we vert ically integrated or do we plan to be given it is not our key strength so we want to depend on outsourcing for this and does it like in t erms of box build versus a plain PCB is ther e a big essential in terms of margins bec ause what I see is our key competi tors they have a mix of over 30 % box build and they make margins of 14 % to 15% and so this would like to get you off perspective on this ?
J S Gujral: Now box build as a percentage o f our total sales is about 14 % to 15% . On the capabilities, we have full ca pabili ties for the box build. When I say full capabilities, this may not be in-house but we have got long term contracts and dedicated ve ndors for sheet metal and plastics which go in for a box build. Putting up a plastic molding line with the tool room is not a big deal but the volume s have to justify the investment over there and the management bandwidth with which it will take but we hav e got dedicated vendors with whom we have

be en working for the last two decades and we have had no issues because of la ck of in-house facility the business is suffering. S hould that be the situation we would evaluate and go in for the backward integration but currently since we are not facing any challenges because of that we would continue to work out on this model . Now b ox bui ld versus PCBA the volume value goes up and slightly the margins in absolute terms also go up .
Saurabh Mehta: Yes, so basically you are saying box build would definitely there will be better margins right ?
J S Gujral: Yes it has a sup erior margin then vanilla PCBA . It has a superior margin than a vanilla PCBA because once we make a box build then it does not go into the factory of the customer it goes directly to the warehouse of the customer and to the ultimate consumer so obviously what th e customer is doing at it and we are doing at our end and if there is a differential cost strategy , it does result into a superior margin.
Saurabh Mehta: Sir in terms of box build what we do currently like 15% to 16% what are the kind of products are we doing? Are we doing more high end products or are we doing more consumer products ?
J S Gujral: We are pri marily doing inductive prod ucts. It would be the power supplies which a re going in for data centres or what you see at the airports and all those t hings, the door openers. We do point of sale
 printers which is again an indus trial or a consumer application. It is not the normal print er which we install in the house so they are a bit more sophisticated fiscal printers which are having a lot of software in it based on the structure of the country where they are exported so these are the two sets which we currently do. O ne is the power s upplies and one has some controllers we do w hich are box built and the point of sale printers are box built.
Saurabh Meh ta: Probably repeating my earlier question but is there any reason why there should be such a big differential in terms of margins betwe en us and competition given we are almost se rving similar kind of customers and similar work ? Probably their box build i s prob ably slightly higher but is there any reason for such like a big gap in terms of the margin profile?
J S Gujral: I can speak for m yself honestly. We are in the busine ss, and we are in the marketplace and we know what prices are available so we stand b y the numbers which we have shared . I really cannot comment . I am not competent to comment on the numbers of anyone else .
Saura bh Mehta: Right Sir but given in the call pr eviously you mentioned about increasing your capacity utilization and efficienc ies? W e can also reach double digits like at least 12 % to 13% kind of margins and say in the coming year 's right ?
J S Gujral: What we have been maintaining all through is that w e will be at double digit lower double digit margins on a sustained long term basis . Short term because of the capex cycle which has been set in because of front loading of the expenses to make the organization future ready. There could be certain sort of a depression in the margin but we continue to believe that on a long term sustained b asis w e should be at lower double digit margin .
Saurabh Mehta: Got it. Sir last question from my side is on the clean energy sp ace? Like are under discussion already doing something on the hydrogen space, solar space for some US clients ? Like are we alread y unde r discussion or already doing something for them doing some technical like more complicated box build products?
J S Gujra l: We are already supplying controllers to renewable energy companies. T hey are all export oriented and as I shared in the my ope ning r emark s that electric charging infrastructure and energy storage these are two upcoming cycles sort of verticals which wil l we believe will

see a lot of traction goin g forward maybe not a year from now may be two to three years from now. E nergy storag e woul d be one of the biggest growth drivers in th is sector and we are currently evaluating and are in discussion early days. W e will share when we get some breakthrough. On energy part energy conservation and energy efficiency would be another thing becau se of the green goals which the Government of India has set in and we are well placed in that with our own design on controller s for brushless DC motors for the fans and m igrating it to other applications.

 Saurabh Mehta: Got it. Thanks a lot Sir. This is v ery us eful.
Moderator: Thank you. The next question is from the line of Chirag Lodaya from Value Quest . Please go ahead.
Chirag Lodaya: Sir just one clarification you ment ioned our order book is at around Rs.2100 Crores and 35 % of the order book would be e xport and around 65% would be domestic is that fair understanding ?
J S Gujral: Yes.
Chirag Lodaya: So Sir on this basis if we s ee domestic revenue which we would have achi eved we are almost on that run rate so how to look at the overall numbers? Basically I am j ust trying to understand what kind of growth we might achieve in domestic because domestic this year has been exceptional ly well and current run rate is also pretty high?
J S Gujral: We are very bullish on the growth of domestic business fueled by se ctors across verticals led by automotive and consumer and other. L ong term o ur objective and our target is to be in the 30 % plus range for exports going forward on a long term sustained basis . Quarter -on-quarter there could be dip because you see we do not play business quarter -on-quarter. We are more focused on building an organization which is sustainable, scalable and profitabl e over the long run so these are the three parameters which we work on a sustained growth and scalable growth with profits. S hort term hiccups would be there. It is a business environment so while we are cognizant of this fact we are not too much worried o n the quarter -on-quarter basis as long as ou r focus on the long term building a model which can withstand the long term vagaries of bus iness cycle that is our endeavor .
Bijay Agrawal: Also , just to add this order book which we are discussing that is someth ing is to be fulfilled in the next few month s, next quarter or majority part of it in a way so it is not like in the next full yea r estimated volumes something like that. The majority part of it has to be fulfilled in early next few months and quarters.
Chirag Lodaya: We mentioned that Rs.1800 Crore s is the order book which will be executable over the next 12 months right so on that basis?
Bijay Agrawal: I think depending upon the total orders of this thing but again that is the outer deadline of few of the orders in that thing. A majority of those o rder books has to be fulfilled in the next two quarters also.
J S Gujral: Just to add on las t quarter we had an order book of Rs.1700 Crores. Last quarter, we did about Rs.524 Crores so if Rs.1700 Crores minus Rs .500 Crores just for the sake of rounding of f its Rs.1200 Crores and Rs.1200 Crores to Rs.2100 Crores so Rs.900 Crores is the fres h inta ke so that as Mr. Jayesh Doshi had stressed very correctly the finer thing that a higher run rate of execution my order book has

 increased by all almost like 25 % Rs.1700 Crores to 21 % is almost like 21 % or 20% and 25% so we are very bullish on the en tire thing.
Chirag Lodaya: Got it. Clear Sir and on some export are we adding any new client, e tc., or this is existing client we will see rebound in growth?
J S Gujral: Both new clients and existing clients . In existing clients they could need sort of exp anding the portfoli

o offerings for that.
Chirag Lodaya: And just lastly nine months FY2022 if you can give us export shares so this nine month is 34% versus what could be the last year?
J S Gujral: Last year it was about 46%.
Chirag Lodaya: Okay thank you Sir.
Moderator: Thank you. Ladies and gentlemen that was the last question for today . I would not like to hand the conference over to Mr. J S Gujral, Managing Director for closing comments . Over to you Sir.
J S Gujral: Thank you. T hank you ladies and gentl emen f or partici pating in this Q3 earning call. I would just like to conclude that as management are focused on building I jus t said in my earlier comments short while ba ck on building a sustainable, scalable, and profitable organization which can withstan d the vagaries of business cycle. Quarter -on-quarter is critical but we are more focused on the long term and we are building our capacities and building our management t eams that we have a professionally run ethical company which serves not only the busin ess st akeholders but also the society so that all our skills are also focused on making the world a bett er place by energy con servation, green technologies and all those things so we are bullish on the long term sort of growth story not only of our company but a lso of the country. We believe we have now reached the threshold , the cusp where we can see accelerated growth in the q uarters and years going forward. We would end eavor to be the preferred EMS partner for anyone who wants to look at EMS as a service in India. Thank you very much.
Moderator: Thank you Sir. On behalf of ICICI Securities that concludes this conferenc e. Thank you for joining us and you may now disconnec t your lines.

Call: May 2023

Date: May 29, 202 3

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for results of quarter and financial year ended March 31, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the financial and operational performance of the Company for the quarter and financial year ended March 31, 2023, held on Friday, May 19, 202 3, at 10:30 hrs (I ST).

The transcript of the conference call can also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations

We request you to take the same on your record.

For Syrma SGS Technology Limited

Rahul Sinnarkar
Company Secretary & Compliance Officer
Membership No: A39709
Place: Gurgaon

"Syrma SGS Technology Limited
Q4 FY23 Earnings Conference Call"
May 19, 2023

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR
MR. JAYESH DOSHI – DIRECTOR
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
MR. NIKHIL GUPTA – INVESTOR RELATIONS
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Syrma SGS Technology Limited Q4 FY23 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for yo u to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the c onference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you and over to you, Ms. Nair.

Bhoomika Nair: Thank you. Good morning everyone and a warm welcome to the Syrma SGS Technology Q4 FY23 Earnings Call. I would like to thank the ma nagement for giving us this opportunity and would like to welcome them. Without any further delay, I will now hand over the call to Mr. Nikhil Gupta, Investor Relatio ns, to take this call forward. Over to you, Nikhil.

Nikhil Gupta: Welcome to Syrma SGS Fis cal Year '23 Earnings Call. We have with us today, Mr. J. S. Gujral, Managing Director, Mr. Jayesh Doshi, Director and Mr. Bijay Agrawal, our Chief Financial Officer, to discuss the performance of the company during the fiscal year 2023 followed by details question -and-answer session.

During this call, certain statements that will be made are forward -looking, which involves several risks, uncertainty, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on the information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this cal l. In this regard, please do review the disclaimer statements in the earnings release and all other factors that can cause a difference.

I will now hand over the call to Mr. J S Gujral, Managing Director, Syrma SGS.

J. S. Gujral: Ladies and Gentlemen, a very warm welcome to all of you for the first full year earnings call of Syrma SGS Technology Limited. I will first share with you the key financial metrics for the year gone by, then delve on the macroeconomic environment followed by plans for the years ahead. Bijay Agarwal, our CFO, will run you through the detailed financial s and then we will go into the Q&A session.

The company has recorded a robust 63% growth in revenues in the year ended March 23. This is on the back of 45% growth recorded in the previous financial year. The EBIT, PBT and PAT have all grown by about 61% in the current year. Our order book as on 31st of March 2023 stands at about INR3,000 crores that compares to INR2,000 crores as on 31st of December 2022 a nd INR1,200 crores as on 31st of March 2022. So, if I was to compare March 22 to March 23, the order book has gone up from INR1,200 crores to INR3,000 crores.

In the board meeting which we held yesterday where the audited financials were approved, the board has recommended a 15% dividend or INR1.50 per equity share to the shareholders which will be taken up at the AGM.

Now I come down to the macroeconomic level environment in the country. Now India is currently witnessing a phenomenal interest from the global companies looking for a manufacturing base outside China. This interest is further strengthened by the demographic profile of our population. No other country in the world can offer a vast pool of English - speaking technical talent sp read across disciplines. We have a growing demand in the country, a thriving democracy, independent judiciary, and a government focused on facilitating manufacturing in general and electronics in particular. And electronics in particular I would

like to say it's in bold and uppercase.
The ecosystem for electronics manufacturing in India has never been so good. I have been in this industry for almost like close to 36 years now, we have never had a combination of positive global environment, a government -focused on encouraging manufacturin g and the industry having come off the age. Now the push for e -mobility, smart metering, energy efficiency, 5G, the iodization of electronics has led to a significant increase in the electronic content in the product. Now everyone keeps working that when t he economy is growing at 5%, 6%, 7% , how come electronics industry is growing at 30%, 35% . Now I will just share with you the context of electronics demand in some of the growing sectors.
A combustion two -wheeler for example has an electronic cont ent of approximately INR 2,000 per vehicle, i.e. two-wheeler. While an EV two -wheeler it has INR15,000 to 20,000. So, there is a 7 to 10 times multiplier effect of migration from a combustion EV two-wheeler to an electr ic 2-wheeler.
Similarly in a four -wheeler the electronic content goes up from about INR5,000 to 6,000 in the engine. I am not talking about th e periphery electronics, infotainment, air conditioning, dashboard , I am only referring to the content in the engine. It goes up to INR60,000 to 70,000 in an electric car. Periphery electronics would remain by and large the same.
Now from almost a 0% electronic content in a conventional fan, it goes up by INR350 to INR450 in a BLDC fan. Smart RF energy meters have an electronic content of almost 3 to 5 times of it the normal energy meter, which is INR350 to INR500, and about INR600 for a single phase to three phase. It goes up to INR1,200 to INR1,500 ina RF smart energy meter.
I just picked up four high-growth areas to give you a broad idea of where the demand is coming from. Now about the plans of the company, we are very focused on building up a sustainable, profitable, socially responsive organization for the long run. And towards this end, we have taken some significant steps in the quarter gone by. One, we have set up an exclusive subsidiary for exclusively focusing on design and development.
Till now we were doing the design and development as part of our activity, and we felt it was getting diffused because manufacturing would take a priority. Hence, we h ave carved out the design and development center and housed it into a 100% owned subsidiary called Syrma SGS Engineering and Technology Services Limited.

Now this is being headed by our CEO from Syrma. He has now migrated to the subsidiary company . Dr. Shriram Srinivasan, is a veteran in this industry, and he would be spearheading this effort. We have also hired a senior president from the industry who has about two decades plus of experience in software and engineering services industry to aid Dr. Shriram in this push. Now this has just been done about two, three months ago. Actually, the subsidiary was formed only I think in April. The initial response from the customers has been very, very encouraging and going forward, that is in two to t hree years, this vertical will not only be a significant contributor to our revenues and margins but will also increase the stickiness with our customers. The vintage of the customers in any case is very strong going back two decades, 15 years, three decades. But with this, we believe the stickiness will even go up further and this will help us in expanding over footprint both in terms of revenues and margins. We have also beefed up our marketing teams by having representations both in the East and West Coast of U.S.A., further strengthening our marketing team in Germany and sort of beefing up our teams in the domestic markets in India.
We are focused on R&D center of our subsidiary company in Germany as well. We are putting up a pr

oto type line going forward , so that the new customers, can be service d better from there and then the series productions will be migrated back into India. In the last two quarter s gone by, we have onboarded 8 to 10 major customers, including some very formidable names, global names, and these customers are spread across the automotive, which is both combustion and EV, HVAC, which is refrigeration and air conditioning, industrial power, electric charging infrastructure, and infrastructure electronics, which would include energy met ering, water metering, smart lighting, both for domestic and global requirements.
Now with all these things in place, we expect that the revenue in the coming year should grow by about 35% to 40%, that is in line with the growth in the industry with over a long -term objective of sustaining a double digit EBITDA margin in the coming years.
Now having taken this, I'll just hand over to Bijay Agarwal, who will run you through with the detailed financials, quarter -on-quarter, whatever it is, and then we are open for question -and-answer. Thank you very much.
Bijay Agarwal: Very good morning to everyone. I'll now quickly take you th rough the brief financials for the year FY 2023. I am delighted to say that the company has registered a strong growth during the

FY ‘23. On a consolidated basis, our total income grew by almost 63% to INR2,092 crores. EBITDA also demonstrated a strong pe rformance for the year at INR232 crores with a growth of 61% year -on-year, and this is despite the ongoing global challenges and inflation, we are able to control our costs to deliver margins.

Out of our total other income, which is approximately INR4 3.7 crores, includes a treasury income of approx INR35 crores, and the rest is other operating income, which is primarily or majorly related to forex mark to market impact on the raw material purchases and sale, and other miscellaneous items. So, if we exclude the treasury income out of the total EBITDA, my

operating EBITDA is approximately INR197 crores, which is 9.6 % of operating EBITDA margin.

Our PBT grew by 61% to INR179 crores. And same way, our PAT for the year, full year is INR123 crores w ith a growth of 61% over the FY ‘22. This year, gross material cost also increased by almost 400 bps to 73.6% as a factor of softening of exports, healthcare business, and coupled with a change in other business mix and revenue mix by other industry segments.

If we talk about the quarterly performan ce, our quarter revenue grew by almost 80% year -on-year to INR700 crores approx . EBITDA for the quarter demonstrated a strong performance with INR81 crores . And out of this, if we similar way exclude the treasury income of about approximate ly INR1 6 crores, net operating EBITDA is approximately INR65 crores for the quarter, which is 9.5% operating EBITDA margin for the quarter.

Coming to PBT for the quarter is approximately INR68 crores, which is 181% up year -on-year. And PAT for the quarter is INR43 crores.

Now, I will come to the treasury numbers as on March end, which is approximately INR884 crores. And we have a debt position as on March end of around INR347 crores. So, we are maintain ing a net cash position of approximately INR537 crores as on 31, March 2023. On capex side, we had spent approximately INR170 crores for the full year. But going forward, as we see planning greenfield expansion capex , we should be able to deploy somewhere around INR200 crores to INR260 crores of capex in the year FY 2024.

Coming to our net working capital position, we have a net working capital investment of approximately 74 days , when calcul ated on average basis, which is probably the market standard. However, when we check ourselves on the year end position basis, we are running a total net working capital position of approximately 89 days, which

is slightly three to four days
lesser than the position that we were maintaining by end of FY 2022.

Going forward, we see it's a clear focus area for all of us. So, we should be able to save five to 10 days of net working capital position by FY 20 24 end. That's what we are targeting.

So, from here onwards, I'll just hand over the call to Bhoomika to take it forward.

Bhoomika Nair: Sure, sir.

Moderator: Thank you very much. We'll now begin the question -and-answer -session. The first question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes, thanks for the opportunity. So, the question is the consumer business has got a relatively lower margin than the company average. So, what are the steps the compan y is taking to improve the margins here?

And secondly, on healthcare business, you slightly touched upon it, but when do we see the full recovery in healthcare business? And the last question is any update on the new customers that

we would have signed du ring the quarter or during past , let's say six months? And lastly, the current order book. Yes. that’s it from my side.

J. S. Gujral: Okay, now the order book which you said, I'll take the last one because that we have an order book of about INR3,000 crore s as of 31st of March 2023. And out of this, approximately 70 -odd percent, 70% will be executed within the current financial year, . And this order book is spread across verticals with the lead in automotive both combustion and EV and Consumer .

Now coming on to your consumer vertical, yes, the consumer vertical has a comparatively lower margin than the rest of the industry, but it is a very growing space and over consumer products are primarily into telecom and other smart products what you call electronics. And we expect that the lower margins on this product are compensated by the high volumes, the efficiencies which we achieve on the line. And going forward based on the programs of the government for encouraging local manufacturing, there will be backward integrations happening in. Now once

the backward integration happens, then the margins automatically grow up because you start getting value on the value additions which you do in the domestic market.
On the healthcare, we have seen a rebound, little rebound in the last quarter of this financial year, but the rebound has been slower, and we expect that it may be a couple of quarters before the reboun d happens. Now once the rebound happens, I think we all be very surprised by the steep rebound which will happen because the supply chain pipelines are obviously getting exhausted. And I expect that maybe by third quarter of this year, we should see a s trong rebound on the medical healthcare part.
Your last question, one of the questions was on the customer order -- customer acquisitions. As I shared, we have on -boarded 8 to 10 customers and they 're all big domestic and very formidable global giants' names, both for domestic and exports. And they 're spread across verticals including automotive, industrial, power management, and I am not started calling infrastructure, electronics, energy metering, water metering, smart streets, lighting and all t hose things.
And these customers which are on -boarded, their initial plans and all those things, I think would really see us maintaining the gross tempo beyond FY'23-'24 because they've just been on -boarded and this year would be more for prototyping, pro duct approvals and all that. Series production would only come in calendar year 24, because global customer s work on calendar year, so the series volumes will come in calendar year '24, so it could be Q4 of '23 -'24 for us or during FY '24-'25. But the dialogue is very robust, and we are very positive with what these new on-boarded customers would sort of contribute to our business.
A

niruddha Joshi: Okay, thank you. Thanks a lot sir. Just last question. The overall profitability margin, improving .
Management: Can you speak a little louder, clearer or can't hear you?
Moderator: Aniruddha, there is a bit of static from your line, may I request to join the queue please. Thank you. The next question is from the line of Rahul Gajare from Hait ong Securities, please go ahead.
Rahul Gajare: Thanks gentlemen for the opportunity and congratulations for very good performance. First on the business front, you have a very strong order backlog at almost INR3,000 crores and we've

seen a significant upti ck in the order backlog during the last few quarters. You also indicated new on -boarded customers. Is it possible you could give us some sense on the kind of order intake that you could look for in FY '24, from these new customers that you on -boarded and t he existing business? That's the first question.
J. S. Gujral: Okay, now very rightly you said the order intake has been strong. Just to set the context, we had an order book of about INR2,100 crores as of 31st of December and if my memory serves me right, I think in the last quarter we had executed or we had a sales revenue of about INR700 crores. So INR2100 crores, minus INR700 crores would take it down to INR1,400 crores and if we have an order book when we say is INR3,000 crores, so the order intake dur ing the quarter has been of INR1,500 crores toINR1,600 crores.
And the new customers which we have on -boarded, they would again, because the base in the current year is almost nil for those customers, the incremental revenues which will come from them in the calendar year '24 or financial year '24 -'25, I think it will be very, very significant. It will be a significant portion of the revenues, the growth driving for the next year.
Now apart from this, I missed out, I'll share that we have got the RDSO ap proval for one of our plants, that is for the railways. And going forward in this year also, we see a significant uptake in railways contributing to the revenues, though as a percentage it may still be very small because currently the base is small, but g oing forward, I expect railways also to be playing a significant share in our revenues.
Rahul Gajare: Okay, sir continuing with the same question, is it possible you could break this order backlog into how much is the share of exports and how the other industries are in terms of the order backlog break up? That will give us some sense on the profitability because like you said, the consumer at this point in time is a low margin business compared to your industrial business. So, if you can break up this order backlog, that will be very helpful for us to forecast the profitability and margin profile.
J. S. Gu jral: See exports account for approximately 30% -31% of our revenues for the financial year gone by The back of the hand calculations show the orders of INR3,000 crores would have almost the same proportion of the export to the domestic, there will not be a significant difference in that. So, if we say, INR3,000 crores is the order, the export orders would be in the range of INR700 crores to INR800 crore s or something like that.
Rahul Gajare: Okay, and how would you break this into segments that you highlight in terms of auto, consumer, healthcare, industrial, IT and railways? If can you break this order backlog into these verticals?
J. S. Gujral: If we d o break IT, the policy, new IT policy has been only announced a day before yesterday. So, we are still on the drawing board to work out how it will pan out and whatever it is. So, the

impact of the new IT policy, which is positive, is not factored into wha tever I'm saying because we are still working on that. But broadly the order breakup, again if we see the industry composition would be 25%, approximately 20% -25%

would be Automotive, about 30% -32% or
35% would be Consumer , about 20% would be Industrial , 7% -8% would be ITs or whatever

currently it is and Railways and other businesses. So, three, four buckets, 20% -25% Automotive , 25%-30% Industrial , 30% -32% Consumer and rest is other s.

Rahul Gajare: Sir, my last question is if you can break up the revenue also in terms of the segments that you do, in terms of PCB box builds and actually if you can put some of this information in the presentation that you all put up, it would be very easy for us t o gauge from the presentation itself, the breakup of order book, the breakup of revenue in terms of PCB box build s, RFID and obviously the share of ODM in the overall revenue. That's all for my question.

Bijay Agarwal: During financial year FY ’23, ODM bu siness is approximately 18% for this year and similar way if we talk about box build also that is about 18.5% and if we talk about PCBs , that includes box build, is again approximately 80% there.

Rahul Gajare: You said ODM, and box build are both around 18%.

Bijay Agarwal: Yes, ODM is 18% and box build is 18.5%.

Moderator: Thank you, Rahul, sorry to interrupt you. I'll request you to join the queue again for a follow -up question. The next question is from the line of Piyush Khandelwal from Bank of India Mutual Fund. Please go ahead.

Piyush Khandelwal: Thanks for the opportunity. Sir just wanted to understand first on this consumer division because what I see, I mean in FY ‘22 the material margin on the consumer side was 38%, and by FY ‘23 was 17%. So is there any benchmark that you look because there must be many kind of order book available under the consumer division as well. So is there any benchmark that you guys said that you'll be looking under these kind of sectors only under consumer business. They'll be doing business but there's some threshold on the margin side, but you'll be majorly looking for volume under the consumer business.

J. S. Gujral: You see the consumer business I think we can classify into two buckets. O ne is the ODM consumer business, one is the bill to print consumer business. So, if I was to talk of the ODM consumer business the margins are in line with other industries. In bill to print of where Vanilla EMS is involved the values are large the volumes are large. And hence, the what you call margins are low but what is positive in this is we get a better asset turn because it's large volume the changeovers and the stoppage of lines are not there.

Once we have a better asset turnover and the working cap ital involvement because the skin of the technology provider is also into it or working capital environment also goes down. So that results a positive cash flows for that particular segment of the business. So, you see when we do a business, we take a lot of factors into account margin obviously is one, stability of the customer, volume which is giving, what is my working capital involvement, what is my capex turnover. So all these factors we consider and then arrive at a decision that on a long -term basis, it should be in sync with our objectives.

So, we are not hung up on quarter -on-quarter. We are focused on long -term. And in the consumer business if going forward based on the plans of the government and the PMPs , the Phase Manufacturing Programs and oth ers how much more we can do backward integration to increase

the value -add. So short -term it is there but long -term we'll see sort of aggression in margins even in consumer business as our volumes grow up or purchasing power goes up and the operating lever age is set up.

Piyush Khandelwal: Understood. Sir, just let me put it the question in a different way is there a material difference in the ROC E in the consumer segment versus let's say,

overall company level or the other
segments?

J. S. Gujral: See, ROC E is a function of capital employed. And if my capital employed is less because of the stake of the technology provider in the inventories that we don't have to fund the inventories up front then obviously the ROC E becomes better.

Moderator: Thank you. Piyush, I’ll request to join the queue again for a follow -up question. The next question is from the line of Saurabh Mehta from East Lane Capital. Please go ahead.

Saurabh Mehta: Yes, hi sir, thanks for the opportunity. The first question is on working capital the control in this quarter is quite impressive. So just wanted to get a medium -term outlook on it. Initially, we were guiding for 10 days saving on this 85 days -90 days number. The second thing is on the gross block. We are at INR500 crores. So, what is the peak asset turn which we can generate from this? Right now, we are about at 4.9x.

Two housekeeping questions on this other income and tax rate. The other income has doubled quarter -on-quarter and the tax rate has gone up to 37% in this quarter, is there any losses in some subsidies or segments because of which the tax rate has gone up? And the last question is again harping on the consumer bid, wherein year -on-year our revenu e has gone up by 1.6x but our gross profit or gross margin from the segment is only up 15% . So, we did 38% last year and this year we've done 17%. So, I know we've spoken a lot about it already on the call but still, how should we think about this segment going forward?

J. S. Gujral: Yesh, I take the last question first. As I just explained in the previous question, the consumer business has to be divided into two buckets, one is the ODM business, one is the Vanilla EMS business. Now the ODM business in th e year gone by was forming a significant chunk of our consumer business and hence, gross margins were high in the last year. .

Now because the EMS business of the consumer segment has grown significantly the ODM block as a percentage of the total consumer business has come down. And hence, it's impacted the gross margins or margins in percentage terms absolute time in absolute terms it could have gone up. And as I explained, because of involvement of the technology providers and others in the inventories and other so the working capital involvement in this consumer business of bill to print or vanilla EMS is significantly lower. And the asset turn is significantly higher. The asset turn from this consumer business c ould be almost 1.5x to 1.75x higher than the average asset turn which we are showing for the consolidated business.

Now on the inventories we had projected that we would try to come down to below 80 days in the inventories. We have come down by about four days. So, we are still lagging by about 60% in that reduction. Now I think, we should be very mindful of the fact that the inventories are built for future revenues, whereas the number of days are calculated on historical sales. So, if

my run rate of the last quarter is 200 plus or 225, I calculate for the average which will be less than 200. And hence, we saw some of the industry peers calculating number of days based on average inventory.

The average inventory will be average of opening inventory on 1 , April '22 my closing inventory on 31, March '23 . Now if we were to adopt that yardstick we do both. One is for the comparison with the peers, and one is for our internal thing and internal thing to us is more important or in the inve ntory thing has come down to about 74 days. And compared to previous year, if I were to do the previous year comparison also on the same basis, just a minute

Bijay Agarwal: You were at around 75 days.

J. S. Gujral: So, 75 days. So, on an average basis we have come down by about 1 days, on a year -end basis we have come down by about 4 days

. This is an area which needs to be mindful of it. Just because when you are growing at 60 odd percent , you sort of give this efficiency part of the inventory you are holding a little back seat. Because the thrust of it is to acquire customers on the market share.

The third question was that on a set turnover of 500, what is the thing, it is 4.9. You see if I was to classify a set, there w ould be two parts of a set. One is an infrastructure set, one is an income generating set, which is a plant and equipment. Now once I invest the infrastructure of a plant, it takes about 2 -3 years for that facility to be optimally utilized. So, the infrast ructure spread is not optimally utilized. And hence the set turn goes down. If I was to only calculate based on the revenue generating machineries, then I think we would be better off.

Going forward, I think we should, we are targeting a set turn of about 6 plus, once the whole thing stabilizes. On the tax part, I think I will leave it to Bijay, because we are on different tax regimes and different legal entities. And hence there could be…

Bijay Agarwal: In the 9 -month number, there was approximately INR2.5 crores of lower provisioning, which has come to in this quarter 4. That's where you can see there is a higher tax rate for the quarter 4, but for the full year it is evenly distributed. Also, one m ore point on the asset turn, the asset turn which we are right now calculating, that is based on the revenue which we achieved during the year. The capex for which we have been incurred during the full year.

But the revenue for those new plants have impact ed only for, or maybe benefited for the year, only for 4 months to 6 months. So that's where going forward in the next year, once we get the full revenue from those plants, asset turn will automatically improve from current 5x to 6x in the upcoming year.

J. S. Gujral: I hope that answers all your questions.
Moderator: Thank you. Next question is from the line of Rahul Hirawat from Multiples Private Equity. Please go ahead.
Rahul Hirawat: Hi Sir. Firstly, congratulations on the results that you achieved. I think this is a phenomenal growth. My question, while we have discussed a lot on the margin profile of the consumer

business, if you could also elaborate a little more on, in terms of the type of clients we are signing, because a lot of, say, the consumer variables, clients are at a much lower margin as compared to certain other consumers. So, if you could just give a little more granular flavor in terms of that, which would help us understand that?
And the second question was around the IT part of it. The margins, the material margins, that business has been very fluctuating. So, going forward, what's like a stable material margin we expect from that business? And do we see a significant uptick in that business, given a lot of business coming from governmen t as well? So, Yes, these two are my questions.
J. S. Gujral: Okay. On the IT part, the IT business last year constituted approximately, I think it was about 7% of our revenues, . And the IT policy, which was in the works for t wo years, has just been announced by the government the day before yesterday. And we have to submit our interest or application within 45 days.
Our teams have already started working on it. So whatever numbers or the guidance which I shared with you of the growth and all that, does not factor in the impact of the IT policy, which is very favorable. There's nothing negative in the new policy which has come in. So, we will share our guidance once we get the IT policy sort of registration and everything.
The m argins in IT, the unit values being very high, the percentage margins are comparatively lower, in line with what they are for other products in the consumer space. In IT, they would be almost at the same level. But the off

set is that, A, the unit value bei ng very high, the absolute figures go up.
Your second question was on the composition of the consumer business. Consumer business consists of fiber -to-home products, Wi -Fi, wireless, ONT, G -PONS . It consists of water purification systems. It consists of what you call domestic water heating systems, and the smart electronics. The smart electronics, the wearables and all that, the government has come up with a phased manufacturing program, where so me of the products have started attracting custom duty as of 1st of March, 1st of April 2023.
So going forward, we are evaluating that, if we were to backward integrate and make a PCB out of that, the value addition, while the sale price will remain the sa me, the value addition goes up significantly. Because we are manufacturing the PCB, currently the PCB is being imported. Similarly, there would be other components, the government has come up with a very detailed manufacturing program, with period, that ef fective X date duty will be liable on this, effective Y date duty will be liable on this component. So, we believe that going forward, there will be accretion to the margins on this segment, because of the backward integration, when we start manufacturing, assembling the boards, also in India.
Rahul Hirawat: Understood. And are we looking to increase our capabilities in the PCB manufacturing part?
J. S. Gujral: See, the PCB, I think we have the best of the capabilities, and we are capable of manufacturing any type of PCBs, any layer, flexible or whatever. It's only the capacity has to be increased, and capacity sort of in sync with the requirement. Because wearable electronics would have a very high capacity, and they have a different configuration of lines , they are fungible though, but to

get the best efficiencies, they are configuring lines that would be the best line configuration for that.
But in terms of capability, I don't think it requires anything additional capability, because we are doing telecom, we are doing railways, we are doing defense, we are doing automotive, and in terms of technical capabilities, I think it doesn't require anything additional.
Moderator: Thank you. Next question is from the line of Umang Parekh from Ashika India Alpha Fund . Please go ahead.
Umang Parekh: Hi, thank you for the opportunity. My question is on the gross margins. So, the gross margins have come down significantly for this quarter, and on a yearly basis. So I just wanted to understand that what would be a sustain able gross margin going forward?
J. S. Gujral: As I said in my opening statement, we are looking at a sustainable gross margin. We are focused

on delivering double digit EBITDA on a long -term sustainable basis. A couple of percentage points here and there, that's one issue. We don't see any significant downside in the margins with the composition of the business plans and the sales which we have envisaged for the coming years.
We don't see that. Quarter on quarter, or as I said, I'm not really hung up on qu arter-on-quarter, because on quarter -on-quarter, the de -risk business, we may have a higher proportion of business which is on a lower margin, but on a year -on-year basis and sustained basis, it gets evened out. And even on quarter -on-quarter, the margins, the gross margins at times may be lower, but they are offset by the savings in the OPEC which we make.
So, if we see year on quarter four, for example, we are operating EBITDA margin of about 9.5% versus a full year of 9.6% excluding the treasury income. So, it's only a 10-basis point s is only reduction. So, see, this is a game that we can't see gross margins, operating margins. We have to see everything in totality. So, if in everything in totality, my EBITDA margin has been 9.5% versus 9.6% operating EBITDA margin . The gross EBITDA wit

h treasury income is lower by
10 basis point s versus last year.
So, it is not desirable, but we are not hung up about it, because we are focused on the long term. And long term, we are very sure that with the design and development thing coming in, with beefing up of our export setups and marketing setups in Europe and Am erica and venturing out into railways and other things, would have accretion to the EBITDA. And if it is an accretion to the EBITDA, it will be operating leverages and margins.
Umang Parekh: Okay, got it. And lastly, what would be the timeline for the exec ution of the current order book of 3000?
J. S. Gujral: As I said, out of this 3000, I think approximately 70% -75% will be executed within this financial year. And rest will be a spillover to financial year '24-'25. And then we are just 45 days into this year. The new orders will keep coming in. So, I don't foresee a scarcity of inbound business.
You are very positive on it.

Moderator: Thank you. Next question is from the land of Amar Maurya from AlfAccurate Advis ors. Please go ahead.
Amar Maurya: Sir, thanks a lot for the opportunity. Firstly, sir, as you indicated that healthcare is going to remain muted in the first half. So, on a year -over-year basis, what kind of growth we see in healthcare and industrial, if you can help us?
J. S. Gujral: Industry growth rate is robust. I don't foresee any sort of issue on the industry growth rate. Just for a minute.
Amar Maurya: Healthcare and industrial segment, sir. I am talking about healthcare and industrial segment. As you indicated, I believe healthcare is largely export driven, right?
J. S. Gujral: Industrial has grown by about 46%. Healthcare has sort of grown by early te ens. It's not gone up by 12-15%. So, we –in the coming one or two quarters also, we do not expect it to be stabilized. And then we may see an uptake in the Q3 of this financial year.
So, this year, we expect that it will be again a normal, what you call, growth rate in healthcare. Or at worst, it could be stagnation at what we are doing. But we are confident that we will grow at 10% -12% in healthcare also in the coming year. Industry is r obust. We expect to grow significantly in industry.
Amar Maurya: Okay. So industrial would be this year, would be what, like 25 -30%?
J. S. Gujral: If we are planning growth of about 35% -40% So industrial would be definitely growing at -- I have not taken the order book of industrial, but I think it should be growing at a good rate of 20 plus. But that's an off -the-cuff figure I have got in mind. But the order book from industrial, from whatever clients we have sort of onboarded, it looks good. A nd it will continue to be a significant part of our revenues going forward on a long -term basis.
Amar Maurya: Okay. So, sir, basically, do we see, because of the composition changing from, let's say, industrial growing at the higher rate now again, and obv iously the consumer will grow at a faster rate, but do we see some inch up in the gross margin because of the mix changing in FY '24?
J. S. Gujral: See, the dynamics of margins because of change in composition of the product mix, we can't avoid, and we can't wish away. It is part and parcel of the game. What we are focused on is If it's a positive change, how do we maximize it? And if it's sort of a little bit of adverse composition, how do we improve upon it? And that i s where over -operating leverages and over -purchasing power.
See, at a INR2,000 crores turnover, with a material content of approximately 75%, it is INR1,500 crores spent. I am just secularly saying, at a INR3,000 crores , it is a INR2,200 crores spent, and at a INR4,000 crores , it is a INR3000 crores spent. The bargaining power and the heft, muscle which we get, when we go into that league of purchasing, would offset some of these negativitie

s
or the change in the product mix, which we have.

And we have now created a specialized sort of a dealing procurement from sourcing strategic purchasing, with focus on value engineering, the designer thing kicking in, to ensure that any adverse impact because of a product mix change is compensated by better sourcing and cost efficiencies in operations. And hence, the EBITDA sustenance of double digits continues.
Amar Maurya: Okay. But then, sir, is there a scope for you now to improve your gross margin and reach to 30% level? Because this year, our gross margin is around 24%-25%. I think it has corrected. So, do we see that now again we can inch up, let's say, in 24 -30% GP margin again?
J. S. Gujral: Very tough to say that. But again, I am focused more on the bottom line and the EBITDA. So, I would say gross margin is one measure and operating efficiencies are the second measure. Both these put together, they may complement each other, or they may help each other. We are confident of attaining double digit EBITDA.
Moderator: Thank you. Amar, I will request you to join the q ueue again for a follow -up question. The next question is from the line of Vinayak Mohta from Stallion Asset. Please go ahead.
Vinayak Mohta: Hi, good morning, sir. Congrats on a great set of numbers. I just have two broad questions. So, just wanted to und erstand, given your way forward, the kind of customers you are acquiring, will we be moving more towards ODM and box -to-build kind of business? So, I was just trying to understand the difference between the ODM and the contract manufacturing. What kind of change in percentage of revenue can we expect going forward? And what kind of margin differential remains between the two segments?
Because I presume that ODM has a higher share of the margin. And second question was basically, how are we pleased with the capacities as of today you have given, like the way forward that you have acquired 8 to 10 new customers. And adding to that, railways is going to add a significant, decent chunk to your revenues in the next couple of years.
So, how are the capacities pla ced with regards to that? And what kind of operating leverage do you presume will be driving the margins? What are the operating segments? Because I would presume that the next one to two years might have a decent amount of cost that would add up given the kind of expansion you have done. Apart from that, where do you see the operating leverage benefits coming from? Because if I push FY ‘25, I can see the levels. But at least until then. That would be three questions. Thank you.
J. S. Gujral: Okay. Now, on the composition of the sales going forward, the fact that we have put up a separate. We have housed our design and development and engineering efforts into a separate subsidiary is only a demonstration of the focus of the management in value creation. Now, this has just been done a couple of months back. The subsidiary has been only created in April. So now with that exclusive focus on design and engineering across verticals, I believe, FY‘23-‘24, we may get some benefits of it.
But going forward, on a long -term basis, design and engineering would form a significant portion of our revenues and it will also help us in enhancing the margins. Because we go into an ODM product. This coupled with the industrial growth and box build, all sort of project of -- point to the fact that even growing at 35, 40, 50% on 2, 3, 4 year basis consistently, if we take

the back record from 800 to 1200 to 2000, and going forward, there would be an accretion in the margins and not a dilution.
Now, on the capacities, whatever we have installed capacities today, plus maybe a couple of lines, would be sufficient for us to achieve this year's growth projections. The cap

ex cycle which
is being done in financial year ‘23 -‘24 is essentially for the growth wh ich we are expecting in ‘24-‘25. So, as I said, we will be growing at about 35% -40% this year. The next year, if we grow at the same rate which we are confident of, it would require the capex . So, the growth capex cycle by and large which is now being done , would essentially be for 24 -25, very little for 23 - 24. For 23 -24, we are broadly in sync with the capacities, in sync with the requirements. Though the peak requirements at times is high, so we are putting in some buffer over there.
Now, the operating leverages, I think even if you see the FY23 numbers, the decrease in the gross margin of about 4% I think, has been offset by about 2% to 3.2% by operating. So, going forward, once the assets start optimum utilisation, reach the optimum utilisati on stage, I think the operating leverages will further set in. And we believe that with, again as I shared, with the scale which we are now envisaging, we would be in a better position to negotiate better prices,

better terms with global vendors also. So, there is a 2 -3% operating leverage we have already got this year. And when the capex cycle has still not reached the optimum utilisation. So, going forward, I think this will play a very significant role in sustaining or sort of growing the margins.
Vinaya k Mohta: Understood. Just a follow -up on the ODM side, what kind of margin differential do you think can be there between an ODM and a contract manufacturing business as an average? Not specifically, but over a period of time, what kind of margin different ial have you...
J. S. Gujral: I think 2% -5% is a difference which could get you a long -term sustainable basis.
Vinayak Mohta: On the EBITDA front, right?
J. S. Gujral: See, end of the day, the effort involved is the same. Once I get a better material margi n, then that results into a better EBITDA. The operating expenses don't change too much.
Vinayak Mohta: Understood. Perfect. Thank you so much and all the best.
Moderator: Thank you. Next question is from the land of Vinod Chari from BOB Capital. Please go ahead.
Vinod Chari: Good morning, sir. Thank you for the opportunity. I had a couple of industry -related questions. One is, recently I read that Fuji is one of our machine suppliers. And Fuji is also setting up PCB capacity in India. So, apart from that, even otherwise in the industry, I think we are hearing a lot of Chinese companies willing to set up capacity out of India now. So, what would that mean for an industry player like us?
J. S. Gujral: I don't think Fuji is setting up PCB capacity. I don't kno w. In fact, I was with the Indian MD the other day. There was no such thing. They are essentially into the equipment. And they will continue to build the equipment. But you have pointed out, I'll check it out. I'm not aware of it as of date. And I don't th ink they are into the PCB thing globally also.

Now, as far as the Chinese companies setting up base in India, I don't see it as a threat. I see it as an opportunity. It also opens up doors for me to tie up with some companies for some specialized products and start manufacturing in India. Whatever we have been discussing is all organic growth till now. So, I don't take Chinese companies coming into India and setting up a shop as a threat. In fact, I see it as a positive thing that it gives us an opportunit y to see how we can participate in that thing and garner in some business from some verticals where we are not present.
Vinod Chari: Sir, on exports, EU is now talking of retaliatory tariffs for India. So, would that impact us in a big way? What are your t houghts on that? Do you think it will happen?
J. S. Gujral: I'm too small. I don't think anything. But again, if it were to happen, we are into the business. We are not here for candie

s. So, we have to work for it. In the electronics, should the things come, we will cross the bridge when it comes. But I don't see an adverse impact on EU or America. I, in fact, see a very strong interest coming in from all Western Europe and America for sourcing from India. In fact, my colleague is going off to America to ha ve a chat with one of the major multinationals at the end of this month.
It may take 15 months for the business to think. But there is a proactive, positive interest in India. And this is coming from the mouths of the giants. And with Apple coming in, I th ink it sort of, the perception about India changes significantly for a company like Apple. You just imagine when Suzuki came in India in 80s, the automotive industry was nowhere in India. But one company has put India on the global map for automotive compo nents. So, one Apple or one Samsung or one Intel or one XYZ, I think it changes the dynamics and the global perception. While we may not be able to get business from the Apples and the Intels, I am just saying, the positive impact on the Tier 2 and Tier 3 companies when they come to India is where the majority of the business will be. And that business distribution will be democratized over a large number of vendors. Apple will bring it in its own vendor. Maybe down the line the component industry would be nefit. But EMS, if you ask me, have I benefited from Apple coming in? No. In fact, I lost my manpower. But the moment the Tier 2, Tier 3 companies come in, that is where the growth is, as I used this word, democratized, and there will be a lot of companies who will benefit from it. And we believe we are the first among equals in this industry. So we should be there to capitalize on the emerging opportunities.
Vinod Chari: Again, that was a follow up question. If you look at Apple, I think they have shifted their entire ecosystem to India. So their suppliers and vendors have also relocated. But are these measures really percolating down to the Indian EMS industry? That was my next question actually.
J. S. Gujral: The EMS part, I am into EMS. EMS part, they wi ll again go with Foxconn or Winstron or whatever. They may not take an EMS partner for their things. But for the periphery components, like the Apple chargers, they may come to people like us. But once, again, a Tier 2 vendor comes into the country, becaus e of the perception, positive perception, which has been created by entry of Apple or Intel or XYZ with the new IT policy. When the tier 2 companies come in, these tier 2 companies are not companies which are doing 100, 200 crores, they are billion dollar

companies. Multi -billion dollar companies. When they come into the country, and they want to

tie up with the Indian companies, I think companies like us and OPRs are there to harvest the business which will be coming.

Vinod Chari: Lastly, I think the kind of growth this industry is looking at, do you think there will be a steady and adequate supply of manpower for the industry? Or do you think that will hit a ceiling at some point in time?

J. S. Gujral: I think that's one of the challenges we are there for. If there were no challenges, I think everyone would be a businessman. The fact that there are challenges, some people take that challenge head on. And manpower availability is not an issue. Chaining of manpower is a part and parcel of our culture. Attriti on is an issue. But we have to see how do we best address it. By better interaction and engagement with the people and everything. But yes, that is one of the key factors going forward. But it will continue, I think, if the electronics industry grows at 30 %-35%, manpower becomes one of the issues which we have to resolve. On a day -to-day basis.

Vinod Chari: Okay. Thanks a lot, sir.

Moderator : Thank you. Next question is from the line of Piyush Khandelwal fr

om Bank of India Mutual Fund. Please go ahead.

Piyush Khandelwal: Thanks. So just one question on this capital, a thought process behind the capital location. Because I see that you guys have recommended a dividend this year. I mean, you just came to the capital markets, you've raised money, exp ecting across industry sectors to grow 35% -40%. ROIC in this business, my sense will be in the range of 18 -20%. So you won't still be hitting the free cash flow over the next 2 -3 years' time horizon. So just trying to understand the thought process behind this capital allocation policy.

J. S. Gujral: See, end of the day, we have been a profit -making company before listing, and we are a profit - making company going forward. So why shouldn't the shareholders participate? I think it's a progressive thinking. If I was to only think about myself, I think it's a progressive thinking that yes, the shareholders who have reposed faith in us, and we have made profits. Overall, we have made profits. It's not that we'll be borrowing money to pay the dividends. We have made profits. We have adequate cash reserve. Not even considering the IPO money, I'm not even talking of that operational thing. So I think it is a positive management thought process of takin g along all the shareholders in our growth journey and sort of rewarding them as partners in progress.

Piyush Khandelwal: And also, for all the next 2 -3 years' capex, that's why we raised the IPO money. We want to clearly distinguish that out of the profit s made from the business, we will repatriate some dividends.

J. S. Gujral: As a progressive. So I'm saying we are not even using the capital available. We are using it from the operating profits which we have made. And it's a highly deliberated company. So we are not sacrificing long -term or short -term growth or investment cycle or growth of the company by making this dividend. Shareholders are an integral part of our ecosystem. That's what we believe in Syrma SGS. And it is our bounding duty to reward the shareholders who have invested in the company without compromising on the long -term objectives of the company. Why should I be

only ploughing back everything and not rewarding the shareholders? This is a progressive thought process of the board.

Piyush Kha ndelwal: All right, sir. So this question was more on the free cash flow generation, not on the progressive. Because if the industry is growing, let's say 35% -40%, why not retain the money and then deploy the capital itself? It will create more value for t he shareholders.

Bijay Agarwal: So I think for the capex thing, we are adequately funded . So that's why the plans are very clear for us going forward. What capital allocations we are doing. We have already said that we will be spending aroun d Rs.200 -250 crores of capex in the upcoming year. And that much of fund is already there with us. So it's a pure play, complete cash flow planning that way.

Moderator: Thank you very much. .

Bijay Agarwal: Yes, please. Go ahead.

Modera tor: Ladies and gentlemen, we'll take that as the last question. I now hand the conference over to the management for closing comments.

J. S. Gujral: Ladies and gentlemen, it's been wonderful interacting with you. I would close the Q&A session by reaffirmi ng the management's vision of creating an organization which is growing at a rate superior to the industry average, maintaining double -digit EBITDAs, and being a responsive,

responsible corporate citizen of the country. We are very mindful of the fact of w here we want to be. We want to be a design -led engineering electronics manufacturing company.
And towards this end, we have already refocused our expertise and attention on design and development, which will help us to maintain the growth momentum with the margins in the coming year. The macroeconomic condition

s are favourable . So it is favourable for all the
industry peers. But we believe that we are there to take benefit of the emerging opportunities. And whatever we have discussed, it's all organic growt h which we have discussed. The other opportunities which one of the gentlemen said about the Chinese companies coming in and all those things, those are additional fruits to be picked if available at logical terms.
And we are very mindful of not having a c oncentrated customer base. Top 5 customers contribute 35%, top 10 approximately 51%, and top 20 approximately 67%. No customer accounting for, as we said last year, more than 10 -12% of our revenues. And we maintain this will continue in the coming year also. Minor 2 -1-2 percentage abrasion set apart will not be dependent on any one industry vertical. It will be spread across industry vertical. And that will enable us to continue to grow at this scorching pace. 45 -50% last year, 62 -63% this year, a projec ted 30 -45% in the coming year and the future year. I think we are in for a very exciting journey.
And when we are doing all this, the senior management team's attention and time is also taken up in building the organization. I think the only pitfall which any one of our company's peers can face with this scorching or the accelerated growth which we are having is not having an organization structure in place to cater to the growth. We are up -fronting the expenditure in our HR systems, HR initiatives, IT infr astructure, everything. And we have got the PLI for telecom

which has already gone up, sort of it's positive. We have started manufacturing. The air conditioning PLI which we had will have fruits of it in this year. The IT PLI which has been announced two days back, I think will have a very, very positive impact on the business in general.
And I don't see any reason why we should not be able to take benefit of that. Having said that, I think I will conclude that we are in for an exciting next 3 -4 years of g rowth with profitability. And with all the challenges which are attendant to any growth. And thank you very much for being part of this call. And if you have any other questions offline, I think you can get in touch with the concerned people. And Nikhil Gu pta is always there to sort of sort out any queries which you may have. Thank you very much and a very good day to you, ladies and gentlemen.
Moderator: Thank you very much on behalf of DAM Capital Advisors Limited that concludes this conference. Thank you for joining us you may now disconnect your lines. Thank you.

Call: Aug 2023

Date: August 23, 202 3

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for results of quarter ended June 30 , 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the financial and operational performance of the Company for the quarter ended June 30 , 2023, held on Wed nesday, August 02, 202 3, at 10:30 hrs (I ST).

The trans cript of the conference call can also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations

We request you to take the same on your record.

For Syrma SGS Technology Limited

Rahul Sinnarkar
Company Secretary & Compliance Officer
Membership No: A39709
Place: Gurgaon

“Syrma SGS Technology Limited Q1 FY'24 Earnings Conference Call ”

August 02 , 202 3

MANAGEMENT : MR. JASBIR SINGH GUJRAL – MANAGING DIRECTOR ,
SYRMA SGS TECHNOLOGY LIMITED .
MR. JAYESH DOSHI – DIRECTOR , SYRMA SGS
TECHNOLOGY LIMITED .
MR. BIJAY KUMAR AGRAWAL – CHIEF FINANCIAL
OFFICER , SYRMA SGS TECHNOLOGY LIMITED .
MR. NIKHIL GUPTA – INVESTOR RELATIONS , SYRMA
SGS TECHNOLOGY LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS .

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY'24 Earnings Conference Call of Syrma SGS Technology Limited hosted by DAM Capital Advisors Limited.
As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to M s. Bhoomika Nair from DAM Capital Advisors. Thank you and over to you , Ms. Nair.
Bhoomika Nair : Good morning everyone and welcome to the Syrma SGS Technology Q1 FY'24 Earnings Call.
I would like to welcome the senior manage ment from Syrma SGS Technology and thank them for this opportunity to host the call.
Without any further delay, I shall now hand over the conference call to Mr. Nikhil Gupta – Company, Investor Relations. Over to you, Nikhil.
Nikhil Gupta : Hi, very good mo rning to all. Welcome to Syrma SGS First Quarter Fiscal Year 2024 Earnings Call.
We have with us today Mr. J. S. Gujral - Managing Director , Syrma SGS; Mr. Jayesh Doshi – Director; and Mr. Bijay Agr awal - Chief Financial Officer , Syrma SGS to discuss the performance of the Company during the first quarter fiscal year 202 4 followed by a detailed question -and-answer session.
During this call, certain statements that will be made are forward -looking which involves several risks, uncertainties, ass umptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on the information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, p lease do review the disclaimer statements in the Earnings release and all other factors that can cause the difference.
I will now hand ov er this call to Mr. J.S. Gujral, Managing Director, Syrma SGS. Thank you.
JS Gujral : Good morning, ladies and gentlemen, it's a pleasure to touch bas e with you again for the Quarter 1 FY'24 Earning Call.
One of the significant milestones which we achieved higher this quarter was o ur foray into the lucrative medical devices business by acquiring 51% of the equity stake of JDHL which is Johari Digital Healthcare Limited , a Jodhpur based O DM design company which perfectly fits into o ur strategy.

If you recall in my earlier call when question ed on inorganic growth, we were always maintaining that inorganic growth will be guided by acquisition of a company which can help us in bridging the gap of our product offerings or has the regulatory approvals which otherwise would take three to four to five years. So, on both these accounts in terms of product offering as well as regulatory approval JDHL comes out pretty well. It has about 15 to 18 FDA approvals, its plant and processes are certified by the leading agencies of countries like America, Canada, Australia. It is a very strong and formidable footprint into the technology of medical devices.
And we believe that with the global reach , the management bandwidth and the financial mainstay of Sy rma this combination of technology being provided by JDHL and the management bandwidth by Syrma would enable us to grow significantly in the coming years.
For your quick reference this company has a turn of about Rs. 160 crore last year, has been growing v ery rapidly over the last two to three years. Has a a very strong EBITDA margin profile of 30% plus. We are acquiring the 51% stake at about Rs. 229 crore and plus a Rs. 28 crore payment based on certain milestone a

chievements. This acquisition will be acc retive not so much
on the top -line because our top -line is very high already. So, it may be a 5% -7% accretive on the top-line, but on EBITDA it will be a si gnificant push to overall scheme of things .
Now coming to the way the organization will be structure d, Mr. Johari will continue to lead the organization from the front as a Chairman. And there would be adequately equal representation from Syrma on the Board with reserved rights and controls. We would be devising the strategy to grow the company with the technological inputs coming in from the existing promoters.
Now coming on the Syrma SGS performance it has been a satisfying quarter on almost all the parameters except one. The business of the company has grown by about 59%. The EBITDA margins have grown by about 64%, PBT by 73% and PAT by 65%. And again as we were earlier sort of interacting with the Analysts and the investing community, we had maintained all three - four parameters for our perfo rmance.
One was growth higher than the industry average; we have come out reasonably well The second, we had said that we would have a g liding path of reducing the working capital cycle and I am pleased to share with you that our working capital cycle has now come down from about 89 -90 days to 74 days on an year -end basis and less than 70 days on a average basis. So, the focus of the management to reduce the working capital cycle has paid off results . As a result of which this quarter our OCF to EBITDA is a bout 50% plus.
One abrasion which has happened in this quarter is the reduction in the EBIT DA margin percentage from 9% to about 7%. This is a one -off abrasion because the healthcare business which ha d picked up in Q4 of FY'23, we had assumed it would be t here in Q1 of FY'24 however got pushed out by an another quarter. And I am happy to share with you that it has seen a rebound in July and visibility for this and the subsequent quarters is that we would be doing about Rs. 30 crore to Rs. 35 crore of health care business this quarter and then growing on that in the coming quarter s.

To give you a context of the hit on the sort of reduction in the EBITDA, Q1 of FY'23 had a healthcare component of Rs. 55 crore. Q4 of FY'23 had a healthcare component of about Rs. 45 crore. And Q1 has less than Rs. 15 crore. So, there is a Rs. 40 crore reduction in the healthcare business compared to Q1 of FY'23 and a Rs. 30 crore reduction compare d to Q4 of FY'23.
Now as the margin profile which we have been sharing with you, heal thcare business is a high gross margin business which hovers around 45%. So, Rs. 40 crore hit on the turnover translat es into approximately Rs. 17 crore hit on gross margins. And a Rs. 30 crore hit compare d to Q4 is about Rs. 15 crore. So, if we were to just sort of explain that figure into the existing figures which ha ve come out, the margin profile is intact compare d to the previous quarter.
Now on the business front I am very pleased to share with you tha t we have had our first major breakthroughs in U.S. Our EMS business was predominantly EU base d and RFID business was a mix of EU and North America. We now have got a major contract for utility me tering systems and utility met ering would include gas, water and electricity from a very dominant player in the world.
The initial orders which we have got, we are starting the production by Q4 of this calendar year or Q3 of this financial year. And this will contribute a significant portion to our export turnovers next year.
So, to some extent this foray into the USA in the EMS is derisking the export business because now it is in two geographical zone which is the EU and North America. And going forward this business would grow at a significant pace. I had shared during my previous earning calls that we have got the RD SO approval

, so that thing is in process and we are on track to execute the orders
which we have got this year.
Now on the expansion, the capex front I am happy to share that in the first quarter we h ave done a capex of about Rs. 50 crore odd . We have budgeted for capex Rs. 200 crore for this year. We currently have approximately 8 and 8.5 lakh square feet of manufacturing area with us. We have acquired a 16-acre plot of land from SIPCOT in Kri shnagiri district which is next to Hosur. And we have signed off an agreement for acquiring a 6-acre building and plot in Chennai for the domestic business. Our Chennai plants are all export -oriented units currently.
These two plants when fully commissioned will have a factory covered area of 1.5 million + which is approximately almost two times what we are having today. In addition to that we have signed off a long-term lease for our plant in Noida it’s under fit outs and trial production. It’s a one lakh square feet plant and this plant is being dedicated for consumer electronics so that we can address the growing market of consumer electronics from this plant . It will be a specialized , high volume , consumer -oriented manufacturing , because manufacturing strategies and shop floor cultures of industrial consumer is quite different. So, that’s on the CAPEX fro nt.

On overall visibility we are still very bullish and confident of the growth in numbers which we have projected. Q1, we have grown by about 59%, July '23 we have grown about 47%, July to July. And we maintain that our guidance which we had given on growi ng greater than the industry with maintaining EBITDA and that double -digit margin that by and large stands and there is no significant challenge to that.
So, I can now give it to Bijay to run through the quick financial numbers and then open for question a nd answer from your side. Thank you.
Bijay Kumar Agrawal : Good morning everyone. Thank you for joining this earnings call today. I will now take you through the brief financials of Syrma SGS and some bit of update on the JDHL deal, the recently announced acquisition.
I am delighted to say that the company has reg istered a very strong growth of almost 59% year -on-year. Our revenue on a consolidated basis is approximately Rs. 620 crore for this quarter. EBITDA also demonstrated a very strong performance for this quarter at about Rs. 59 crore, 64% growth year -on-year. And this is despite abrasion as explained by Mr. Gujral as of now. So, we were able to sustain on the cost control side. PBT for this quarter is approximately Rs. 41 crore grew by again 73% year -on-year and same way PAT is Rs. 28.3 crore again a 65% grow th year -on-year. The gross margin for this quarter was slightly better about, by about 70 bps on a quarter -on-quarter basis and mainly based on our efforts on supply sourcing cost optimization.
Coming to our order book we have a total order book of approxi mately Rs. 3,500 crore odd , as on Jun end in hand and out of which about Rs. 2,200 crore to Rs. 2,300 crore is something we expect to deliver in the next 12 months' time .
On the debt side, yes we have a total debt of approximately Rs. 380 crore as on June end. And out of which about Rs. 90 crore is towards term loan and Rs. 290 crore is what we have used for working capital loan broadly.
CAPEX side Mr. Gujral has already updated that we had spent approximately Rs. 50-55 crore in this quarter. And again, the plan for this full financial year was approximately to spend Rs. 200 crore to Rs. 250 crore and that is still intact.
On the CAPEX side what Mr. Gujral has already up date that we got a new land allotment in Hosur, so this was a project which we contemplated as a part of our IPO plan. So, for this Hosur project we got a land allotment from SIPCOT and we had already incurred about Rs. 23 crore odd during this quarter.
Com

ing to working capital , this quarter we had significant achievement on our plans to reduce our working capital investment. And we were ab le to reduce our working capital investment by almost Rs. 40 crore if we compare from March versus June. And again, in terms of number of

days when we calculate on an average inventory basis , our number of days investment is also reduce d from 74 days to 67 days. So there is seven days of reduction . And we are targeting like we should be able sustain this working capital days going forward . OCF to EBITDA for us is about 45% for this quarter. And again, ROCE is approximately 20% that is when we calculate based on adjusted ROCE after removing for unspent IPO proceeds and goodwill.
Now some update on Johari Digital Healthcare deal also. As you know we have acquire 51% of Johari Digital . This was a strategic move that strengthen ed our position in the fast-growing space here on the healthcare side. JDHL has also registered a very strong growth in terms of its revenue and very strong margin profile, 30% plus kind of EBITDA margin profile they are continuing.
We expect this would help us in accretion of revenue on a full-scale basis, on a full consolidation basis by about 5% to 7% to the revenue side and about 1% to 1.5% on the overall EBITDA side going forward.
In terms of funding for this acquisition we plan to use IPO proceeds for this particular acquisition partly and partly we would be using internal accruals. So, that was broadly on the JDHL side.
Now I will leave it to Bhoomika to open for the question -and-answer session. Thank you very much.
Moderator : Thank you very much sir. We will now begin the question -and-answer session. We have the first question from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.
V Balasubramaniam : Could you give us the breakup of you know you said your networking capital days in your presentation at the end of the quarter was 69 days, is it possible to give the receivable days , inventory days and payable days at the end of the quarter, that would be my first question.
Bijay Kumar Agrawal : So, inventory days are approximately 81 days. Receivables are approximately 59 days and payables 74 days. So, on that basis we are at about 67 days of networking capital investment .
V Balasubramaniam : But this would be the average right, can you provide the quarter end numbers?

Bijay Kumar Agrawal : Yes, quarter end basis my inventories are approximately 100 days. Receivables are approximately 67 days and again payables are approximately 95 days so on a quarter end basis also my overall networking capital days investment is approximately 74 days.
V Balasubramaniam : Now are these numbers sustainable going forward or you usually have like a low in first quarter than it increases?
Bijay Kumar Agrawal : So, in terms of actual inventory definitely with the increase in scale it should happen, but what we see and the t rend is specifically, in our the recently commissioned plants , which we did in last financial year , those plants are reaching to final full-scale volume and also revenue is being booked . So, we are expecting this should continue going forward also in this particular year.

V Balasubramaniam : Beside this is it possible to provide what was the customer advances on your balance sheet, at the end of March '23?
Bijay Kumar Agrawal : That we can share separately.
JS Gujral : We will have to get back on that, but it wouldn't be significant -- because normally the customer advances are only in the case of a new customer where we have to commit some very dedicated inventory. For normal running orders the customers normall y don't give advance. When a new customer is onboarded and there is a specific part which I can use only for him, an

d I can't use
it and it's not fungible with other products then we do secure our exposures but Bijay will share with offline.
And on your question on the working capital, the management has seized of this sort of issue and I think that we had said that we will have a gliding sort of path to sort of degrowth this, sort of reduce the working capital, networking capital that endeavor will start, whether it is 68 days or 65 days, one, two, three days here and there, but there will be no abrasion of going back to the old level.
V Balasubramaniam : Now broadly there were a couple of other things which I was keen to know, one is you said that you can maintain double digit margins going forward. Now when you are actually talking about that double -digit margin you actually include the other income in your calculation and then talk about it, right. So, it will include the other income also in it.
JS Gujral : See the other income has two l egs, one is a treasure income and when we compare the margins we normally exclude the treasury income and then share the margin s. The other income s which are related directly to the operations of the Company so the accounting standard says they have to be classified as such. When I buy a material, there is a cost which is based on the customer exchange rate. When it actually pays, it could be more or it could be less. So, any fluctuation on foreign currency whet her on receivables or on payables is directly related to that.
Now the l aw is such that when I import I have to book it based on the bill of entr y rate . Whe re the law was not that and the bill of entry rate was based on the actual thing then this thing wou ld automatically get knocked off. So, when we share the profile that will be about a double -digit EBITDA margins it is with operating incomes related directly to the operations of the company, not the treasury incomes or not the miscellaneous income.
Moder ator: Thank you. We have the next question from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan : My first question is with respect to the gross profit margin. So, you highlighted some points definitely with respect to how we can improve in the call earlier. But if you can double c heck on it and say over the past couple of quarters it has been in the low 20 in terms of overall profitability , is there a scope for this to improve significantly, say 25% or more given the fact

that the industry average if I am not correct so basically it maybe in the 30s or something of that sort. Is there a scope for us to improve to those level s over the next say few quarters or a couple of years or something of the sort and what can be the triggers for that increase d ODM share , export ratios, if you can touch upon that that that will be really good?
JS Gujral : See we believe that with the product mix which we have, we should be able to maintain the gross margins at about 23%- 25% along that percent overall. We currently do not see it going up to 30%. Okay, could we be able to identify how it can grow up to 30% I will be more happy to come back and share with you. We currently are still looking at it but we don't see a gross margin of 30% coming forward , until and unless again this is a hypothetical question if for examples exports were to account for 50% of my revenue th an it w ould go up. But the current mix which we have, we believe will be in the range of 23%, 25%, 26% that would be the range which we will continue.
The EBITDA would come in from the operating leverages as our business es grow, if you see

the Q4 operating overheads as a percentage of sale, there is a significant reduction. If we see Q1 of this year versus one of last year there is a significant reduction, I think there is a 3% or 4% reduction in the operating expenses as a percentage of sale. Exports we wo

uld strive to be about one third on a long-term basis, short term basis it could be a few percentages point down here or there. I think for this quarter it was about 28%.

Ravi Swaminathan : And my second question is with respect to the acquisition that we had done. The numbers of this company both in terms of growth and margins say in FY'23 that you have mentioned is fabulous, I mean from FY'22 if I read right, it's Rs. 90 crore to almost Rs. 160 crore of revenue that's almost like near to doubling in terms of revenue. And margins are also, you had mentioned that it was north of 30% EBITDA margin.

First is , such kind of growth sustainable , what kind of growth that you foresee for this newly acquired business over the next t wo years ? And this 30% margin is very high, is it something which can be sustained in the medical equipment business side ? Is it similar to the business that we do in the core business?

JS Gujral : See on the growth front as the base of the Company was very low, it has grown at 85% and 78% over the last two, three years. Honestly when we acquired and when we evaluated this, we didn't factor this lev el of growth. On a conservative, we said if it was to grow at 25% -35% would it be a good bet for us . And we found that even if it grows at 20%, 25% it would be a very good bet for us and it will fulfill a gap of medical devices which is a very lucrative and growing business globally so if we grow at 80% that will be phenomenal but we have not factored that grow th in our analysis when we sort of did the due diligence .

On margins, I think hovering around 30% of EBITDA whether it is 32% or 29% or 1%, 2% is always here and there. But we believe that for the near foreseeable future we would be able to maintain EBITDA margins in this business at 30% plus. And on the growth part, you see what

happens in medical devices is you gets your products approved from the regulatory agencies. Now that is a long period for approval of the product. So, currently I think there were 15 or 18 number of products which have been FDA approved and there are some more products in the pipeline. Now till those FDA approval comes we believe we will grow at 20%, 25%, 30% but the moment if say out of the 10 or eight or five or seven products whi ch are in pipeline, three gets approved now that three will add a significant growth to the business. So, it will always be a sort of a p eriod that there will be a spike in the growth when new products get approved then there will be sustenance and consoli dation of the markets and then new products are in the pipeline so it will be an ongoing cycle.

Jayesh Doshi : And just to add to what Mr. Gujral says I think we should look at this as a platform for medical devices is what we have created. The idea is to c reate this platform of medical devices because it comes with all the requirements of a USFDA approvals or a MDSAP approvals which is required for exporting to these developed countries. The idea is that whenever medical devices is conc eived and predesign, co-created, the manufacturing is to be done , can be done in India. And we at Syrma SGS support in terms of management as Mr. Gujral has already said management and bandwidth and the available facilities which we can really sustain.

So, I think we should look at this as a creation of a platform for a medical devices which is significantly going to add value over three to five years is the way, at least we have perceived this acquisition rather than just one -off of adding it to my things. And that's a vertical as Mr. Gujral rightly said that this is what we have been thinking strategically since last one year and it's fructified today.

JS Gujral : Yes just to add to what Jayesh was saying, now you see with the global reach which Syrma SGS has, we have just announced, we have just done it in less than 48 or 24

hours. So, it gives us a platform as Jayesh is saying to go to big customers. You see again, a Rs. 100 crore company on its own to go to a global giant would have a issue, but a Rs. 3,00 0 crore company going to a global giant in medical devices and offering its products, the confidence level of the targeted customer is much more, when it is dealing with the say a Rs. 3,000 crore to Rs. 4,000 crore company.

So, we believe that this is a platform which we have acquired as Jayesh has very correctly put it. Now we have to grow on this platform. And this growth I can assure you will be visible in the coming years. It's not a one, two quarter journey, it's a long haul. But this platform will giv e us a big leg up into the medical devices business, an industry which is a very big and fragmented industry.

Moderator : Thank you sir. We will take the next question from the line of Chirag Lodaya from Value quest. Please go ahead.

Chirag Lodaya : My first question is on the acquisition which we have done. If you can help us give some background about the promoter and looking at the profitability, balance sheet, no debt etc ., it

looks really you know quite attractive or lucrative for us. So, what led to this some color on this would be helpful.
JS Gujral : You see this Johari Digital or JDHL is almost a 40-year-old company. Started by a husband - and-wife technocrats Mr. Satyendra Johari and his wife and they have their design centers in Serbia . They are primarily a technology -oriented company and ventured in two manufacturing activities to satisfy the customer demand. Given a opportunity on an option the current promoters would love to concentrate their time, spend their time in the lab to develop new product and not be bothered about the sort of day -to-day rigmaroles of running a manufacturing operations. This is where there is a perfect strategic fit. We are very efficient into medium to high volume manufacturing. And the current promoters are very strong on technology. So, it's a marriage of two. So, going forward we believe that we could leverage the strength of each other with the product and technolog ical offerings of JDHL and the manufacturing and marketing reach of Syrma SGS, it would be a formidable combination going forward. It will take time, it will take time to setup the distribution channel, the marketing channel and the whole strategy. But we are very excited about this platform which we have acquired. I don't say we have acquired a company as Jayesh put it very rightly we have acquired a platform for foray into a virgin area where Syrma SGS was not there.
Jayesh Doshi : And Chirag one more thin g as Mr. Gujral said that both promoters who are design and technology savvy they had earlier lived all their life in U.S. they came back to India when they realized the kind of growth in terms of medical devices have been that why not India can really give these devices and technology and make it here much cheaper than what the U.S. companies were doing. And with that idea they came back to India in 80s and started this company and setup their plant in Jodhpur. And they really worked on to ensure that how they can cater to the U.S. companies. And today if you look at it, 90% of their sales is exports. So, they actually have wanted to create a platform as we call it Make in India or manufacturing hub, medical devices hub that's what at least their thoughts w ere when we were talking. And they said why not partner it and really make its big that's where we are coming.
Chirag Lodaya : Two things, do you intend to put any fresh capital here to grow this business or it can grow at like 25%, 30% minimum without putting any capital. And do you have any right to take your shareholding up in the near future or this is what we will be capping at?
JS Gujral : See on the capex part since we have a ver y big pr

esence in electronic manufacturing. I don't think capex would be a significant thing, maybe something specific to it or existing and the expansions which we have planned in Syrma SGS they would be able to take care of all the capex requirements of the growth strategy.
Jayesh Doshi : And their capacity utilization is just 40% as of now, Chirag so apart from what Mr. Gujral has said that there is enough capability to produce. And in terms of your second question, yes I think we will see how this platform grows and then gradually decide on how we take over it. So, there

is always an option to buy, but that option will be decided at an appropriate time between the two parties.
JS Gujral : Jayesh , deleverage d company strong balance sheet, deleverage d company so that also is not an issue -at JDHL level.
Jayesh Doshi : So, the company can fund its own capex in case it is required.
JS Gujral : But going forward I think with Syrma SGS coming on with big contracts it would be sort of beneficial to consolidate manufacturing in the new hub. Should the existing manufacturing area , space, capacity fall short, it will be consolidated or it will be migr ated to the new hubs which we are starting.
Chirag Lodaya : And in terms of new order wins which you have highlighted utility metering system, how big is this opportunity for us and how are the margins in this business if you can just give some flavors that would be helpful?
JS Gujral : This is industrial things so the margin profile would be the industrial margin profile which I think is about 23% -24% gross margin. The initial figures which we have got are good and they are very sort of exciting. And that's why I said that financial year '24/'25 would be when you would see a significant leg up in our export revenue s because of this contract . Our current export revenues are about 25% to 30% on Rs. 600 crore export revenues for the quarter about Rs. 180 crore, so when I say a significant leg up, I think it is quite clear that it would be going up much

beyond the current level, the overall sales with this.
I can't give a forward -looking statement; it's a big contract and we are very excited about it.
And this is again into currently we have got orders only in the utility metering business. I am very confident that in the other verticals also w e will get the entry.
Chirag Lodaya : Yes lastly on margins, if you can just callout, were there any one -off in employee cost in this quarter and at a company level x of other incomes, what kind of operating margins we are comfortable guiding for FY'24?
JS Gujral : The employee cost in the first quarter typically what happens when you complete a financial year you kn ow the reviews and all those things. And when you do the reviews you don't amortized the reviews over the whole year. When ever you pa y it off the performance linked incentives or anything you just charge it off . Going forward as my revenues grow up, the employee cost which is booked in the first quarter will not go up in the same proportion.
So, I believe that just as if you see the quarter ending March '23, my operating cost had come down and I think it was about 15% if I am not wrong somewhere I had writt en and going forward I mean this quarter it is, they are high, in this quarter they are high because the revenue is unknown. On the margin we still maintain the guidance that we would be striving to be a double

digit EBITDA on operational basis. And except for the treasury income which is lying the surplus funds of the IPO all other incomes are related to the operation. There is nothing which is rental income or a treasury income. We exclude the treasury income when we gave our guidance of margins and what we have to share d with you.
Chirag Lodaya : So, out of Rs. 22 crore

other income booked in the quarter how much is related to business where you would like to attribute?
Bijay Kumar Agrawal : So, in this other income actually which is treasury income relat ed number is about Rs. 16.4 crore and balance is my other operating income which is about Rs. 5.6 crore which is mainly foreign exchange fluctuations.
JS Gujral : So, when we say our EBITDA of Rs. 42 crore we don't consider the treasury income we only consider the operational income. If I have to take the treasury income the EBITDA would be Rs. 59 crore odd. So, the treasury income is not factored when we calculate over operating margins.
Moderator : Thank you. We will take the next question from the lin e of Aditya Bagul from Tata Mutual Fund. Please go ahead.
Aditya Bagul : Just to take the last point forward wanted a clarification the EBITDA number of Rs. 59 crore that you had mentioned on Slide #8 and Slide #9 this includes the other income which is tre asury income right of Rs. 16 crore.
JS Gujral : Yes, Rs. 59 crore includes the treasury income of Rs. 15 crore to Rs. 16 crore, without the treasury income it is Rs. 42 crore to Rs. 43 crore is the operating EBITDA. It is due to the abrasion which has happe ned this quarter because of sharp reduction in my healthcare business which has got push ed to Q2 and we have already started billing that in last month we did Rs. 10 crore. The loss of EBITDA because of a sharp decline in healthcare business in this quarte r, if I was to compare it with Q1 of last year would be Rs. 17 crore, if I was to compare with Q4 of last year it would be Rs. 14 crore to Rs. 15 crore.
Contribution because of the sharp decline in the healthcare business, we did Rs. 55 crore in Q1, we did Rs. 45 crore in Q4 and we did s ay less than Rs. 15 crore in Q1 of FY'23 /FY'24. So, the delta is Rs. 40 crore for Q1 and Rs. 30 crore for Q4 comparison. And healthcare business is about 40%, 45%, 48% gross margin business. So, on a Rs. 40 crore, 45% would translate to Rs. 17 crore, on a Rs. 30 crore it will translate to Rs. 15 crore. So, ideally if my healthcare business was as we had envisage d I would have been sitting at a operating EBITDA of about Rs. 57 crore to Rs. 59 crore. Just as a sort of explanati on we are not there. And with the healthcare business reviving and this quarter we expect to do Rs. 30 crore to Rs. 35 crore in healthcare and then build on it in the subsequent quarter, I think this one -off abrasion is like a bad dream and we should recov er or we will recover.

Aditya Bagul : Just one last question, if you can talk about your overall order book for the next 18 months. And if you can give some texture in terms of which are the categor ies and segments that are likely to contribute to that?
JS Gujral : The order book as of 30th of June is Rs. 3,500 crore which will be for about, Rs. 2,200 odd crore is to be executed over the next one year and then we keep getting the orders. The composition, the texture of the order book would be spread across electric mobility, combustion, industrial consumer, almost in the same fashion of 25% to 40% would be the continuation of each one of

those sectors .
And export order book is also now with this new business which we have got is strong. And we also going into a significant sort of growth in the railways, the numbers being very small, the base being small as I said significant, it might not be significant in relation to the total turnover , but again railways is a platform which we have creat ed in this year, to grow in the coming year.
Moderator : Thank you. We will take the next question from the line of Anirud dha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi : Two questions, one, how should we think about the healthcare business because I guess the product s that we were supplying were going in a consumer product like toothbru

sh. So, obviously the last customer that we had must be procuring it from somewhere. So, has the customer gone to any other competitor of us or is there any issue. So, how should we understand about that business, that is the question number one.
And secondly the acquisition s eems to be just too excellent and very accretive. So, while the margins are good, growth was also at last two year CAGR was also 80% plus growth. So, if we look at the valuation at which the existing promoters has sold to us, is less than 10 times, EBITDA on an FY'23 basis. So, it will be much lower on FY'24 or FY'25 basis. So, what was the exact reason for selling out at a such a lower valuation , because it's not that he was not growing , he was growing at a very good rate of 80% plus rates. So, these are the two questions.
JS Gujral : The customer has not gone to anyone else. The business, 100% business is still with us. In fact in the Q4 period the customer has committed more capex for automation for this product. This customer has gone a lot of reorg anization and you see at times even big companies falter on their planning. So, obviously his supply chain was choked in terms of the inventor ies. The customer has gone for a reorganization and in big organizations whenever there is a new team which comes in, the first thing is to have a status quo, checkup the things, clean up the balance sheet so that the team starts on a clean slate , if it keeps on carrying legacy issues --
So, there was a combination of three, four sectors, but be rest assure d the custo mer has not gone anywhere, it's 100% with us for this product, because he is committed and he is committing more CAPEX for automation, productivity improvement and features. So, that takes care of the

first question. On the second part the JDHL, I think our M&A team did a phenomenally good job of stitching in a deal which makes sense to both the parties.
Jayesh Doshi : Just to add to what Mr. Gujral has said, Aniruddha I hope you don't have a problem if the deal is good, because if we do a bad deal also ther e is a problem and if we do a really nice deal also there is a question that how come he sold it. So, let me be a little serious and ask you why he sold it is because the growth as Mr. Gujral explain ed when he said 70% or 80% growth is on a small base. Whe n you want to grow to a Rs. 2,000 crore, Rs. 3,000 crore, Rs. 4,000 company in medical devices you need a strong platform, you need a strong partner, you need a strong balance sheet to approach larger clients in U.S. and everywhere. And that's why we told them that if you really want to make a platform and build your current shareholding to a level, let us come in at 51% and you will grow your 49% along with it. And you will recover everything.
I think that is the crux to the matter is that how the partners hip, you may look at 51 -49 but it's more of a partnership where both the shareholders will work to make it as a real big platform of medical devices , that's the vision. So, it's not that we have done some deal and he has given a cheap or he is cheap, yes it looks reasonable because there will be enough efforts from the entire Syrma team as Mr. Gujral very correctly said that lot of efforts will go from our side to make this h appen. And if you look at it as lack of 50% or 49% of value to them, because it is going to be co -created that's why the deal is looking so, on a singular basis so attractive.
JS Gujral : -- But the overall scheme of things is that when we, anyone evaluate is 100% giving me more valuation or 49% if I grow at the business significantly and in this case it was a second alternative that with our bandwidth and the ir capability on technical they would not have grown to a Rs. 5,400 crore or sort of Rs. 500 crore to Rs. 1,500 crore medical devices compan y because it didn't have the manageme

nt in the financial bandwidth. And they are senior people, more sort of comfortable in the lab environment rather than on the road creating business. So, I think going forward th eir 49% would give them a phenomenal leg up in valuation because of the growth of the business. So, it should not be taken off as a one -off transaction. Overall going forward I think both of us would benefit from this tie -up.
Moderator : Thank you. We will take the next question from the line of Rahul Gajare from Haitong Securities India Private Limited. Please go ahead.
Rahul Gajare : I have two question s, one on the order books side. Now you close d the 4th Quarter with closer to about Rs. 3,000 crore or you have got about Rs. 3,500 crore now. So, in this particular quarter

you have got about Rs. 1,100 odd crore of new orders. Now that has a bearing on the profitability of the future quarter. So, could you just break up this Rs. 1,100 crore into various segme nts where you have got it from , which are the segment which are having the lion share of the new orders that you have got in this particular quarter. So, that's the first question.

Bijay Kumar Agrawal : So, if I say the breakup of the current total order book that way so broadly 25% is towards automotive sector. And then there is about 40% odd which is for consumer sector.

JS Gujral : Including ODM.

Bijay Kumar Agrawal : Including ODM, healthcare would be approximately 8% - 9% and then there is industri al 20% - 22% and IT and railways would be around 3% to 4% . So, that's the overall breakup of the total order book.

Rahul Gajare : And even the i ntake would be similar in this range?

Bijay Kumar Agrawal : So, intake for this quarter is already there in there, this is all data of so we can confirm ed the order s that way. So, we see unless and until there is a push out kind of a scenario for any kind of rare maybe otherwise i ntake should be broadly in the lines.

Rahul Gajare : Now the second question is on t he acquisition, you said that the balance Rs. 28 crore will be paid based on certain milestone s, could you discuss this milestone, what are these milestones and what is the timeline for that payment?

Jayesh Doshi : See usually we would not like to disclose but its profitability -based milestone and it's over a period of two years, two to two and a half years.

Moderator : Thank you. We will take the next question from the line of Amar from Al faccurate. Please go ahead.

Amar : So, firstly if you can give us what are the plans for capex you guided for '24 around Rs. 250 crore . What would be the capex line up for '25 that is my question number one ? The second question is, basically if I see the gross margin even in this quarter expand ed on a sequential basis. But your EBITDA dipped, your argument of the medical business not coming actually it does not have impacted the gross margin so there must be something else which basically dipped the EBITDA margin, right. So, that is my question two. And thirdly if you can guide me what would be the tax rate for FY'24?

Bijay Kumar Agrawal : So, if I answer your first question on the capex side, so you are right this year we are targeting Rs. 200 crore to Rs. 250 crore. And balance capex which will be approximately Rs. 150 crore odd which should go into the next year FY'25.

Now to answer your question on the EBITDA and the gross margin, you are right gross margin percentage is still similar, but if you see on the absolute total number because fixed c ost is actually fixed so it should not be calculated on a percentage basis. But when we calculate EBITDA on a percentage basis, so fixed cost remains the same and my sales is almost Rs. 70 - odd crore lower than the previous quarter. In that case if I would have forgotten that contribution of 17% to 18% , so I should have been able to get another Rs. 20 crores of contribut

ion which would have immediately reflected into my EBITDA , because fixed cost would have remained same. So, in that case we were saying that because of this shifting or pushing of the sales that

contribution is what we are missing which is what is impacting in the actual total EBITDA and then thereby the percentage EBITDA number.

JS Gujral : And just to add to what Bijay is saying my operating expenses as a percentage of sale for the Q4'23 sequential was 12. 6% for this quarter it is 15. 4% so it is 3% higher because my business is growing. And the sales have not grown in Q1, because Q1 historically is a quarter which accounts for about 19%, 20%, 21% of the total revenues. The Q4 is about 30%. So, it's a combination, so when I alluded to the healthcare devices it was a direct hit, had I done that Rs. 45 crores to Rs. 40 crores odd additional business my EBITDA would have come in more. It may not have made a major difference in the material marg in, but in absolute term a Rs. 40 crores or a Rs. 30 medical devices business would have added Rs. 14 crores or Rs. 17 crores depending upon which figure we take, to the EBITDA.

Now if I take the operating overhead for Q1 of last year it was 19%. So, from 19% we came down to 12% for Q4 on an annualized basis there would be about 15% and in this quarter because Q1 is typically a muted quarter compared to the overall palette, it accounts for 20% of the sales, overheads we bill we can't chop off the overhead q uarter -on-quarter and then sort of hire or fire. So, these are two factors I highlighted healthcare because that was what was a significant factors from Rs. 54 crores to Rs. 14 crores.

Jayesh Doshi : And in fact the consistency of absorption of fixed cost h appens over a period of 1 year and not quarter -on-quarter. So, what Mr. Gujral actually highlighted is that this was a continuous phenomenon where the first quarter costs are always higher and ultimately the absorption happens over the period of one year. But had it been the business which would have come in the 1st Quarter that's why we highlighted, that's why the difference. So, there is no that something other thing is happening.

Amar : And then tax rate?

Bijay Kumar Agrawal : Tax rate for this year should be approximately 26% to 27% . Currently only Syrma is there in the old regime which we are again internally evaluating how quickly we should move to the new regime. So, if we move to the new regime in this particular financial year, it should be around 26% to 27% and if we do not move to the new regime in that case it should be approximately 29% to 30% broadly.

Moderator : Thank you. We will take the next question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya : First question is on the revenue sid es, so Rs. 600 crores kind of revenue. And you mentioned that of the order book I think 23 to 25 billion kind of revenue can be executed this year. So, do you mean that this Rs. 600 crore kind of quarterly run -rate would continue for next nine months, is that fair understanding? And that is how we should look at the annual revenue?

JS Gujral : If we go by the historical trend then I think we can derive our figure . And when I am talking about FY23 we had a run -rate of Rs. 128 crores per month approximately in Q1, which went up to Rs. 148 in Q2, it went up to Rs. 175 in Q2 and about Rs. 200 in Q4. So, from Rs. 128 starting ending at Rs. 200; we are starting with Rs. 200 keeping our fingers crossed and looking at the customers and everyone I think we should be g rowing at a rate higher than Rs. 200 in the coming quarters, per month, because that has been the historical trend in the past years. So, I just shared Rs. 128 start of the year, Rs. 200 crores end of the year. So, this year we are

starting at Rs. 200
crores, so I think by the same logic we should be ending at the last quarter of this year we should be at a higher run -rate than Rs. 200.

Keyur Pandya : Second on the automotive and consumer margins, so quarter -on-quarter I think there is movement in gross marg in as well, say almost 300 to 500 bps kind of run -rate change --

JS Gujral : See what happens is on automotive also in the EV segment the margins are more higher, the combustion segment is matured so the margins are compatibly tighter. On the consumer front if my ODM sales goes up the margins are high. And then also the product mix, it's a very high volume product than the margins are a bit tight. So, we would continue to see this sort of, I wouldn't call it a volatility, a shift in margins. This is a purely decisions of the company what businesses we are entering, what businesses we get.

So, I will share with you, these are the two to three factors which account for a change, if my EV mobility goes up the margins are better, in the combustion the margins are tighter and same is the case with ODM, consumer and plain build to print.

Moderator : Thank you. We will take the next question from the line Alok Deshpande from Nuvama Institutional Equities. Please go ahead.

Alok Deshpande : Two questions, first like you have now ventured into the medical vertical and also you mentioned about railways as a platform that you are building. Going forward over the next couple of years, any other strategic entries that you are thinking about? Any gaps that you have top of t he mind?

JS Gujral : I have sharing in all of my earlier calls also that the growth areas are healthcare and medical was one, defense was second, railways I consider it as part of mobility, but railways we were not present and then the fourth area is the Io T based electronics. IoT based electronics is what we are doing so I don't call it a separate vertical, but it's a separate field. Defense we are definitely looking at as vertical for growth, but it has long gestation period and long regulatory approvals and all those things. So, I think it will be a while before we see defense coming into our sort of portfolio, a significant portion. And we do a little bit of defense through some government companies, but it's not a significant portion I believe. Health, m edical devices would over the coming years form a decent portion of our revenues.

Railway the base is very small, so hypothetically I am saying that even if I, hypothetically there is nothing, I am saying here for the sake of reference, if I was to do even Rs. 200 crores next

year FY24/25 and I was to do whatever turnover I do, it would form a very 3%, 4%, 5% of my revenue. It would not be a 10% to 12% like the automotive or the industrial or the consumer. But the railway would be a growth area and a focus area so that going forward in three to five years it has a decent share in our revenue, that's how we would like to derisk. This automotive

and other things coming down and these new verticals going up, coming down means as a
percentage, they would grow in absolute numbers, but as a percentage would love to have all
verticals low 20%.
Alok Deshpande : Second question on this acquisition that you have done, when can we expect these numbers to
sort of start reflecting in you r numbers, is it just after a few approvals that will come through or
just any timeline on that?
Jayesh Doshi : We have take a long stop date of 30th September, there are some conditions, decisions that we
have do to so if they do it, then it will be from 3 1st August. So, at least six months of the, results
will come, because 30th September we will definitely do the transaction. So, for the balance six
months, it will certainly come in, maybe six months or seven months, depends upon when the
closing or payme nts actually happen.
Moderato

r : Thank you. The next question is from the line of Rajesh Kothari from AlfAccurate Advisors.
Please go ahead sir.
Rajesh Kothari : My first question is you said your total CAPEX for this year is Rs. 200 crores and then next yea r
will be how much?
Bijay Kumar Agrawal : Another Rs. 150 odd crore.
Rajesh Kothari : This is over and above the acquisition what we are paying for correct?
Bijay Kumar Agrawal : Yes.
JS Gujral : See the CAPEX which Bijay is referring to is all organic capex and as I mentioned in my opening
statement, we are putting up campuses for catering to the future growth of the company. When
I say future it is not this year or next year, it is beyond 25.
Rajesh Kothari : So, basically if I look at FY24 and FY25 you have a CAPEX of roughly about Rs. 400 crores,
your acquisition cost including Milestone roughly about Rs. 250 crores and incremental working
capital considering roughly 30% kind of a growth, will be about Rs. 350 cr ore. So, total
requirement maybe roughly about say Rs. 1000 crore. So, just trying to understand from the
funding perspective, do you think, how this should be funded if you can give some color on that,
that will be useful.
Bijay Kumar Agrawal : So, against this we already have a Rs. 700 odd crore of unspent IPO proceeds also, which is
already lying in our treasury and you can see that. And again, balance would be funded though ,
our internal accruals because whatever working capital investment which you have considered

in your working of Rs. 300 odd crore, that will be an internal accrual also. What we are again
tracking is that my operating cashflow should be positive which should also automatically be
funding my working capital investment. So, if we leave a side that thing, the inorganic and the
organic CAPEX would be approximately Rs. 650 odd crores and that much of funding is already
available with us as of now, as an unspent IPO proceeds.
Rajesh Kothari : And my third question is basically on the overall EB ITDA margin profile post acquisition and
if one assumes 30% kind of a growth in your base business and 20% growth in your acquisition
business, then how do you look at your margin profile in about FY25 and FY26?
Bijay Kumar Agrawal : So, as I had explained previously, this may help us in EBITDA accretion for about 1% to 1.5%
for a full year consolidation, but we are yet to see that number.
Rajesh Kothari : Do you think you would need equity raising, are you looking for equity raising over next two to
three ye ars? Or you think, because you might have one more acquisition opportunity because
you have been always scouting for good acquisition opportunities. So, do you think any
acquisition further over next 12 to 18 months or for now, currently no such plans?
Bijay Kumar Agrawal : I think we do not immediately require any cash the way we look at it, because the business is
generating enough cash. And we have just taken one acquisition so I think it’s rather we
consolidate this and grow the business before we get in to anything. And Mr. Gujral very clearly
said that we have organic growth coming in, we have enough cash to sustain the current
businesses and the current growth, because we are growing at a very rapid pace and even with
this rapid pace, we don’t see any r equirement for any equity raising.
Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life
Insurance . Please go ahead.
Keyur Pandya : Just one clarification, on the capex side, this Rs. 250+Rs. 150 crore capex over the next two
years, when you mention ed that this will double our capability so that is the Rs. 400 crores capex
or Rs. 250 crore capex ?
JS Gujral : What I referred to was that we are in the process of, we acquired land and we will be building
the infrastructure which would double on existing infrastructure in terms of space availabil

ity.
We currently have about 800,000 square feet of area under produc tion or in terms of factories
and office, the new facility, two facilities which I alluded to one in Chennai domestic and one in

Hosur, Krishnagiri would have a potential of having 1.5 million square feet of area. Now I am not saying that I will build 1.5 million in the next two years, I may not require 1.5 million. But as I had shared in my earlier call we are moving away from the standalone factories concept to a campus concept. So, in a 16 acre campus, I would put in modeler manufacturing facilities purely dictated by the business needs.

So, if for example, the Hosur facility I can have 1 million or 1.1 million square feet of area, I am not going to build 1.1. million this year or next year, I may start off with 100,000 or 150,000 and then as that gets lo aded with business, as new business comes in I put in another modeler area for 100,000 to 150,000. So, it will be a campus. And same will be the case in Chennai. So, we are moving away from standalone factories, because operationally it becomes much more efficient to run campuses than having individual standalone factories, because each individual standalone factory will have all the functional requirements.

Jayesh Doshi : And that is why we have planned this capex in a stagger way partly this year, partly i n next year. So, just to answer you like, both these capex should be considered for the complete doubling of the capacity.

Ketan Pandya : And both of these campuses, plus some maintenance capex together would account for Rs. 400 crore over next two years c orrect?

Jayesh Doshi : Yes.

Ketan Pandya : One more question on the acquisition, if you can just give more idea about that businesses working capital and asset churns, and as you mentioned that 40% of the capacity is utilized. So, probably if it's similar facility we can at least double the revenue without any large capex , is it correct? And their working capital and asset churns --?

JS Gujral : Correct, you are right.

Jayesh Doshi : See the capacity utilization is about 40% so they are highly underutilized even at this kind of turnover. So, we leave that it may not require any capex maybe a little bit Rs. 5 to Rs. 10 crores for growing the business. And the working capital number of days last was about 95 to 97 days overall.

Bijay Kumar Agrawal : And asset turn if we calculate on the gross asset basis, it will be approximately 5 times and on net asset basis it is approximately 7 times.

Moderator : Thank you. The next question is from the line of Vishal Singh from Makrana Capital. Please go ahead.

Vishal Singh : So, basically I have two questions, one on t he margins. So, in the current quarter the margins is around 7% including the net foreign exchange number as well, which is operating as per you. And for full -year we are guiding for around 10% kind of a margin or low double digit. So, just wanted to under stand --

JS Gujral : That's what we are guiding yes.

Vishal Singh : So, basically this would mean that the remaining nine months we would have to sort of clock in around 10% to 11% kind of a margin. So, just wanted to understand that incremental delta will

it come from because you mentioned that gross margin will remain 23% to 25% margin, in that range so just wanted to understand that?

JS Gujral : It will come from the operating leverages as I was just sharing with you earlier with the team, that my op erating overhead in Q4 was 12. 6% on the sale, in Q1 they are 15. 4% of the sale, going forward as my revenue top -line increases which I alluded to that Rs. 200 crore should go up, the operating leverages will automatically set in. The sort of reinstatement of my healthcare business which is a highly EBITDA accretive, very low material margin sh

ould make it possible to be at a double digit margin level.

Vishal Singh : And lastly I just wanted to understand, because at the segment level your gross margins have been declining for your big three segments like auto, industrial and consumer; and I understand it's a play of EV being higher in auto and ODM higher in consumer, so wanted to understand what would be the contribution of EV in your auto segment currently a nd ODM in consumer currently versus the contribution in the order book, that you mentioned about 35 billion?

JS Gujral : The EV business is approximately 50% of the total automotive business. And that is accretive into the margins. And ODM I think was less, ODM was only about 14% to 15%, because my healthcare business didn't come in, again if I add Rs. 40 crores of healthcare business, it doesn't increase the ODM to that extent, but it is increases the EBITDA significantly.

And as we have been sharing all al ong that the endeavor and the vision of the management is to have one third exports approximately and a 25% ODM business in the overall scheme of things.

25% may not happen this year and I am not only talking about the organic, I am not talking about the a cquisition part, but over a longer period of time with design and development teams getting matured and getting in revenue stream, and the product, I believe we are well positioned to achieve 25% ODM revenue in the coming years. It may not happen this year , but over a longer period of time, it would definitely happen.

Vishal Singh : This ODM share that you mentioned about 14% to 15% I just wanted to compare it with last year, so how much would it have decreased?

JS Gujral : Healthcare is all ODM so I just sha red between Q4 of last year and Q1 of this year, our healthcare business has gone down by Rs. 30 crores, it was Rs. 45 in Q4 and Rs. 14 crore odd over here. Rs. 30 crore business with a 45% gross material margins translates into about Rs. 14 crores of direct hit on the gross material and the EBITDA. The overheads in any case are the salary, the wages and everything they almost fit, they are there.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today, I would now like to hand the conference over to the Management for closing comments , over to you.

JS Gujral : Yes, I would just like to reiterate that we are on track for the visibility guidance which we have given, we are on track for that. And we are very excited about the new busine sses which we have

got. And some of the softer areas where are concentrating on a lot for example we were the only EMS company in the country to have been awarded the Most Preferred Workplace Award which was announced in collaboration with India Today. Our teams in South and our teams in North have won competitions on Kaizen Small Quality Improvements, our shouldering operators have been given Runners Up certificate.

So, a lot of effort of the senior management is going in preparing the organization as I have been sharing with you all along, making the organization future ready. And end of the day we have a satisfied customer if we have a satisfied workforce. And towards that we have engaged external agencies, I had shared last time also, I will share it once again towards engaged to do employee satisfaction, employee engagement survey across our companies, across our plants. And I am very pleased to share that we operate out of 6 states, 3 countries: we at an engagement level of employees of 79%. The top 25 in the country have 82%. So, there is a scope for, a little bit scope of improvement. The industry, the EMS industry or this industry as a engagement survey of 61% to 63% in Asia Pacific and Global. We have 19 engaged employees, when we say engaged employees who are worried about the company to 1 disengaged employee. Well that's the area of improvement. The in

dustry average is 8:1. So, the efforts of the management to invest in Human Resources, train them, motivate them I think are payin g off and they would play a very significant role as we grow, a t the scorching pace at which we are growing.

We are very sort of bullish on electronics manufacturing and the vision of the management is to make Syrma SGS a $1 billion company ASAP, whether i t takes four years, three years or five years I can't say but that's the vision which with we are working and all the future expansions are aimed at that . Our plannings are being done in a way making Syrma SGS a billion dollar company with a significant f ootprint in USA and Europe, one third of exports, a strong ODM content and design led manufacturing which we have been maintaining all along.

Thank you gentlemen for your support and look forward to receiving this support in the future also. Thank you very much.

Moderator : Thank you very much. Ladies and gentlemen on behalf DAM Capital Advisors Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

Date : November 29, 202 3

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for results of quarter and half year ended September 30, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the transcript in respect to the Earning Conference Call on the financial and operational performance of the Company for the quarter and half year ended September 30, 2023, held on Thurs day, November 02, 202 3, at 10:30 hrs (I ST).

The transcript of the conference call can also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations

We request you to take the same on your record.

For Syrma SGS Technology Limited

Rahul Sinnarkar
Company Secretary & Compliance Officer
Membership No: A39709
Place: Gurgaon

"Syrma SGS Technology L imited
Q2 FY24 Earnings Conference Call "
November 02, 202 3

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGARWAL – CHIEF FINANCIAL OFFICER – SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD INVESTOR RELATIONS – SYRMA SGS TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Syrma SGS Technology Ltd. hosted by DAM Capital Advisors L imited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressin g star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors L imite d. Thank you and over to you, ma'am.

Bhoomika Nair: Thanks Michelle. Good morning everyone and welcome to the Syrma SGS Technology Q2 FY24 Earnings Call. I would like to welcome the senior management from the company and thank them for this opportunity.

Without any further delay, I will now hand over the conference to Mr. Nikhil Gupta, Investor Relations of Syrma. Over to you, Nikhil.

Nikhil Gupta: Thank you, Bhoomika. Hi. Very good morning to all. Welcome to Syrma SGS second quarter and half year fiscal 2024 Earnings Call. We have with us today Mr. J. S. Gujral, Managing Director, Syrma SGS, Mr. Jayesh Doshi, Director and Mr. Bijay Agarwal, Chief Financial Officer, Syrma SGS, to discuss the performance of the company during the second quarter and half year fiscal 2024, followed by a detail ed question and answer session.

During the session, certain statements that will be made are forward -looking, which involves several risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking cases. All for ward -looking statements made herein are based on the information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do revie w the disclaimer statements in the earnings release and all other factors that can cause the difference.

With this, I now hand over the call to Mr. J. S. Gujra l, Managing Director, Syrma SGS. Thank you.

J S Gujral: Good morning, ladies and gentlemen. It's my pleasure to be with you again to discuss with you the performance of the company in the Q2 FY23 -24 and the half year ended September 23. We continue to grow at a scorching pace of 45% -50% plus Year on Year basis over the last four, five, six quarters.

And this quarter, we have grown, the turnover has grown by about 52% and if I compare it with the half year, we have grown by about 55% this year. And this pace, we are very confident that the pace of growth will continue, the momentum will continue into t he future and at least for the next two to three years, we see growth hovering upwards of 35% on an overall basis.

EBITDA margin at 8% this quarter, operating EBITDA margin of 7% after a one -time charge of expenses related to the acquisition of JDHL , in absence of which the margins would have been higher by about half a percent or 0.6%. Overall, we are very confident of the business and

what we believe is that we are building an enterprise for the future. Our guidance for this year's revenue and EBITDA margins, EBITDA in absolute terms, stands intact.

Typically, the first half year of any financial year is accounting for about 45% of the global overall annual revenues and we expect that this trend would continue and we would be there with the figures which we have indicated to you. There has been no sig nificant variation in the mix of revenues quarter on quarter.

Year on year, there has been a slight increase of revenues of the consumer business and the growth in the consumer segment is primarily coming in from build to print of vanilla EMS whi

ch

inherently have lower margins. The previous year, the consumer busine ss accounted for was on ODM basis which has a higher margin. Automotive continues to be about a fourth of our revenue with consumer about a little more than a third, industrial a little more than a fourth of our revenue.

Healthcare has seen a slight revival in the last quarter as I had indicated in my earning call last quarter . We expected the healthcare to close at about 35 plus crores this quarter and we are there

with that figure in this quarter. But since the non -healthcare business is growing at a much higher pace, the percentage of healthcare as a percentage of total reve nue has come down.
But in absolute terms, the healthcare is going up. Exports as a percentage of sales account for about 26% and they have accounted for a growth of about 12% quarter on quarter and 9% year on year. Now this again is a play of a domestic demand going up significantly.
The domestic demand business has grown by 78%. So when a domestic leg of the business grows at 78%, the export as a percentage of total revenue comes down. But in absolute terms, the export business continues to grow.
We had started the journey with three objectives in mind. One was growth at industry plus average, EBITDA of 10% and working capital of about 70 days. On the two legs, we are on track and it's only in EBITDA there's a small lag because of the product mix w hich has changed.
We internally monitor the margins based on industry verticals and we don't find a decline in any margin in the industry vertical. It's only the composition of the revenue chain which has resulted in a reduction in the overall EBITDA margins and also for th e one time charge that just alluded earlier. On operating efficiencies, I'm happy to share with you that we have operating efficiency of approximately 5% during H1 FY24 in overhead compared to half year of last year.
And going forward, we believe that we can further improve on this reduction. Now as far as the future growth of the business is concerned, we are very confident of maintaining this growth rate. On the specific question of exports, the customers which we ha ve onboarded earlier this year which was in Q4 of FY23 or calendar year this year, the prototyping, the sampling have all started and the production is in line with what we have projected .
And we expect these new customers, multinational customers in exports to yield a significant revenue of approximately Rs 200 crores plus in the coming year that is the financial year 2024 - 2025. 2023 -2024 is the prototyping and the NPI and the sampling of the things. And once we

are able to service these customers in 2024 -2025, they are global customers with billions of dollars of electronic spend.
We believe and we are very confident that we would be able to significantly uptake our wallet share with these customers. Again, because the domestic demand fraction is very, very high, the export as a percentage may hover at around 30% against our wish li st of one third.
Similarly, we had shared with you last time that we had set up a separate design and engineering center in April of this year which is headed by senior colleagues from the company. During this quarter, we have beefed up our marketing presence for design services in US and UK. These are initial stages of work in progress and I am very confident that going forward in the FY24 -25, the design and engineering business of the company will be a mainstay for the growth of ODM and also accretion to the EBITDA and the profit margins. These are early days but we are investing a lot of resources and manpower and processes in the design center so that in the coming years, this will contribute to the profitable growth of the company.
On the capex cycle, we are on track. We had promised or we had shared with you that we will b

e spending about INR250 crores this year apart from the acquisition. So if I exclude the acquisition of JDHL, we have already spent about INR110 crores this year and the balance is on stream. The plants which we had sort of started early this year, they are on track and we expect the new facilities, the greenfield new faci lities to start yielding revenues in FY24-25. As I shared, all the capex plans which we are doing this year are targeted for FY24-25.
On the business front, I would also like to share with you that we have signed up with one of the largest IoT manufacturers in the world. And we have done the sampling production and they have passed the test. And currently, their engineers are working at our factories to stabilize the production processes based on global standards. And this IoT application has a variety of applications in engineering, telecom and other s like energy metering, telecom and other applications and we see a significant uptick in this business.
That's all from me. I'll hand over to Bijay to run you through the financials and then I'm open for any questions -and-answers. Thank you.
Bijay Agarwal: Good morning, everyone. I'll now quickly take you through the brief financials for this quarter and half -year ended September 2023. So before I start, I would like to highlight that the last announced acquisition of JDHL, we have been able to conclude, com plete 51% acquisition of JDHL. And we have already consolidated the financials of JDHL in this quarter results.
I'm delighted to say that the company has again registered a strong revenue growth during the quarter with a 52% year -on-year growth and also 55% growth for the half year. Similarly, our gross profit also increased by almost 9% on year -on-year basis for the quarter and 21% for the half year.
Happy to share that our team strength has been demonstrated on the operating efficiency that we

have been able to achieve in this quarter. Thereby, our overheads as a percentage of revenue has decreased by almost 4% to 4.5%. We still continue to work on this further. And going forward, we expect larger operating efficiency in the P&L. In this current quarter, there have been few

one-time expenses also been factored in our other operating other expenses which includes consulting expenses related to JDHL acquisition and few other expenses for about INR4 crores to 4.5 crores. EBITDA for this quarter is INR58 crores, and for the H1 is INR117 crores, which is almost 28% higher on a year -on-year basis.

This quarter, we had lower tax, and primarily because Syrma, the parent entity, has now moved to the new tax regime. That was a change here. So going forward, we expect now on a consolidated basis, on a steady -state basis we will be in the range of 25%, 26% of overall average tax for the Group. Coming to PAT for H1, it was about INR59 crores and again a growth of about 28% on year -on-year basis.

Order book side, while Mr Gujral has already updated. We have almost a total open order book of approximately INR3,800 crores and out of which about INR3,000 crores to INR3,200 crores is what we expect we should be able to complete over next 12 months.

Coming to our net working capital days, on average basis, our net working capital days as of September end is approximately 70 days, which is almost three days higher than the number that we reported in the last quarter and primarily because of higher inventory carrying right now. We expect we should be able to furthermore achieve a saving of approximately 5 to 7 days from this number in the next two to three quarters.

Coming to our overall debt position, our debt position as on September end is approximately INR420 crores, out of which near about INR330 crores is working capital and about INR90 crores is term loan. Against which we have been carrying a total treasury of approximately INR545 crores. So I am carrying a net cash position of approximately INR125 crores as on September end.

With respect to the capex, as Mr Gujral has already updated, we had already spent almost INR110 crores in the H1, out of which about INR60 crores we had spent in the last quarter ended Sep'23 . Thus, in totality, we are on track against our previous estimation of INR200 crores to INR250 crores spent for this financing year. Just to update, our project in Hosur has already kicked off. We have already acquired the land on lease . We will be now starting the construction, the rest of the work for this project. So there will be a decent capex spend which we are expecting in the next two quarters for about INR100 crores to INR140 crores.

That is all and now I can hand over to Moderator to open the forum for questions -and-answers.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. We'll take the first question from the line of Aniket Pandey from DSP Mutual Fund. Please go ahead.

Aniket Pandey: Yes, hi. Thank you for the opportunity. I just wanted to understand which exactly products you are selling into your consumer business because if you look at your material margin, they have almost halved in this first half of FY '24. So just wanted to get a s ense on that.

Secondly on your gross margin profile going forward what are the levers you have to take up your gross margin again to 30% and higher band?

J S Gujral: Okay, now I will take that question, it has two legs question, the first is the product profile. Three verticals which are accounting for about 75%, 80% of our revenue are the consumer, automotive and industrial. Automotive and industrial, it's a secular migration from one customer to another customer, an addition of new customers all over there. So we do not see a significant change in material margin profiles . In fact, there's a positive improvement on the margins of these two verticals .

In the consumer segment, what has happened, as I shared with my earlier comments that last year we were primarily catering with ODM products, which is my own design products. Whereas from somewhere in the later quarter s of the last financial year and this year, the consumer business growth has primarily come in from the vanilla EMS or built to print, where the margins internationally are very, very competitive. And hence you see a big reduction in the material margin between the last year and this year.

Now what we do in our internal analysis is, that in my ODM, I am abl e to maintain or increasing the margins in the ODM , It's the nature of the product . However now the nature of the product has changed, which has resulted in the margin profile sort of reduction. It is not that the product inherently being manufactured by us over the last several decades have shown a decline. So it's

a composition mix. Now the composition mix is a business dec ision to capture the market. It gives you additional expansion plans. It could be working capital accretive, all those things.
Our margins are currently at about, for gross material margins are at about 24%. If they can go up or they will go up only when my exports kick off as I shared with my exports coming in next year for the clients onboarded this year. The current year export growth is only vanilla growth from my existing clients. The real push in the exports will come in the next year. And with the uptick in the healthcare business, I expect healthcare business to be a significant uptick next year. So these three factors, aided by the design and engineering efforts, which will be fructify by next year, I expect the margins, sector -wise, to go up.
In absolute terms, if my vanilla consumer business goes up by a higher percentage, as a percentage of margins may hover at 27%, 26%, or whatever, but in absolute terms, there wi

ll
not be a significant drop. So we keep both the things into mind, the percentage and the absolute.
I hope I have answered your question.
Moderator: Mr. Pandey, do you have any further questions?
Aniket Pandey: No.
Moderator: Thank you. We will take the next question from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Yes, thanks for the opportunity. Sir, excluding the Johari acquisition, I guess it is included for one month or three months in the quarter? And excluding Johari, what would be the stand -alone growth rate numbers for revenue, EBITDA, PAT? That's one info.
Secondly the margins have been very volatile, so any explicit guidance you would like to give for EBITDA margins for H2 FY '24? That is second question. And third question is, we have

been hearing a lot of news flows on the manufacturing of laptops and other IT products in India. While there are, again, from government also, the dates are changing a lot. But have you seen any inquiries and any view on that market for how much revenue po tential is there, how much revenue opportunity is there for Syrma on that account? Yes.
J S Gujral: So there are four questions which I've asked. The first one is the revenue growth without consolidating one month of JDHL , I think there will be hardly much of difference in the overall revenue growth without Johari Digital consolidation this year. So when I say, it is 55% or 52% growth , it may be 51% or 49%, but significant change.
In EBITDA, there would be a slight change, instead of 28% growth in EBITDA, it would come to about 26 %plus growth in EBITDA. The full impact of, the positive impact of this acquisition will only kick in in the next six months when we consolidate .
Now, you referred to the volatility in the margins. As I shared in my earlier question, the volatility in the margins is because of change of product mix. What worries me as a promoter or as an entrepreneur, is my businesses were having a volatile margin. For example, my automotive business continues to be at a stable margin. In fact, there is a positive increase this half year. Similarly, my industrial business continues to be at that margin.
The volatility has kicked in only because of change in the nature of consumer business which we are doing from ODM to OEM. So I wouldn't call it a volatility, I would call it a change in the mix. And if a lower margin business grows at a higher rate, obviously there is an impact on the overall percentages.
We believe, as I shared in my previous question, that with the exports kicking in from the customers on boarded this year, and the design and engineering efforts, fructifying, coupled with the healthcare business showing a rebound, we should see a uptick i n the margin, percentage margins in the coming quarters and the medium term. What we are also very cognizant or mindful is of the absolute numbers which we make. And once my business is growing at this phase in absolute figures, and second half is normally better than the first half historically if we see, I believe that it will help us in attaining the guidance which we have shared with you.
Your fourth question was on IT laptops. The IT policy, I'm told, will be announced this week or early next week. Once the IT policy is announced, then the tie -up with the potential customers will begin. So it's a chicken and egg story. A customer doesn't w ant to tie up without a IT PLI policy in your favor. So if you are one of the recipients of the IT PLI, it will be a digital story.
If the people, the companies who get the IT PLI and are able to tie -up with big customers, the revenue growth will not be in INR100 crores or INR200 crores, it will be in INR1,000 of crores.
But we should be mindful of the fact that our IT product inherently is like a mobile phone.
It is a low margin or a compactiv

ely tighter margin, but high volume, positive on working capital.
So the percentage margins would go down, but the absolute figures would go up. I hope

Aniruddha, I have answered your questions.

Aniruddha Joshi: Yes, sure, sir. Very helpful. Just lastly, now we are simplifying the group structure with some of the subsidiaries getting merged with Syrma. So any synergy benefits that you would like to call out? Yes, that's it from my side. Thank you.
J S Gujral: Synergies consolidation as we have shared earlier, has already taken place, just that the expenses or whatever assets are housed in two, three different legal entities. Going forward, once the complete merger takes place, that merger per se would result in saving of the compliance costs, a more efficient fund management because the entire treasury or the funds of the company are housed in one entity rather than in two entities so it will be a mo re efficient utilization of funds. Funds saved with a merger, the operational efficiencies I don't, I wouldn't attribute it to the merger.
The compliance and efficient use of funds would have a direct, are indirect impact of the merger. The operational efficiency, for example, 5% reduction in overhead compared to the last half year has already kicked in. And this is an ongoing process and will continue to it, but I cannot directly attribute it to the merger ex cept for the compliance and the efficient use of working capital.
Aniruddha Joshi: Sure sir, thank you, very helpful.
Moderator: Thank you. We'll take the next question from the line of Alok Deshpande from Nuvama Institutional Equities. Please go ahead.
Alok Deshpande: Good morning, sir. So just one question from my side. Sir, given that our consumer segment is growing the fastest. Do you expect a much bigger reduction in working capital given the asset turns are more and working capital reduction? So can our ROC E go up because of that?
Management: You see, at the end of the day, when we take business, we evaluate various parameters. And typically, typically in a low margin business, the asset turn and the working capital as a positive feature. The negative feature is the low margin or comparatively lower margin. The positive is the working capital, the cash flows and the asset turn. And as this business grows up, we would definitely see the uptake in both of these sectors and a better efficient utilization of working capital.
Now, the -- We are growing at 50 odd percent. You have to keep the capacities ready for the new customers. And hence, the tangible returns which should have come are not visible. If I was to exclude the assets which have not fructified on a full -time basi s, my assets are already upward of 6x. But because the capacities are being created for the new customers and new products, there's always a time lag between the creation of the capacity and its utilization. But yes, with the consumer business, we'll see p ositive on both the things which you mentioned, that's the system and the working cap.
Alok Deshpande: Sure, sir. Thank you so much for your answer. Thank you.
Moderator: Thank you. We'll take the next question from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

V. Balasubramaniam: Yes, thank you for this opportunity. My question is all related to revenue and EBITDA. You know all of them are interrelated questions. In one of your answers you alluded to the fact that about your guidance. So can you once again clarify what exactly is your guidance for revenue and EBITDA margins for the current year? Because we are not aware of any guidance, because even in the last quarter you didn't mention about any guidance. So can you please clarify clearly what i s the guidance for revenue and EBITDA margins?
On a related not

e, you also mentioned that in the first half normally you do 45% of your yearly revenues. Based on that back of the envelope, it looks like you're possibly talking about full year revenues of roughly INR3,000 crores or $30 billion. And on a related note, again, your EBITDA margins in the first half is 8.7%. What is something that we should bake in for the full year? Can we, would it be 8.7% or will it improve slightly? And if it improves, where does this go to for the full year?
J S Gujral: Okay. I think you're bang on when I said absolute future projections is one issue but we do share the guidance and when I said that we grow over the first half is approximately 45 odd percent so whether the final figure is 2900, 3000, 2850 or 3,100. That is, we will cross – one of share when it happens. But you are right, based on this, we expect to be around the figure which you indicated. I can't pinpoint exactly to the INR50 crores whether it will be this or that because these are long -term c ontracts and market situations in the last month, looks very well a one -week

delay in billing could result in a lower turnover.
On EBITDA also you have shared the percentages and as a logical thing that if we achieve the revenues which we are expecting, we will get some operational efficiencies kicking in and we should be able to achieve what you have pointed out in your question.
V. Balasubramaniam: So okay, so you're basically telling if you do get to let's say INR3,000 crores kind of revenues, 9%, 9.2% kind of margins is possible.
J S Gujral: I'm not holding 9%, 9.2% or 10%. I am saying we should be fair.
V. Balasubramaniam: Okay, okay. Thank you all the very best.
J S Gujral: Thank you very much.
Moderator: Thank you. We will take the next question from the line of Meet Jain from Motilal Oswal. Please go ahead.
Meet Jain: Hi sir, thank you for the opportunity. I have one question regarding the order book mix. So if you can provide an order book mix in terms of your end user and also in terms of export? And my other question is regarding anything that is for the backward integration like for PCB manufacturing or OSAT thing. Can you speak a little bit on that?
J S Gujral: Okay, while we are pulling out the things, the order book is approximately INR3,800 crores as of 30th of September. Earlier, I think it was INR3,000 odd crores as on 30th of June. The breakup we are just pulling out. Till then I'll answer the other two qu estions. We are evaluating OSAT

or ATMP as we call it, but as yet we have not taken a final decision, because we are very mindful of the capex cycle in this, which is a huge capex.
So we are very cautious in evaluating this project. So it is still, let's put it, WIP. And as I shared in my last call, this project does not have any first mover advantage, simply because the Indian companies would be tying up with a foreign partner and s tuffing his supply chain. Or his supply chain will migrate from his existing location to India. So it's not that I'm ceding a market to competition. Till that project is set up in India by the technology partners, he would continue to supply from his exist ing manufacturing location. So it's still a work in progress.
On PCB, we have given it a thought but when we scan around, we find that none of the EMS companies are into PCB. And I would give benefit of doubt to their global intelligence, whether it is a Foxconn or a Flex or a Jabil or a Sanmina and I can go on namin g. And they are all multi - billion -dollar companies. None of them is into the PCB manufacturing. And PCB manufacturing is a chemical industry.
If the growth in my core competency which is electronic manufacturing, I see a significant growth for the foreseeable future. I would like to spread thread my management and my capital allocation on this industry. The industry has to have a shrink and in

l ine with our core
competency. So as of date, PCB, we are not evaluating., but OSAT we are evaluating and we are mindful of it.
Meet Jain: On the order book side, approximately 20% of our order book is related to the export business and the balance is related to the domestic business. In terms of end user means like auto, healthcare consumer?
Bijay Agarwal : In that if you see broadly about 20% is towards auto and similar way about 20% towards industrial business and about 10% to 15% is related to healthcare, IT and railways business and about 45% to 50% is related to consumer business.
J S Gujral: See I would just like to add on this, is the export business, we have just onboarded the customers when doing the sampling. So what we have is the contracts and we don't have the firm orders. So we don't call it a firm order till a purchase order is physi cally received into a system. So on the visibility of export, I have shared with you that the new customers which we have onboarded should give us approximately INR200 crores of revenue next year. All of them, we may not have had the orders in hand, we have contracts with them.
The consumer business has a better visibility because now it's a mature business with us and hence or we have contracts for a longer period. But we believe that going forward, the ratio of consumer accounting for about a third, automotive and industrial accounting for more about a fourth, h ealthcare accounting for about 7%, 8%, and remaining IT, without the IT PLI, the current organic IT products which we are doing.
If we get the IT PLI and we are able to tie up with a potential customer, then the IT revenues will have a significant uptake. But in all our guidance which we are giving, we are not taking the incremental revenues which would accrue from the IT PLI should we get one .

J S Gujral: 20% and you can say maybe healthcare, IT and railways about 15%, 15% and similar way, the old consumer is 45%.
Moderator: Thank you. The next question is from the line of Rahul Gajare from Hightong Securities, please go ahead.
Rahul Gajare: Good morning gentlemen and thank you for the opportunity. You know, while most of the questions are answered, I just have one question which I wanted to continue from the earlier participants. Now, you very clearly guided about the revenue and you also ta lked about margin through a combination of operating leverage, merger benefits, and rising share of exports.
Now, when you compare FY'24 to a combination of all these kinds of things, what is the benefit that you are looking for? And to make things easier, could you also talk about the margin differential that you would have between your domestic business and you r export business? Thank you.
J S Gujral: See, domestic versus export, the export is higher by about 5% to 7% points. So when I say my gross material margin is about 24%, it would automatically mean that there would be some products which would be at 30%, 35%, 34% gross material margin, some prod ucts which are a little lower than 24 and hence the average of 23%, 24%. So there is a differentiation of 4%, 5%, 7% depending on the industry which we are serving between the exports and the domestic.
Healthcare similarly is a high margin business. But within the domestic business, I think the margin profile of automotive is -- it is slightly more tighter than industrial. Industrial is slightly more accretive to the margin. Consumer is sort of the tightest. And one thing which I would like to share with all is that, in the consumer we are supplying products which are covered under PLI.
The PLI incentives have not been factored in the margin profile which I have shared with you or which on depicted in the accounts. We are entitled to a 6% PLI and then it goes to 5.5% or 5%. So, let's take for the next two years it is 6% or 5%. That margin has

not been considered in
the margin book in the financial statement. They will be accounted for only when they are physically received in the bank.
Whatever we receive and whatever we share with our potential customers or existing customers, the net accretion, if I was to share, say, a 50% margin, then a 3% accretion on the telecom product which I supply, if I was to share one -- two-thirds and one -third, so for a rough indication, for the last year, over PLI is about INR9 crores. So if I have to share two -thirds, INR3 crores gets added to my EBITDA. If I share half, INR4.5 crores gets sent into EBITDA.
And this year, based on whatever we have done and whatever we have projected to do in the next six months, I am expecting a PLI of approximately INR45 crores to INR50 crores. Now, if I share one third or two thirds with the customer, INR15 crores still com es into my balance sheet.
If I share half, it is INR25 crores. These are negotiations for commercial negotiations, but we have not factored in the PLI in these things.So hence, the margins are tighter.
Rahul Gajare : That is very helpful. And this PLI, where are we accounted for in your P&L?

J S.Gujral: We are not accounted for today because we have not received it today.
Rahul Gajare : Last year, I am talking about last year?
J S.Gujral: Also we have not received. Once we receive, we will account for it this year. So, conjugative, it is not on an accrual basis. On a conservative basis, we will account for it only when the money is in the bank. The applications have been filed, they are und er the process of evaluation and scrutiny. So hypothetically, if I get the PLI in February, I will account for it in the quarter of January to March. So these financials don't have a reflection of PLI at all.
Rahul Gajare : And you will account it in other income, I would imagine?
J S.Gujral: That will go by the guidance of what the industry practices and what the institute or the auditors advise. It will go by the industry practice. I don't know how other companies which have already received it, I will ask Bijay to go through it and it will be accounted for in the main income.
Bijay Agarwal: So this should come as other operating income, you are right, as per the accounting standard and again, we will be guided by the auditors here in this particular case.
Rahul Gajare : Thank you very much and all the very best.
Moderator: Thank you. We will take the next question from the line of Amar Maurya from AlfAccurate Advises Private Limited. Please go ahead.
Amar Maurya: Sir, thanks a lot for the opportunity. Couple of questions from my side. Sir, firstly, if you can give me what was the JDHL growth in the first half and what was the revenue consolidated in Q2 if any, that is number two and then I have few follow up.
Bijay Agarwal: So JDHL in this quarter, we have only may be less than a month kind of a performance is what we have considered because we acquired that particular entity on 5th of September. So the

revenues are less than INR10 crores and similar way very minor EBITDA and PAT has been added in this particular quarter. Going forward it should be a normal full company performance which will be consolidated.
And the revenue growth when we are seeing as Mr. Gujral has previously explained, the growth numbers will be broadly similar. So like instead of 55% you can consider 51-52% of the revenue growth on an approx basis. And same way, EBITDA and PAT growth, which we have been saying 28%, that can come down to 26.5% and 27% broadly.
Amar Maurya: For JDHL?
Bijay Agarwal: That is for our performance, excluding JDHL.
Amar Maurya: No, sir. What I want to know is that, JDHL first half performance, since you consolidated, what was the JDHL's first half growth?
Bijay Agarwal: That is, we can provide you separately of details.

J S Gujral: We have accounted for JDHL only for one month.
Amar Maurya: Correct, but at least we must be now having six months of performance of JDHL, right?
J S Gujral: We can share it. I don't have the figures immediately off the line, but I think it is a sort of a flattish sort of a growth, maybe 5% - 7%. There's no significant growth in the overall thing because we took the overall figures of the financial year last year. But what we are very confident is that, we have acquired a platform and in the coming years we are putting in a system, now we have al ready put in a system of how do we run that operation more efficiently than what it was being run and how d o we address the markets which are available.
And there are a lot of interesting products which are in the pipeline over there. And we have got some central government approval. We are tying up with one of the renowned Indian brands for medical devices for something, supplying it to him. So we are con fident and bullish on the growth in the portfolio of JDHL and healthcare, which we already have.
But to the exact details of your question, I think Bijay will, you can connect with Bijay or Nikhil, they will share with you all the figures offline. We don't have that published information for the first six months of last year versus first six months of this year because we had only consolidated one month ago and we had a sub -period account audited.
Amar Maurya: Sir, second question is, if I consider let's say JDHL flat number last year, then in second half at least we will do a healthcare revenue of around INR200 crores considering the INR51 crores run rate from your existing business and remaining coming from JD HL, then basically what we are talking is a gross margin of 24% because your healthcare mix will change, so that will lead to a second half gross margin of around 24%. But despite that, are we like if I do that math, then probably we will be s hort of in our EBITDA margin even lesser than 9%?
J S Gujral: See, finally on this thing, we would consolidate the figures and whether it is 9%, whether it is 8.5%, as I said, we are into a marathon and not a sprint. And honestly, I am honestly, while quarter -on-quarter performances and figures are very, very importa nt and the markets and the analysts are very sensitive to it, but we being in the business for the long haul, while we are mindful for it, while we are sensitive to it, but we are not hung up about it.
I am looking at the long -term picture of the company, a minor aberration here, a minor abrasion there, it's part and parcel of the business. Is my long -term story intact? The answer is a big firm, yes, in bold letters . So we are very confident of that. So, let's leave it at that and we can discuss it in detail. I'm looking at the overall long -term picture.
One quarter here, there, I'm sensitive to it. It hurts me, so I'm sort of alive to it. But I'm not hung up about it that I would sacrifice my long -term objectives and wages for achieving the short -term objectives. So we are very mindful of that.
Amar Maurya: So, sir, basically what we are trying to understand or probably everybody is trying to understand one thing that, sir, of this top -line growth is important, but there should be certain benchmarks that below that we will not go on the EBITDA margin, right? See, basi cally, at a low margin

every business is available, right? But there should be a certain benchmark that beyond – below that, we will not go, right?
J S Gujral: See even today, if I could not include the one time write -off near about 8%. 7% by 8% of operating EBITDA, leaving financial income. So I think that should be a clear guidance to all of us that where the company is going. Now short term abrasion would happ en if the product profile, produc

t mix changes. Please appreciate that. But long term story should remain intact.
And that's what we have shared.
Right from the beginning, we have been sharing that we should be about double digit. Now, I'm not saying 12%, 11%. We have always been maintaining, we should be above double digit. And we still maintain that on a long term. Short term, there has been a sma ll lag in it. How will we achieve that in the future , we already shared our strategy of exporting about one third of our revenues, and design led manufacturing being about 25%, which is currently 18%.
Now once these two, three things fall in place over a period of time, we should achieve the percentages which we had suggested, but we should also be mindful, what is the absolute quantum we make. End of the day, percentages are very, very critical, but wh at is the absolute money in the box which we earn? That is also very important. So, it's a play of all these things, there is no simple black and white answer to this.
JAYESH DOSHI : And also the low margin business advantage is also, it brings in about the businesses as well as the working capital. Look at the impact of the working capital in the cash flows , the generation of the cash flows and the reduction in the working capital. So I think it's a great balance to have it. And if this one -time expenditure would not be there, we are on the track and Mr. Gujral said on the margins also.
So I think everything and a long haul, it's just not an aberration also, if I were to ask you going further, because a lot of companies, they capitalize a lot of one -time expenditures to the investment. This has not happened here. So it's mindful about the new businesses, not the businesses which are growing, also attracts a lot of other businesses as well as working capital processes.
In most of the cases here, the reduction from 98 days of the year, we are today at 70 days, which we have said as Mr. Gujral earlier pointed out that three parameters we have said that if we bring about reduction in working capital, we will ensure top line growth and we will ensure a balance of the margin to achieve over 9% to 10% and we are there.
Amar Maurya: Okay. Perfect, sir. Thank you.
Moderator: Thank you. We will take the next question from the line of Jignesh Kamani from GMO. Please go ahead.
Jignesh Kamani: Hi sir. If you take about you mentioned that share of the ODM business particularly in the consumer was lower this time. I believe ODM is significantly higher working capital cycle versus OEM. So this part lower share of ODM, we have not seen any improveme nt in the working capital cycle versus ODM. I just want to know the reason behind that. And can you

help understand about, is there any material difference in the working capital cycle between auto consumer and other segment?
J S Gujral: Sorry, I couldn't get the last part of your question.
Jignesh Kamani: Second thing is on, in segment wise, be it auto, industrial, healthcare, is there any material difference in the working capital cycle?
J S Gujral: Okay. You see, typically in the industry as a thing, products which have a high margin would have a high working capital cycle because the volumes would be lower. The low margin products, the volumes would be higher so the operational efficiency is both on a set term and the working capital ticket. Now, we are very mindful of the overall thing.
End of the day, we have to have a positive cash flow on a consistent basis, not quarter -on-quarter, but at least on a yearly basis, half yearly basis, you can have a positive cash flow. The margins in ODM are 5% - 7% higher than the plain vanilla build to print business , but then it will also depend upon the industry which you are servicing.
So the working capital cycle in automotive, industrial, healthcare by and large is safe. There is no significan

t difference between the two. Now if you are supplying to contracts which are with government, the working capital cycle could be very, very high as some of the peers have in the industry, their published information.
But if you are supplying to the private sector, export, typical net working capital cycle should be about 80 days - 85 days. Coupled with other products, we have brought it down to 70 days and we expect to bring it down by another five days to seven days in the coming quarters.
Jignesh Kamani: So if you take about the second quarter, despite lower share of ODM, working capital is not reduced. I just want to understand the reason behind that?
Bijay Agarwal: In this second quarter, so like quarter -on-quarter while we have been trying, targeting to reduce the working capital, but quarter -on-quarter, this is primarily like some customer -related inventories what we have got in the end of this quarter. So that's w here there is a three days of difference. It has not reduced it. But these are some things like quarter -on-quarter variations which will keep on happening there.
J S Gujral: Okay. Now, just to add on to what Bijay said, as I shared in the beginning, that the customers,

export customers which we are on boarded, we have secured inventories. I'm not saying the inventories have been secured for series production which is to start in January or April of next year. But when you buy products for new customers and new products, when you buy the materials, you are stuck up with the minimum order quantity or the size of a component of a spool.
The components typically come in a spool. So I may have to make 100 pieces, but I have to – I'm stuck up with 5,000 pieces of inventory because the minimum spool size is 5,000. So three days variation, which is less than 5% in terms of number of days, is a play of many factors. And one shipment for some reason gets late, you are stuck up with the inventory.

So on a consistent basis, we have brought it down from upwards of 90 to 70. Now 70 becomes 67 or 65 or 72, 71, last year it was 67. That's a commercial play and I think we should not be too sort of sensitive to it. These are commercial things. At the end o f the day, what we are interested in knowing or what we look at is, is the trend right?
Are we reducing the working capital cycle or not? And there the trend is very, very discernible that yes, my teams have done a good job in bringing down the working capital cycle and I think a good reference point will be to see what other peers have in th e industry. To benchmark…
Management: Also as we grow at this rate, scorching rate, with new capacities coming up, you have to stock up inventory for the next phase of the growth.
Jignesh Kamani: Understood. So if you take three to five years down line, what kind of operating cashflow to EBITDA ratio we are comfortable at?
Bijay Agarwal: So we are targeting an OCF to EBITDA going forward on a steady basis, 50% plus. That's what is our clear target. We are continuously working towards it. In H1, this is still about 20%, but given the working capital efficiencies which we are targeting for H2, we should be able to improve it further.
Jignesh Kamani: Sure. And just adding to that, since incrementally more growth is coming from healthcare, or some export also, which are slightly heavy on the working cycle, is there any risk for the further increase in the working cycle in near term?
J S Gujral: See, on an overall basis, we should be hovering at about 70 days. I'll be happy if we can bring it down by another four days, five days, six days. I don't personally foresee a significant uptake in the working capital, number of days. But again, there's on e caveat to it. When I start the manufacturing of series production for my export customers, then till the production cycle comes into being, for a month

, two months, my inventory levels could go up.
And the sales would cook in 30 days, 40 days later. So I have to stop the inventory before to start the production. So month -on-month, there could be slight aberration. But on a long -term basis, with all the product mixes which we have got, we are very con fident that we will be south of 70 rather than north of 70 days.
Jignesh Kamani: Sure. Thanks a lot.
Moderator: Thank you. We'll take the next question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: Thanks for the opportunity. Just want clarification. So, the kind of mix change you have seen within the consumer also. Are we seeing based on our order book such changes in any of the other sub -segments, either positive or negative mix change in other seg ments? And one clarification is that, basically you are mentioning that by FY '25, mix would improve and that would give us not only growth, but margin -attractive growth, but that would be in FY '25?

J S Gujral: You see, the product mix in FY '24 - '25 in absolute figures will see an uptick in exports, will see an uptick in healthcare. But the domestic business would continue to go at the scorching pace of 60%- 70% of whatever it is, led by, I emphasize on the cons umer.
So as percentages, the impact will not be that visible. It will be visible, but in absolute terms, the impact will be very, very discernible and there for everyone to see. See if my domestic business in the consumer segment goes up by 50%, so currently it' s about 30% 35% of INR1,300 crores, that's about a INR1,000 crores, what you call INR500 crores, INR450 crores, INR490 crores. Now if on INR5,000 crores or INR4,000 crores, it is 30%, 40%, 35%, it will be INR1,200 crores, INR1,500 crores.
So the percentage impact will be there, but in absolute terms, the incremental revenue which I get from my export business, which I share will be about INR200 crores from the new business

and the healthcare business. It'll have a positive impact on my bott om line. In absolute figures
and I a uptick in the percentage also.
Keyur Pandya: Okay, the first part that any further mixed change within sub -segments you are witnessing any
visibility based on your order book, the way you have seen in consumer between ODM and
OEM?
J S Gujral: See, the consumer is more of OEM is growing up. The ODM will kick in only next year, too
early to say. ODM is accounting for about 17%. Next year I expect it to be higher by about 3% -
4% more. So I should be at an ODM of about 20% in a month next year.
Keyur Pandya: No, sir. The question was that the mixed change between ODM and OEM within consumer led
to a change in margin mix. In rest of the segments like auto healthcare, industrial, etcetera. From
current levels, are you seeing any change in the mix which can lead to fluctuation in margins, if
you have a visibility based on the order book?
J S Gujral: There is no significant change in the order book or the product mix which we will be supplying.
So industrial, is industrial, there is no significant difference between one industrial product to
the other industrial product, and so is the case with automot ive. What we believe is that with the
increasing purchase spend, as you've already got some efficiency in the operating overhead
compared to the last year, my purchasing spend efficiency should kick in as my volumes go up.
Some have already kicked in, some more will kick in. And we have constituted a special task
force within the company to holistically look at it to see how we can bring in some percentage
improvement in the material effect. Early days on the chicken, but th ey will surely be hatched.
Keyur Pandya: Understood. Sir, this last question, as you talked about, say, balance between margin and
working capital, so how the working capital would

be different for consumer segment versus
rest of the segments?
J S Gujral: There's a difference in the high volume. The working capital cycle is significantly lower. As I
said, that industrial and automotive and all those things that have a working capital of 80 days,
85 days or whatever, 90 days. And if the overall we are showin g 70-odd days, it obviously shows
that the consumer segment has a lower working capital cycle.

See, it is directly related to the margin. Low margin business inherently have an efficient
working capital. High margin business because the volumes are low, the varieties are large, the
working capital cycle is a bit high. So this is intrinsically across the industries globally. So apart
from working on...
Keyur Pandya: If I can just give some idea, not exact number, probably range would give more clarity?
J S Gujral: Sorry, I couldn't get it.
Keyur Pandya: If you can give some quantification on the range of working capital for say, consumer and non -
consumer businesses, that would be helpful?
Bijay Agarwal: Consumer, while the high volume business can be around somewhere around between 30 days
to 40 days, while the other businesses we are running between varying with a different kind of
vertical it is varying between 60 days to 80 days. So that's where we see this average is about 70
days.
Keyur Pandya: Understood sir. Thanks a lot and all the best for the future. Thank you.
Moderator: Thank you. We'll take the next question from the line of Vishal Singh from Makrana Capital.
Please go ahead.
Prabjoth: Hi guys. This is Prabjoth from Makrana. I think a few people have asked this question and I
think it's just important to get clarity here. So even if I adjust for the one -offs because of the
acquisition, the ask rate for the margins for the second half is close to about 11.3%, what 11.5%
percent which gets you to a full year number in the range of 9.2%, 9.3%. So what is the visibility
on that? Number one.
And number two is, Mr. Ag arwal, I fully appreciate the way you look at things which is as long
as there is no deterioration in the margin of the products that you're supplying, and this is just a
function of change of the composition. I think what people are including us, I kind of get our
head around is, so this is essentially the second quarter running where margins have come out
lower driven by the consumer business.
So I think what we're going to figure out is when you look forward, how does the business shape
up? Because if the business is going to be consumer heavy, then clearly the margins will
structurally be lower, while obviously growth can be higher and absolut e number can be the
same or give or take. So how do you think about that?
Because I think, and if that dynamic changes, I think just more visibility around, okay, look, this
is where we are today over the next 18 months to 24 months. This is how we get to that double
digit, like you said, exports 2%, 3% higher. You know, obvious ly, your peers in the business are
getting a lot of orders in railways, which obviously continues to do heavy capex. So maybe more

visibility around that path to double digit or not, if consumers are going to be just a bigger component structurally?

J S Gujral: See, in the short term, which is a couple of quarters, the consumer would be a heavy weight in our portfolio. In the long run, once the exports and other products kick in, it will come back to its normal percentage. We would love to have no industry segmen t accounting for more than 25% of our revenue on a long -term basis. That's a sort of objective which we have set for ourselves. But abrasions within the quarters do happen.
And as I shared in one of my earlier questions, we have not factored in any PLI benefit for the current year or wh

atever. So hypothetically, if I was to take a PLI on an accrual basis which I will not as a conservative entrepreneur, my margins go up by ano ther 0.6%, 0.7%, 0.8% 0.8% because of the PLI itself. Long term, consumers should be around 30% -plus. I don't see it coming down to 25% in the near future. When I say near future, even in ‘24, ‘25.
Thereafter, it's too early to guess how the things pan out, but I would expect consumer to be about 30%, exports to go up to absolute figure, very good figure, it should be 30% -plus. And once my design efforts kick in, and we have hired resources, marketin g resources in US and England, London, to spearhead the design marketing. I think we are there with the figures of the EBITDA margin which we have taken.
Prabjoth: Mr. Gujral, one of the questions, so I understand exports, I understand consumer, what about the other, which is the whole thesis around import substitution, whether that is industrial, railways? How do you think about that business and the growth in that business?
J S Gujral: Industrial, railways are a long haul. The values will not be very significant in the short term. They have a long gestation period. As I shared in my last call, we got the RDS O approval and we expect to do railway business of about INR70 crores up from about INR35 crores, INR40 crores last year. Now even if that INR70 crores was to double next year to INR140 crores, it's a 100% growth. But 140% growth if I close at whatever figur e we believe this year and I was to grow at 40%, INR140 crores will be what, 3%, 3.5% of my total revenue. In a conservative business.
So the import substitution in the consumer has the impact of what you call it when you take a paracetamol, it reduces the temperature immediately. So the import substitution in consumer space has a very short gestation period. Import substitution in indust rial, railways, aerospace and the like, has a higher gestation period. So you have to work on the patient to make him healthy. So these are the buckets where we are working for the long -term health. But consumer business is available today because of the i mport substitution and hence this sort of mismatch in the portfolio.
Prabjoth: Understood. And maybe you can take this offline. So well understood on the short -term impact of consumer. It'll be just helpful when you look at other domestic substitution opportunities, kind of how does that roadmap look like over the next two years, thr ee years, four years. But this is very helpful. Thank you.
Moderator: Thank you. We'll take the next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes, hi. So can you talk about the diversification, industry diversification from the existing business? Like focusing on clean energy or A&D and telecom?
J S Gujral: See, what we are focusing on is our core competency of design -led manufacturing. So, with our renewed focus on the design efforts in the company, we would see and are seeing sort of green shoots of new verticals and areas opening up. Too early to put a qua ntified figure on it that this will result into a x revenue or y revenue, but the democratization of the revenue of the industrial verticals would be there.
But I don't see them displacing the three dominant verticals which we are working, which is automotive, industrial, and consumer. They would continue because they have a very high pace today. A new vertical, say, for example, in the renewable energy space comes up, but it will be starting from scratch. So starting from scratch to become a percentage in the overall revenue will take time. But our engineering teams are working on it and we are sort of very confident that going forward, the five verticals on t he basis which will be growing is automotive. Automotive would be mobility as well as infrastructure. It will be

industrial. And industrial, the utility
metering would be one of the dominant players, apart from power management systems and other things.

Aircon business would be a good business in the coming years. We have already started doing reasonably good revenues. We're tied up with a leading Japanese manufacturer in the country. And we are servicing his product. IoT would come in, but the IoT value would be small. But it will be margin -accurate.

And one stream which we have started focusing on is the engineering services stream. Too early to say, how much it will generate, but hypothetically if it was to generate INR30 crore s revenue in a year, there the typical EBITDA is about 45%, 50%. So INR15 crores is direct to the bottom line, without any material cost. So the design and engineering services is focused on two branches. One is the ODM development and one is the services b usiness.

So with all these factors, with the healthcare coming in, the PLI coming in, I'm very confident that what we had set out on a long -term basis of a reasonably high margin business with huge volumes from INR1,000 crores if you go up to INR4,000 crores, INR5, 000 crores and you are able to get that without significantly compromising on EBITDA margins the absolute cake and pie which is available is very good.

Sumant Kumar: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Swati Jhunjhunwala from BOB Capital Markets. Please go ahead.

Swati Jhunjhunwala: Yes, thank you so much for taking my question. Most of them have been answered, just two quick ones. First, you said that ODM contribution was 17% in consumer for the quarter. So how much was this last year?

And second, on the revenue guidance, you said INR3,000 crores for the full year. So is that including the INR100 crores of Johari that we expect in H2 or is that including that?

J S Gujral: We currently have not factored in the Johari revenues in our business plans. So whether it is INR3,000 crores or INR2,900 crores or INR3,100 crores, because when I say that we do 45% or whatever in the career of our staff, it's all organic, it's not includ ing inorganic. So that should answer that question.

On the ODM share in the last year, my personal gut feel, it was 22%, in the consumer space, I'll have to get back to you, what was the percentage last year, I'll ask Bijay to get back to you offline. I don't have the figure. But my personal hunch is that i t will be significantly higher in consumer.

Bijay Agarwal: So last year it was about 23% ODM share in consumer.

Swati Jhunjhunwala: In consumer and this year it was . The 17%, this year was for the entire business?

J S Gujral: Because healthcare and consumer are two separate products and classifi ed in ODM. So I'll get back to you with that question part with my team on the component, the breakup of the consumer business between ODM and non -ODM. We will get back to you.

Swati Jhunjhunwala: Yes, and also if you could share what is the mix in H2 that you are expecting for ODM? What is the ODM share that you are expecting in H2, FY ‘24?

J S Gujral: I think we'll continue the ODM because the ODM business will grow at a much faster pace. I think on the organic basis, my ODM share should be same as about this year which is 17%, 18% but with the inorganic sort of consolidation of figures it should go up.

Swati Jhunjhunwala: Got it. All right, thank you so much for taking my question.

Moderator: Thank you. As there was a last question for today, I would now like to hand the conference over to Mr. Jasbir Gujral, Managing Director, Syrma SGS Technology Limited for closing comments. Over to you, sir.

J S Gujral: Thank you, ladies and gentlemen. Pleasure answering all your questions. If you have still some queries, please get back to Nikhil

Gupta, our Investor Relations Head, so that he can answer all those queries.

On a closing note, I would just like to state very shortly that we are focused on building a long -term sustainable organization, which as I have always been saying, grows at a rate higher than the industry average, which we have demonstrated in the last se veral quarters. Superior profit margins, which we have lagged slightly because of one -time expenses and the structural change in the product mix. It takes time to get back to the original structure.

Now, I would like to share with you what we are doing in the organization building. That's the key when a company is graduating from a INR1,000 crores to a $1 billion company, whenever that may happen in the near future, the organizations have to be in pla ce and the system and processes have to work. And our teams are working very, very seriously on this.

Now I'm happy to share with you that we got IPC 610 Class 1, 2, 3 certification and we are the only second company in the country to have this certification. The certification of class 1, 2, 3

sort of qualifies me for my international business to cater to consumer, industrial, automotive and aerospace. The only other company which got this certification in November of '22 was SFO Technologies. Besides that Siemens is the only company which has a Class 2 certification, which means they're not qualified as for the certification for aerospace automotive.
Now, these processes and systems take a lot of time, a lot of cost, but they are enabling the organization to be future ready. As we have shared in our presentation, we have enlisted among the Top 200 Forbes growing companies. So all this is a demonstratio n of the effort of the team. I'm just a cog in the wheel. It's the team which delivers. So anything which has happened positive in the organization is full credit to the team and any negative or any aberrations which have happened, it is the leadership whi ch has to take the sort of responsibility.
I would only assure you that we are very, very focused on growth, profitability, social responsibility. For example, we have set ourselves a target of 50% sourcing of energy from green sources. And we are entering into long -term contracts to ensure that we should not only be positive in terms of carbon footprint generation, we will be reducing that, but it will also be saving on the energy cost.
Next quarter when I meet you, I will have even better information and news and I am very confident of the long term growth of the company. Thank you very much.
Moderator: Thank you members of the management. Ladies and gentlemen on behalf of DAM Capital Advisors Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

Date: February 13, 202 4

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for results of quarter and nine months ended December 31, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the financial and operational performance of the Company for the quarter and nine months ended December 31, 2023, held on Wednesday , February 07, 202 4, at 10:30 a.m. (IST).

The transcript of the conference call can also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations/

We request you to take the same on your record .

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

"Syrma SGS Technology Limited
Q3 FY24 Earnings Conference Call"
February 07, 2024

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER – SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –

SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD - INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Syrma SGS Technology Limited Q3 FY24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all parti cipants' lines will be in the li sten-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, sir.
Anniruddha Joshi: Yes, thanks Manuja. On behalf of ICICI Securities, we welcome you all to Q3 FY24 Results Conference Call of Syrma SGS Technology. We have with us senior management of the company.
Now I hand over the call to Mr. Nikhil Gupta, Head of Investor Relations, to introduce the management and take the conference call forward. Thanks, and over to you, Nikhil.
Nikhil Gupta: Thank you, Aniruddha. Hi, very good morning to all. Welcome to Syrma SGS Q3 FY24 Earnings Call.
We have with us today Mr. J. S. Gu jral, Managing Director, Mr. Jayesh Doshi, Director, Mr. Satendra Singh, Chief Executive Officer, and Mr. Bijay Agrawal, Chief Financial Officer, Syrma SGS, to discuss the performance of the company during the third quarter of fiscal 2024, followed by a detailed question and answer session. During this call, certain statements that will be made are forward -looking, which involves several risks, uncertainties , assumptions, and other factors that can cause results to differ materially from those in s uch forward -looking statements.
All forward -looking statements made herein are based on the information presently available to the management, and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please d o review the disclaimer statements in the earnings release and all other factors that can cause a difference.
I will now hand over this call to Mr. J. S. Gujral, Managing Director, Syrma SGS. Thank you.
J.S Gujral: Good morning, ladies and gentlemen. It is my pleasure to host this Q3 earnings call for FY23 -24. The three quarters, April to December of this year, have seen a robust growth of 48% in revenues to INR2,062 crores, which is almost touching the annual figures which we did last time. So, the growth is intact. This despite a flattish Q3, which is not a reflection of our annual growth prospects. We had some major push -out of orders, sales, dispatches during Q3, which resulted in a flattish Q3 compare d to Q2.
Year on year, we have grown in revenues. Our EBITDAs for the nine months stand at 6.6%. 48% growth has resulted in a saving of 2.6% to 2.7% of overhead, which has partially offset the increase in the material margin because of the change in product mix. Wh at I would like to share with you is that the industry profile of margins, gross material margin of various industrial segments are stable and are not seeing any major contraction.

Our exports have grown by 18% year on year for the nine months, and if I was to see Q3 of this year compared to Q3 of last year, they have gone a significantly higher percentage, which is close to about 50%. We have orders in hand of INR4,500 crores to be executed over the next 12 to 15 months. During these nine months, we have commissioned over new facilities at Gurgaon.
We have put up a new facility at Noida, and we are also in the process of setting up a new facility at Bawal and Pune. Cumulatively, these facilities will give us an additional 3.5 lakh square feet of area, which will cater to the future growth prospects o f the company. For an EMS company, the basic capacity i

s the SMT, and between April of this year and December
of this year, we have increased our SMT placement capacity from 3.2 million components per hour to approximately 6.3, which is almost a 95% incre ase, a doubling of the capacity.
So this will help us in achieving the growth trajectory which we are envisaging and have budgeted for our company. For the current year, we maintain over the guidance given earlier

of achieving INR3,000 crores of revenue, with an EBITDA of approximately 7 % to 7.5%. For the next year, we expect this growth trajectory to be maintained. So we expect that next year will also grow in the same level as we have grown this year, which is between 40 %-45%.
And this will primarily be led by the rebounding of the healthcare sector, which we expect to have significant contributions in the coming year, automotive, industrial, and consumer.
During this period, we have onboarded, in the last quarter, senior resour ces to drive various business verticals. For example, we have hired a CEO for our RFID business to drive this vertical, because this is a high -margin creative vertical.
We have also hired a Chief People Officer to take the organization to the next level. I would also like to share with you that we have hired, during this quarter, Mckinsey , who will be assisting us in driving operational efficiencies and growth trajectories over the coming years, the results of which will be visible not in the short term, but in the long term. Before I hand over to Bijay Agarwal, our CFO, to delve in detail on the financials, I would now request Satendra Singh , our CEO, to introduce himsel f and share his thoughts, and then Bijay will share the financial details with you. Thank you.
Satendra Singh: Thank you, Mr. Gujral. Good morning, everyone, on the call. Good to be here in our Q3 FY24 results call. As Mr. Gujral said, there is a strong growth, which we have had over the last three quarters. We expect to continue a similar trajectory as Mr. Gujral covered in his remarks. At this point, I think, Syrma SGS is in a phase wherein we are investing, investing in our ability to deliver the future.
We have invested in hiring the leadership talent, the CEO for one of the business units, the Chief People Officer, and we are working through bridging some of the areas where we believe we could enhance our capabilities. In addition, we are continuing to invest in our manufacturing facilities, the four facilities Mr. Gujral mentioned, along with the SMT capacity.
So, essentially, we are in an investment cycle wherein we are investing in our people, process, and manufacturing capabilities.

We, as a company, and I, as an individual professional, continue to remain very long and very bullish on manufacturing. With this, I'll say thank you and turn it over to Bijay for his coverage of numbers. Over to you, Bijay. Thank you.
Bijay Agrawal: Good morning, everyone. I'll now take you through our brief financials for the quarter and nine-month period ended December 2023. Our revenue for the nine -month is approximately INR2,028 crores, up by almost 48% year -on-year. And, same way, for the quarter, it is INR709 crores, up by 38% year -on-year.
Out of this revenue, almost 27% is being contributed through export sales. Export sales for the quarter is almost INR200 crores for this quarter. ODM revenue for this nine -month period is almost 19% for us. The gross margin for the quarter ended at nine -month period is approximately 24% for us. Our operational expenses for the quarter are slightly higher in this particular quarter, as explained by our MD and CEO.
Some push out of revenues and some upfront investments towards the organizational building, team building across multiple focus areas and geographies. Our operating EBITDA for the quarter is approximately INR41 crores. And, for the nine -month, it i

s INR1 33 crores, which is
6.6% of operating EBITDA margin. PBT for the quarter is INR27 crores. And, again, for the nine-month, it is INR107 crores, which is, again, 5.2% of PBT margin. Similar way, PAT for the quarter is INR20 crores and, for the nine -month, it is approximately INR79 crores, which is 3.8% of PAT margin.
My net working capital days for the quarter is 72 days, slightly higher than the last quarter where we were running at around 70 days. So, two days difference mainly because of some additional inventories being carried for the businesses over here.
Now, coming to the order book which we have in our hand. Currently, we are carrying an order book of approximately INR4700 to INR4800 crores of total order book, out of which, near about INR4500 crores which need to be serviced in the next 12 months perio d. And, again, if we see the breakup of this order book, about 88% to 20% is towards auto sector and maybe about 40% to 45% is towards consumer sector.
And, similar way, about 30% to 35% is for industrial sector. Balance sheet for healthcare, IT, and railway segment as of now. Again, on the debt and treasury side, we have a debt of approximately INR494 crores as on December end, against which we are carr ying a total treasury position of INR405 crores or maybe INR428 crores. So, my net debt position as on quarter end is INR65 crores. Out of this debt also, near about INR88 crores is a long term debt. Balance INR400 crores approximately is towards working c apital debt.
Coming to the capex number, in the 9 month period, we have spent almost INR240 crores of

capex towards multiple different facilities. And, we expect another INR40 crores to INR50 crores of capex spent in the upcoming quarter, which is quarter 4 of this fi nancial year. We still have about INR200 crores of unutilized IPO funds towards capex, which we expect to spend in another next 12 to 15 month period.

With this, I will now hand it over to Nikhil to open the forum for the Q&A session. Thank you

very much.

Nikhil Gupta: Thank you Bijay. Manuja, over to you for the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rahul Gajare from Haitong securities. Please go ahead.

Rahul Gajare: Good morning, gentlemen, and thanks for the opportunity. I have a couple of questions. I will start with the revenue and margin, which were tied lower during this quarter. Can you talk about the reasons specifically for lower revenue and margin in this par ticular quarter? Given that you had a strong order backlog, there was a clear roadmap in terms of execution. And I think you also indicated earlier that H2 normally is 55% of your revenue.

And I think the guidance that you have just talked about basically talks about being able to do about INR900 to INR1000 crores of revenue in the fourth quarter with 10% EBITDA margin. So I want to understand which has the segment that you are confident th at will drive this 10% margin? So that is the first question. Thank you.

J.S Gujral: See, this quarter we had a push -out in the automotive and consumer segments, which led to a decline of revenue. And once the revenue declines, the overheads things fixed, it has a direct impact on margins. For clarity, for example, if we consider the nine -month figure, we have grown by 49% post operating overheads have come down by 2.6%. But if I was to compare Q3 with the Q2, my overheads have actually gone up to approximately 15.5% to 17%. So, 1.5% increase in overheads, especially because the revenues are lower. We are very confident that we will recover this revenue.

And for your information, in the month of January, we have done a revenue of INR362 crores, which is the highest ever. And we expect that whether it is INR360 or INR330, that's a separate issue. But the

INR300 breach has been done and it will continue in the future. So, this Q3 is a one-off operation on missing the revenue growth. Though in nine months, we have grown by 48%. And this shows the resilience of the business, that despite a flattish quarter, nine months' revenue has still shown a very healthy g rowth of 48%.

So, we are very confident that going forward in Q4 of this year and the coming quarters of FY'24, '25, the revenues will be met. Honestly, quarter -on-quarter meeting the last figure or the last two digits or whatever, it's a thing we are focused on, but w e are not too sort of worried if one quarter is going because of a special circumstance. What we are focused on is what is the long -term picture. Is the long -term picture, the long -term growth trajectory, the customer onboarding, penetration in different g eographies, is that intact or not? On that, it is very intact. I hope that answers your question.

Rahul Gajare: Yes, you talked about push -out. Is it possible you can quantify the push -out of revenue in this particular quarter?

J.S Gujral: I'll just ask Bijay to share that figure with you. It's about INR100, INR110 crores.

Rahul Gajare: My second question is on, you talked about pretty strong order backlog at almost INR4,500

crores. How much is export out of it? I remember export is something which will aid margin expansion for this company.

J.S Gujral: See, we expect order backlog, I'll just ask Bijay to pull out the figures of the order backlog of exports. But if exports account for about 27%, 28% of all revenues, I expect the exports should be in the same proportion, maybe a little less. This year, we have done 9 months, we have done INR550 crores of exports.

And going forward, we expect the exports to grow further in the coming year on the back of renewed growth in healthcare. And the customers which we onboarded during the first 9 months of this year, they would start yielding serious revenues in the coming year. The figure on the exact export orders in hand out of this INR4,500 crores, overhead and taken out, it will be shared by Bijay.

Bijay Agrawal: Approximately, we have 20% of export orders in the overall open order book there. And in the next quarter also, we are expecting somewhere around 20% to 30% of export in the next

quarter.
J.S Gujral: So that would translate into export business of export orders of about INR900 crores or of the INR4,500 crores.
Rahul Gajare: Sir, while you have said that working capital will actually decline as we go along. We have not seen that really happen. So where are we on that journey? And I think connected with this, I also want to understand, there was a litigation where you settled s ome amount. Is it possible you can share some details of that litigation and what is it that you have done in terms of risk management? So that these kinds of things do not reoccur? Because as the order book revenue quantum goes, I think if t here are litigations, this number can also increase. So what are the risk management tools or things that you have put in place, so that these things do not reoccur?
J.S Gujral: See we had projected inventory go as a net working capital going down, which is slightly two days up. But in absolute terms, if we see the inventory and the net working capital has gone up, now if a INR100 crores , INR110 crores revenue gets pushed down, it would be lying in the shop floor. And with average material cost of 70%, 75% or whatever is that, approximately it is what, about 74%, 75%, it means a direct hit on inventories to that extent. So on a long -term basis, we still maintain that. We said that, we would try to bring it down to 70 days. We are still holding that and sliding it down to 60 days.
Quarter -on-quarter meeting every target at times in this dynamic business environment is a challenge. What we conce

ntrate on is, is the business outlook from that customer stable for the coming quarters or not? And there we don't see any challenge. Quarter -on-quarter, it will always be there. Some odd thing, not of this magnitude, but we started off with 90 days at the beginning of the year and then we have come down to 70 days last quarter. This time it is 72 days and I think in March, we should be below 7 0 days.
Bijay Agrawal: Now on the contingent liability or maybe that litigation thing, this is an 8 -year or maybe 9 -year-old litigation which was going on with one of the customer. Again, regarding this thing, this was always disclosed in our contingent liabilities. This was ref lecting as a contingent

liability worth around approximately INR6 crores in our balance sheet previously.
We settled it out of the court with that particular party during quarter two of this financial year and overall impact is INR1.35 crores is what we have agreed to pay. And this was already factored in our finances in quarter two of this financial year. An d again, because it was a litigation, it was already disclosed and related, I would say measures internally from a risk point of view was always being taken care of.
Rahul Gajare: Thank you very much and all the very best.
Bijay Agarwal: Thank you.
Moderator: Thank you very much. The next question is from the line of Alok Deshpande from Nuvama Institutional Equities. Please go ahead.
Alok Deshpande: Yes, good morning everyone. Thanks for the opportunity. My question is about the order book. You mentioned an order book of about INR4,500 crores. Would it be possible to share the split of the order book between the different verticals that you have? I t hink I remember you mentioning about 40% -45% is consumer.
That's what you mentioned in last quarter. And then based on that, the guidance that we are giving on margins for next year which is 7% -7.5%, then before you bought Johari Digital, you had a margin which was 9% -10% and Johari is about 35% margin business. Then are we looking at a scenario where the business margins or the blend mix is taking the margins down? So order book and margins are the two questions that I have.
J.S Gujral: Okay. The breakup of the order between the various vertical and the segments I think Bijay will share with you after my reply on the margin profile. See, again as I said in my opening statement, what we are focused on is maintaining or increasing the margi n profile of each vertical.
Now each vertical would have its own margin profile. Automotive vertical margin profile cannot be compared to a consumer vertical margin profile. And if tomorrow, for example, we were to do the IT business, the margin profile would be entirely different.
So what we internally work is that A, is my vertical profile sustained, stable or is it getting under stress? Then within the vertical, we look at the customers. So, margin profile, if the product mix changes, would undergo a change.
And keeping into account the profile of potential sale mix in the coming year, we believe that with the mix which we have envisaged for the next year, that is FY '24-FY '25, we should be in the range of 7% -8% EBITDA. For FY '24-FY '25.
Bijay Agrawal: Now on the order book breakup, I can just take you through. Broadly, the largest contributor here is consumer, which is almost 40% -45% is being contributed by consumer segment here.

Thereafter, industrial segment which is contributing almost 30% -35% of the order book.

And then comes auto which is 18% -20%. And then we see healthcare, IT and railways is the balance. Healthcare is slightly higher this time, about 8% -10% is what we are expecting out of the healthcare in this particular quarter.
Alok Deshpande: And Bijay, the business from Joha

ri would be part of this healthcare vertical, right?
Bijay Agrawal: You say IN R 4700 - 4800 crores, this includes Johari also.
Alok Deshpande: No, the healthcare includes, healthcare part which you mentioned 8% -10%, that will include Johari also.
Indrajit Agarwal: Absolutely.
Alok Deshpande: Okay, understood. Thank you so much, gentlemen, the response is very helpful.
J.S Gujral: Thank you, Alok. Thank you.
Alok Deshpande: Thank you.
Moderator: Thank you very much. The next question is from the line of Aditya Bagul from Tata Mutual Fund. Please go ahead.
Aditya Bagul: Hi, sir. Good morning to everyone. Thank you so much for taking my question. First of all, heartiest congratulations. We are very enthused by the overall growth momentum that we have maintained so far. My question is on EBITDA margins, right? So, when we g o back, let's say a year or two, with somewhat of a similar mix, we used to do close to 28% -29% gross margins flowing into a double -digit sort of EBITDA margin profile.
My question is, over the last nine months and running into FY '25, is there a structural change in terms of thought process to chase, let's say, an auto or a consumer set of customers, which are essentially driving a negative mix for us? So, my question is, is there a change in thought process for us to drive a particular set of customers?
J.S Gujral: No, I don't think there is a change in the mindset to drive a particular set of customers. We being in business, it's a management call or business call that if an opportunity is existing in a particular segment, should that opportunity be taken up or not taken up? Now, when we take up an opportunity, we evaluate various parameters.
For example, if I was a INR1 ,000 crores company, my buying power, the muscle power with my vendors, the negotiation power with my vendors would be quite different if I was to buy material worth INR3 ,000 crores . So, while a particular segment has its own margin profile, the positive rub -off effects on the overall business as we grow are there. So, it is not that the management is changing its focus from automotive to consumer.
Automotive, we have grown. Nine months, we have grown almost like -- just a sec. Nine months, we have grown by 67% in automotive, whereas we have grown 90% in consumer. In absolute figures, we have done an additional automotive core business of INR168 crores. So, it's not that the focus has shifted. It's just that a business which is available, formidable names,

global players, which bring in sort of manufacturing expertise, we have taken that business. It's not one at the expense of the cost of the other.
Aditya Bhagat: Right. Understood, sir. That's very helpful. Can you also clarify, I think you made some comments earlier in terms of raw material cost. So, when I look at the RM margins, right, your gross profit margins, you've come down from 29% to 24%. Is that purely o n mix or is there some other elements to that as well?
J.S Gujral: That's what I said. We very minutely, closely monitor first the vertical -wise gross material margin and then within the vertical, the customer margins. This change is purely, purely because of change in the product mix. And if I was to see, FY 9 months, it has gone up by, gone down by about 5%. And my consumer business has gone up by 90%. So, the heavy reliance on the consumer business is bringing down this gross material margin.
Aditya Bhagat: Sure, sir. Loud and clear. Thank you so much for this. Just a small suggestion, sir. If you can…
J.S Gujral: Increase in material cost by about 5%, because of the operating leverages which the consumer business has brought in, has saved me 2.7%, 2.6% on overheads. So, while on the gross material margin, we see a negative, on the operating margins, the overheads, we see a positive. So, the net impact could be half

of that.
Aditya Bhagat: Understood, sir. This is very clear. Just a small suggestion, sir. If possible, it would be great if

you can articulate a medium -term strategy, not necessarily right now, but maybe heading into FY'25, if you can articulate a medium -term strategy, a 3 -year, a 5-year outlook, that would be very helpful, sir.
J.S Gujral: Point well taken. But I'll tell you the strategy is very clear. To grow at an industry -plus rate, year-on-year, for the next 3 to 5 years. So, if the industry is growing at 30%, 35%, we should be growing at greater than 35%.
Aditya Bhagat: Understood, sir. Thank you, so much and good day , gentlemen.
Bijay Agarwal: Thank you.
Moderator: Thank you very much. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar: Yes. In railway, we have seen a 20% kind of degrowth in 9 months. So, and we are seeing a higher opportunity in railway. And also, healthcare, we have only 17% growth. So, what is the outlook for healthcare and whatever the order book you are getting, it i s not showing we are getting a higher order book for healthcare as well as for railway. So, can you talk about what are the challenges we are facing in this segment?
J.S Gujral: Okay. I'll come to railways first. In my last call, I had shared that we had called the RDSO approval for railway signalling equipment. And we have got a business of about INR35 crores from there. There was an existing business of INR5 crores . We were expecting this INR35 crores business, part of it to be shipped out by March '24. Unfortunately, because of some

component shortages at the global level from very specialized controllers, this sale is being pushed out to the next quarter.
This quarter, we should be doing about INR5 crores of railways for the railway signalling equipment. And the railway business, since we have just started off, the base is small. Once the base of the customer goes up over a period of time, then it becomes less immune to fluctuation. If I have two customers in the railways, and if one of them was to get pushed out for material shortage, it has almost a 40% chance. Is it okay?
Moderator: Yes, sir. Please continue.
J.S Gujral: Yes. So, once the base of railway consumer customers expands, the sensitivity to the fluctuation gets diffused on a longer base and it's less immune to major fluctuations. This will take time because railways is a long gestation business acquisition. With thi s RDSO approval, we have made the initial breakthrough. So, we expect that in next year, railways should contribute about INR70 to INR75, INR80 crores of revenue at the minimum.
Sumant Kumar: And about healthcare?
J.S Gujral: Healthcare is, essentially, I think next year, my healthcare business should be approximately INR300, INR350, INR400 crores, INR375 to INR400 crores business next year. All inclusive, whether it's RFID, whether it's EMS, whatever is that.
Rahul Gajare: Thank you so much, sir.
Moderator: Thank you very much. The next question is from the line of Indrajit Agarwal from CLSA Capital Partner. Please go ahead.
Indrajit Agarwal: Hi, sir. Two questions from my side. First, the difference that we see in material margin across various businesses, is it offset by better asset turn? The meaning is, are the ROCs across businesses similar or consumer generates a lower ROC than, say, healthcare?
J.S Gujral: See, the high -volume businesses that always have a lower – some of a lower gross material margin and a higher asset turn. It would also have a less impact on net working capital. Businesses which are low to medium volume will attract high margins. High mar gins would be higher on EBITDA, but maybe they would not be as high on the asset turn as the consumer business.
So, it's a mix, and it's not one off against the other, and they

cannot be compared. So, a high -
volume business, lower gross material margin, higher asset turn, and comparatively, less working capital involvement, net working capital involvement. Low to me dium volume businesses, they would have comparatively higher gross material margin, they would have lower asset turn, and there would be involvement of working capital also.
Bijay Agrawal: So, the ROC should be in the similar range for almost all the verticals across. Only difference can be wherever we have started a new business, there the ROC can reflect probably after a full ramp up, till the times of ramp up you having. You can see a sli ghtly lesser or subdued

ROC during that interim period.
Indrajit Agarwal: Sure, this is helpful. My second question is, on your EBITDA margin guidance of 7% to 8%, is there any proportion of other income, that is non -treasury other income or other operating income that you are including, either in revenue or EBITDA?
J.S Gujral: This is the operating margin which you are referring to.
Indrajit Agarwal: Yes.
J.S Gujral: And even for the 7% to 8% they are the operating things, with the other income, the margin would be higher – the EBITDA margin would be higher.
Indrajit Agarwal: Okay, that's clear. Thank you so much.
Moderator: Thank you very much. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.
Keyur: Thank you for the opportunity. Just one clarification. So, right now, what would the gross block, if you can help us and by end of FY'24 or '25, the possible operational gross block, what would that number and just if you can validate the gross asset, gros s block asset turnover should be around in the range of 4 to 5 is at document. Is it correct understanding?
J.S Gujral: I think Bijay will just share the figures with you. But yes, while he is sharing the gross block figure, I believe that by the FY'25 end, over a set time should be upwards of 5, could be closer to 6. From the current, I think it's below 5. Bijay will share the exact details with you.
Bijay Agarwal: So, my gross block is approximately INR700 crores as of now. But out of it, there are about INR150 crores of assets which are there, which are not deployed to put to use. We have already acquired a facility there in Manesar as a new expansion facility. The expansion work is already going on. And si milar way, the project expenses, whatever we have incurred related to Hosur location and that project, till the time we commission that project, all the expenses are there in the CWIP and it is not put to use.
So, there will be approximately INR150 crores of capex which we have incurred in last 12 to 15 months, which is still not resulting or will be delivering anything into the operational performance so far. So, which will be reflecting into going forward in t he next financial year.
J.S Gujral: What I will request Bijay is that he should take out the capital work in progress which is just not, which is not being put to productive use and share offline with people, all the panellist, what is the assets actually deployed in production and excluding the CWIP. When CWIP comes into full production, the asset turn will be calculated with that. Because that's the true measure of the effectiveness or the efficiency with which the assets are being used.
Keyur: No, correct. That is why I asked for operational cross -block. Fair enough. Just one data point. 9 months cash flow from operations, if you can share, that would be helpful? Thank you.
Bijay Agrawal: 9 months OCF is almost negative here for this period. But we see in the full year basis, we

should be having a good, decently positive numbers. Because there is an incremental working capital investment during this period. So, ov

erall OCF is negative.
Keyur: At around? Could you possible to quantify?
J.S Gujral: Its around negative? See, the sale push out which has happened in December has resulted in an increase in working capital.
Keyur: Understood. Understood. Noted. Okay. Thanks a lot.
J.S Gujral: Only bought the material, made it. It could be in the lagging finish goods or in the advanced stages of completion. So, that's a push out.
Keyur: So, end of year OCF should be positive?
Bijay Agrawal: That's what we are targeting and we hope we should be able to deliver a positive OCF EBITDA.
Keyur: Noted. All the best. Thank you.
Moderator: Thank you very much. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.
Deepak Krishnan: Hi, sir. Thank you for the opportunity. I hope you can hear me fine.
J.S Gujral: Yes, yes. Please continue.
Deepak Krishnan: Sir, I just wanted to sort of understand again on the margin front. Because, essentially, if you look at order book, while healthcare is ramping up, its higher margin, but a large part of consumer will be still driving growth. Its 37% for 9 months, goes up to 40% , 45%. And auto is where you are sort of seeing the negative mix impact. So, except for whatever you sort of have a delay in shipment and some sort of recovery, beyond 7%, 7.5%, do we kind of see margin going ahead with this mix or that is sort of the steady state? And specifically, for Q4, the ask rate is pretty high, closer to 10%. So, what gives us confidence is that with go little deliver 7%, 7.5% for this year also?
J.S Gujral: See, we have mapped out the budgeted sales, which we are envisaging, which you are targeting in FY'24 and FY'24, '25. And it's based on that, that we are giving the guidance on 7% to 8%

for the next year. It will be basically on two accounts. A, my assets starting to get optimally utilized. The capacities which you have created this year will start getting optimally utilized next year. So, this will give me operating leverage benefits.
And then, based on the sale profile, we have calculated the gross material margin. That if this was my sale profile, vertical wise, my gross material margin would be 24%, 25%, or 26%, or whatever it's at. And then the operating leverages, which will come in with the increased revenues and the assets being sweated more. With that, we have come at a figure of 7% -8%.
Deepak Krishnan: And essentially, with 7% -8% sort of, margins, what kind of receipts will we finally target with 70%? 70% of working capital base? And over time, we should be seeing FTA generation

coming through, right?
J.S Gujral: Sorry, I couldn't get your question.
Deepak Krishnan: I was just saying that 7% -7.5% sort of margins and about 70 days of working capital, what kind of receipt profile are we targeting? And do you think that sort of covers up for, you know, free capital generation also over time?
J.S Gujral: Okay, yes. With this margin, and we are targeting the net working capital to glide down further. The target, as you said, that old wish list is it should come down to 60 days.
We have come down from 90 odd days when we started our journey with the markets. So, over the last 18 -20 months, we have come down by almost like 20 days. 18 -20 days, and we expect this to go down.
Now, how will it go down? There is a rationality behind it. See, the moment I onboard high volume customers, the inventory holdings come down.
Doing INR100 crores of revenue with, say, 6 customers or 5 customers, the inventory holding will be different than doing INR100 crores of revenue with 1 customer. As my model mix goes down, the inventory levels automatically go down. So, when we are scali ng up, we are obviously targeting anchor customers, which will give us good annual revenues, so that there is efficiency built into t

he inventory holding.
Deepak Krishnan: Sure, sir. Those were my questions and best of luck for future quarters.
Moderator: Thank you very much. The next question is from the line of Chirag Lodhia from ValueQuest Investment Advisors. Please go ahead.
Chirag Lodhia: Thank you for the opportunity. Sir, if you can just help us understand with Johari Digital's performance, how it has been for this quarter, and how is the order book, etc., shaping there?
J.S Gujral: See, Johari Digital, we are on track with doing what we did last year, approximately the same level of turnover. Next year, we are expecting a decent growth of about 25% -30% in Johari Digital turnovers. Now, the Johari Digital business is quite different t han the organic business, which is the EMS, because that's a product -based business.
So, whenever new products get onboarded, the growth in that particular year will see a higher, steeper trajectory. And then, it will come down to the rationale, the rational trajectory once the same products go into two years. And we have a decent product line in pipeline, which is under approval.
But all depends upon when do we get those approvals. But we expect that Johari Digital next year should be approximately, maybe 5% or 6% of our revenues. So, it will not be a major contributor to the revenues, but it will be a mainstay of the margins.
Chirag Lodhia: Right. And if you can just call out this quarter performance?

J.S Gujral: Bijay, can you share that?
Bijay Agrawal: So, this quarter, we have done almost INR30 odd crores of revenues for this quarter through Johari Digital. And with approximately 30% EBITDA margin over there.
Chirag Lodhia: Okay, okay. And apart from this, can you help us understand any new big client or deal you would have done in the last 2 -3 months?
J.S Gujral: See, we have onboarded some very good clients in the industrial space, but the revenues of which will come in the coming quarters. They are high volume clients. They are into the industrial, whether it's IOT, energy, automotive.
Consumer, we are sticking with the current base, other than the RFID part. In the consumer, we are with the current level of clients. So, the new clients which are in pipeline is very strong. And they would yield results in '25 -'26. The '24 -'25 projections which we are sharing, the guidance which we are sharing is with clients already onboarded and sort of order visibility

received from that. The new clients which are being onboarded now and i n the coming quarters would essentially yield revenues towards the end of this calendar year or at best this financial year end, that is March '25.

And the volumes will start in April '25. Because all these major clients have a 12 -18 month gestation period for value series production, high volume production.

Chirag Lodhia: Right. And how is the trajectory for healthcare divisions in export markets? What is happening there?

J.S Gujral: See, healthcare, we are very focused on it. And in Johri, for example, we have hired a new CEO and he is coming from Tata Alexey. So, he has just joined us maybe a month back.

So, that is the focus to grow that business. And he has grown that business in Tata Alexey from almost scratch to whatever Tata Alexey is doing today in healthcare business. So, he has joined us in the month of January.

And that is only with the focus on growing the business. And as I said in my last call earning, what we have acquired is not the business of Johri, we have acquired is a platform. And platform is for long -term growth.

Chirag Lodhia: Right. In terms of base business of healthcare?

J.S Gujral: Sorry?

Chirag Lodhia: Base business of healthcare division, how that would shape up going ahead?

J.S Gujral: Healthcare in Syrma was RFID and that has bounced back. As I shared in my earlier call, we did only I

NR15 crores in Q1. We did about INR35 crores -INR36 crores in Q2. It has started bouncing back. Q3, it has again seen INR33 plus crores of business. And it is now slowly and steadily picking up.

So, we will come back to where we were 2 years ago. It has been a year of lull and then a year of recovery. Last year was a degrowth. This year has started coming back to the original level.

Chirag Lodhia: Right. Right. And we are quite confident of achieving the INR3000 crores number which we have shared earlier. So, Q4 should have that delay what we saw in Q3, right?

J.S Gujral: We have done INR2000 odd crores up to December. January we have done INR362 crores. That is the figure I am sharing with you. The shipment total is INR362 crores. So, that gives us the confidence of achieving the INR3000 crores target.

Chirag Lodhia: Okay. Got it. Thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Amar Maurya from Lucky Investment Manager, Private Limited. Please go ahead.

Amar Maurya: Hi, sir. Thanks a lot for the opportunity. Sir, what is the kind of asset and we will be targeting let us say the peak level with the INR720 crores of cross -block?

J.S Gujral: Bijay, you take that and operational cross -block.

Bijay Agrawal: Peak level once we ramp up the full capacity there, we are always targeting a asset on somewhere between 6 to 7 times.

Amar Maurya: Okay.6 to 7 times. Got that. And secondly, this 7.5% margin which we are looking for is like the margin we should assume for at least like the full next 2 years, 3 years kind of thing?

J.S Gujral: I think yes. If the product mix remains the same, if there is a shift away from the consumer, more of other things, the margin could go up. But I think this is the margin profile we should look at considering everything into account.

Amar Maurya: Okay. And thirdly, sir, basically with this kind of investment, at the internal level, what kind of ROC we would be targeting?

Bijay Agrawal: Our ROC target is always 25% plus and if we are able to deliver the desired 7% to 7.5% EBITDA margin, my ROC should be in the range of 25% plus.

Amar Maurya: Basically, at INR720 crores of gross block or INR750 crores of gross block, 7 times, so INR5200 crores kind of a top line. 7.5% meaning INR400 crores of EBITDA. Your current capital employed is something around INR2050 crores.

So basically I am trying to understand how you will make a 20% ROC. Either your margin has to go up, otherwise you will be making 14.5% to 15% kind of a ROC.

Bijay Agrawal: My capital employed is approximately INR1400 crores .

Amar Maurya: Your debt equity, like currently your debt equity of September quarter number is around INR1560 crores. Your debt was something around INR80 crores and then another, I think, short term debt of around INR334 crores. So if I include all those things and plu s the half year

of profitability which I have included.
Bijay Agrawal: There are goodwill and unutilised IPO funds also. So maybe what we can see, Nikhil our IR person can share the working with you also. But broadly within the CE, my capital employed should be in the range of around INR1400crores to 1500 crores.
And that's why we see if we are able to deliver EBITDA of somewhere in the range of around INR350crores to INR380 crores , my ROC should be in the range of 25% to 35%.
J.S Gujral: I think Bijay can share the detail working with you, but I would like to add on a macro level basis. ROC is a function of asset term, EBITDA and your networking capital. As I alluded to in one of my earlier answers to one of the questions is that as we are scaling up, we are bringing in customers with high wallet.
So if I have to do a INR5000 crores revenue, I cannot do it with a INR

50 crores -INR60 crores
market of customers. So I have to bring in and in fact I have brought in customers who have to be INR200 crores , INR300 crores, INR400 crores, INR500 crores customers. So the moment there is a customer which is worth INR500 crores, the inventory and the working capital level with that customer goes down significantly.
So once the revenue goes up to what level we are targeting and what we have achieved, the profile of the customers will take a turn. It will be a different profile which will result into lower working capital, networking capital. And once there is a lower networking capital, it has a direct impact on the ROC.
Amar Maurya: Okay. So basically you are saying this cash conversion cycle of 80 -90 days will further reduce once you change this direction.
J.S Gujral: Today it is at about 72 days. My networking capital is about 72 days. We are endeavouring and targeting to bring it down and that's where the operational efficiencies will come in.
I will ask Bijay, request Bijay to share a sort of a model that with a INR5000 crores or INR4500 crores revenue, this working capital, this EBITDA, what will be the ROC?
Amar Maurya: Okay. Okay, sir.
J.S Gujral: I think that will be helpful for everyone. Bijay and Nikhil can share, you can get in touch with them and they will share the complete model with you.
Amar Maurya: Sure, sir. And one last, this McKinsey & Company which we are hiring, so what would be the cost involved for how much time this cost will be there? And what is the basic purpo se to hire McKinsey & Company? What are the key things they will be focusing on?
J.S Gujral: The first purpose of McKinsey & Company is to drive operational efficiency and Satyendra is leading this project from the front, so he will answer it to you. McKinsey & Company are not the ambassadors in PH. They are the Mercedes Benz and BMW.
So, they come with their costs. Confidentiality doesn't permit me to share the costs, but

McKinsey is McKinsey, so we cannot compare it with Maruti or Hyundai. So the costs, whatever are being incurred, are being expensed over a period of time.
We are expensing it and we have expensed it in the current period also. So for confidentiality, we cannot share the costs, but what will this project drive? Satyendra is leading it from the front and I hand it over to Satyendra to share what benefits we e xpect to get from this project.
And obviously if we are investing so much and we call ourselves businessmen, we expect that what we invest, we will get several times that in our projections.
Satendra Singh: All right, Satendra here. I think to quickly add on to what Mr. Gujral said, this is a period of investment for us at SyrmaSGS. I talked to you about investment in plant. I talked to you about investment in people and this is investment in the process plus business strategy. That's the third piece.
We are working with the firm and we are looking at the operating efficiencies. That's one part of the thing. And secondly, we're also looking at the business strategy for the future as to where we will double down and where we would say it's business as u sual.
So those are the two main areas where we are focusing with our own resources and with the outside help.
Amar Maurya: Sure sir. Thank you.
Moderator: Thank you very much. The next question is from the line of Hardik Rawat from IIFL Securities. Please go ahead.
Hardik Rawat: Hello. Yes. Am I audible?
Moderator: Yes, please.
Hardik Rawat: Yes, just wanted to know the segment -wise cross margins.
Bijay Agarwal: Yes.
Hardik Rawat: What are the segment -wise cross margins?
J.S Gujral: We have been asked by our clients and there's been a pushback from the clients because when

we declared the quarterly sort of cross margin client -wise, they always come back tha

t we are
earning this much, we are earning that much. So, we have refrained from publishing that. But nonetheless, in our meetings and one -to-one calls, you can get back to Bijay and Nikhil. They will share the figures with you.
Hardik Rawat: All right. Thank you so much.
Moderator: Thank you very much. The next question is from the line of Arafat from InCred. Please go ahead.

Arafat: Yes. Hi, sir. Thank you for your question. So my question is again on margins, sir. Let's say, if you exclude Johari, which is 30%, so then our margins are 4.4%. So you don't think it's very low compared to what we have in the past? And again, let's say, i f you look at the last quarter, it was around 7% and that's also 9.3%. So any thought on that, that we have done just a 4% margin in this quarter?
J.S Gujral: It's 4%. Bijay will share the details with you.
Bijay Agrawal: Again, it's a seasonality thing for Johari, what we are saying. So we cannot look on a quarter -on-quarter basis. On a full -year basis, we see definitely it is related to the volume numbers also. Last quarter, they did about INR30 odd crores. With this quar ter, we are expecting much better revenues because it's depending upon the order book and in which quarter those are scheduled that way. So we expect the performance to be similar to the last year in this particular financial year.
And again, post the joining of the new CEO, the entire next year strategy work is going on. So going forward, we expect that kind of a growth, which Mr. Gujral has already explained to you.
J.S Gujral: And we now see the company as in totality and not in bits and parts. So there is no north -south divide in a lighter way, as the political people call it. So we see our business as a composite in totality. So someone will be driving margin, someone will be driving growth, someone will be driving the cash flows, someone will be driving the sector. So what we have to see is what we put as a composite thing on the table. The acquisition was done with a certain objective. And now it's part and parcel of our business.
Arafat: Okay, so last question again on Johari, let's say, it is 30% EBITDA. So how this business, how we can, let's say, add to, let's say, how to add the margin on the consol basis?
J.S Gujral: Sorry, you said what will be the contribution of Johari to the consolidated figures?
Arafat: Yes, yes. Going forward, let's say, FY ’25, you're looking at 5% growth. So Johari should double, right, in this case, which -- lower margin…
J.S Gujral: Johari would be less than 5% of our total revenues going forward. So if I'm expecting, I'm just taking a off the cuff figure of INR4,500 crores business or INR4,000 crores business, Johari does INR200 crores, it's only 5% of the business. So it will not be a dominant player in the revenues, but it will be contributing a decent amount to the EBITDA.
Arafat: Yes. So again, what kind of revenue look Johari for FY ‘25?
J.S Gujral: We are looking to grow this year about 20%, 25% in FY ’24, FY ‘25.
Arafat: Fine, fine, sir. Thank you.
Moderator: Thank you very much. The next question is from the line of Ashutosh Parashar from Mirabilis Investment Trust. Please go ahead.

Vipin Goel : Hi, sir. Thank you for the opportunity. Vipin Goel, this side from Mirabilis. One question on the order book side, you mentioned that you've got some order on the industrial front. And it appears that until last quarter, about INR110 crores kind of intake we're doing, which has now jumped to INR170 crores kind of number, if I just back calculate that number. So can you just provide some colour , some clarity on the kind of product that we are doing on this new order and the possible margin profil e of this particular order? Also on the size, if you can ju

st give
some colour ? Thank you.
J.S Gujral: Vipin, I don't know what figure you're referring to. We did about 1955 last quarter, which is more than 650 per month. In nine months, we have done 5700, which is again more than 650 per month revenue.
Vipin Goel : Sir, I'm talking about the order intake.

J.S Gujral: Order intake. So I'm saying the order intake -- sorry, I was talking to millions. Sorry, 5,708 million. Sorry, sorry. So INR570 crores. Order intake, Bijay shared with you that industrial is approximately…
Bijay Agrawal: 30% to 35% of order book currently, which is from industrial segment over here, which is approximately INR1,300 crores, INR1,400 crores.
J.S Gujral: And these would be in the energy sector, the power sector, power supplies, industrial cleaning, energy storage, energy metering. So it has a comparatively better margin profile. The industrial vertical historically has had a better gross margin profile tha n the consumer.
Vipin Goel : Okay. Particularly, just on the order intake of this quarter, is it a large one single thing order or is it like a mix of multiple orders?
Bijay Agrawal: It is a mix of multiple orders. We don't have an exact figure of what was the order intake into this quarter. We have a total order book with us as of now. But yes, it is a mix of multiple customer related orders and multiple application related orders.
J.S Gujral: And for the order balance, which is INR4,500 crores, Bijay shared with you that out of this approximately 40 -odd percent is consumer…
Bijay Agrawal: Consumer is 40 -odd percent.
J.S Gujral: For consumer is approximately 40 odd percent and industrial is in 30s. Consumer is about 45 percent.
Vipin Goel : What is the margin profile of these orders, the industrial orders?
J.S Gujral: I said industrial orders are better than consumer orders and it will increase the gross material margin and it will not increase the material cost as a percentage of the sales.
Vipin Goel : Okay. There is o ne more question. This quarter you said that INR100 crores has been pushed to the next quarter in terms of execution. But isn't it that the gross margin should have declined because of that this quarter?

J.S Gujral: The gross margin because material goes into the finished goods. It affects my inventory. It doesn't -- margin declines, it affects the absorption of overheads. If I sell INR100 crores sale at MAP and assuming 74% is the material cost I am taking, so INR74 crores my inventory would have come down. My sale would have gone up by INR100 crores or whatever and the overhead absorption would have been higher. So the operating leverage which i n nine months is about 2.6% would have been higher by some ma ybe 2.7% or whatever. So it doesn't affect the gross material margin.
Vipin Goel : Okay, thank you sir. That's it from my side. Thanks.
Moderator: Thank you very much. The last question for the day is from the line of Anupam Goswami from SUD Life. Please go ahead.
Anupam Goswami: Hi, in this quarter what kind of margin we did segment wise? If not, was there any change or degradation in margin in each segment or is it just because the consumer segment was higher this time? That's why we saw the margin being beaten down?
J.S Gujral: What I shared with you in my opening statement is we very closely work at analysing the industry -wise gross margin and we don't see any stress on that. They are stable. That's why if you see the gross material margin has increased from 23.4% in Q2 of '24 to 23.9%. So, in fact there is a positive rub and that is because there is no stress industry -wise in the margin. There may be some savings somewhere. The gross material margin profile is purely linked to the product mix and the industry mix.
Again, if I am saying hypothetically, purely hypothetically, if I was to do INR1,000 crores of IT busines

s, IT business would come at a gross margin of about 3% to 4%. That's what all the industry people are saying and that's what we also believe in. But i t will be highly accretive on the, what you call, asset turn and ROCE. So, a INR1,000 crores of IT business would change this gross material margin profile significantly. So, what we analyse , as I have been repeatedly saying, is that we analyse industry -wise margin and whether they are changing or not. Whether it's automotive, whether it's healthcare, whether it is industrial or consumer or railways, we are not seeing a stress on that. We see stable margins per se in each of these verticals.
Anupam Goswami: Okay. Understood, sir. And when you guided 7% to 8% margin in next year, are you taking auto to be back to where it was in the proportion? Or are you continuing with the consumer segment growing at such a rate?
J.S Gujral: Our business would be primarily on three legs, which is auto, industrial and consumer. On a long-term sustained basis. Again, quarter on quarter is a different thing. So, we would love the three verticals to contribute about 75% or 80%. Whether they contribute a secular percentage or it is higher in one and lower in another, it's very tough to predict today. But on a yearly basis, I expect my automotive business to be abou t, Bijay, 25%, 27% of the same?
Bijay Agrawal: Yes, 20% to 25%.

J.S Gujral: 25% of the same. Industrial would be the same, maybe growing up in the next year. So, the margin profile, as I said to an earlier question, has been communicated, calculated based on

the profile of my sales and the operating leverages which would emerge from this thing. And that's why we have arrived at this. There's a complete backward exercise which has been done to arrive at this.

Anupam Goswami: Okay. And the last question, in this order book, did we add any more wallet share or customer additions in this order and going forward, how is the pipeline?

J.S Gujral: See, typically when you do a business, you always increase the wallet share with the customer. And that's one of the strengths. That's one of the internal metrics which we sort of use to evaluate. Am I doing something good for the customer vis -a-vis my com petition? If my growth was to come by seeding market share of existing customers, the growth would be reflected, but the quality of the growth, I would not be satisfied. The quality of the growth is that, A, not only you bring in new customers on board, but B, you snatch wallet share from competition. That's the quality of growth and we are focused on both.

Anupam Goswami: Okay. Understood. Thank you so much.

Moderator: Thank you very much. In the interest of time, that will be the last question. I would now like to hand the conference over to Mr. J.S Gujral for closing comments. Please go ahead.

J.S Gujral: Ladies and gentlemen, we are in exciting times. In 37 -38 years of my career in the electronics industry, we have never ever, I repeat, never ever seen such a positive macro level, tailwind and environment for the electronics sector. We are very, very confi dent of long -term sustenance of the business with margins. And as [Satendra] has shared in his comments, we are investing on people, resources, systems. So there would be a short -term cost involved, but the long -term benefits would accrue over a longer period of time.

We believe that Syrma SGS is uniquely placed among the industry peers with a very healthy export component of about 27%, well -diversified product mix, strong R&D, which we are investing, and those results have yet to come in. In fact, we have not discussed on that. The design and development efforts which we are putting in will bear fruits in the coming year. The hiring of the CEOs for RFID, for medical, would bring in greater revenues in these verticals in the coming year.

S

o the focus of the management is to grow the high margin areas in the coming years and that's why these leadership positions have been filled up so that they can drive the business from the front and it becomes a truly professional managed company, divers e from the ownership. Currently, the owners are also wearing the functional hats, but in the coming years, we would like to pass on this baton to professionals to drive the business so that Syrma becomes a truly board -managed company and is respected.

Apart from that, this is the normal financial figures. What we are very focused on is ESG. So we are internally targeting to be sourcing, I think, 50% of our energy from green sources over the next two years to three years. We are tying -up with the renewab le energy companies in South and North. Unfortunately, there is a constraint in the supply. So we would like to be a truly global company in terms of systems, in terms of work ethics, and in terms of social and corporate governance. We are very confident a nd we are committed to build this into a world -

class institution. Thank you very much.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Date: May 17, 202 4

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for results of quarter and fin ancial year ended March 31, 2024.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the financial and operational performance of the Company for the quarter and financial year ended March 31, 2024 , held on Monday , May 13, 202 4, at 10:30 hrs (I ST).

The trans cript of the conference call can also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations .

We request you to take the same on your record.

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

"Syrma SGS Technology Limited
Q4 and FY '24 Earnings Conference Call "
May 13 , 2024

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER – SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER – SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD, INVESTOR RELATION S – SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. RAVI SWAMINATHAN - AVENDUS SPARK

Moderator: Ladies and gentlemen, good day and welcome to Syrma SGS Technology Limited Q4 and FY '24 Earnings Conference Call hosted by Avendus Spark . As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
Please note that this conference is being recorded and I'll hand the conference over to Mr. Ravi Swaminathan from Avendus Spark . Thank you and over to you, sir.
Ravi Swaminathan: On behalf of Avendus Spark , we welcome you all to Syrma SGS Q4 and full year FY '24 Results Conference Call. We have with us the senior management of the company. Now I hand over the call to Mr. Nikhil Gupta, Head of Investor Relations, to introduce the management and take the call forward. Thank you and over to you, Mr. Nikhil.
Nikhil Gupta: Thank you, Ravi. Hi, very good morning to all. Welcome to Syrma SGS Q4 and full year FY '24 Earnings Call. We h ave with us today Mr. J. S. Gujral, Managing Director, Mr. Jayesh Doshi, Director, Mr. Satendra Singh, Chi ef Executive Officer, and Mr. Bijay Agrawal, Chief Financial Officer , Syrma SGS to discuss the performance of the company during the fourth quarter and full year FY '2024, followed by a detailed question and answer session.
During this call, certain statem ents that will be made are forward -looking, which involves several risks, uncertainties, assumptions, and other factors that can cause results to differ materially from those in such forward -looking statements. All forward -looking statements made herein ar e based on the information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call.
In this regard, please do review the disclaimer statements in the ear nings release and all other factors that can cause a difference. I will now hand over the call to Mr. J S Gujral , Managing Director, Syrma SGS . Thank you.
J S Gujral: Ladies and gentlemen, a very warm welcome to the FY '24 Annual Earnings Call of Syrma SGS Technology Limited. At the outset, on behalf of the management, I would like to place on record our sincere thanks to all the stakeholders of the company, be it the shareholders, investors, customers, business partners, and employees. But for their unstin ted support, it would not have been possible for the company to be where it is today.
I will now briefly dwell on the FY '24 performance of the company and then dwell on the quarterly and other details. It was a momentous year for us because we crossed th e INR3,000 crores revenue mark in this financial year, which is almost 4X of our FY '21 revenues and 2.5X of our FY '22 revenues. It represents a 54% increase yoy.
And over the last three years, the CAGR of the revenues has been a healthy 55%. We achieved the highest ever quarterly sales of INR1,149 crores in Q4 of FY '24, representing a 63% increase over Q4 of FY ' 23. We achieved in this year USD 100 million in exports, representing a 26% growth for FY '23. Now this number is very significant if we look at the exports from the EMS sector in India. Almost 95% of these exports are to USA and Europe.

The CAGR of exports over the last three years stands at a healthy 19%, especially when we see it in context of the growth in those markets. The revenue growth in the current year has been led by consumer, followed by auto, followed by healthcare and industrial.
Coming to the margins, we crossed the INR200 crores operating EBITDA mark and INR250

crores EBITDA. Operating EBITDA and EBITDA stood at 6.8 % and 8% respectively.
Operat

ing EBITDA has grown from INR100 crores in FY '21 to INR213 crores in FY '24, a CAGR of 29% over three years. For Q4, we achieved an operating EBITDA of INR82 crores, the highest ever in the quarters in this year.

During the year, we achieved operating leverages of about 1.5% and we plan to further consolidate on this in the coming years. This is a focus area for the management for the coming years. We have had a marginal reduction of 7% in PBT, primarily on account of a higher depreciation charge, which has gone up by 65%. Now this depreciation charge has gone up because of the capex cycle which we have undertaken, which is yet to be sweated and will give optimum operating results.

Net working capital ha s stabilized at about 70 days based on the average and about 80 -odd days based on the year -end figures and we plan to bring it down further over the next few quarters with the target of getting to 60 days odd level as the final figure. Our CFO would dwell on these financial numbers in detail after my interaction.

During the year, it's very significant that we doubled o ur SMT capacity from 3.2 million component placement per hour to 6.3 million components. In other words, we replicated in one year a capacity which was built over three decades. This is also reflected in a higher depreciation charge in the books. We are in the process of commissioning a design center in Pune which will be primarily focused on ODM business in the MedTech vertical. This will go live in Q2 of FY '25. Commissioning of the Pune plant is also on track and will be ready for production in Q2 or early Q3 of FY '25.

We are expanding our footprint in Germany by setting up a 40k square feet facility to address to the near shoring requiremen ts of our customers. I think this will enable us in the coming years in attracting more business from the Western Europe side. Coming to the future plans, we expect the growth momentum of 40 -45% to be maintained in the coming year. This growth will be driv en on the back of strong traction and demand across automotive, electric mobility, industrial, RFID and healthcare sectors.

Consumer is expected to stabilize between 37% to 40% of our revenues in FY25 with the target of the management to bring it down further. We expect softness in our exports in the first half of the year, b ut despite that we expect exports to grow by about 30% in the coming year.

We expect annual EBITDA margins to stabilize at 7%. Quarterly variations based on the seasonality of the demand from the various verticals would be always there. We expect the company to be OCF positive in FY25 and B ijay our CFO will dwell on this in detail.

Based on the performance of the company, the management has decided to retain the

dividend payout as was last year which is essentially 15% dividend. With this, I now hand over to B ijay to dwell on the financial numbers in detail and then we can open up for the Q&A session. Thank you very much.

Bijay Ag rawal: Good morning everyone. I will now take you thr ough the brief financial performance for the quarter and for the full year FY24. Our operating revenue for the year is INR3,154 crores which is up by 54% year -on-year and for the quarter it is INR1134 crores which is a growth of 67% year -on-year. The growt h has been mainly contributed by a stronger demand growth on the auto sector side which is 60% plus.

Consumer sector side which is 90% almost, healthcare side 55% growth year -on-year and same way industrial sector which has grown by almost 30% which has re sulted into the overall 54% growth year -on-year. Our export revenue as Mr. Gujral has already explained has grown up to almost INR810 crores in FY24 which is 26% growth year -on-year.

Similar way ODM revenue for the year is about approximately INR480 crore s which is almost 15% of my total sales for the year

. Our gross margin for the year is about 2 2% and for
the quarter it is 18% on the back of mainly business mix change from the year to the quarter. With a continued efforts on the overall operational effic iencies and some bit of operating leverage benefit we have been able to brought down our overall overhead percentage by almost 100 bps as percentage of overall revenue which is visible in our numbers.

Our operating EBITDA for the year is INR215 crores and for the quarter it is INR82 crores which is 7.2% of operating EBITDA margin for the quarter. Same way PB T for the year is INR1 68 cr ores and for the quarter it is INR61 crores and PAT for the year is INR 124 cror es and for the quarter it is INR 45 crores whic h is approximately 4% of PAT margin. Our current operating performance doesn't factor any PLI benefits so far which can be taken into the P&L

henceforth once we receive it.
Moving to our overall working capital performance our net working capital investme nt is currently for about 70 days of sales and which is again when we calculate on an average basis as explained by Mr. Gujral. Moving to our debt position we have a total gross debt as on balance sheet as on 31st of March 2024 is INR576 crores which is ma inly inclusive of working capital debt of about INR490 crores. We are also continuing with a total treasury position of INR400 crores and with that my net deb t position as on year -end is INR 175 crores.
Coming to capex during the year we had spent almost INR250 crores of capex and we ar e expecting to spend another INR 150 crores to INR180 crores in the year FY25 towards the project as Mr. Gujral has already explained regarding to our Pune project and other projects which are already ongoing. Our ROCE return on capital employed for the year is about 15.4% when we calculate it excluding the unutilised IPO funds and goodwill from the balance sheet.
Our OCF operating cash flow for the year is negative mainly because of incremental investments towards working ca pital on the back of higher business demands expected into

the upcoming quarters. Same way some update on the merger which we have already filed regarding amalgamation of our subsidiary SGS Tekniks , SGS Infosystems into S yrma SGS. We have already filed thi s scheme with NCLT and the next steps are already in process. We expect the merger to be completed in another 9 months, 12 months period.
Regarding guidance for the next financial year on FY25 as Mr. Gujral has already explained, we expect the similar gro wth of 40%, 45% to continue into our overall revenue and with an operating EBITDA margin of approximately around 7%. We still continue to focus upon working capital improvement and OCF improvement. That will be a focus area going forward for the next year also.
With this, thank you very much and I will hand over this call to Ravi again to open it for the question and answer session.
Ravi Swaminathan: Neha, we can go for the Q&A session.
Moderator: Thank you. We will now begin the question and answer sessio n. The first question is from the line of Aditya Bhatia from Investec. Please go ahead.
Aditya Bhatia: Hi, good morning, sir. My first question is on the gross margin decline that we have seen this year which actually has been quite sharp partly offset by operating leverage benefits that we spoke about. Now, what has really led to thi s level of gross margin erosion b ecause mix alone cannot justify that. It appears that margins across individual s egments have also been declined?
Bijay Agarwal: So, broadly, i ndividual customer -wise margins have not yet declined. The MIX change, mainly you can see in the quarter, my consumer business has contributed almost 46%, which has again resulted into some impact on the overall gross margin. Into the same auto sector, my EV business has contributed a lar

ger number to the auto, so that has also impacted flights
a bit by 100%. So, that is where the overall MIX change has impacted by this overall gross margin decline. Otherwise, customer -wise margins have not decli ned anyway so far.
J S Gujral: Yes, just to sort of further expand on what Bijay shared, we very closely monitor the margin profile, the gross margin profile of each vertical. And there, we don't see contraction in the vertical -wise margins. The fact that my consumer business is contributing 46% of my revenue led to this contraction of about 4% points. The raw material margin has come down from sort of 26%, 26.4% to 22%. It's primarily because of that and not because of contraction in margins in the vertica ls where we operate or with the customers with whom we work. We monitor this very closely on a monthly or quarterly basis.
Aditya Bhatia: Sure, sir. So, we no longer get the gross margin details on a segment -wise basis, but if I just assume that in second half, we had similar gross margins across segments as first half for all of the segments other than consumer, then the implied gross margin for the consumer business would be only with single digits. So, what are we really missing over here?
Is consumer b usiness this lower margin business for the company? I mean, with single digits on a gross margin side would possibly mean no margins at the EBITDA level or maybe even

losses at the EBITDA level. Or is it that in one of the segments, at least we have seen a big

margin drop?
J S Gujral: See, in consumer business, we have two or three basic silos. One is my ODM business, which is a small portion of my revenue, which also includes my RFID business. So, if I was to take the ODM business including the RFID busine ss, which is an ODM in nature, the margin profile would be compared to automotive and industrial somewhere in between. It is in the fiber -to-home consumer -oriented telecom business, which forms a major chunk of the consumer business, that the margin profil e is significantly lower. Here, we talk of… Bijay , gross material margin s of telecom consumer business? It could be less than 10%.
Aditya Bhatia: Okay, sure. My second question was on the working capital side. In the last few conference calls, you had allud ed to consumer segment having a much lower working capital, and therefore, ROICs across segments not being dramatically different. This time around, we have seen a big jump in consumer business, while some of the high margin businesses have grown at a slow er pace. But we have not seen the corresponding decline or moderation in working capital. So, what has that been on account of?
J S Gujral: You see, as I explained in my opening remarks, we have achieved a quarterly run rate of 1,000 plus INR1,100 crores i n Q4. But my average for the whole year would be 750. Now, the inventory days we calculate on the average of the overall sales. If we were to calculate the net working capital based on the exit rate of Q4, which is my incoming rate of Q1 of this year, then my net working capital is significantly down to about 60 days. It could be a couple of days less or a couple of days more. So, the Q1 of this year, I would be doing what I did in Q4 of last year.
So, based on that, my working capital days, there are sign ificant reductions to about 60 odd days in this year. But yes, if we calculate it on an overall average of the thing, then my working capital based on an average of opening and closing is about 70 days. And based only on closing is about 82 days, which is down from 88 -89 days at the beginning of the year. So, I've seen a 10% reduction in net working capital based on the closing balances and almost a near-flat-ish thing is on the base of average. I hope I have clarified the point.
Aditya Bhatia: Sure, that's a fair point, sir. But my only issue over here

is that we've been growing very fast
in the past as well. It's been a similar kind of trajectory that we've been seeing for some time now. And even the expectation is that growth rates will remain like this, in which case, working capital, that means, is likely to remain elevated, even if they make certain groups.
J S Gujral: We believe and we are targeting to bring down this working capital from about 70 days, which is at the base of the average figure, to ab out 60 days in the coming year.
Bijay Agarwal: And if you see on a quarterly sales basis, if you calculate it, it is around 56 days of sales when we calculate it on the quarterly sales of q4. So, even if we continue with a similar kind of a sales number going forward, I think overall working capital will then gradually come down. As expected.
Aditya Bhatia: Sure, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar: Hi, sir. So, when we see the overall growth in segments like healthcare, significant growth and auto also growth, you are talking about EV contribution also. So, can you talk about is this segment is not sufficient growth to whatever the margin contraction we have? Because I think healthcare is a better margin business. And we have also acquired Johari Digital, which is a better margin business.
So, can you talk about - is this segment is n ot sufficient growth to whatever the margin contraction we have? Because I think, healthcare is a better margin business. And we have also acquired Johari Digital, which is a better margin business. So, can you talk about how the Johari is not helping or m argin has deteriorated from there when we have acquired?
J S Gujral: No. You see, the healthcare business forms about 8% of my total revenue. So, if the healthcare business at 8% grows at, say, 30%, it would still form a smaller absolute figure of my total revenue. Hence, its impact, the positive impact on EBITDA gets diluted because of a higher phase of the consumer business. Consumer business is approximately 40 odd percent of my revenue, where the healthcare business is 8%, 8% -9%. So, if the lower margin on a 40% sort of bucket has a negative sort of - it erases the positive of a growth in an 8% business, which constitutes an 8% business. It's not that the healthcare business is not profitable. It is profitable, as we envisaged, but being only 8% of the r evenue, it in fact gets diluted of the overall number figures.
Sumant Kumar: And the Johari Digital margin has deteriorated from when we acquired?
J S Gujral: It's sustaining the margin on which basis we had acquired the business. There is no

significant v ariation in it. It's a healthy business.
Sumant Kumar: Thank you.
Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi, thank you for the opportunity. I have a couple of questions. Fi rst, sir, when I look at this quarter's numbers, consumer is about 46% of sales, and your operating EBITDA margin is 7.2%. Next year, as we get to consumer at about 35 odd percent of sales, that's a 40% of sales, why would our EBITDA margin go down to 7%?
J S Gujral: Well, we are guiding on 7%. We are conservative because the year is yet to pan out, to be very honest. So if we find, if we believe that there is a need to revise it either way, we'll come back to you on quarterly earning calls. But as of date for the year, we are maintaining a 7% EBITDA annual margin, which could see quarterly variations because of the change in the product mix. But on annual basis, we are very confident that we'll sustain 7% EBITDA margin with a 40% -45% growth rate. If it goe s up, we'll come back to the market and revise our guidance accordingly. But for now, we all should take 7%, whic

h is the management's
take.

Indrajit Agarwal: Sure. Can you help us with what is the current order book and what is the domestic and export mix in that?
J S Gujral: Bijay will take that.
Bijay Agarwal: So we have an order book visibility of approximately INR4500 crores, in which export would be approximately 22% -25%.
Indrajit Agarwal: Sure. And lastly, one more, if I may, given that you are targeting to be FCF positive next year, what would be the funds used for? You have taken an enabling resolution to raise funds. So what would that be used for?
Bijay Agarwal: This is just an enabling resolution and we want it to be fully prepared, ready - available for any growth opportunity. So broadly, the funds, whenever we raise, it will be more targeted towards long -term business growth. And that's what can be one of the use.
J S Gujral: So this is an enabling resolution to keep the company ready becaus e we are, we always keep evaluating an organic acquisition. And as I shared in my earlier call, we were looking at sort of, our aim was to acquire companies where we don't have the product offerings. Hence, we had acquired JDHL. And similarly, in the railw ays and the defence, it would take us a lot of regulatory approval time if we were to do it in -house at any show.
So we are looking at those companies and this is just an enabling resolution that it has to go through the AGMs and all those things. So that's why we have taken this enabling resolution. We'll share the purpose for which it is to be used once we hit the m arket and we have concrete proposals on our table.
Indrajit Agarwal: Sure. That's all from my side and all the best.
Moderator: Thank you. The next question is from the line of Piyush Khandelwal from Bank of India Mutual Fund. Please go ahead.
Piyush Khand elwal: Hello, sir. So my question is on the ROIs of, let's say, a consumer business. If I look at the annual basis, a consumer business contributes 40% in FY '24 versus 32%. So there's an 8% deviation. And you said that the fiber -to-home business accounts the majority chunk of this consumer business, so gross margins are less than 10%. I mean, what we have seen, especially in the case of a consumer business, that margins are lower, but ROICs or OCs are much better. So is it fair to them, similar in our case , or let's say ROICs are better than the company average in this fiber -to-home business, lesser than that? If you can just help me in that specific consumer business ROIC ?
J S Gujral: See, in the consumer business, once it stabilizes, the ROCs are better because of lower involvement of working capital and higher asset turns. You see, broadly, in the EMS industry, the higher the margin of the business, comparatively lower will be the asset turns and higher will be the working capital involvement. It's inver sely proportionate. So lower margin businesses have a higher asset turn and a lower involvement of working capital.

In our particular case, this is true, but since we have still not reached the optimum scale of things, because this thing has only happened during the course of the year, we expect its impact on working capital to be visible in FY ' 25. But as I just shared, if I share some

numbers, my net working capital on a global basis is about INR711 crores. And if I take the exit rate of INR1100 crores of Q4, which translates into 300, whatever, INR50-odd crores of per month revenue, my net working capital as number of days is already down to below 60. Bijay has referred to a figure of 56. And he can dwell this in further detail.
So going forward, we expe ct the impact of this to be reflected in the financials. This is an area of sort of a strong focus of the management. Even if it is 60 days, 58 days, net working capital or the working ca

pital involvement is the focus area for the management to improve the OCS. B ijay, if you could dwell something more on this.
Bijay Agarwal: Yes, absolutely. So ROC can be furthermore improved. And for this consumer business also, some bit of like this has started during the year. So now full benefit or full efficiencies are not yet achieved. Going forward, we will target those efficiencies in terms of working capital and O CF, which will help us to achieve the desired ROC.
Piyush Khandelwal: No, that's fair enough. I mean, you've been making the same comments since last three quarters. My question is specifically because we have grown 90%. So we have utilized some of the assets. It's not that we have not utilized. So my question is specific to that fiber -to-home business, which I'm mentioning that accounts for the majority of the chunk of this consumer business. There, the ROICs are better than the company average. Is it lower? Is it at par with the company average? That's the question.
Bijay Agarwal: Here, ROICs are almost in the range of or maybe as per the company average on ly. It is just like a low -margin business with a better asset, but still delivering similar kind of ROC. That was the target. The only point here is during the quarter four also, if you would have seen, there's a higher sale. And similar with the same high er sales of the total company level is what we are expecting in the upcoming quarters also. So that is where we are maintaining higher networking capital as of now in terms of absolute numbers and the inventories.
So which will gradually -- in the upcomin g quarters, we should be able to see that benefit of number of days of working capital into the OCF, which will help us improve the RO IC percentage by a few percentage points. But that is what we are targeting. But overall, on an average basis, it is not a low ROIC business. It is almost at par kind of an average ROIC business.
Piyush Khandelwal: All right, sir. Thanks.
Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities . Please go ahead.
Deepak Krishnan: Hi, si r. I hope you can hear me fine. Just sort of getting into the similar sort of question because the peer that does business or retail probably has networking capital based in the 10 -day sort of range. Still, if I assume like a best case in a INR45, INR 46,00 crores top line next year and INR320 crores of EBITDA, with about 60 days, we still are not sure of how we will

sort of generate positive OCF. So could you kind of help us as to what gives us confidence that 60 days we should be sort of en ough in terms of OCF?
Because next year again, because there will be growth after that, right. We will be stocking up inventory for FY '26 growth. So I just wanted to sort of dwell into how are we looking at positive OCF specifically ?
Bijay Agarwal: In yo ur, maybe the numbers which you have taken as an example here, from INR320 crores of EBITDA, we are expecting we can, maybe there can be some bit of tax outflows for about INR60 odd crores, one can take as an example. And maybe incremental working capital may not be more than INR100 odd crores. And balance will be operating cash flow is what we are seeing here.
Deepak Krishnan: Maybe just one final follow -up. What is the actual networking capital days in the home -to-fiber business? Like what kind of networking capital do we have for that particular client?
Bijay Agarwal: So as of now, we are at about INR650 or INR670 odd crores of networking capital. On a 60 days basis, assuming a INR4,500 crores of sales, we may be at around INR750, INR770 odd crores of total working capital requirements. So there is another INR100 crores rupees of working capital requirement may pop up for the upcoming year. But that another INR100 crores of working

capital with an additional INR60 crores of tax, both are removed from the EBITDA number of maybe estimated.
In these examples, like we are just putting as an example number here is INR320 odd crores. Still there can be a would decent operating cash flow positive number available. Assuming the company is able to maintain the entire operations with the incremental INR100 crores of working capital, which is what we are keeping as a target.

J S Gujral: Yes. You see, just to dwell on some figures, I think for better clarity, INR315, INR320 crores of EBITDA would result into a PAT of approximately INR165 odd crores at back of the hand calculations. Or current networking capital is about INR711, INR710 crores as of March of '24. Now, if we take it a 60 days thing, then there is no incremental investment in the working capital. If we take it at 70 days, my working capital at the year end March '25 should be at about INR850, INR860 crores. So in the worst case basis that there is no improvement in the working cap, my PAT goes into my working capital. I don't have to borrow further at the worst case.

But if it's a reduction, a 60 days, it comes out to 60 days, then my working capital requirement is about INR750 crores, INR711 crores as of March of '24. So hardly a INR39, INR40 crores increment. That's the game plan which the managem ent is focused on. How do we bring down the net working capital from the present level of about 70 odd days to 60 days?

Deepak Krishnan: Sure, sir. And will we see that continuously throughout the year? Or would it be more, 2H driven, given that 1H will be still ramping up on, the incremental revenue?

J S Gujral: Start kicking it in the quarter. Because I personally don't see my net working capital

significantly going up in the Q1 of the next year from the current level. So if we are doing, we are planning, if we do say inr1000 crores, the exit rate of Q4, then my working capital for, I think, is only down to 60 days. Assuming there is some amount of incremental, it will be 62, 63, 65 days in Q1. Broad figures.

Deepak Krishnan: Sure, sir. Those are my questions.

J S Gujral: Thank you.

Moderator: Thank you. The next question is from the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Thanks for the opportunity. I had a couple of questions with regards to the healthcare business. Just wanted to understand that you've done a top line of about 160 of about INR1.2 billion w hat part of this was from the core healthcare portfolio of Sy rma and what part of this was from the Joh ari Digital company that we acquired?

Bijay Ag rawal: So for the quarter I think you are referring here this INR1150 crores of revenue which includes almost 100 plus crores of total healthcare business. And almost 50 -50 is from the core business and 50% of it is like from the acquired JDHL business, MedTech business .

Hardik Rawat: Got it. Also, a longer term question in terms of our mix from consumer has increased from 20% to now 40%. Now, going ahead how do you s ee this evolve over the next 2 years to 3 years? And next year we are targeting about 45 to 46 billion in revenue. What do you think is - what do you expect is going to be the mix of this revenue?

J S Gujral: Satendra will you take that question? The mix of the business in the coming years. Satendra our CEO will address this particular questi on and then I can also pitch it o r I can pitch it in the beginning that the endeavor of the management is to bring down this percentage from 40%-odd to below 40%.

That would essentially be with an increas e in other verticals. So, Satendra can dwell on this detail, b ut the direction of the management is very clear that the consumer business we would like to keep it – too happy to k eep it low 40 in this year itself, b ut in longer run it has to come down

to between 30 and 35 in the long run. This year I think it's too e arly to say.

Satendra Singh: I think we are very focused on this particular activity which is to balance between different segments. And we are doubling down on growing our revenues in the industrial and auto. And that would be kind of in a way helping us offset. But at this poi nt of the numbers with Gujral and B ijay shared I think we will hold on to that. But going forward, I think there's a lot of focus on growing the business in the industrial and auto.

Hardik Rawat: All right. And one last question circ ling back to the Joh ari Digital, I just wanted to understand what sort of base did we have back in 4Q FY23 and how the growth has spanned out in that company?

J S Gujral: See, the growth of Joh ari in the FY24 has been flattish . The re was this merger and al l that,

but we exp ect a decent growth of about 25%, 30% in this business going forward a nd the management is very focused on the areas where we have to work in the Meditech business which will essentially be revolving around four, five verticals of pain an d rehab, surgical,

diagnostic, patient care, and some services, certification services in this business.
So that would be the focus of grow th and we expect this business to grow at about 30% in this year and significantly higher percentage in the future y ears. As I earlier said at the time of acquisition of this business, this is a platform which we have acquired and not a business per se. So going forward this would form a decent portion of overall business.

Hardik Rawat: All right. T hank you so much. All the best.

J S Gujral: Thank you.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from Incred Research. Please go ahead.

Vipraw Srivastava: Hi. Just had two questions. So first question is regarding what would be the order book breakup by segment?

Bijay Ag rawal: Broadly, out of this INR4,500 crores of open order book visibility about 40% is what from consumer business, 20% to 25% from industrial business. Similar way 20% to 22% is approximately from auto sector and about 5% to 7% from health care. Balance is IT and railways.

Vipraw Srivastava: Noted. Secondly, the 70 days NWC number which we are coming up with, net working capital days is based on average?

Bijay Agrawal: This is based on average if we calculate on the closing inventory basis it is around 82 days.

Vipraw Srivastava: Yes, but average is not a correct metric because there's a very significant difference between last year and this year inventory receivable days. So average wou ldn't be a better metric. I guess closi ng day s would be a much better metric?

J S Gujral: If we were to take the closing numbers we are down from 88 days, 89 days to 82 days. We are sharing the average because industry peers are also reflecting only the average. So we are sharing both the numbe rs. If we were to compare the quarter and the yearend numbers it is down from 89 to 82 days. If we take the average it is a flattish from 72 odd days to 70 odd days. We are sharing the numbers because the practice of the peers is to show average only. So for an apple -to-apple comparison we are sharing both the numbers. But yes for us it is the year end numbers a nd that's why I said that if I take the year end numbers and my Q4 run rate we are down to 60 days.

Vipraw Srivastava: Okay, cool. And last question , why has the r eceivable days gone up so much. As far as I can see, it has gone up significantly receivables?

Bijay Ag rawal: So there is quite a bit of sales is what we hav e achieved during this quarter a nd that is where the sales receivable numbers are b ecause there is always maybe two months to three months

of receivable period is always there. So

if we have achieved a very significant amount of sales in Q4 that is reflecting into the receivable stage also.

Vipraw Srivastava: Yes, but does the company in ternally has an ROC metric which we use. I mean, if you can share that before you g o for a deal or you go for sale, internally what would be the ROC metric w hich you have roughly?

Bijay Ag rawal: So broadly for every business whatever we are doing acquiring as a new business, we always calculate ROC and track ROC also because ultimately without ROC performance there is no [inaudible 43:00] . We evaluate all these metrics. Internally, we are also doing it. Some bit of time we take a strategy call also if some business is t here linked with some kind of PLI benefits.
Some other kind of entering into a ne w market, new product segments so those kind of strategy calls also we do take along with that ROC thing, b ut generally, for a normal business, we always try to g et more than 20% plus kind of ROC performance.

J S Gujral: And Bijay just mentioned the PLI. In all the financials which you have shared with the community it does not include a penny. I repeat a penny of PLI. For FY23 where our claim is in the final stage s of sort of approval and disbursement, we have a gross PLI of about INR9 crores .
After sharing with the customer we would be left with about INR3 crores, INR3.5 crore s, INR4 crores . For FY24 based on the sales which we have done in the telecom consumer business my PLI entitlement on a very rough estimate would be about INR48 crores to INR50 crores.
Out of which assuming I share two -thirds with my customers I am left with one -third. It is a INR16 crore s benefit for the sales which I have done in this year. Now, this PLI has not been factored in. So, if we were to hypothetically because we have taken a call that will account for the PLI once it is in the bank.
Hypothetically, if we were to take it on an accrual basis, my EBITDA goes up straight by INR16 cro res. That is the net what will come to me in the company. And INR16 crores on a

INR3,000 crores base translates into 0.5 %, 0.6%. And that will also directly affect the ROCE of that particular business.
Vipraw Srivastava: Right. Just a last question. So, a significant chunk of your EBITDA margin expansion this quarter has come from other expenses. It has come down as a percentage of sales. So, any thoughts on that? What is the other expense which has helped the EBITDA margins, the breakup for that? Other exp ense?
Bijay Agarwal: So, broadly, I think you are talking about this operating efficiency you are talking about. Mainly, yes, the other expenses include many other like facility infrastructure related expenses, R&M expenses, legal and consulting expenses. It includes quite a bit of fixed nature kind of expenses. So, as the revenue grows up, the operating leverage is resulting into that benefit saving.

J S Gujral: We have saved 1.5% on that compared to FY '23. And we want to plan to consolidate on this saving in the coming year further. My operating expenses have come down by 1.5 % approximately.
Vipraw Srivastava: Right. And if I am allowed to ask one last question. So, fundamentally in your business, is there any risk that you can be undercut by your competit ors on price? Because as far as I can see in the PCB consumer business, there is no such barrier to entry. So, is there a possibility that your competitor might undercut you on price and in that sense, you might have to also take a cut in gross margins? Is that a possibility?
J S Gujral: See, in the consumer business, if you refer to it, there is a big entry barrier of PLI. Only the companies which have got the PLI, for example, if I was to enter a mobile phone business today, I am just taking a hypothetica l question. If I was to enter a mobile phone business, I am at a disadvantage co

mpared to the existing players because they have a PLI and I don't have a PLI.
Similarly, in the telecom sector, the PLI entitlement is already there with certain companies. Now, within that fraternity of companies which have the PLI, I don't think we have not witnessed undercutting of the prices. New entrants have a barrier because they don't have a PLI and it involves a lot of regulatory and quality approvals of the customers .
Vipraw Srivastava: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.
Bharat Shah: Hi, Gujral sir. Namaste. One thing I still could not understand is your EBITDA margin guidance, which you said is 7% for 2024 -25. If I look at your last 12 quarters also, not a single quarter is EBITDA margin of less than, all of the quarters are well above 7%. If we are seeing that the consumer business, which is a low margin business, per centage would decline in 2024 -25 and would decline further going forward. Why is the EBITDA margin at 7%? I mean, it baffles me. When in last 12 quarters, not a single quarter, forget about a year, but not a single quarter, EBITDA margin is below 7%. It is actually well in excess of 7% in each quarter.
Then with improving RFID contribution with reducing consumer business percentage in the total mix and on a larger business with some amount of operating leverage of the spend that we have made on people sign ificantly, plus on the consultancy fees that we have spent, all of that, I can't understand why the EBITDA margin should be 7%.
J S Gujral: Good question. We are being, based on what we have achieved in the last quarters and the sales mix which we have, to be on the conservative side because earlier on we were, I wouldn't call it accused, but we were sort of held up for not being very positive on the guidance. So we are taking all the pros and cons, guiding 7%. Now, it is the call of the management to guide and if during the course of the quarters we find that the ground situation has changed from what we believe it would be, we would be more than happy to come and share with you all the revision in the guidance. But for now, we stick to 7%, being

on a conse rvative basis.
Bijay Agarwal: And this is an annual guidance, so quarterly personalities may still be there, as it was there for FY '24 also, but full year basis we are confident to deliver.
Bharat Shah: But FY '24 also not a single quarter where our EBITDA margin is below 7%. Are you confusing between operating profit margin or EBITDA margin?

J S Gujral: I'm saying operating EBITDA.
Bharat Shah: Meaning without counting other income?
J S Gujral: Yes, please. So all this 7% is operating EBITDA margin. So happ y that you clarified it. I should have clarified it, so we are at fault on that. It is the operating EBITDA margin which we are guiding at 7%, not the overall EBITDA margin.
Bharat Shah: Now, if operating margin is at 7%, that number for FY '24 is about 6.3 %. So are you saying about 0.7% higher than that?
J S Gujral: It's 6.8% because foreign exchange fluctuations are related to the business purchase and sale and they are accounted for as operating income. These are not on investments or anything. So if I we re to take the overall operating margin, including the foreign exchange fluctuations, which are essentially on the purchase and sale of goods and services, my annual EBITDA margin is about 6.8% and the exit margin is about 7.2%. Exit quarter margin is 7.2% . So these fluctuations are related to the business. These are the accounting entries when we book a purchase or sale, it's on the bill of exchange entry rate and when we remit money, it could be lower at a higher rate. So these are fluctuations purely rel ated to the business operations and not to the investment or treasury income.

Bharat Shah: All right. So 6.8% operating margin of FY '24 should at least be 7% in FY '25.
J S Gujral: Yes, against a 7.2% exit margin Q4 of FY'24. So there's a 0.2% contraction, which we are projecting as a conservative thing. So we say 7% operating EBITDA margin for full annual FY'25 against 6.8% of FY '24.
Bharat Shah: Gujral sir, pardon me, but are we in a situation where we have to be cautious ? Because I still don't understand this number. Their larger turnover, there will be operating leverage, non - consumer mix will be higher. So all that should lead to this number also better. So are we being unduly beaten up by what has happened where our guidance is being more enthusiastic by numbers are being behind ? And because of that, we are just ta king a very conservative stance?
J S Gujral: We could say that , but for the now, for the present, we hold on to this guidance and another 60 days from now, we'll be back to the market with our Q1 results. And we find that there is a significant change. We'll revise our guidance accordingly. But for current, my submission is that we stick to the 7% guidance.
Bharat Shah: Okay. But there are no business condition adversity that you are seeing, whi ch makes you

revise this number?
J S Gujral: Currently, we stick by this number, but we are not seeing any adversity which is pulling down this number. We are sticking the sort of calculated this number and on a, say, let's put it on a slightly conservativ e basis. A Dravid style approach instead of a Virender Sehwag style approach.
We stay at 7%. And if the situation changes during the course of the quarter, we'll definitely come back. We'll be more than happy to share even good - better news with the inve sting community and analysts and my investors. But for now, I'm holding my horses and staying at 7%.
Bharat Shah: All right. One last thing. Depreciation has been about INR50 crores for the year and interest has been about INR40 crores. So about INR90 cror es. If we are likely to be sweating assets better and there'll be cash flow release, that interest number probably will be lower for the year ahead, similar or higher?
Bijay Agarwal: So going forward in the next year, what we see, depreciation can be sligh tly higher for the capexes, whatever we have done or maybe which are under capitalization. So quarter number, you can see about INR16 odd crores rupees of depreciation for the quarter, last quarter, quarter four. So similar way, maybe the number should be approximately around INR60-INR70 crores of depreciation for the next year.
And financing cost is like always a derivative number of our total f inancing. If we are able to manage the working capital as per our plans, my working capital borrowing will also be in the similar range. And accordingly, the financing cost would be similar way. So with a slight a bit of 10 %-15% of variance.
Bharat Shah: So interest cost would be around INR40-INR45 crores?
Bijay Agarwal: 40-50 is what we can say.
J S Gujral: Yes. So we expect about, as B ijay was saying, depreciation to be about 60 -65 interest, 45, so about INR100, INR110 crores of charge after operating EBI TDA from our thing. So if we say the operating EBITDA for about 315, whatever is the figure, so that will be reduced.
Bharat Shah: Operating profit plus other income minus the charge.
J S Gujral: Yes.

Bharat Shah: Okay. Thank you in all the best. I hope we are beautifully st rung by the past and therefore we are diving caut iously for the future. That's appreciated.
J S Gujral: Thank you. Thank you very much.
Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya : Thank you for the opportunity. So just first clarifi

cation, the capex that we have done, organic capex in FY '24 should be around INR333, 40 crores. Is it correct understanding? And what would be the utilization for this incremental capex?
Bijay Agarwal: So this capex, yes, the overall number is correct. The total utilization would be approximately towards, we are planning to set up a facility in Manesar one more, Manesar 3, part of the capex has gone towards it. Part of the capex has gone towards my Chennai project.
We have also acquired land for my Hosur project, the part of the capex for that, Pune and Bawal . It's a mix of 4-5 projects towards which we ha ve done the entire capex.
Keyur Pandya : So I'm saying on the gross block of FY '23 end, what is the utilization and whatever capitalization that we have done in FY '24, what is the utilization on that incremental added gross block also?
J S Gujral: Okay. A s of the year in March 24, on an average basis, my asset utilization is about 65 odd percent.
Keyur Pandya : On the blended basis, with a doubled capacity?
J S Gujral: Yes. If my total capacity available as of March of 24, and then we calculate the capacity every month as the capacities are added . The average utilization is below 70 %. So this is what gives us the sort of leverage to grow in this year. And as I shared in my last call also, that the capex which we will be doing in FY '25 is aimed at my FY '26 target. For the FY '25 target, by and large, my capex is in place and the capacities are in place, buying some balancing equipment or one -odd equipment in a particular location because of a customer demand. So whatever capex which Bijay tells me is about INR150 crores in this year, FY '25, is aimed for FY '26 revenues, bulk of it.
Keyur Pandya : Okay, INR150 crores organic capex. And anything on the inorganic side?
J S Gujral: Inorganic, as of day, we have nothing, no concrete proposals on the table, but we keep evaluating proposals in areas where we are not present in offerings which we don't have to sort of complete over product offerings in defenc e, aerospace, and maybe railways. So those things are a work in progress. We keep evaluating. And once we have a concrete proposal in hand, we'll definitely come back to all - to you people.
Keyur Pandya : Okay, just last question, if I look at other expenditure, other opex, sequentially Q3 and Q4, our re venue has gone more than 60 %-70% up Q -on-Q. I expect o ther opex is around flat at around INR80 crore s. Now we have some one -off or we should continue similar run rate going ahead also in FY '25 because if I look at the revenue guidance, that is around $45 billion. So that is on the similar quarterly run rate as we have seen in Q4. So this INR80 crore s has some one -offs and that is what it is lower or this is the stabilized other expenditure level on the quarterly basis ?
Bijay Agarwal: Other expenses include some bit of variable and some bit of fixed expenses. The variable

portion is the labor contractor expenses. So whatever is there, that will definitely be increasing with the increase in the sales. That's where we are. Rest of all are fixed, so this will be there in the similar range, the balance number.
Keyur Pandya : Okay, thanks a lot and all the best.
Moderator: Thank you. The next question is from the line of Pratik Banthia from Girik Capital . Please go ahead. Mr. Pratik, your line has been unmuted. Ple ase go ahead with your question. Mr. Pratik, can you hear us?
Nikhil Gupta: Next one, I'm probably in the background, you can check.
Moderator: As there is no response from the line of the current participant. Our next question is from the line of Vipin Goel from Mirabilis Investment . Please go ahead.
Vipin Goel: Yes, hi, sir. I had just one question regarding to the commentary that you made on th e bringing down the consumer mix in FY '25.

So if I look at the current order book, it's at
about INR4,500 crores . And there you say that you're alluded that it's consumer mix is about 40%. So if we assume 40% growth, that translates to roughly INR4,200 -INR4,500 crore s kind of revenues for the next year.

Now, our question is that, how are we going to bring down the consumer mix execution in 25? Because consumer orders are usually short cycle orders. So this 40% of the order books is what we'll have to exec ute anyway next year. On top of that, there could be some incremental consumer orders as well. So, I mean, could you just help us understand what am I missing here?

J S Gujral: You're not missing. We are targeting that the consumer business in the current year, FY25, would be anything between 37 % and 40% of the revenue t hat's all the breakup of our projections we have done internally with the industry -wise breakup. Now, there could always be a possibility going forward that if there's a business then my top line would go further up, but as of date what we have budgeted we believe that the consumer business will be between 37% and 40% odd of the revenue a nd the revenues are expected to grow at about 40 %, 45%. Now, hypothetically, if I end up a 60% increase i n revenue next year if I'm not committing, I'm saying if then obviously some of the verticals will see a higher growth. Now, whether it will be consumer, healthcare or industrial that will change when it comes if we have to revise the guidance. But for now , the guidance which you are giving is a 40 %, 45% top line growth with a 7% a bit a nd the one particular segment, we have shared the composition of it in the total revenue.

Vipin Goel: Got it. So does that also mean that the incremental order intakes that we'll be taking for 25, that wouldn't have much of the consumer t he FTTH piece that we are doing b ecause if we do then that means your co nsumer mix is kind of going up b ecause it's already built into the current order book the 40%.

J S Gujral: So yes see c urrent order book and based on the visibility from the customers we hav e shared

the figures. So if we - as we go forward and it's a dynamic society it's not that it's an annual plan which is sort of - which cannot be changed or revised upwards or downwards mostly upward. So if that happens, we'll share with the markets.

But as of now, I can't say the plan will not be revised or some vertical will not go up or some vertical will not go down. So that's the thing as we progress the year and the quarter we'll keep updating the ma rkets and the analysts on this, b ut as of now, we stand by what we have said, 40 to 45% growth rate with 7% EBITDA margin operating EBITDA margin.

Vipin Goel: So how does this one the PLI piece, the F TTH piece in terms of ordering, I me an, since we are qualified for the PLI does that mean that we'll have to anyway meet certain criteria s and have to bid for the upcoming projects in a similar category?

J S Gujral: The PLI scheme has a play of investment and incremental revenues. Those have been factored in the projections. It's not that I have to take more orders to sort of avail the PLI to whatever entitlement I have got today based on the approval which I have received from the Government of India, I have factored in those businesses.

If those businesses were to exceed that limit, they will not be PLI entitled. So if, for example, if my business limit is a revenue limit of INR800 crores I do INR1200 crores in a particular vertical, but I'll be entitled to PLI only on INR800 crores based o n the approval which the Government has given. So we have taken all those things into consideration when we have drawn up our plans AOPs and shared with you.

Vipin Goel: Sure, sir. That's it from me, sir. Thank you.

Moderator: Thank you. The next question is from the line of Raj Shah fro

m Ambit AMC. Please go
ahead.

Raj Shah: Yes, two questions from my side. Firstly, if we see our order book sequentially it looks flat at INR4,500 crores. So is it because we are slowing down our consumer business or there has been a general slight slowdown in other segments as well if we see sequentially?

And second is that for the railway business. So now as we have got the RDSO approval, so what kind of order book as well as revenues do you see for the next year that is FY25 and FY26?

J S Gujral: Now, the flattish order book position which you are referring to is because of a higher execution in Q4. It's not because of any softening in demand from any of the sectors. So during this coming quarters th e position may change because by turnover increased by almost like 30% from INR750 odd crores to INR1100 crores between Q3 and Q4.

And the orders will never be in sync with the execution, b ut the broad visibility we have shared with you. A s far as RDSO approval is concerned, w e have orders which we'll be executing this year. Last year against the RDSO approval, we executed an order worth about

INR3.5 crores rupees.

We expect in this year more towards the second half of the year the business from this RD SO approval to grow to a bout INR25 crores, INR 30 crore s. Railways is a longer gestation period in terms of getting the orders and executing the orders. Unlike automotive where once you get the approval the execution is very fast and consumer.
So currently we have the visibility of railways which we have shared it should b e about in the current year INR45 crores INR 50 crore s of business in the current year. If any further orders are received we'l l share when they are received. Currently, the situation is this.
Raj Shah: And how is the margin profile for these orders?
J S Gujral: It's better compared to the automotive and industrial, b ut it is also accompanied by a higher working capital cycle because the execution period is long. It involves a lot of stage -wise inspections and all that. So the working capital cycle is long in railways.
Raj Shah: So last question we have incorporated the new design subsidiary and you said t hat we expect revenues from FY25 onwards. So what kind of revenues do you expect from this [inaudible 1:10:00] subsidiary?
J S Gujral: Early days, we have got strong inquiries. We believe that in the current year we should be able to sort of come above board on the design part. When I say above board means that it should not be out of pocket. How much business we wi ll be able to generate in this year it's still in the works. I think next year is the time when we should have fruits of this effort. It is taking longer than expected.
I had expected that by 2024 -2025 we should be able to kick in a decent amount of reven ues. But with the revenues of the company being about what we are projecting it will still form a very small portion of our revenues and hence a small portion of our EBITDA . But going forward, I am very confident that this leg of the business should be EBI TDA accretive.
Moderator: Thank you. The next follow -up que stion is from the line of Vipraw Srivastava from Incred Research. Please go ahead.
Vipraw Srivastava : Thanks for allowing me to ask a follow -up. Just one thing on the balance sheet. Your other current assets have gone up sign ificantly compared to last year. So wanted to understand why is that happening? What are the other current assets comprising of?
J S Gujral: Okay, Bijay can answer in detail, b ut the significant increase in the other current assets is on the account of GST which has to be paid in advance when you buy the material. Inventories are accounted for net of GST. So GST is one of the major portions of the other current assets. But B ijay can dwell in detail on this.
Bijay Agarwal: Primarily, that's

the reason with the higher businesses and multiple locations. There is a higher inventory holding, which is there reflecting into my balance sheet. So that is one of the reasons, balances with the government authorities and all. So and some of the advances for the new businesses. These are the two things which are actually leading to this particular.

Vipraw Srivastava: And one last question. So you're setting up something in Germany, you mentioned in the initial part of your call, right? What was that?
J S Gujral: See, we have had a company in Germany since 2008. They were operating on a small premises. And we had shared with a call, I think in the December earning call or something, that we had also set up a prototype line in Germany to addre ss to the needs of the new product for mid -sized companies who don't have bandwidth to come to India.
Now, based on the traction and the input from the consumers, customers rather, we have expanded and consolidated in a single facility of 40,000 square fe et in Stuttgart, Germany, which should go on stream. It's under refurbishment and fit out, which should go on stream in Q3 of this year, maybe end of Q2 or th e beginning of Q3 of this year.
So that will address, so I would have a facility to show to my ex isting and potential new customers, address to the nearshoring requirements of the European customers. So it would initially be an integration facility, which means that all the board will be done in India, shipped to our subsidiary in Germany, and they wi ll integrate into the final product.
So this is a step towards increasing the export. My exports have increased by 26% last year. CAGR of three years is 19%. And believe you me, neither Europe nor America is going at that pace. So this is to address a pot ential business market segment in Western Europe. That we have beefed up our presence in Germany.

Vipraw Srivastava: Okay. So there are no plans of moving to manufacturing, right? Only the integration part, right?
J S Gujral: Yes, we have a prototype line over there to do the MPIs. We have currently no plans of doing the bulk -scale manufacturing. But if there's a business opportunity and it's profitable to me, whether I do it over here by putting up a line or I do it in Germany. The only thing is, in German y, the costs are more. So it logically doesn't make sense to do the large -scale production where manual intervention is high. So hence, I believe that we'll start with integration. But logic says that it will convert into a full -scale manufacturing in the years to come. It's a normal logic.
Vipraw Srivastava: Okay. Thanks a lot.
Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. And I'll hand the conference over to the management for closing comments.
J S Gujral: I thought there was another question coming. Before I give my closing comments, I'll ask Satendra to share his small view on this, summarize view on this , and then I'll close it off.
Satendra Singh: Thank you, Gujral ji, and thank you everyone on the call. I think we had a very busy quarter. As indicated by the growth, and we expect to continue the similar growth in the years to come. Clearly, I think we are at a stage wherein, as a company, we are investing for future, like as indicated in many data points and also comments made by Gujral ji and Bijay on the investments we are making in the equipment.

Whether it is the SMT capacity, I think we doubled the capacity. I think Gujralji has said it in the call today and very clearly. So whatever capacity the co mpany created over initial 30 plus years, we have created same capacity in last one year. So we are doubling the capacity effectively in last one year. That prepares us to deal with the business which is coming in

.
We are continuing to invest in the talen t, bringing in more professional on board. And we are continuing to invest on optimizing our processes. Because as we go through this growth journey, we should ensure that our processes are strong and they are ready for the future. Because what we have cle arly is a very solid road ahead of us.
And we are doing everything we can to make sure that we deliver on the commitment we have made. And the indications we have given during this call today. I would say thank you very much for your support. And back to Gujralji again.
J S Gujral: Thank you, Satendra . I think Satendra has swelled in on all aspects of the business. I would like to restate that management is very focused on building a long -term sustainable business. Hiccups when you grow at 50%, 55% CAGR ov er three years will happen. Ideally, they should no t happen, but they will happen.
And they will have impact, more negative impact than positive impact because of the hiccups. As we have stabilized the growth rate and the teams have gained the confidence of managing growth rate upwards of 40%, 45% year -on-year, I think the teams are now focused on bringing in operational efficiencies and th e cost of the growth.
Please appreciate that when you grow from a small base at such a scorching pace, efficiencies are the first casualty. And efficiencies will be both operating and on cost of materials. Going forward, I think we are now well -placed to take benefit of the base which we have created. And the management is focused on a high growth trajectory with stable margins in the business. Exports would continue to be a forte .
And as I shared, not many companies from India have a $100 million export, independent TMS companies like us. A Foxconn can do by exporting the Apple phone. But an independent company like us , I don't think there would be many companies who have that level of exports. And we expect the exports to continue to grow at this pace of 20 -odd percent, ma ybe higher in the coming years.
MedTech [79:13] will be one of the significant contributors to th e bottom line in the coming years. As I said, we have set up a design center in Pune primarily focused at MedTech specialty. We are very cautious of our social responsibility. And we have internal plans of how do we reduce the carbon footprint. And this is being monitored on a monthly basis.
So we are here to create an organization which will grow at a rate of 40% with stable profit and be mindful of the social responsibilities of the – towards the society. With this, I say a big thank you to all of you fo r supporting us and look forward to this continued journey with you. Thank you.
Moderator: Thank you. On behalf of Avend us Park , that concludes this conference. Thank you for

joining us. And you may now disconnect your lines. Thank you.

Call: Aug 2024

Date: August 10, 202 4

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
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Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter ended June 30, 2024.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find atta ched the Transcript in respect to the Earning Conference Call on the Unaudited financial results (Consolidated and Standalone) of the Company for the quarter ended June 30, 2024 , held on Tuesday, August 6, 2024, at 10:30 AM (IST).

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations .

We request you to take the same on your record.

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

“Syrma SGS Technology Limited
Q1 FY '2 5 Earnings Conference Call ”
August 06 , 2024

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER – SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER – SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD, INVESTOR RELATIONS – SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Syrma SGS Technology Limited Q1 FY25 Earnings Conference Call and hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities Limited. Thank you and over to you, sir.

Aniruddha Joshi: Yes, thanks, Neha. On behalf of ICICI Securities, we welcome you all to Q1 FY25 Results Conference Call of Syrma SGS Technology Limited. We have with us today Senior Management from the company.

Now I hand over the call to Mr. Nikhil Gupta, Head of Investor Relations, to introduce the management and take the call proceedings further. Thanks and over to you, Nikhil.

Nikhil Gupta: Yes, thank you, Aniruddha. Hi, very good morning to all. Welcome to Syrma SGS Q1 FY25 Earnings Call. We have with us today Mr. J .S. Gujral, Managing Director, Mr. Jayesh Doshi, Director ; Mr. Sat endra Singh, Chief Executive Officer, and Mr. Bijay Agrawal, Chief Financial Officer, Syrma SGS to discuss the performance of the company during the first quarter of FY25, followed by a detailed question -and-answer session.

During this call, certain statements that will be made are forward -looking, which involves server risks, uncertainty assumptions and other factors that can cause results differed materially from those in such forward -looking s tatements. Request is to kindly refer the disclaimer statements as presented in the earnings release for the same.

With this, I now hand over the call to Mr. J .S Gujral, Managing Director, Syrma SGS. Over to you.

J.S. Gujral: Ladies and gentlemen, a very w arm welcome to the Q1 FY25 Earnings Call of Syrma SGS Technology Limited. We have had a good quarter, Q1 of FY25 , maintaining the growth tempo of the last year, we are happy to share that our sales grew by 92% year -on-year and for the second quarter in suc cession, we have crossed the INR1,000 crore s sales mark.

EBITDA for Q1 grew by 26% to INR54 crore s. The first quarter saw subdued export sales, which stood at 16% of the total revenue from operations . We expect and are confident that the exports will pick up in the coming nine months and we would be seeing a 20% growth in the export sales . During the quarter, as explained in the earlier call s, we have achieved a gliding down of working capital to 62 d ays from the 70 days of last year.

During the quarter, we generated positive operati ng cash flows. The order book as of 30th June 2024 stood at a healthy INR4,500 plus crore s and the order intake during this quarter was approximately INR1,200 crore s. All o ur planned expansions are on schedule, and we expect our Medtech design Centre to go on stream later part of this month and our Pune campus to go on stream in Q3 of this year.

Now, doubling on the business front, the order intake is healthy, and we have re ceived significant orders in smart metering. And in this year, we expect the smart metering business to contribute INR200 plus crore s to our revenue. We have also received a sizable contract for design of medical devices from a global company, which would result in MedTech devices business going up in the coming years.

The HVAC segment also continues to see strong traction with onboarding of a new multinational German client, where we have got the green go ahead for doing the sample series. We have on -boarded significant customers in auto segment and added new products in the auto vertical and t

his would continue to be one of the mainstays of the business of the company.
Now, I hand over to B ijay Ag rawal to dwell on the financials in detail.
Bijay Agraw al: Hi, good morning everyone. I will now quickly take you through our brief financial performance for the quarter Q1 FY25. Our consolidated total revenue for the quarter is INR1175 crore s, up by 89% year on year and primarily the growth has been contribut ed by strong demand growth in the auto sector and the consumer segment. Consumer segment mainly led by high volume telecom business contributed 53% of my total operating revenue for the quarter.
Our export revenue for the quarter is about INR180 odd crore s, which is 16% of my total operating revenue. And same way, ODM revenue for the quarter is about 10% of the total revenue for the quarter. Our gross margin for the quarter is 16%, as against 18% last quarter, mainly on account of business mix change wherei n the consumer business contributed higher on the mix side by about 53%.
Our operating EBITDA for the quarter is INR53.8 crore s, which is 4.6% as operating EBITDA margin. P BT for the quarter is INR29.5 crore s and PAT for the quarter is INR20 crore s, which is 1.7% of my total revenue. During the quarter, we have also received a Telecom PLI claim related to FY '23, which we have already accounted for on a net basis, which is approximately INR4 crore s of benefit, and we are expecting another INR15-16 crore s on a net basis during this financial year, which is related to FY '24 claim.
Moving to working capital, with consistent focus on the working capital efficiency, we have been able to reduce our working capital investment from 70 days last quarter to 62 days in this quarter. There is a saving of about 8 days, and we still are focused to continue to further reduce it going forward during this year.
Coming to our debt and treasury position, our total debt outstanding as of 30 June 2024 is about INR610 odd crore s and we have a total treasury investment with us is about INR490 crores , which gives me a total net debt position of about INR120 crore s as on quarter end, which is almost INR55 crore s lower or maybe a reduction in the net debt from my last quarter positi on. This treasury balance also includes my unspent IPO proceeds of INR150 odd crore s. Coming to capex , we have spent almost INR70-75 crore s during this quarter, and we are expecting to spend another INR50-70 crore s during this financial year. All these capex as our MD has already explained is going towards newly commissioning or under commissioning facilities in

Pune and Stuttgart, Germany. Our ROC E for the quarter is 11% if we exclude the unutilized IPO proceeds and goodwill from the capital employe d.
Our open order book position is almost INR4500 crore s as on June end and which comprises almost 23 -25% from auto segment, near about 38 -40% from consumer segment, 22 -25% from industrial segment, about 6 -7% from healthcare and balance from IT and railways b usiness.
Another update regarding merger of our subsidiaries, SGS Tekniks and SGS Infosystems into parent entity Syrma SGS , we have already received an order from NCLP for first motion and next steps are in process. We are expecting the merger to be conclu ded in another 6 -9 months.
We are confident to continue similar growth of 40 -45% in the revenue and operating EBITDA delivery as guided previously also for about INR310-325 crore s for the full year. We continue to focus further on the reduction of working capital, improving free cash flows for the full year and reduction in the net debt position for the company.
With this, thank you very much. Now, I will hand over this call to Neha and Anirudh to open the forum for the questions and answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first questi

on
we have is from the line of Deepak Krishnan from Kotak Institutional Equity. Please go ahead.
Deepak Krishnan: I just wanted to understand the margins because if we rem ove the FX and the PLI benefit, then on an effective basis, the margins come to about 3.6% for the quarter. We are guiding to about 7% for the full year. Obviously, we understand there will be some impact of Joh ari that will add up. But are you confident of 8% plus operating margins for the second half of the year or the remaining part of the year to get us to 7%? And what kind of gives us the confidence that this will flow through in terms of numbers?
J.S. Gujral: You see, the margin is 4.6% and not 3.6% because PLI is part of the business. The very fact that we have taken the consumer business is because of the PLI. So, PLI is an integral part of

the business and hence we include it in our business profitability and the guidance.
Similarly, the forex exchange fluctuations are related to the purchase and sale and purely operational in nature. They are not related to the treasury incomes. Hence, we stand at 4.6% of the EBITDA margin in the current quarter. Going forward, based on the or ders in hand which Bijay has just shared, the composition of the orders in hand and the sales mix, put together we are confident of achieving the earlier guided figure of INR315 crores , INR310 crores to INR320 crores of EBITDA . These may translate into 7.1 or 6.9 margin . That's the only thing. But we are confident of achieving that figure and a growth rate of 40 %-45% over the FY '24 period .
Deepak Krishnan: Sure. Just a follow -up on revenue, given that we are indicating 45% at the top end, would imply that this quarterly run rate continues for the next three quarters plus. Does that mean that deceleration in consumer business is partially offset by increase in healthcare? Does the consumer revenue flatten out or slightly decrease from these levels for the co ming quarters?
J.S. Gujral: See, in the first quarter, the consumer business accounted for 53% of my revenue against the

guided figure of 40% for the full year. This logically implies that we are expecting, and we are seeing the softening of the consumer b usiness in the coming quarters. It has been front -loaded in Q1.
Now, if we have to achieve the budgeted sales, we have the order pipeline for high -margin, low-volume business which is in the automotive, Medtech , industrial and healthcare. So, that would be the thing. The softening of the consumer will be offset by increase in exports, increase in industrial and so on .
Automotive accounts for only 16% of my revenue in Q1. We are targeting about a 20 %-25% approximately automotive segment to contribute to our business. So, this quarterly play, as I have always been saying, we are focused on the annual figures and the long -term. Quarter variations will continue to happen. Sometimes, it will be a positive variation. Sometimes, it will be a negative variation. And in the coming nine months, we see a positive play in that direction.
Deepak Krishnan: Sure, sir. Maybe just one last question on order inflow. So, this particular quarter, Q1 -Q2, the order book is relatively flat, even though we have won large orders in s mart metering and medical. But how are you in terms of order inflow guidance for the full year? Do you have any sort of range of where do you think order inflow or order book will reach by the end of the year?
J.S. Gujral: See, order inflow continues to be strong. And in the last quarter, we had an order inflow of approximately INR1200 crores. It was INR800-odd crores in Q4 of last year. So, we expect the order pipeline to continue to grow. And as we progress in the years, t his number of INR1200 crores quarterly intake will only go up.
Moderator: Thank you. The next question is from the line of Rahul Ga

jare from Haitong Securities. Please go ahead.
Rahul Gajare: Good morning, gentlemen, and thanks for the opportunity. Sir, yo ur consumer business, like you said, was front -loaded in this particular quarter. But that 40% contribution that you're talking about, do you think that is a more sustainable contribution to balance the profitability? Is that how one should look at this co mpany?
J.S. Gujral: See, we are expecting consumers to constitute about 40% of the sales based on the order pipeline which we have got. Ideally, we would love this consumer business to come down to 35%, or even lower. But based on the order pipeline which we have, we should expect around 40% of consumer business in the current financial year. And the guided figures which we had shared earlier factored in a 40% consumer business, 60% non -consumer business. Okay.
Rahul Gajare: Sir, and you did also indicate a n uptick expected in the healthcare business based on some new orders. I just wanted to understand what particularly happened in this particular quarter, given that, sequentially, that business is halved in the healthcare business. I just want to understan d what is happening on the healthcare front also ? Thank you.
J.S. Gujral: See, healthcare business for us consists of two segments. One is the RFID healthcare business;

one is the EMS and the Medtech devices business. The Medtech devices business has been soft in the Q1. And it was not there in Q1 of last year because the company was acquired somewhere in September of 2023. As you see in terms of percentages, the healthcare business

is going up. But we expect significant contribution from the Medtech device s business in the coming quarters.
And typically , it is a low first quarter, a higher second quarter, a still higher third quarter and a highe st fourth quarter. That's the normal trajectory of the medical devices business. And we expect this year, the healthcare business including RFID, including EMS, including Medtech devices to be the tune of about 350 plus crores, 350 -360 crores.
Rahul Gajare: Okay. So , my last question, you know, we've done about 4.5-odd percent in this particular quarter. And you're pr etty much sticking to your guidance for the full year. So we are basically looking at about 8% plus in the balance nine months. You think based on the order book composition and the execution that is lined up, you think that kind of margin is something which you can easily achieve?
J.S. Gujral: Well, it can be achieved, and we are confident of achieving it. Easily or not, I would not comment on that .
Rahul Gajare: Okay.
J.S. Gujral: Yes, based on the order pipeline and the operational efficiency. For exampl e, if we see this particular quarter, Q1, we have had almost like a 4% operational efficiency, 4.7% operational efficiency in overheads. But this was partly or a significant offset completely because of the change of the product mix. But once the product m ix gets back to normal, this operational efficiency will also help us in achieving the guided figures of margin.
Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.
Sonali Salgaonkar: Sir, thank yo u for the opportunity. Sir, my first question is regarding the order book for INR4500 crores as of now and also the order intake of INR1200 crores during this quarter. Could we get an approximate segmental split of both these numbers just to gauge which segment is currently higher in the order book?
J.S. Gujral: I'll request Bijay to take this because he has all the details with him.
Bijay Agrawal: Sure. Of the current order book, I've already given a breakup of that thing. It's like about 23% to 25% is there from auto segment and about 38% to 40% from my consumer segment and again 22% to 25% from industrial segment. About 6%

to 7% from healthcare and balance is
IT and railway. And order intake for the quarter is about INR1,200. And if you see this intake mainly is increasing on the auto and industrial segment here apart from the consumer one.
Sonali Salgavkar : Understood. That's very helpful. So secondly about the exports, you did mention about some weakness in Q1 and your confidence of ramping it up over the next few quarters. Could you throw some light as to what gives us the confidence that exports can ramp up? And secondly

we are targeting 20% full year growth or 30% because I think last quarter we did mention 30%?
J.S. Gujral: What we had mentioned la st quarter also that in Q1 we were seeing some slowdown in exports, it was planned by the customer, it was nothing as a surprise. The uptake has already started from this month which is August. We grew exports last year at about 26% and they stood at about USD 100 million or INR800 crore s. We expect the exports to touch 1 ,000 plus crore this year. So 20% to 25% growth in the exports would happen on an annualized basis. Quarter -on-quarter it would see an increasing trend.
16% was the composition of the exports in my total revenue which we had shared that the long-term mission or objective of the management is to have a third of our revenues coming in from exports on a long-term basis. It may not happen this year . This year we may be around 22% to 25% of my total revenue coming in from the exports. 1,000 plus crore that is the export figure which we targeted and t hat's what we shared last time 800 plus crore 25% plus or something more.
Sonali Salgavkar : Understood , sir. Very clear. So my third question is about IT hardware PLI. We have been a recipient of that. So any updates as to from when we can start the production, and have we inked any packed with any of the leading customers on that front?
J.S. Gujral: We ha ve not as yet tied up with any major pl ayer for IT. I'll request Satendra because he's spearheading this to answer on the IT part. But as of date we have not tied up with, there's no concrete tie up with any player.
Satendra Singh: Thank you, Gujra lji. And a quick comment on this. So like Gujra lji mentioned we don't have a tie up with a large player, but we are working as of now with one ODM and we've got the order with them. So we will start to see some IT revenue kicking in which is relevant to the PLI ne xt quarter.
Another quick comment on the exports. I think exports as Gujraji mentioned there was a known softness in the business with an existing customer and then we have a ramp up of a customer

which is going to start from next quarter onwards. So that's a new business which will ramp up.
Sonali Salgavkar : Understood. Sir, just my last question. What's our average capacity utilization right now?
J.S. Gujral: For the Q1 my average capacity utilization w as again sub 70% on an average c loser to 60 -65 on an average.
Sonali Salgavkar : Got it sir. Very helpful. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Vipraw Srivastava from Incre d Capital. Please go ahead.
Vipraw Srivastava: Just two questions. So first on the smart metering part, I just want to understand that what kind of margin profile does smart metering order carry? I mean, is it with the current margins or

higher than the current margins?
J.S. Gujral: See the smart metering business in India would typical ly have the profile of an industrial product which is a domestic -based business. The export business on the utility metering would have slightly higher margins.
Vipraw Srivastava: Okay so by that you mean around 7%, 8% margins ?
J.S. Gujral: Are you talking about the gross material margins?
Vipraw Srivastava: In terms of gross marg

ins, how much was it 20%?
J.S. Gujral: Yes approximately.
Vipraw Srivastava: Okay, thank you. Second question sir regarding the forex part. So I mean if you're taking forex as a pa rt of your operating income then are you betting that forex will always be in your favour ? I mean, let's say in the second quarter forex goes against you then is there a probability that you might miss your guidance?
J.S. Gujral: At the end of the day these foreign exchange variations are part of the operational income. If it goes negative we have contracts with the customers to have a pass -through. So the only point which I was trying to make is that it is related purely to the purchase and sale of mat erials. It's not related to trading. So you can factor it into the cost of the material or the sale value either way.
Vipraw Srivastava: Okay, fair point. Sir last question so sir there's an order with the export part which you're talking about ramping up there. The international environment currently is still not favourable, and the demand has still not come in the US. So you're still confident right that the export will start picking up from next quarter?
J.S. Gujral: Yes, absolutely. You see as Satendra just mentioned it was a known softnes s for existing customers in Q1 and uptake from Q2 a nd going back to the original figur es and the growth in Q3 and Q4. Plus the new customers which we have onboarded we have just done the sampling and the prototyping. Th ey would see the series production, the volume production starting in from later part of Q2 running into Q3 and Q4.
Hence, we are confi dent that we would cross the INR 1000 crore s export sales figure this year up from INR800 last year. So whether we end at INR1100 crore s, INR1050 crore s I think that's guidance we can share during the course of the secon d quarter or the third quarter, b ut we're very confident we'll cross the INR 1000 crore s mark.
Vipraw Srivastava: Okay. Thanks a lot.
Moderator: Thank you. Th e next question is from the line of Ashutosh Parashar from Mirabilis Investment Trust . Please go ahead.
Ashutosh Parashar: Sir I was trying to calculate the order intake for this qu arter for the consumer segment a nd I could be off by some margin , but it does seem that of the INR 1200 crore s order intake, roughly

about INR 500 crore s is from the consumer segment. While this number was a bit lower in the previous quarter a nd I also understand that the execution pace for consumer has increased , but on the other hand it seems that the incremental order still carries a large portion of the consumer segment. So I wanted to underst and the nature of these orders a nd by nature I mean the margins of the incremental consumer orders?
J.S. Gujral: So, I think B ijay has alr eady answered. I'll request him to clarify once more.
Bijay Ag rawal: So on the order intake side if you see the order intake during the quar ter we have received another INR 1,200 crores of order. And if we analyse the order intake about INR400 crore s out of it is related to auto segment. Similarly, another INR 400 crore s which is towards consumer segment, a bout INR130 odd crore s is from healthcare, a nother INR360 from industrial a nd the

rest is Railways and IT.
Coming to your question of consumer here, we can see in this quarter, quarter one we have delivered about INR 600 crore s plus of consumer business, b ut the order in take in this quarter is only INR 400 crore s and that is where we were saying there is a softne ss in the overall consumer segment which is where we are saying in the full yea r this number will be around 38% to 40% of my total thing. And if we say margins accordingly, so margins for the full year we have already guided. Based on this mix, this overal l margins will be delivered.
Ashutosh Parashar: Right si r. But specifically for this

INR 400 crore s order intake I mean for the INR500, INR 600 crore s that we executed, large part was the FTTH orders. So does this incremental INR 400 also constitute the FTTH orders or is it something else b roadly I mean just in terms of mix si ze, if you can get some context?
J.S. Gujral: What Bijay is referring to is the consumer business, which is the high volume, low margin business, which was around INR600 crores plus in Q1 . The intake of orders of the same nature is around INR400 crores . Consumer, which also include ODM, my own design, which has a higher margin, we don't consider it in this discussion. Though it forms part of the consumer, but specifically referring to the low margin, high volume business of consumer, the order intake is approximately INR400 crores in this quarter.
Ashutosh Prasad: And broadly, what would that margin be, about 2 %-3% or a lower number?
J.S. Gujral: Well, the gross material margins are approximately 8 %-9%, so it translates into the same figure what you are referring to.
Ashutosh Prasad: Got it. And the INR310 -INR315 crore s EBITDA guidance that we are providing, does that include the INR17-INR18 crore s PLI incentive or is it excluding tha t?
J.S. Gujral: PLI is an integral part of the business and as I had guided in my earlier commentaries, earlier interactions, we are guiding for an operating EBITDA of about INR310 -INR320 crores, which is all -inclusive.
Ashutosh Prasad: And PLI portion would be about INR18-INR20 crores in this?

J.S. Gujral: Yes, that's part of the business. Otherwise, without the PLI, the business will not make sense.
Ashutosh Prasad: Sure, sure. Great, sir. That's all from my side.
Moderator: Thank you. The next question is from the line of Manikantha Gar re, from Franklin, Templeton, India. Please go ahead.
Manikantha Garre: Good morning, sir. Thank you for providing me this opportunity. Sir, the first question which I have is on the consumer business. This quarter, it was 53% of the total revenues and for the full year, you are expecting that to average at 40%. Out of the 53% in Q1, you said 40% is telecom. What would be the corresponding number for the full year, 40% expectation that you have?
J.S. Guj ral: On the guidance of annual revenues, the 40% would translate into around INR1,800 crores.
Manikantha Garre: But of that, how much would be telecoms? It was 40% out of 53% of the total revenues in Q1. So what would that number be for the full year as pe r the order book visibility that you have got?
Bijay Agrawal: In Q1, consumer business is 53% and 40% is what we are targeting for the full year consumer business. It is not 40% out of 53%. So that's what we want to clarify here. And that 40% for the full year would be somewhere around INR1,800 crores of total business on the consumer side for the full year.
Manikantha Garre: Right. Okay. And, sir, just wanted to also understand on this telecom piece of the consumer business, how much of the products would have been towards 5G network -related products and how much would have been towards FTTH-related products? The composition of these two products of the telecom business, could you share that detail?
J.S. Gujral: Well, these are fibre -to-home products. And 5 G is just to be rolled out. 5G on a pan -India basis is just to be rolled out. So these are fibre -to-home products, whether they are the Wi -Fi mesh, outdoor units, indoor units for connectivity. So I wouldn't be able to share the break -up between 5G and non -5G as of date.
Manikantha Garre: Sure. Can you at least give some understanding about whether the 5G exposure is meaningful or negligible as on today?
J.S. Gujral: Sorry, I couldn't get the question.
Manikantha Garre: Can you at least share if this 5G exp osure is meaningful or it's not meaningful as on today?
Bijay Agrawal: We are

saying this is a telecom business which we are referring. Telecom business is broadly a sizable business out of this. Somewhere around 1,500 crores is what we are expecting out o f this telecom business. And balance 300 is something that we are saying that will be other non -

telecom consumer business.
Manikantha Garre: Okay. So within telecom, predominantly FTTH is what you are saying. Is that the right understanding?

Management: That's right.
Manikantha Garre: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of K eyur Pandya from IC ICI Prudential Life Insurance. Please go ahead.
Keyur Pandya : Thank you. Two questions. First, on the working capital redu ction. So if you can just throw some light on, is it because of the change in mix? So, overall working capital days of around 90-95 days on full year basis last year. How each of the segments are different in terms of working capital?
Bijay Agrawal: Yes. y ou are right. Consumer business being a high-volume business demands or maybe requires a lesser number of working capital days. And as my consumer business was almost 50% plus, so my overall working capital days requirement was lesser for this business. Th at's right.
And all other businesses also. Because of our continued focus and maybe I can say we have worked upon the inventory thing. So overall inventory days have also been reduced. So out of this total eight days, yes, primarily I would say this is be ing driven by high consumer business also and savings on the other businesses, both put together.
Keyur Pandya : If I look at the company level working capital intensity, how different each of these or at least key segments would be, say industrial, consumer, auto, from say company level working capital days. So I just want to understand that as the mix changes, I mean, or as the share of consumer goes up and whichever way it moves, how should we think about working capital days at the company level?
J.S. Gujral: Okay, see the working capital intensity is very clear. The low margin business have a low working capital intensity, net working capital. And as you go up, the working capital intensity becomes normal. Having said that, as we scale up and the client profiles change, we have bigger clients in our portfolio. The pressure on working capital goes down. Servicing 100 crores with 10 clients and servicing 100 crores one client, it is a different ballgame.
And the working capital intensity is signific antly lower when we are servicing bigger clients rather than smaller clients. So hence, the guidance which we have given that we would like the net working capital to be around 60 odd days is based on the mix. And we are very confident that it is there at the year -end also.
Keyur Pandya : So just one follow -up. So 60 odd days of working capital is a foreseeable future. And if I just calculate the trading 12 -month fixed asset turn, that would be around 4.5 years. So that is what we should take in the near fut ure or medium future and going for next one or two years for the fixed asset turn as well.
J.S. Gujral: Asset turn? I think it should be 4.5 to 5 going up. The objective is to have it 5+. But on a conservative basis, it could be anything between 4.5 to 5.

Keyur Pandya : Understood. We will get back in detail. Thank you. All the best.
Moderator: Thank you. The next question is from the line of Aditya Bharti from Investec. Please go ahead.
Aditya Bharti: Hi, good morning, sir. Sir, if we just compare this quar ter's margins with last quarter, which is the preceding quarter, post -quarter FY24, even in that quarter, we had a fairly high mix of consumer business. Margins even in that quarter themselves were disappointing. But from there on, margins have further

sli d down despite having a INR4 crores PLI benefit, which we didn't have in the fourth quarter. So what kind of explains that?
J.S. Gujral: In the fourth quarter, we had a very high healthcare business also. Again, we have to see the composite picture. In bit s and pieces, it will throw up conflicting views. We had a very high healthcare component in our turnover and EBITDAs in the fourth quarter, which is not there in this quarter. And export business was much higher. The export business in Q1 is subdued. It's only 16%. Last year, it was about, I think, my export business was about 25%, 24% of my total revenue.
Aditya Bharti: Sure, sure.
J.S. Gujral: So it's about 25% of my revenue was export. This is down to 16%. Now, if you take it, it's almost a 33% reductio n in my export as a percentage. Healthcare has come down. So a INR4

crores PLI is there, fair enough. But then there are other offsetting factors also.
Bijay Agrawal: And it is a quarterly seasonality. If we compare it from Q1 of last year also, we can see the seasonalities are there across every year. Q1 generally is lower on this healthcare side, export business side, and which gradually picks up from Q2 to Q4.
Aditya Bharti: Understood, sir. And just taking a slightly longer -term trajectory, I'm just try ing to arrive at the profitability of consumer business. We used to deliver, let's say, around 9% EBITDA margins until FY ’23. And even at that time, in FY ’23, you had s hared the gross margin profile. The consumer business used to be the lowest gross marg in business, which means that others, by definition, were higher margins. But let's say that, for the sake of simplicity, we assume that every business was 9% margin.
Non-consumer business continues to operate at 9% margin. That essentially means that our consumer business is not yielding any profits. So, what has really happened? Is the consumer business extremely low, almost negligible margin business, or are we seeing a reduction in margins across every vertical?
J.S. Gujral: See, the high -volume consum er business is a low -margin business. Rather, a comparatively lower -margin business, very low -margin business. The ODM part of my consumer business is a standard business, which gives me the standard margins. Now, if this high -volume business content as a percentage of my total sales goes up, the overall reduction is there.
But we are not, and I'm sort of re -emphasizing, we are not seeing any contraction in margins per vertical. The auto vertical continues to work at the same margin, or marginal accretion.
The healthcare, the industrial, the export, the ODM, the RFID, each of these verticals continues

to operate at the same margin. There is no contraction of margin in the verticals. It's the product mix which is creating this distortion in the margin profil e.
Aditya Bharti: See, in that case, essentially we are saying that the consumer business ramp -up that we have seen could very well be almost a 0% margin business?
J.S. Gujral: I won’t call it a 0% margin business, but it would be sub -4%, sub -3% margin bus iness.
Aditya Bharti: Okay, sure, sir. Thanks.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes. So, the first question is on the J DHL performance for the quarter. If we can get, what was the revenues and the EBITDA PAT for that entity?
Bijay Agrawal: So, definitely due to quarterly seasonality, the revenues were maybe about INR10-11 crores, for the quarter, and similarly, the profitability was also very low. EBITDA profitabil ity was about INR1 crore s, about a INR1 crore s there for this quarter.
Bhoomika Nair: Okay, got it. The second aspect is we spoke about, scale -up in terms of the auto as also exports and scale -down relatively versus first quart

er on the consumer segment, a nd thereby margins actually improving to about 7 %, 7.5% or closer to 8% for the balanced nine months. Now, in the first quarter, we've seen a strong reduction in terms of the net working capital days to 60 days.
Given that there will be scale -up in these segments of auto and exports, do we expect that, you know, net working capital days will actually come back to 70 , 80 days as we saw at the end of FY ‘24?
Bijay Agrawal: Primarily speaking, the saving is based primarily from auto businesses also. We don't expect the working capital days to increase back to 70 days. Yes, we are seeing that growth in the auto industrial business, but we are very much clearly focused on this working capital efficiency.
We are even targeting it should be furthermore down from here from 62 days to less than 60 days towards the end of the year. Between that, in any quarter, it may slightly change quarter -on-quarter basis, but there may not be any significant change here.
J.S. Gujral: Yes, just to add on, with the plans in place where we said that the high -volume consumer business will be around 40% and remaining 60%, with this mix maintained, we believe, we are very confident that we will be able to maintain the working capital at lower levels than the 70 , 75 days. It could be 60 days; it could be 62 days or 58 days. So, four days here and there, I am not discussing, but the trend is very clear. We don't expect to go back to the earlier level with this product mix.
Bhoomika Nair: Understood. And the third question is on terms of t he, we spoke about exports scaling up and auto also being a key driver of new order inflows. If you can just talk about in terms of exports, which are the areas which are driving growth with geographies?

And in autos, again, you spoke about new products and new client additions. If we could get some more details in terms of the end customers and areas where we are seeing what kind of, volumes we are seeing there, et c., some more color on both these.
J.S. G ujral: Exports primarily are RFID, healthcare, industrial. Very little of automotive. Industrial would include power controls, industrial cleaning, utility metering, solar. And these are primarily focused at Europe and America. If I was to sort of have a b reakup of Europe and America, it could be 40 % approximately going off to EU part and about 50 % to 55% to the U .S. part. The whole basket, which stood at INR800 crores last year, we expect this to grow to INR1,000 crores to INR1,100 crores, which would be also driven by some of the new customers which we have added last year. As Satendra just explained, they would see series production starting Q2 to Q3 of this year.
Bhoomika Nair: Yes, sir. On auto, sir?
J.S. Gujral: Auto exports are very less. On domestic , we are well placed in both ICT and EV. And we are seeing strong traction with existing customers. We are adding on new product lines, and we are also onboarding new customers. We have onboarded three new customers, which would result in revenues coming i n the Q3 of this year. Additional, incremental revenues kicking in in Q3 of this year, apart from the normal business of the existing automotive customers.
Bhoomika Nair: And what would be the mix between EV and ICE?
Bijay Agrawal: About 60 %-odd by EV busi ness and the rest 40 % from ICE.
J.S. Gujral: And you see, the way you classify EV, if the lighting of the vehicle, I may classify it as a neutral thing. To me, it is not EV. To me, the EV is the one which goes on the engine. The battery management is the engine control. Any periphery, it doesn't make a difference whether it's ICT or EV.
Bhoomika Nair: Sure. Understood, sir. I'll come back in the question queue. Thank you.
Moderator: Thank you. The next question is from the line of Arafat Saiyed from InCred Researc

h . Please go ahead.
Arafat Saiyed : Yes. Hi, sir. Thanks for taking my question. And congrats on strong sales growth. So, my first question is on the business model. Where do you see Syrma over the next few years? Let's say, are you looking to foll ow the model of Dixon or Ke ynes, which has a 14% EBITDA margin? Although, let's say, in smart metering, the margin, let's say, K aynes enjoys almost 14 percent, while your skills have been for 4 % to 5% margin. So, can you just elaborate on that?
J.S. Gujral : See, we'll follow neither the Dixon nor the K aynes. We'll follow the Syrma model. We have our own story. We have our own plans. We have our own strategy. So, we will not follow one or the other model. Business, which makes sense to us in terms of margin accretion, in terms of cash flows, in terms of losses , we'll work on. And we are very clear that we will be a design - led manufacturing company focusing on industrial, automotive, healthcare. Exports would be

one of our significant contributors to the revenue.
And last year, we were INR800 crores of exports, and I think perhaps among the largest exporter of electronics other than mobile phones in the space. So, our strategy is very clear. The pillars, which I've already been alluding to would be indus trial, automotive, MedTech, RFID and ODM.
Arafat Saiyed : Okay. And, sir, coming to your guidance, so let's say for FY '25, you're guiding for 45 % to 50% revenue growth. So, let's say, does that mean that over the next three quarters, your revenue growth wi ll be moderate to around 34 %? Is that correct?
J.S. Gujral: See, we guided, end of the year, end of the day, we guided a 45 %-50% growth rate over the previous year's target, which was about INR3,000 crores. We said about INR4,500 crores would be our target for this year. Now, whether it translates into INR1,000 crores a quarter or INR1,200 crores a quarter that's quarter -on-quarter. But what we are focused on is on annualized figures and long -term.
Arafat Saiyed : Got it, sir. Thank you. That's it from my si de.
Moderator: Thank you. The next follow -up question is from the line of Ashutosh Parashar from Mirabilis Investment Trust . Please go ahead.
Ashutosh Parashar: Yes, hi, sir. Thanks again. Just one more question. On the receivables factoring, so I think you alluded also earlier in the call that after a certain point once a customer reaches a certain scale, we get some working capital benefits. So just wanted to know, I mean, in our current consumer set, how many customers are there who kind of qualify and who qualify us for us to be a part of the receivables factoring to help us in our working capital management? So are there any customers? And if not, then how many customers do you see in the future in the recent near

term, who would qualify us for that?
J.S. Gujral: Okay, I'll let Bijay take that answer. But to the best of my knowledge the balance sheet doesn't have any factoring in it. I think Bijay will delve into this.
Bijay Agrawal: We are not doing any factoring at all on the receivables side. So thi s is all gross receivables, and, no factoring. But to answer your second question here, how many customers would be eligible? We are dealing with the best -in-class customers who are the known names. So almost maybe a majority of my customers on sales are e ligible for any kind of factoring, discounting from any of the top banks here. But yes, deliberately, we have not yet decided to go for any factoring here.
J.S. Gujral: To put it another way, there's no off -balance sheet adjustments in the books. Everythin g is shown. We are not doing any factoring, anything of that sort.
Ashutosh Parashar: Sir, but I think in the industry even some of our peers kind of tend to do that to manage their working capital. So is it like a conscious decision or is it that we

need to reach a certain scale
for the customer to be able to qualify for that?

J.S. Gujral: As I said to our earlier question, S yrma is what S yrma is. We will do what we believe is the best in terms of corporate governance, best in terms of cost, best in terms of liquidity. And as of date, as of 30th of June, I can say with the full force that we have not done a penny worth of factoring. Whether we'll do it in the future or not that's a call to be taken at that point of time. Currently, whatever receivables, wor king capital, whatever we are sort of showing in the balance sheet is a plain, vanilla figure without any factoring without any bill discounting.
Ashutosh Parashar: Great, sir. That helps . Thank you.
Moderator: Thank you. The next follow -up question is fro m Keyur Pandya from ICICI Prudential Life Insurance . Please go ahead.
Keyur Pandya: Thanks for the opportunity. Just one question on the capital allocation. So first is on the capex you mentioned around INR75 crores to be done and some INR60 crores -INR65 crore s to be done in rest of the year. So if you can just give more granular details of where the capex is going. This includes this expansion or onshoring in Germany as well. That is first part. And second part, we had set up a subsidiary for adjacent exp ansion in categories, adjacent categories. Any update or is there any capital allocation going or is planned to be going for any inorganic opportunity or any organic opportunity in the adjacent categories?
J.S. Gujral: The capital allocation, what we have done and what we propose to do, I will hand over to Bijay. He will answer that in detail. And then on the inorganic part, S atendra will delve on it.
Bijay Agrawal: So on the capital allocation side, as of now, the planned capex and the capex we have incurr ed so far for this year. So this year we are planning to spend about INR100 odd crores for my new under -commissioning facility there in Pune, which we are expecting should be on ground, maybe starting trial production starting from Q3 of this year. Same wa y, another about INR35 crores to INR40 crores is what we have allocated towards my new facility there in Stuttgart, Germany, which will be a prototype income assembling centre there in Europe. Broadly, these are the two allocations on the organic side.
J.S. Gujral: On the inorganic side, we are evaluating but currently there is nothing concrete proposal on the table. But we will address this and share it with the market once we have a concrete proposal on the table. On the Stuttgart facility, I would just l ike to add on that there we would be expanding our business by adding some new verticals like repairs, which we are already doing for one of the multinational companies. Now since we have got a better, a bigger facility, not a better, a bigger facility, it gives us scope for expanding that operation to a decent size operation in the coming years.
Keyur Pandya: And on the setting up of new subsidiary for a new line of business is it OSET or OSET is being planned or something else is being planned? Just more clarity on that.
J.S. Gujral: I will request Inder to take the question on OSET because he is spearheading that effort.
Satendra Singh : Alright, thank you for the question. I think OSET is a question which comes up in pretty much every call of ours. And like Gujralji said, we have our own style of doing the business, our own decision -making process and which basically means we try to dot a ll the I's and cross all

the T's before we come back and share information with the market.
In this case, now coming to OSET, it's an area which is of interest to us, but we are very clearly focused on making sure that we have done our homework before we jump into it. Essentially,

around

the product, around the technology and around the longevity of the business. It's a very different kind of business and we are working through the details and when we are ready to share further information, we would be abl e to share more with you.
But a little bit, one more comment on the capital side. I think the allocation, we are focused on building the capability in terms of the plant and manufacturing. So our major allocation is to the Pune facility, which we talked a couple of times about earlier as well as to the Stuttgart facility where we can provide more services to the customer closer to where they are, which namely is the German market. So it's all around the capability building for the future, which will pay of f in the years and quarters to come.
Keyur Pandya: Noted. Thanks a lot.
Moderator: Thank you. The next question is from the line of Anand Trivedi from Nepean Capital . Please go ahead.
Anand Trivedi: I had a question regarding the net working capital gains. We've gone down from 70 to 62, but at the same time your working capital loan has gone up from INR489 crores to INR529 crores. So can you explain why is the loan going up when is your data going down? And sorry, a related question is the cash and cash equ ivalents have gone up from INR85 crores last quarter to INR189 crores. So what has been the reason for the INR100 crores increase?
Bijay Agrawal: The working capital loan increase is primarily just like business -related, whatever was required, we have borr owed. And simultaneously you can see my internal accruals have also increased. So there is an increase in the investments also. Internal accruals, internally we are keeping it separate as our investments. And simultaneously there is an increase in the work ing capital loan. It is offsetting on both sides. There is no other reason for that.
Anand Trivedi: And the cash going up from INR85 crores to INR189 crores?
Bijay Agrawal: We have got a good collection. Specifically on the very last day of the quarter that is where the cash has increased in the overall net debt position. But again, a portion of that was utilized towards paying for the creditors immediately after that in the upcoming 10 -15 days. It was a better collection which happened towards the end o f the quarter.
J.S. Gujral: See, I think we are focused on long -term that our working capital cycle should be shortened as far as possible. Currently we are sitting at about 62 odd days. Our endeavour would be to bring it down further whether it is 62, 65 or 58. That's a year -end sort of play -out. You get one major collection. Your cash balance goes up. You don't get it two days later, your debtors go up. But on a long -term consistent basis, we would like to be at about two months of working capital cycle, net working capital cycle.
Anand Trivedi: Okay, and my second question is that on the consumer business dimension where the margins

could be 3 %-4%. But after taking into account the working capital intensity that business generally operating cash positive ...
J.S. Gujral: See, as I said, the low -margin businesses typically as per industry have low working capital intensity.
Anand Trivedi: But at 3 %-4%, I was wondering does that business have any positive cash flow
J.S. Gujral: I said, typically in the industry, a low -margin business is accompanied by a low intensity of working capital involvement. If a low -margin business was to be accompanied by a high working capital cycle, it would be not viable for any business to do it. So this is the nature of the business. Typically, the low -margin businesses have low working capital intensity. And as the margins go up the working capital intensity goes up slightly. We believe that based on what we are planning to do with the 40% consumer, 60% normal, we should be able to achieve a two-mont

h net working capital cycle give or take a couple of days here and there.
Anand Trivedi: Okay, thank you.
Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I would now like to hand the conference o ver to Mr. Gujral for closing comments.
J.S. Gujral: We are very well aware of what we are doing, and we work the Syrma model, the Syrma way. What we are engaged is in building our institution as I've always been saying all along in all the calls, bringing in leadership talent at the top, which can take care of the organization when it becomes a billion -dollar organization. So we are makin g the organization future -ready. We are expanding over it up front. We are building in systems. We are building in processes. We are building in the human resources of the company. And we are very confident of our track, where we are going. We would conti nue to grow at our industry -plus growth rate with sustainable margins of around 7-odd percent going forward. In coming years, as my exports scale up, my ODM scale up, they could go up, generating positive cash flows and be a

responsible citizen for the cou ntry. We are working to make India great as a manufacturing base. Thank you.

Moderator: Thank you. On behalf of IC ICI Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

Date: November 04 , 202 4

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter and half year ended September 30, 2024.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the Unaudited financial results (Consolidated and Standalone) of the Company for the quarter and half year ended September 30, 2024 , held on Monday, October 28, 2024, at 10:30 AM (IST).

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations .

We request you to take the same on you r record.

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

"Syrma SGS Technology Limited
Q2 and FY '2 5 Earnings Conference Call "
October 28, 2024

MANAGEMENT : MR. JASBIR SINGH GUJRAL – MANAGING DIRECTOR –
SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS
TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Syrma SGS Technology Limited Q2 FY25 Earnings Conference Call hosted by DAM Capital Advisors Limited . As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited . Thank you and over to you, ma'am.

Bhoomika Nair: Yes, good morning everyone. A warm welcome on behalf of DAM Capital to the 2Q FY '25 Earnings Call of Syrma SGS Technology Limited . The management will open up with opening initial remarks, post which we'll have a Q&A.

At this point, I'll hand over the fl oor to Nikhil Gupta, Head Investor Relations, to take the proceeding forward. Over to you, Nikhil.

Nikhil Gupta: Thank you, Bh oomika. And hi, very good morning to all. Welcome to Syrma SGS Q2 and half-year FY25 Earnings Call. We have with us today Mr. Jasb ir Singh Gujral, Managing Director, Mr. Jayesh Doshi, Director, Mr. Sat endra Singh, Chief Executive Officer, and Mr. Bijay Agrawal, Chief Financial Officer, Syrma SGS, to discuss the performance of the company during the second quarter and half -year 2025, followed by a detailed question and answer session.

Kindly note, during this call, certain statements that will be made are forward -looking, which involves several risks, uncertainties, assumptions, and other factors that can cause results to differ mater ially from those in such forward -looking statements. All forward -looking statements made herein are based on the information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call.

In this regard, please do review the disclaimer statements in the earnings release and all other factors that involve a difference. With this, I will now hand over the floor to Mr. Jayesh Gujral, Managing Director, Syrma SGS. T hank you.

J S Gujral: Hi, ladies and gentlemen, a very warm welcome to the Q2 FY25 earning call of Syrma SGS Technology Limited. I take this opportunity to wish all of you and your families a very happy , safe and joyous Diwali. I will in brief delve on the numbers for the Q2 and H1.

We achieved a sales revenue of INR8,356 million, a 17% year -on-year growth, operating EBITDA of INR738 million versus INR546 million in Q1 this year and INR504 million in Q2 of FY24, representing a growth of 35% quarter -on-quarter and 46% year -on-year respectively . Operating EBIDTA margin for the quarter stood at 8.8% and for the half -year at about 6.4%.

In Q2, PA T stood at INR396 million versus INR203 million in Q1 and INR305 million in Q2 of FY24, representing a healthy increa se of 94% Q -on-Q and 30% year -on-year.

The second quarter saw a partial recovery of exports, exports accounted for 23% of our revenues in Q2 versus 16% in Q1. We expect this momentum to be further strengthened in the

second half of the year. The n et working capital came down to below 60 days, Bijay will deal with the numbers in detail and we generated a healthy operating cash flow, . The order book stood at a healthy INR4,800 crores with a secular break -up between the various verticals. We stand by th e full -year guidance of 40 %-45% growth and INR310-INR320 crores of EBIDA which translates into 7% of operating EBITDA .

During the quarter, we commissioned our design center in Pune dedicated to the MedTech business where the initial response from the cust omers from Europe, Japan and A

merica has
been very encouraging. We also recently commissioned our first campus -level manufacturing facility in Pune. Mr. Satendra Singh , our CEO will tell more in detail in his comments. During the quarter, we have received major orders in smart meters and expect this segment to contribute significantly to our revenues in this year and coming years.
Another significant milestone is that we have received PLI approval for two segments in the MedTech business, which is cancer c are, radiotherapy devices and anesthetics and cardiorespiratory devices including renal care. We believe with this PLI in our hands, it opens up avenues for targeting this business both in India and globally. The business funnel continues to be strong with onboarding of new clients in the power supply, smart metering, fuel dispensing, IoT and auto vertical and also expanding the portfolio with existing customers.
We onboarded nine new clients in H1 which have a potential of giving INR500 plus crores of revenue in the coming year. Five customers which were onboarded last year or earlier this year have gone into commercial production. I now hand over to S atendra to delve in detail on the expansion plan which we have now initiated at Pune. Over to you, S atendra. Thank you, Gujral Ji.
Satendra Singh: Good morning, everyone. I think as Mr. Gujral shared and you might have seen our announcement, we commissioned our first campus in Pune. This is a shift in our strategy. So far, we have always built the factories which were exactly mapping the requirement from the customers. This one is a shift where we are investing ahead of time. It's a large campus with approximately 26 acres of land and our first building with 130,000 square feet has been commissioned.
Since the gap which we had in our offering so far, geographically we have always been very strong in north of India with multiple factories and likewise in south. But in west we were missing the ability to offer solutions to ou r customers. So , this innovation has been met with a lot of excitement.
We have very positive response from our customers and we expect this factory to help us increase our revenue and the ability to offer to our customers solutions closer to where they are. So we are definitely looking forward to a growth in this year as well as the next year. This campus when it's completed would have the possibility of about 1.2 million square feet space. And that would be done over the next years. To start with we have put investment of INR100 crore s but we will keep increasing the investment as we go along.

With this , I think I will turn it over to Bijay to run us through the detailed numbers for the quarter. Over to you Bijay .
Bijay Agrawal: Thank you , Satendra . Good morning , everyone. I 'll now take you through the brief financial performance for the quarter and the half year FY '25. Our operating revenue for the half year is INR2,003 crore s that grew strongly by 52% on year -on-year basis. And for the quarter it is INR834 crore s with a 17% growth on year -on-year basis.
During the half year , the growth has been mainly contributed by a stronger demand growth on the consumer, healthcare and IT & Railway verticals . And similarly , during the second quarter , the strong growth has been supported by Auto and Industrial verticals primarily.
This quarter , we had a strong rebound in the margins also , led by expansion into the gross margin on the back of change in product & business mix, our continuous effort on th e operational efficiency and also stable overhead costs. Our gross margin for the quarter is about 25% with an expansion of almost 180 bps on year -on-year basis. And for the half year , the gross margin is approximately 20%.
Our operating EBITDA for the qua rter is INR73.8 crore s with an operating EBITDA margin of 8.8%, gr

owing 46% year -on-year. For the half year , it is INR128 crore s with 6.4% of operating EBITDA margin, again with a growth of almost 37% year -on-year basis. Same way , PBT for the quarter is ap proximately INR51 crore s and for the half year it is INR80 crore s.
Coming to PAT, PAT for the quarter is INR40 crores with a PAT margin of 4.7% and for the half year , it is INR60 crore s with a PAT margin of 3% for the half year. Coming to order book visibi lity, we have a very strong open order book as of now, as o n September 2024 end and it is approximately INR4,800 crores , which comprises almost 24 % to 26% of auto sector, 25 % to 28% of industrial sector, about 35 % to 38% of consumer sector business about 6 to 8% is healthcare and balance is IT and railways . .

Coming to our working capital performance, we have been successfully able to bring it down to 56 days of net working capital, almost 70 days of net working capital investment from the start of the yea r. Again , we target to keep it below 60 days on a sustained basis going forward.
Moving to our debt position, we have a gross debt of INR603 crore s as of September '24, which includes mainly working capital debt of approximately INR500 crores and balance INR100 crores of term loan primarily. We continue to hold INR423 crores of treasury as on September end and with this , the net debt position for the quarter end is INR180 crores. Our operating cash flow for the half year is INR211 crores, largely on back o f better working capital efficiencies and better profitability for the half year.
Coming to capex, during the year , we had spent almost INR175-odd crore s with a large part of being utilized in readiness of our new campus facility in Pune that was inaugura ted last week. With this , we expect large part of our capex is already behind us and again we may incur another INR30 crores to INR50 crores in the H2 of this year broadly. Coming to our ROC E performance for the quarter, it is at about 11% when we calculat e it after adjusting for unutilized IPO funds and goodwill.

Regarding our guidance for the full year , financial year FY '25, we continue to maintain same guidance as was communicated last quarter , INR4,500 crores of revenue target for the full year and 7% of overall average operating EBITDA margin. We still continue to focus on working capital efficiencies, operational efficiencies improvement and deliver on the guidance.
With this , we thank you very much and I 'll hand over this call to Ravi for the questi on-and-answer session. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rahul Gajare from Haitong Securities . Please go ahead.
Rahul Gajare: Good morning , gentlemen , and congratulations on good performance in this quarter. I have two questions. One of them is a bookkeeping question. You indicated the capex that you have planned for FY '25. Can you talk about the likely capex over the next 2 -3 years? What are the thing s that you have in your mind in terms of expansion?
Bijay Agrawal: We have approximately INR130 crores of IPO proceeds still unutilized, which we will be spending in the next 1 to 1.5 years broadly. And this will be going towards further upgrading the Pune facility and developing our facility in Hosur, which was planned at the time of IPO.
Rahul Gajare: Okay, so INR130 crores over 2 years , '26 and '27. I think that is how we should read this. Okay. For my second question, normally in this particular quarter , we have seen consumer has gone down and industrial has also picked up, healthcare has also picked up. You also typically give break -up in terms of PCB A, Box build, RFID, share of ODM. Can you give that? And also, since you specifically said exports are e xpected to see strong growth in the second half . Whi

ch
are the segments that are expected to contribute towards the export growth in H2? Thank you.
Bijay Agrawal: Sure. So just to give you a break -up here, RFID plus magnetic for the H1 is approximately 7% of the full year revenue. And same way when we talk about ODM business, ODM business is almost 11% for the H1. Again, considering the seasonality for the H2, we expect better healthcare business and export business, which will improve the overall ODM and R FID capability or mix in the second half.
Rahul Gajare: And any particular segments that you have in your order book for exports that you want to call out?
J S Gujral: In exports, primarily the segments which we service are industrial and healthcare.
Rahul Gajare: Okay. Thank you very much. All the very best. And Happy Diwali to you all.
J S Gujral: Thank you.
Moderator: Thank you. The next question is from the line of Girish from Morgan Stanley. Please go ahead.
Girish: Hi, sir. Sorry if I missed this comm ent earlier. I just wanted to understand the guidance for this year and next year on revenue and margins.
J S Gujral: This year , we have guided growth of about 40% to 45%, which translates into a top line of

about INR4,500 crores, with an operating EBITDA of about INR 310 to 320 crores , which translates into 7% margin . For the coming years, as I shared in my Q1 earning call, we maintain EBITDA at 7% and top line growth of 35% to 40% or so. Any positive impact , bump in EBITDA in the coming years, we'll share with the street after it has been delivered, rather than sort of estimating that it will go up. So, we maintain a conservative guidance of 7% EBITDA

with a 40 %-odd growth in the revenues.
Girish: Just a follow -up in terms of your business mix from exports into next year and also consumer, as you guided earlier, as a percentage of revenue might come lower, isn't it natural to assume that at least there will be a 50 basis point margin improvement next year?
J S Gujral: See, I think we'll count the chickens when they are hatched. I'm being on the conservative side. Logically, what you allude to is a distinct possibility, but we hold our horses at 7%.
Girish: Just a final question on exports. Can you help us with where you 're getting traction, the new set of customers or which specific segments, if you can call out a few names which can actually improve exports?
J S Gujral: I would not be able to call out the names because of confidentiality clauses with the customer, but I can broadly or in detail share with you we have a very strong traction of exports coming in from Europe, though Europe as a market saw a very subdued half -year. Europe is not growing. In fact, the major economy of Europe, which is Germany, is almost into a recession. Despite that, we expect our exports to grow this year by about 20%. We did about 100 million last year.
I expect on a conservative basis that we should be doing around $120m of exports. America, we were not significantly present in the EMS spa ce. What we were exporting to America are RFID. EMS, we have got the toehold. The customer which was onboarded last year has gone into series production as we speak in October . And we expect that this would significantly grow in the coming year. Current ye ar, it could be INR40-INR50 crores against the original estimate of about INR65-INR70 crores.
MedTech business is seeing a strong traction across continents. We have won significant contracts from Japan, Europe, and America, and the pipeline looks very, ve ry healthy over there.
Girish: So total exports this year, if I can just ask ballpark , would it be like 20% of revenue?
J S Gujral: A INR1,000 crores, we said. I have alluded to INR1,000 crores to INR1,100 crores. I am very confident that we should be able to cross the INR1,000 crore s mark. Some of the customers had a delaye

d takeoff because of new product approval, but it would be a 20%. If it's a 20% jump, it will be 960, if it is 25%, then it will b e 1,000. So , I'm very confident that it should be closer to 1,000, which I think is a very positive sort of commentary on our team's efforts that neither America nor Europe is growing at that rate. And if still we can grow at a very healthy 20%, 25% growth rate in these two sort of continents, I think it's a testimony of what we offer, the value we offer to the customers.

Girish: And based on the visibility that you have in the pipeline, next year, as you rightly said, you'll probably grow at 35%, 40%. Is i t fair to assume that exports will be growing in line or ahead of that number for FY26?
J S Gujral: See, okay. Our long -term vision is that exports should constitute one -third of our revenues. Now, if the exports have to constitute one -third of our revenue s, it is very, very imperative that we at least grow by 20% to 25%, or maybe in one year we have a bump -up. But a 20 % to 25% growth in exports in the coming year would be a distinct possibility, and we are planning and aiming for that.
Moderator: The next question is from the line of Deepak Krishnan from Kot ak Institutional Equities.
Deepak Krishnan: I just wanted to sort of clarify. I think in one of the media interactions you indicated a potential INR12 to INR15 crores of PLI incentive with this quarter. I just wanted to know the actual number, and given that we have sort of put INR4 crores in 1Q, we had said about INR16 crores of in PLI incentives. Are the incentives as such done for the year, or because we have seen strong growth over the last one year, the incentive numbers can be even higher?
J S Gujral: See, the PLI number, as we have continued to share earlier interactions, also is based on the PLI formula s, our scheme, which approval which we have got with the government . And we believe that it would be around the figure which you have just mentioned for the year. And t his is only the telecom PLI. The IT PLI has yet not kicked in, this being the first year. I think closer to the end of this year, we'll be in a better positio n to share with the street what volumes we expect or don't expect in the IT business . And the impact of the PLI in IT.
The third PLI which we have got is on the consumer business in white goods , which the current volumes do not attract an activation of the PLI. So that's a currently dormant approval which we have got. However, as I shared in my opening comments, we have got a PLI approval for the MedTech business, which again, like the IT business, we would be in a better position to share with the street t he impact of the PLI business, which will be only in FY25-FY26 and not in 24 -25.
Deepak Krishnan: So is it correct to assume that all the PLIs sort of booked in one so far? Maybe just...

J S Gujral: PLIs, based on the sales and everything, as per the indus try practice.
Deepak Krishnan: Maybe I just wanted to understand, given the Pune expansion and the INR130 crores sort of expansion that we have planned for two years ahead, what is the peak revenue potential we can do after all of these capex expansions un dertaken?
J S Gujral: You see, for the half year, we have done a revenue of about INR2,000 crores. And this is based on a less than 70% capacity utilization without considering Pune, because Pune has been commissioned in October. So whatever plan s we had c ommissioned in September, it was less than 70% average capacity utilization. But if we do t he back -of-the-hand calculations, the capacity installed till September was good enough for us to cross the INR5,000 crore s mark. Whatever we invest in Pune would be beyond that.

So I think with Pune expansion being in place

, we are well sort of the capacity we have created should enable us to cross the INR6,000 crores, INR 6,500 crore s mark. The variation of INR400 crores, INR 500 crores would depend upon the product mix.
Deepak Krishnan : Sure. So maybe just one final question. Just on industrial, I wanted to understand how big is smart metering today in terms of overall revenue potential and is it a complete domestic opportunity or do we sort of do substantial exports as well on the smart metering front?
J S Gujral: For the benefit of the street, we have been present in the energy or utility metering business for the last 19 years and we are one of the largest contract manufacturers in this space. When I say contract m anufacturers, we make it for the energy metering companies. We are also one of the largest players in the smart metering business and we have got formidable clients. For your consumption during the first half we sold 1.3 million smart metering units. The e lectronics for smart meters to our customers in India.
We have just started the export of utility metering systems or modules to USA. This has started last month and its series production will go from October onwards. I expect this business in this partic ular the export business from the utility metering business to contribute approximately INR35 crores to INR 40 crores. Next year, it has an uptake of crossing the INR100 crore s mark. Domestic utility metering business is strong and we expect that it will be approximately INR250 crores to INR 300 crores.
Deepak Krishnan : Sure, sir. Those were my questions and b est of luck for future quarters.
Moderator: Thank you. The next question is from the line of Madhav from Fidelity Investments. Please go ahead.
Madhav: Hi, good morning. Thank you so much for your time. I just wanted to understand on the PLI, you all mentioned that on the consumer PLI you said volumes may not lead to us crossing the threshold. Just wanted to understand what's changed there in terms of whe n we applied for the PLI versu s now. Just here to understand that?
J S Gujral: Yes. See the consumer PLI is essentially for electronics which the indoor, outdoor and the display units for air conditioning. Till now, bulk of these are being imported and the threshold limits in that component PLI are capex and the revenues are pretty large. Now, if I make the investment and I'm not able to achieve the additional revenue because I have a ce rtain revenue on the base year. S o it has to be the incremental revenue on the base year .
Based on the current order profile which we have got, we see that we will not be able to do that incremental revenue and till we do the incremental revenue, we are not able to get the PLI. Now, if the situation changes in the coming qua rters, if we are able to sort of get the business and there are certain policy initiatives of the government of India like BSI ce rtification and blah. If they kick in then the import would take sort of a negative impact and it could have a positive rub -off on domestic manufacturing.
Currently, the situation is we are not able to cross that threshold delta limit of incremental revenue, and hence we are not eligible. B ijay, you would like to add something.

Bijay Agrawal: So, that is where we are still workin g on this white good PLI piece and gradually once we get the desired volume, t hen only we would be able to claim for it.
Madhav: And on the IT PLI also, if you could explain what kind of opportunity are we targeting and basically what would sort of dri ve us to sort of target that PLI ?
J S Gujral: See, IT PLI, we are still in discussions with some major companies. The products which we are manufacturing thus far do not qualify for the IT PLI. I hope as I said in my opening statement, we would have clarity ma ybe closer to the December or March quarter once we

are
able or not able to tie up with the manufacturer for the products which are eligible products.
Now, clarity will emerge in the coming months and hence I will refrain from hazarding a guess
on the figu res and the quarter. It is still in a nebulous state. We have not been able to tie up for
the eligible products with credible ODM partners.
Madhav: Okay, understood. Thank you.
Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA . Please go ahead.
Indrajit Agarwal: Hi. Thank you for the opportunity. I have a question on margins. So, as we head into the second
half which i s a seasonally stronger period. I n addition, we will have a much better proportion
of exports, somewhe re close to 26%, 27% if I go by your guidance. And the order book looks
more geared towards a higher margin product. So, what makes us from about 8.5 %, 9% margin
this quarter to conservative on the full -year margin guidance? Why can't we do it closer to th e
current run rate?
J S Gujral: See, we still again hold by the 7% operating EBITDA margin. We may call it a conservative
estimate. We believe that we are currently sitting at about 6.4% or 6.36% margin for the half
year. So to achieve the 7%, I will have to achieve 7.5 % or 7.52 % or 7.6 %. So, whether I achieve
7.6% or 7.8 % or whatever I still hold the guidance which you have give n, which is a 7%
EBITDA margin f or the year. By December, we will be in a much clearer position, whether
there is an uptick on it or not, b ut today, I will hold my horses as I keep saying at 7% EBITDA
margin for the full year.
Indrajit Agarwal: Okay, thank you. And secondly when we look at the capex from here on, right? Now, whatever
is remaining in Pune and then the IPO proceeds, wi th that, we coul d do somewhere close to
maybe INR6,000 crores INR6, 500 crores on topline . So, post that, what kind of asset turn can
we look at, say, on the medium term basis?
Bijay Agrawal: So, on a maintenance capex basis, there is not much of maintenanc e capex we need to incur. It
will not be more than INR10 crores that way. But yes, depending upon the new business
addition, we may keep on adding a few more SMT lines into the currently developed
infrastructure. So, that way, that will be all incremental linked with the new businesses. On an
average basis, we can still consider INR50 crores per annum basis.
Indrajit Agarwal: And that could enable us to grow at 30 %, 35% a t least for the next few years?

Bijay Agrawal: That's what we are targeting, yes.
Indra jit Agarwal: Okay, thank you. That's all from my side.
Moderator: Thank you. The next question is from the line -up. Sonali Salgaonkar from Jefferies , India.
Please go ahead.
Sonali Salgaonkar: Good morning, Mr. Gujral, and congratulations to you and the team. So, my question is
regarding the consumer business. Now that it has gone down in our overall mix and the
industrials has come up, where should we assume the consumer business percentage in the
overall mix by FY '25 and going forward across in FY26 and FY 27?
And secondly, I might have missed the PLI incentive number that you would have talked about.
So, what is the PLI incentive expected in FY '25? And are you planning to share it back with
the brand owners or utilize it for our own growth? Thank you, sir.
J S Gujral: Okay. Now, on the consumer mix business, Q2 saw it dipping to 33% and Q1 it was 54%.
Based on the orders in hand and deliveries which we have to make, I believe we would be
hovering around 40% for FY '25. It could be a couple of percentag es up or down, but it would
be hovering at about 40%, and that's what we had started off the year with, with a consumer
mix of a bout 40% in our overall basket.
The endeavor of the management is to bring it down to below 35% or to bring it down to one -
third. I don't see that happenin

g in the current year. It could be a possibility going forward next
year. So, this year we should hold it at about 40 %-odd. On the PLI, we have different
arrangements with different customers on sharing, and whatever figures we share are what
comes to us, not the gross figures. The gross figures could be much higher, but what affects
my P&L is what we share with the street.
Bijay Agrawal: So, we only consider net basis .
J S Gujral: Net basis. Whatever has to be passed through, we don't consider that.
Sonali Salgaonkar: Sure, sir. So, on a net basis, what is the kind of PLI incentive you expect in FY '25, and will it
mainly come from telecom and IT businesses?
J S Gujral: We expect around INR15-odd crores, and it will primarily be from telecom. I don't personally
foresee any amount coming in from IT. If it comes, it will be very, very small. I don't see an
IT PLI kicking in, in FY '24, '25.
Sonali Salgaonkar: Very clear, sir. Thank you, and best wishes for the festive season to you and the team. Thank
you.

J S Gujral: Same to you and your team.
Moderator: Thank you. The next question is from the line -up. Sumant Kumar from Motilal Oswal Financial Services. Please go ahead.

Sumant Kumar: Hi, sir. So, in the last five quarters, we have seen a significant growth on the top -line side, ranging from 38% to 90%, but the margin was under pressure. And this quarter, we have seen we have a 17 %, 18% kind of growth, but the margin is better. So, going forward, what is our strategy? So, have a dece nt margin with decent growth or higher growth with maybe compromising on margin? So, what is our key strategy going forward for the earnings growth going ahead?
J S Gujral: See, the past quarter, the margin was good because we didn't have a high -volume con sumer business in the preceding year, which was kicked in last year. And there was a very high capex cycle and expansion, which led to an increase in the overheads. Going forward, as we have indicated for this year, we are very confident of growing at 35%, 40%, 45%, and maintaining a EBITDA at about 7%. This would largely be driven by growth in my exports, MedT ech busines s growth, and industrial growth.
So, overall, it's not that we sacrifice one segment for the other segment. It is a customer need which h as to be satisfied. And if a consumer, high -volume consumer, customer has a high need, I, as an entrepreneur, would not say no just because it depresses my margins. But the portfolio mix which we have, we are very confident of delivering the 7% EBITDA marg in this year and going forward next year also.
Sumant Kumar: Okay, thank you.
Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabhudas Lilladher, India . Please go ahead. Mr. Praveen, your line has been unmuted. Please go ahe ad with your question.
Praveen Sahay: Yes, sorry. Hi, thank you for the opportunity. So, my question is related to the export. As you had mentioned that the second half is expected to be around 35% of growth, like by calculating what the numbers you have g iven. So, if you can give some highlight on the order book, how much of the export order book you have, and also on the segment -wise would be helpful ? Thank you.
J S Gujral: See, as I had mentioned earlier in one of the earlier questions, all exports are p rimarily into the industrial and MedTech segment apart from RFID. So, these three verticals constitute the backbone of all export revenues. Industrial, which would include utility metering, which would include power supply management, which would include i ndustrial cleaning, which would include renewable energy, solar, products related to solar, and box bill for other applications apart from MedTech devices and RFID.
The growth which we are projecting for the current year is based on the orders or the visi b

ility
which we have from the customers. So, when I say all exports would grow up by about 20 %, 25% to about INR1000 crore s, which is a delta of about INR200 crore s over last year, it is based on the orders and the visibility and the agreements which we ha ve with our customers.
Praveen Sahay : Sir INR 4,800 odd crore s of order book, how much is the export order?
Bijay Agrawal: Probably around 22% to 25% would be export in this thing.

J S Gujral: See, if my export is about 25% of my revenues, my order book by and large on an annualized basis woul d have that percentage. Quarter -on-quarter could be marginal varianc es. So, if I am committing a INR 1,000 crore s revenue, I am committing it based on the orders which I have in hand f or execution in this year. And B ijay has shared the figures with you.
Praveen Sahay : Right, sir. Anything on the Johari how much in the first half the revenue you have done?
J S Gujral: Johari typically takes off in the third and fourt h quarter. Second half for Medtech business is typically much higher revenues and margins. The first half is comparatively subdued as per the previous year experiences.
Praveen Sahay : Okay, thank you, sir.
Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insuran ce. Please go ahead.
Keyur Pandya: Thank you. First question is on the asset turn side. So, what would be our gross block say, excluding Pune and including Pune? And do you think our revenue, I mean, the asset turn potential has gone up? I think earlier you have talked about around anywhere 4. 5x kind o f

gross block asset term. So, where do we stand on that number, gross block and asset term? And second is for the last couple of quarters we are seeing payable days si gnificantly higher than what it used to be earlier. So, is there a change in policy? Should we consider i t more of a steady state number o r there is some technical call that we have taken to have lower payables?

Bijay Agrawal: So, my asset terms currently are in the range of around 5. 5x. And when we talk about gross block, it is about INR800 crore s plus which includes Pune number also, Pune facility maybe about INR100 odd crore s rupees. And maybe a few other Man esar expansion and all other CWIPs are include d in this thing. So, broadly those assets or maybe those CWIPs may result into final profitability in next over two years. And once we achieve that thing, I think we should be able to achieve a 6.5X plus kind of an asset term on an average basis.

Keyur Pan dya: And on payable higher payable days?

Bijay Agrawal: Payable days. Yes, that is primarily depending upon the business mix. There are different businesses which we do. So, just like consumer business when we talk about, consumer business has a different payable and different industry or maybe inventory matrix. That is how it is based on the business mix there. As of now, it is aroun d 100 days plus of payable days a nd we are considering if we like full year also we will be doing around 40% of the consumer business. And the payable days will be exactly almost similar in the similar range going forward.

Keyur Pandya: Okay, noted. Thanks a lot. All the best. Happy Diwali.

Moderator: Thank you. The next question is from the line of Pa arth Gala from HDFC Securit ies. Please go ahead.

Paarth Gala: Hi, gentlemen. Good morning. Just one question on the material margins. So, for the past

couple of quarters consumer business, the material margins were hovering in single digit s, probably high single digits, b ut is th ere any change in this quarter b ecause, I mean the sense I am getting is that it has gone back to a double digit kind of a trajectory. If you can share some more light on this that would be great

?

J S Gujral: See, as I have been sharing all along, what we mon itor is the margin profile of each vertical. And there we don't see any depreciation or decline. The consumer, the high volume consumer business, the consumer business is split into two. The high volume consumer business, which is the backbone and bulk of the consumer segment. And then it's the low volume, ODM, other consumer business which is in line with my other verticals in terms of margin. We have not seen any accretion of margins in the high volume consumer business.

And they continue to hover with the figures which we had said was less than 10%, 9%, 10% gross material margin. We have not seen any depreciation nor any accretion in this segment. Other segments have seen a small positive uptake which has been because of better buying, better negotiatio ns, better realization from customers and better product mix.

Paarth Gala: Understood, sir. So, would that mean that the second quarter had a higher share of the low volume ODM business in consumers? And what would the mix stand if you can for the second half as well?

J S Gujral: See, for the Q2 my consumer as an overall basket came down from 54% to 33%. And this decline was primarily driven by the high volume, low margin consumer business. The low to medium volume, normalized margin consumer business grew at its normal pace before which it was there. Going forward, this year we believe that our consumer business would constitute approximately around 40% of our revenues.

And this is what we had factored in our annual plan which we had shared with the street when we said that we'll be doing about INR4,500 odd crores of revenue and 310 to 320, in fact, 315 to be precise EBITDA numbers. Now, if going forward in the next six months also my consumer business does not go to 40%, it hovers down then it will have a positive impact on the EBITDA, b ut based on the orders and the delivery commitments which our customers are asking, we believe it will be around 40% only.

Paarth Gala: This is very helpful. Thank you very much and best wishes for the festive season.

Modera tor: Thank you. The next question is from the line of Hardik Rawat from I IFL Securities. Please go ahead.

Hardik Rawat: Thanks for the opportunity and congratulations on a good set of numbers. The question that I wanted to ask was with regards to our margi n expectation in the second half. Now, going by the guidance, second half should see an uptick in both exports and medical revenues. So, what could be some realistic reasons as to why margins should dip in second half versus the first half?

For the first half, we are looking at EBITDA margin blended of about 6.4% and the second quarter we ended at 8.9%. So, largely not from a blended 2H perspective, but from this 8.9%,

why should the margins in second half be materially lower than this because our current guidance of about 7% ?
J S Gujral: We achieved 6.4 % odd for the first half here. Quarter 2 with the high volume consumer business at 33% we touched 8.8 %, 8.9% . We believe that for the second half, with consumer bouncing back to about 40% of all my revenues, I should be comfortable at about 7.5 %, 7.6% EBITDA margin, which will enable me to give 7% blended margin for the year as a whole.
Now, whether this 7.5 % goes to 7.7 %, I think we are not doing that hair -splitting right now.
We will share the results once they are, or we count the chickens when they are hatched, as they keep saying. But we are very confident of achieving the 7%. Any uptick on that, I think we will share with the street once it happens, rather than alerting our guests in advance.
Hardik Raw at: We understand that you are being conservative with the guidance, but like you mentioned in the TV interview that you were there, so this 7% margin expectation is the lower end of our expect

ations, correct?
J S Gujral: Yes, we said that we hold 7% this year. It's the bare minimum which we have to deliver.
Anything above that, I think we should have the patience to see when the results are out.
Hardik Rawat: That makes sense. That helps. Another thing was with regards to the PLI figure that you gave out. You mentioned this INR15 crore s of PLI as cumulative PLI for the first half?
J S Gujral: This is the equivalent PLI for the sales done during the period and expected to be done during the year.
Hardik Rawat: So, the expectation is INR15 crores of PLI in F Y '25?
J S Gujral: Approximately thereabout, yes.
Moderator: Thank you. The next question is from the line of Vipraw Srivastava from PhillipCapital . Please go ahead. Mr. Vipra w, your line has been unmuted. Please go ahead with your question. Due to no response from the current participant, we'll take our next question from the line of Saumil Shah from Paras Investments . Please go ahead.
Saumil Shah: Hi, thanks for the opportunit y. My question is on the capex side. You just mentioned that we'll be doing INR130 crores of capex for the next two years. And as we are growing at a 35 %-40% CAGR growth, so back of the envelope calculation by FY '27, we should be reaching about INR8,000 c rores of revenue, approx. So, will this capex be enough to generate that revenue?
Bijay Agrawal: Again, apart from that INR130 crores -INR150 crores, we also mentioned depending upon the incremental business, wherever we need to stuff more SMT lines, we'll keep on doing it. So, once we reach that INR8,000 crores -INR8,500 crores of revenue, if there is any additional plant and machine related capex would be required, we'll be incurring that thing. So, maybe INR150 crores -INR200 crores would be required to rea ch to that level, in a way, broadly.
J S Gujral: See, again, whatever we have achieved till this half year, it is, as I shared earlier, at about 65 %-70% capacity utilization. Now, the capacity which I have installed till September of 2024,

which will not i nclude Pune, that itself, if it was typically working at 90 %-95%, would give me a revenue of closer to INR5,000 crores.
So, Pune is in addition to that. And with the figure which Bijay has mentioned, I think we are on track to achieve the figure which you mentioned for FY '27. And a lot of it will also depend upon the product mix, how much is the box build, because a box build has a lower capex.
It's a very high asset turnover ratio than plain vanilla PCB A boards, because the major capex goes into the PCB assembly, not in the box build. So, as we move forward and the product mix changes, I think with the figure which Bijay has shared, we are on track to achieve the long -term objectives of the company.
Saumil Shah: So, you just mentioned INR130 crores -INR150 crores of capex, Bijay?
Bijay Agrawal: That's right. That is from the balance I PO proceeds. And beyond that, we may have to move funds from internal accounts. So, broadly, INR150 crores -INR200 crores is what we are saying in total.
Saumil Shah: So, on a higher side, next two years, INR200 crores of capex? Yes. Okay. That's it from my side. Thank you and all the best.
Moderator: Thank you. Ladies and gentlemen, we will take this as a last question. I would now like to hand the conference over to M r. Gujral for closing comments.
J S Gujral: At the outset, thank you very much for all of you for participating in the call during the festive season. We at Syrma SGS , as I have all the time been saying in my closing remarks, are very

focused on building a n institution which is sustainable, profitable, and takes care of the interests of all the stakeholders, investors being the most important, but there are other stakeholders as well. We have expanded our capacities.
We have expanded our footprint, geograp hica

l footprint, and we have also expanded our
marketing presence for the last two quarters by having dedicated sales teams in USA, which till now were being serviced from India. In addition, the MedTech business continues to be a strong driver, and we hav e entered into new services which are quality assurance, regulatory approval services, which in the long run, I think will form a significant portion of our revenue streams, at least from t he EBITDA margins.
The pipeline of orders from existing customers and the dialogue with the new customers continues to be healthy, and we are exploring other areas for growth. Overall, the management is very, very confident that we are on track to building a one billion organization in the next few years. Thank you ve ry much for the support, and wish you all a very happy Diwali to all of you and your families. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

Date: February 04, 202 5

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
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BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter and nine months ended December 31, 2024.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the Unaudited financial results (Consolidated and Standalone) of the Company for the quarter and nine months ended December 31, 2024 , held on Wednesday , January 29, 202 5, at 10:30 AM (IST).

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations .

We request you to take the same on your record.

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

"Syrma SGS Technology Limited Q3 and 9 Months
FY25 Earnings Conference Call"

January 29, 2025

MANAGEMENT : MR. JASBIR SINGH GUJRAL – MANAGING DIRECTOR –
SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS
TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator : Ladies and gentlemen , good morning and welcome to the Syrma SGS Q3 FY25 Earnings Conference Call hosted by ICICI Securities.

As a reminder , all participant s' lines will remain in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Yes, thanks , Ryan. On behalf of ICICI Securities , we welcome you all to Q3 FY '2 5 Results Conference Call of Syrma SGS Technology .

We have with us today Senior Management , and now I hand over the call to Mr. Nikhil Gupta – Head of Investor Relations, to introduce the Management and take the call forward. Thanks, and over to you, Nikhil.

Nikhil Gupta: Thank you, Aniruddha . Hi, very good morning to all. Welcome to Syrma SGS Q3 and 9 Months Fiscal Year 2025 Earnings Call .

We have with us today Mr. J. S. Gujral – Managing Director, Mr. Jayesh Doshi – Director, Mr. Satendra Singh – Chief Executive Officer, and Mr. Bijay Agrawal – Chief Financial Officer, Syrma SGS, to discuss the Performance of the company during the 3rd Quarter and 9 months 2025, followed by a detailed question and answer session.

Kindly note, during this call, certain statements that will be made are forward -looking, which involve several risks, uncertainties, assumptions, and other factors that can ca use results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on the information presently available to the management and the company does not undertake to update any forward -looking s tatements that may be made during this call. In this regard, please do review the disclaimer statements in the earnings release and all the factors that can cause a difference.

With this, I will now hand over the call to Mr. J . S. Gujral – Managing Director, Syrma SGS . Thank you . Over to you.

J. S. Gujral: Good morning. A warm welcome to everyone to the Q3 FY '2 4-'25 Earnings Syrma SGS Technology Limited .

The quarter gone by has been a satisfying quarter , and the nine months have also been satisf ying, which is reflected in the performance of the company. Revenues for the quarter were at about 892 crores, which represented a 24% year -on-year growth. And for nine months, they were at 2,900 crores, a growth of about 40%.

What is more sat isfying, apart from the revenue growth, is that the steps taken by the management to bring back the margin profile of the company has started yielding results. For the 9 months FY '2 5, our EBITDA, operating EBITDA margin stands at 7.2% against a guidance of 7% given at the start of the year. For the quarter, notably, this stands at 9.1%. So , this gives us confidence that 7% achievement would be possible, and if any movement, it will be only north of 7% in the coming quarters.

PBT also has shown healthy growth of 37% for 9 months and 144% for 3 months YoY .

Exports stand at about 20%. Exports have had a subdued sort of muted scenario because our geographies which we are servicing are essentially America and Europe. And in Europe, it's primarily Germany. And Germany is today the sick baby of EU. It has the highest delinquencies per month. So, we have had muted growth, but the turnaround is visible from the orders and the indications which we have received for the next year, that is FY '2 5-'26, I think will rebound back though it will be a painful and a long journey . It is not going to be a one -quarter sort of recalibration to the original

level.
MedTech business also has been a bit slow because of push -out by some customers and delay in the development of the products, which we are very confident that in Q1 of next year, it will bounce back to whatever we had envisaged when we had taken over the Med Tech business of Johari Digital , which is now known as Syrma SGS Johari Digital MedTech Devices Limited.
On an overall basis, we are confident that we would continue to grow at the industry plus average with the margin which we have guided that is a min EBITDA margin of 7%. We hold that guidance for this year and when we come out with the final results for FY '25, we will come out with the guidance for the next year.
As of date, we are on track to achieve the guided EBITDA in percentage and absolute numbers, what we had said, of 305, 310, something of that rate for the current year. And next year, we expect a growth of about 30%, 35%, with corresponding increase in the EBITDA margins.
We have onboarded some good automotive and industrial clients in the current quarter , and going forward, which will be '26-'27, we expect significant business from these clien ts. In '25-'26, these clients will be yielding sub -200 crores of revenues.
With this, I hand over to Bijay Agrawal, to take you through the detailed figures. Thank you.
Bijay Agrawal: Thank you , Mr. Gujral . Good morning , everyone. I will now take you through our brief of financial performance for the quarter and nine months ending December 20 24.
On a consolidated basis, my total revenue from operations for the 9 months is about 2,862 crores. That grew by almost 41% year-on-year basis , and for the quarter it is 869 crores , which is a growth of 23% year-on-year basis.

During the 9 months, robust growth is broadly based on across multiple industry levels, largely contributed by industry, industrial work segment, consumer segment and primarily on the IT segment here.
Similarly for the quarter, we had a strong overall growth in the auto industrial sector again. Our export revenue for the quarter is Rs. 200 crore, which is approximately 23% of our total operating revenue for the quarter. And for the 9 month s, it is about 583 crores. Our ODM revenue for the quarter is about 13% and for the 9 months it is approximately 11.5%.
This quarter, we had a strong rebound of the margins led by expansion in gross margins on the back of change in the business mix. The consumer sector business is slightly lower than other segments here. The gross margin for the 9 month is 21.3% and for the quarter it is with a very healthy gross margin of about 26.7%. Broadly 200 b ps of expansion on quarter -on-quarter basis .
Our operating EBITDA for the quarter stood at about 79 crores with a year -on-year growth of 88% and an operating EBITDA margin of approximately 9.1%. For the 9 month s, it is around 208 crores, growing 53% year-on-year basis.
Similarly, P BT for the quarter is 66 crores, again with a growth of 144 % year-on-year, and for 9 months it is 146 crores broadly . PAT for the quarter is 53 crores , again approximately 6% of the PAT margin and for the 9 month s, it is around 113 crores.
Coming to our open order book visibility a s on date, as on December 2024, it is around 5,300 crores , which comprises almost 30% plus of contribution from auto segment, about 38 to 40% from consumer segment , approximately 20-22% from industrial segment and balance from healthcare plus IT and railway segment as well .
On the working capital side, currently, as on quarter end, we st ood at around 64 days of net working capital days investments. Again , it is slightly higher than the last quarter. We continue to make efforts to keep this net working capital below 60 days on a sustainable basis.
Moving to our debt position, we have a gross debt of approximately 685 crores ,

against which
we are maintaining a treasury of Rs. 412 crore , and with that my net debt position is Rs. 273 crore. Out of this total debt, it is primarily funded through the working capital and only 65 crore is what is the term loan here.
Coming to my capex , for this 9 months we had spent approximately 180 crores of CAPEX and largely towards building up this new campus facility in Pune and a facility there in Germany.
Some bit of additional capex towards some SMT lines and plant and machinery stuffing for new customers ' onboarding.

My asset turn for the quarter is about 5.5 x and ROC E for the quarter is around 13% on an adjusted basis. We expect this to improve further as we work on higher utilization of our CAPEX going forward.
Slight a bit of update on the merger side. We are waiting for the final order from the NCLT , and we hope we should be able to complete this merger in another 3 -6 months of time.
We expect this full year we should be able to close at around 300 plus crores of overall EBITDA for the full year of FY '25 .
With this, I will hand it over to Satendra Singh , our CEO . Thank you very much.
Satendra Singh: Thanks, Bijay. Good morning, everyone. I think Gujral ji and Bijay covered the numbers pretty well.
I woul d like to start with the comment which is to thank all my colleagues in the company who worked hard to execute the strategy which we have been kind of sharing with you and executing every day. So, thanks to the colleagues. I think we have had this very, very good quarter.
To repeat a little bit about this strategy , I think we continue to build for future which is to focus on the people, to focus on the processes and to focus on the plant capabilities. And Pune which was opened in October is one such investment which we have made to build our capability and also to fill in the white space which we have had as a company because we were not present in the western region. So, that kind of takes care of our ability to fulfill the customer needs in the region.
Overall, I thi nk we are executing day in and day out on the operational side. So, there is a lot of initiatives which we have done to streamline and improve our processes on the process excellence side.
So, with this , I think I will say thank you everyone once again a nd back to Nikhil to take the questions and answers.
Nikhil Gupta: Thank you , Satendra . The operator , request you to please take us to the Q&A session.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use their handsets while asking a question. Ladies and gentlemen , we will wait for a moment while the question queue assembles. The first question comes from the line of Dhananjai Bagrodia from ASK Investment Managers Limited. Please go ahead.
Dhananjai Bagrodia: Hello , sir. I just wanted to ask you regarding your debt position . Debt has increased year-on-year. So, how should one look at that going ahead and how are we thinking about this?

Bijay Agrawal: So, year-on-year basis, debt has increased slight er with primarily basis the working capital investment. In this quarter, we had additional working capital towards some bit of new, additional inventories related to new customers onboard ed. Within this quarter, these aberrations may come. But on a full -year basis, we have already guided that we will bring down this overall working capital investment below 60 days. That's what we are confident we will be able to maintain on a sustainable basis.
Dhananjai Bagrodia: So, the 60 days

working capital that is 7%?
Bijay Agrawal: Yes, that's there. As on this quarter end, December end, we are at 64 days of net working capital investment. But gradually on quarter -on-quarter basis can again come down below 60 days. And again, it's a dynamic number . When the business is growing, revenue is growing, overall working capital inves tment, it may increase depending upon the business. That's how the overall working capital borrowing is also linked with the working capital investment.
J. S. Gujral: And last quarter we also commissioned our Pune plant , which is yet to give revenues , but the inventory builds up happens when you start up a new plant and you bring in new customers . The prototyping and all that takes time , but the inventory goes up . And as you have seen a marginal increase of about four or five days in working capital net working capital , which we believe that we are very confident that in the coming quarter by the end of this year , we should be sitting at about 60 days of net working capital. And this is all working capital and there is no sort of long-term loan on this.
Bijay Agrawal: Gradually this is reducing.
Dhananjai Bagrodia: And these are in terms of order book , what would be the order book for this quarter? And how do we see , how much do we see that executing over the next 18 to 24 months?
J. S. Gujral: See, Bijay will go into the details . Orders we normally track it on an annualized basis, as o n all the time we have seen. We are mindful of quarter -on-quarter , but what we are very focused on is what is a long -term story. Is it intact , growing or is it having some issues? So, figures are available, but we don't track orders on quarter -to-quarter basis because in one quarter a new

customer comes, he gives us 20 0 crore orders, it will show a bump. On an an nualized basis, we have a very so lid order book which Bijay will deal with in detail.
Bijay Agrawal: So, during this quarter, we have had decent orders intake.
Dhananjai Bagrodia: No, I am saying these order book, how long are you seeing them being executed over?
Bijay Agrawal: So, this is getting executed over a period of 9 to 15 months. The current order book which is approx. 5,200 - 5,300 crores.

Dhananjai Bagrodia: 5,300 crores. Sure. And s ir, lastly, most of our businesse s excluding industrial have Q-on-Q been flat. Is there any seasonality in these businesses in terms of auto, consumer and you mentioned healthcare , but auto and consumer, is there any seasonality in the businesses?
J. S. Gujral: See, quarter -on-quarter it could have bu mps because each industry has its own, what you call, dynamics. For example, the auto industry or the consumer industry, where we are not present, typically stocks up for Diwali in Q2 for the financial year. At the dealer end, the sales happe n in Q3. But at the production end, the manufacturing and the uptake happens in Q2. So, this over a period of time gets neutralized and we are on track to achieve the growth rate in the respective verticals which we have set out to.
Dhananjai Bagrodia: Thank you so much. Congratulations again for a good se t of numbers .
J. S. Gujral: Thank you.
Moderator: Thank you. Ladies and gentlemen, we request you to restrict to one question per participant. The next question comes from the line of Rahul Gajare fro m Haitong Securities. Please go ahead.
Rahul Gajare: Good morning , gentlemen , and congratulations for the very strong performance in this quarter. Sir, my question is on the margin profile improvement that we have seen. You know, if I see your order book composition, I think auto and consumer continues to be almost 60 to 70% of your order backlog. So , is it that incremental order that you all are taking are at a better margin or what would we really attribute to the margin improvemen

t over here?
J. S. Guj ral: See, the margin improvement, as I have all the time been saying, is a function of the product mix which we sell. For example, in Q3, my consumer business is only 31% , high-volume consumer business, which is a tight -margin business, whereas my industrial business is 30% for three months against the average of 25% for 9 months. My automotive is 24% of my revenue for this quarter comes from automotive. For 9 months it is 21%.
So, the product mix change results in this change in the margin profil e. And as I had said earlier that for this year we are guiding, we have targeted about 40% of our revenue coming in from consumer business. The wish and the desire of the management on which we are working with a very focused strategy is to bring this high-volume business to about 35% of our revenue. I would be happy with 30%. But I don't see it happening immediately. If it comes down to 35, it will have a natural positive impact on the margins. Bijay ?
Bijay Agrawal: Additionally, the operating efficiencies we have been working upon since last maybe almost two years, both on the supply chain side and maybe operating scale side, both have been at least now delivering on the retail side as well .

Rahul Gajare: Okay. So , this is basically product mi x. It is not that the incremental orders that y ou all are taking are or y ou all are getting are at a slightly better margin. It is basically the product mix that is driving really the efficiency over here.
J. S. Gujral: Every industry has its own margin p rofile and every customer has its margin profile. We always endeavor and strive to increase that margin profile within the industry. For example, if an automotive customer gives me a 22% growth margin, our endeavor is to take it to 24% with some customers, 28% with some customers, so that the granted margin comes down to about 23%, 24%, 22%. So, it's a mix of a vertical wise the sales and then the endeavor of management that new businesses which we take in the upcoming season in EV and all that, they should be at a better margin.
Bijay Agrawal: So, when we say this is business mix, in that business means this is automatically getting covered that higher margin business are now we are adding much more in the profile.
Rahul Gajare: Sure. Thank you very much.
Moderator: Thank you. The next question comes from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi, thank you for the opportunity. I have two questions. First, what exactly is happening in the consumer segment? Because we have had this 38, 40% of the order book as consumer last quarter as well, but growth over has been tapering. So , is it more like by choice or there are some execution issues? What exactly should we read through over th ere?

J. S. Gujral: There are no execut ion issues, normal execution issues. The normal execution issues are running in a factory , they are always there. What we have done in the last quarter is that we have started renegotiating prices for the high volume consumer business to see whether we can have a bump in some margins or not. And that is a long -term strategy of the company to move to the high - profit, high -margin business, low -medium -volume, high -margin business.
Consumer business will continue to be about a high -volume consumer business, w ill continue to be about one -third of my revenue. That's the desi re. And that is also guided by the PLI. See, we have a limit on the PLI . So, there is no point of bumping up the business which is not with PLI.
Bijay Agrawal: So, we are structuring the business in a way so that we can maximize on the PLI side, on the benefit side and additionally then improving the overall margins either through pricing and that is where we are at least this business on a deliberate side we are ke eping as a

check here. We should be keeping it as a balanced number in the overall profile also.

Indrajit Agarwal: Understood, sir. A follow -up on that . Does low margin also mean low ROCE or asset turns are better so that the ROCEs are offset in the consu mer segment? And secondly, is consumer largely exports?
J. S. Gujral: See, typically in the industry, in the EMS industry , a high margin business will have a low asset turn, higher working capital involvement. You can't have all the pos itives , all the negatives in one. So, a low margin business has competitively significant lower working capital involvement and a higher asset turn . So, this is the typical nature of the industry.
Bijay Agrawal: And on this question of the export side, this is largely domestic business. So , maybe almost as of now, this is a consumer segment business about 80 -85% is domestic and balance is expo rt.
Indrajit Agarwal: Sure. Thank you. I have more questions, I will join back .
Moderator: Thank you. The next question comes from the line of Sonali Salgaonkar from Jefferies India . Please go ahead.
Sonali Salgaonkar: Thank you for the opportunity , and congratulations on a great set of numbers. S ir, my question will be regarding, firstly, could you reite rate what is your guidance for FY '25 and also you mentioned for FY '26? Sorry, I joined the call a bit late. And secondly, what is the kind of steady margin that we should expect considering and we do appreciate that every quarter will have its own product mix changes and every segment will have its own margin ?
J. S. Gujral: See, for the FY '2 5, we had guided a 7% EBITDA which comes to about 305 -310 crores or something around that , north of 300. And we are confident that we will be able to achieve th at in this quarter and for the year. Now , FY '2 6, we believe, and we are confident that we are higher than the industry rate and the industry growth rate is typically 30 -35% currently and if we grow at 30 -35%, then there will be a corresponding bump in my overall EBITDA margin also when the operational leverages kick in and all those things. So , we are on track to achieve what we have guided for FY '2 6, early on that but this is a wish list . Now we are on track for achieving that.
Sonali Salgaonkar: Great , sir. And s econdly, a very important point is that for the last two quarters we have been showing considerable improvement in our EBITDA margin. This is the second consecutive quarter. So, has anything structurally changed in terms of (a) whether we are targeting certain sub-segments within the key segments or how should we look at it , or probably it is finally boils down to the function of our product mix change , which could be transit ory?
J. S. Gujral: It could be a product mix. See, in Q1 , we are 5 4% high margin consumer business and that hit us badly on margins . In Q2, this came down to about 40 odd percent and we have sort of bumped up to 8 %-odd EBITDA margin. This quarter, it is down to 31 %. So, the EBITDA margins go up. So , EBITDA margins are a clear play of the product mix and operational efficiencies kicking in.

The endeavor of the management on a long -term basis is to bring down the high volume consumer business , which is inherently low margin , to below 35 % mix . 35% is the bare thing. I woul d be happy if it can come down to 31 %, 32%, 33% of mix and g row over other business es. The efforts of nurturing clients over the last two years in other sectors like industrial, like automotive, have started yielding results. And in industrial, we have got some very formidable names in various applications. For reasons of confidentiality, I will not be able to take the names. But they are with superior margins and reasonably decent revenues.
Sonali Salgaonkar:

Understood , sir, very clear. And also, is export s a driver of our margins in any way? Is it a higher margin business as compared to ….
J. S. Gujral: Export is a higher margin business. Unfortunately, for the current year, we are only at 20% . So, we are down from 25% because of slowdown in Germany. Germany is today a sick baby of EU and Trump has just come in. I think it will be a while before the policies gets settled down. But on a long -term basis, again I said we are worried about quarter -on-quarter , short term. On a long -term basis, we are very f ocused that exports should constitute north of 25 %, possibly 30% of my revenues.
Now whether it is 25 % or 26 %, that I really can't say , because it's a play of domestic business also panning out in various segments other than the consumer. But yes, exports are a comparatively higher margin business and we intend to bring it back on track to about 25% of the revenue which currently has come down to about 20%.
Sonali Salgaonkar: Understood . Very clear , sir. All the best , and thank you so much.
J. S. Gujral: Thank you.
Moderator: Thank you. The next question comes from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.
Deepak Krishnan: I just wanted to understand on the new JV, the new entity that we have fo rmed for laptops . What sort of revenue potential can we see from this new venture that we are entering into? And maybe just on revenue guidance, wanted to check if the 4,500 crores guidance still stands or is that number sort of revised down with a higher EBITDA margin?
J. S. Gujral: Okay, what I could understand is about the laptop business and the guidance which we are giving of 30-35%, does it include laptop or laptop will be in addition to that. Is this your question?
Deepak Krishnan: No, t he laptop business r evenue potential and the 4 ,500 crore revenue guidance that you have given for this year, does it still holding ?
J. S. Gujral: Okay, the laptop business is just started last month. It's still in the infancy stage. It will mature in the coming quarters. And in the coming year, it would also mature going up to the backward

integration of board level assembly. Currently, it's a lapto p assembly. On the guidance of revenue, we are more focused on the margins. And we are very confident that whether we do 4,200, 4 ,100 or whatever, the 300 + 305 crores of EBITDA margins are intact. Revenue is the play of consumer business , other businesses. So, to us, b ased on the inputs for the street, we are both focused on growing as per the industry rate with margins of 7% or 7%+.
Deepak Krishnan: Sure, sir. May be just want ed to check if any PLI incentive is booked this quarter and is the re any one -off income because the other income is a little bit higher? Just wanted to check?
J. S. Gujral: See, one-off income we had acquired a piece of land for expansion in the North . Once we put up the campus in Pune, we felt all expansions should happen in the Pune campus. So , we sold off that piece of land in Haryana, Manesar , and that has resulted in a one -off income which is shown separately and not in the operational EBITDA .
Deepak Krishnan: Sure. Okay. Thank you, sir. Best of luck for future quarters.
Moderator: Thank you. The next question comes from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.
Bharat Shah: Gujral sir, t his time actually asking Bijay. You have referred to the EBITDA margin of 7% , but I supp ose what you mean is operating profit margin of 7% because EBITDA margin will mean operating profit plus other income.
J. S. Gujral: Operating EBITDA margin of 7%.
Bijay Agrawal: Yes.
Bharat Shah: Sorry.
J. S. Gujral: Without treasury income.
Bijay Agrawal: This is the operating EBITDA margin which we are referring 7%+.
Bharat

Shah: Bijay, couldn 't hear your voice.
Bijay Agrawal: I am saying this is operating EBITDA margin which we are referring 7 %+ and other income will be over and above that.
Bharat Shah: Because he kept saying EBITDA , therefore I just wanted to clear the confusion, you know, because that what he means is operating profit margin of 7%.
J. S. Gujral: Yes.

Bharat Shah: And t he outlook for the year coming, we were earlier discussing turnover of closer to 6,000 crore or thereabouts. So , is that something intact?
J. S. Gujral: I think we would come back with that figure, but with the current estimates, I think there could be a marginal variation in that. But with the caveat, the EBITDA margins which we had guided

based on 6 ,000 crores of revenue would be intact.
Bharat Shah: Okay. Sir, which means it will be a play on the overall profits. Turnover will be a resultant number.
J. S. Gujral: Yes, absolutely. So, we say that okay, if you are guiding the street for X EBITDA margin, absolute figure, then that X can be constituted by 100 revenue or 120 revenue based on the product mix. But to us, it is the X which we are guiding the market . That is more important.
Bharat Shah: Absolutely. Last ly, on capital efficiency, return on capit al employed, what is the progress being made? One element you highlighted, that the working category will be sought to be kept below 60 days and hopefully it will improve further going ahead. New facilities have been built . New hiring and talent investment has happened. So, physical infrastructure, people infrastructure, other initiatives, all are in place. Therefore, hopefully with the growth of the business, should it result in a measurable improvement in return on capital employ ed?
Satendra Singh: That' s right . That's what we are also targeting. My overhead costs are much more stable now and the expansions have largely been taken care of. So , with this, the way we are anticipating next quarter also, we are targeting like this year we should be closing around 14.5% to 15% of ROC E and gradually it should then move towards our targeted ROC E of 20% over the next two years.
Bharat Shah: So, by Fiscal '2 7, they should be hugging closer to 18% to 20% return on capital employe d.
Bijay Agrawal: Yes.
J. S. Gujral: Yes.
Bharat Shah: Thank you , and all the best.
Moderator: Thank you. The next question comes from the line of Keyur Pandya from I CICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: Thank you. So, just to clarify, as you mentioned that revenue may vary and margin may vary , so you are targeting for absolute EBITDA. So , in that backdrop how should we think about , say, gross bloc k asset turn or is there any other measure say , EBITDA per 100 gross block , whichever way, basically how should we think of that measure of ROC E?
J. S. Gujral: Bijay ?

Bijay Agrawal: So, currently we are at a weighted average asset turn of around 5.6 x. With this increase in scale, we are hoping we should be around somewhere around 6x of asset turn , and that is where we are staying this year. We may be much more closer towards 14.5 % to 15 % ROCE and gradually then this should improve thereafter.
Keyur Pan dya: So, anyway between 5 to 6 asset turn is sustainable and or I would say more optimum asset turn that is possible and targeting EBITDA margin , operating EBITDA margin of 7-7.5%. Is it correct?
Bijay Agrawal: Yes, gradually the operating margin will, ag ain, we see an improvement in the operating margin there. Or maybe the asset turn should improve there after 6x to 7x in that case. So, that's the play between revenue and profitability.
Keyur Pandya: I mean, as you discussed that share of consumer should or would come down, that should impact theore

tically negative ly to your gross block asset turn and that should be offset by higher margins. That is how it will play out or just want to understand the construct of the ROC E within mix change.
Bijay Agrawal: Let me say this 35% or maybe less than 35% of consumer business , that is actually not a negative growth. There will be growth and positive , but other businesses may grow at a better pace so that overall in the overall total portfolio , this business should be within the check of 35%. That's what we are saying. So , asset turn side, I still don't see a negative from 6 to below 6 that way. Gradually it should improve further, then increase in scale. And as my Pune facility also ramps up, this will also add to my asset turn going forward.
Keyur Pandya: Okay, last follow up. So , based on current gross block, what is the maximum revenue that we can generate , ballpark ?
J. S. Gujral: With the product mix which we have set about 35 -37% consumer and all that , we sho uld be able to achieve 6 ,500 crores of , 6,000 -6,500 crores of revenue with this gross block with marginal addition for balancing equipment and all that.
Keyur Pandya: Understood. Noted , sir. Thanks a lot, and all the best.
Moderator: Thank you. The next question comes from the line of Bhoomika Nair from DAM Capital . Please go ahead.
Bhoomika Nair: Yes, good morning. Congratulations on a good set of numbers. Sir, just wanted to understand how JDHL has performed in the quarter and for the 9 month s, if you can share revenues , EBITDA and PAT and the outlook for the same ? And my second question is on the auto and the industrial segment. We have seen all the backlog growing quarter -on-quarter , but I guess , I am not too sure if I got the number right, b ut you said that the Industr ial was about 20 -25% of the

total order book. So, if you can just g ive some outlook on industrial, what are the new segments, what orders we have seen, because it seems a little lower than our historical trend?
Bijay Agrawal: I can explain the Me dTech business and then maybe , Gujral, you can add on the industrial side. MedTech business is slightly subdued in this quarter which we have already explained at the start of this call , that we are expecting this to reboun d from next quarter onwards or maybe this current quarter onwards that way. So , as of now in the last quarter , this business has done approximately 20-25 crores of revenue with less than 10 crores of EBITDA . And going forward we see this should rebound better on a quarterly basis .
J. S. Gujral: See, on the Me dTech business, we are building the platform and there has been a slight sort of a delay in customer lifting, customer approvals and all those things. But we are ve ry confident that in the coming years , so we are delayed, pushed out by about 9 months.
But in the coming year financial Fiscal ‘2 6, I think MedTech should come back to what we had envisaged. And thereafter, beyond '26, it should grow because the custome rs, the designing and the products and the area which we have entered in the last one year, we have recalibrated the entire business in the MedTech space so that we are now more outbound, more customer centric rather than executing businesses which were historically coming in. So , more outbound and customer centric than inbound businesses.
I still believe and I maintain that in the coming years , MedTech business should be a very reasonable, decent chunk of our business. Currently, it's at about 6% . Now, if we grow at 35% and this business also grows at 6%, it has natural growth. But I expect it to grow at a faster rate in the coming year.
Bhoomika Nair: So, I mean, what is the current, you know, where do you expect? What is the order book out here? And you know, when you are seeing FY 26, 27, you will see a significant ramp up. Wha

t
kind of revenues are we looking at from this business?
J. S. Gujral: I would not be able to share the revenues to be very honest. But the pipeline, the product development pipeline, which we are today capturing too, including designing, which would go into production in the coming years, I think gives us the confidence that in the year '25-'26, we should be closer to maybe 160, 150, 170 or 200. But it's a bit early because i t also involves designing. It's not a pure play manufacturing of a product which has already been developed.
Bijay Agrawal: In the order book also, the MedTech business in fact is contributing almost 7-7.5% of the total order book visibility .
Bhoomika Nair: The second part was on the industrial business, if you can throw some light on how the order intake has moved and what is the outlook in terms of new client additions, etc. And which segments are we seeing growth being driven by?

Bijay Agra wal: Our current order book on the industrial side is about 20 -22% of my total sales. On the sub - segment side, we see a lot of traction on the smart metering business side mainly and we have added one more new customer recently and previously as we have explained uneven business is also now picking up gradually. So , we see this sub -segment will perform much better in the industrial side. Additionally, we are working on the renewal piece , which is kind of a solar segment here in this case and maybe other power supply business which will contribute to this particular segment.
Satendra Singh: Just to add on to what Bijay and Gujralji covered on industrial, it's a combination of Indian business as well as exports business. So , in exports , I think we see we have couple of customers which we would not be able to share the names at this point , but we have the business log ged in and that should start trickling in in the FY '25-'26. So, we would see growth over there from those customers.
J. S. Gujral: Just to delve on the applications within the industrial segment , utility metering, including smart metering, whether for gas, electricity or water is one dominant component. Power supplies and power management units for data centers is another dominant segment. Industrial cleaning, wet dry steam is a decent -sized business. Then we have into the renewable like solar trackers or solar inverters , which is developing , which I think in the coming years should go up. And then it would be like automation. Communication cars, automation cars, I can't take the name of decent, very good orders from a global giant for interface cars. And this goes in a very, very high volume.
Bhoomika Nair: Got it, sir. I have more questions. I will come back in the question queue. Thank you , and all the best.
Moderator: Thank you. The next question comes from the line of Aniruddha Joshi from IC ICI Securities. Please go ahead.
Aniruddha Joshi: Sir, two questions . One, what is the total PLI benefit that we would have booked in nine months

and also means in a way is the money received or is it accounted for ? That is question number one. And secondly , we have seen now a back -to-back slowdown in the consumer business. So, how do you see the outlook over the next two odd years? And also as I understand generally the Q4 is quite heavy from a RAC perspective and Q1 and Q2 are strong because of demand for water purifiers. So, Q4 and Q1, we should see a higher revenue share of consumer business. Is that understanding correct also? Yes, thanks.
J. S. Gujral: On the business part, the consumer business, which is not high volume, it is going at per track , and that's a high margin business. It's not a low margin business, though it's clubbed in the consumer segment. And for this quarter and the coming quarter, we are entrapped to grow as per the industry rate with the margins which we ha

d guided.
Again , end of the day, it is a focus of the management to give margins and see that the margins consistently over a period of time inch upwards. So, with that in mind , you have a flexibility to

play with the product mix without sort of sacrificing the margins and still doing the business. As I said, we are renegotiating some of the prices to see what incremental margins we can ge t. So, that's a work in progress.
On the PLI, I think Bijay will take that answer.
Bijay Agrawal: On the PLI, for the current year, we are estimating it should be around Rs. 15-17 crore. For the 9 months for current financial year, we have accrued around Rs. 14 crore.
Aniruddha Joshi: And what was the number last year, 9 months?
Bijay Agrawal: Last year also, full -year number, I don't have a 9 -month number that way, but last year also for FY '2 4, this number was around Rs. 12-13 crore full-year basis, FY '2 4.
Aniruddha Joshi: Sure, Yes, that 's helpful. Thank you.
Moderator: Thank you. The next question comes from the line of Aditya from Inves tec. Please go ahead.
Aditya: Hello. Hi, good morning, sir. So, my question again is on the PLI scheme. I remember in one of the earlier conference calls you had indicated that there is a PLI benefit due of almost Rs. 45 crore in respect of FY '2 4, of which o ur share would be around Rs. 16 crore. So , just want to clarify these numbers that we are saying , is this our share which we retain and which we kind of record as income in our books of account ? So, it's the total quantum that we have received in nine months of the fiscal .
Bijay Agrawal: This is the ne t basis …the numbers which we are quoting are all ne t basis which should be our share retention.
Aditya: Okay, so 14 crores that we have received in 9 months of the fiscal is roughly our share.
Bijay Agrawal: Yes.
Aditya: Correct .
Bijay Agrawal: And the current financial year.
Aditya: Understood, sir. And this will be in respect of entirely FY '2 4, correct?
Bijay Agrawal: This will be in respect of current financial year. Current financial year, what we are saying, it will be around Rs. 17 o dd crore, o f which 9 months numbers will be around Rs. 14 crore on a net basis.
Aditya: And we record it on a cash receipt basis, or we are doing it on an accrual basis?

Bijay Agrawal: They are doing it on an accrual basis .
Aditya: Understood. Because last year, sir, wasn't it a case that we thought of doing it on a cash receipt basis and therefore we weren't really recording lot of PLI benefits and we had spoken about PLI benefits coming into the books of accounts in the following y ear?
Bijay Agrawal: So, that is something, previously in the initial for first year we were doing , right till the time we were getting the first approval there. So , which has change d then later on . It is now consistently on all accruals basis .
J. S. Gujral: The first year is always a tough year when the entire application has to be vetted by the department and the agencies nominated by it. So, that takes a lot of time and hence we were conservative to not account for it. Once the products are approved, the CAPEX is approved , then it's only our data which generates the sort of how much sales and how much is the PLI. So , it's a very simple method ology and hence , as per the industry practice, we have migrated to accrual basis.
Aditya: Fair point. S ir, does that mean that in one particular year we would have recorded on cash basis PLI benefits , which was meant for the preceding year , as well as on the accrual , we would have recorded the benefits of the same year?
Bijay Agrawal: Yes, previously it was on cash basis . Now it is currently on accrual basis.

Aditya: Sure. So, this year like 14 crores is in

respect of current year accrual, but we would have recorded
on for cash for preceding year also, right? So , the overall PLI benefit that we would have
recorded would have been higher. There would be some amo unt for FY '2 4 as well.
Bijay Agrawal: So, for previous years, it is all linked to whenever we get it. So , that's how it is slightly different
that way. For current year related, we have approved around Rs. 14 crore .
Aditya: Sorry, s ir, your voice was clapping a little.
Bijay Agrawal: So, I am saying previous related, it is linked to receiving the cash. But currently, for current year
related, we have approved a round Rs.14 crore .
Aditya: No, that's a fair point , sir. I am just requesti ng for one simple data. 14 crores is in respect of this
year. Have we recorded any amount in respect of the preceding year FY '2 4 as well, which we
may have recorded on a cash basis?
Bijay Agrawal: Preceding year related ; it is linked to the receiving of the amount and accrual happen s gradually.
Aditya: Understood, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Sumant Kumar from Motilal Oswal
Financial Services Limited. Please go ahead.
Sumant Kumar: Hi. Can you talk about the railway order inflow and also what are the sub -segments we got
ordered for railway?
J. S. Gujral: Railways ?
Sumant Kumar: Yes.
J. S. Gujral: Railways, I think we have guided that this year we will be doin g about 70 crores of revenue from
the railways , and we are on track to achieve that revenue this year. New product approvals are
in pipeline. So , till those product approvals by RDSO happen, because every product has to be
approved by RDSO, it will be tough to give a figure, but I believe that next year, this figure
should be higher than 70 crores . Even if it's a 50% growth rate, it will be about 100 crores. So,
anything between 1 00 or 100 plus crores in railways in FY '2 6 is what we are targeting.
Sumant Kumar: Which are the sub -segments in railways, sir ?
J. S. Gujral: Sorry?
Sumant Kumar: Which are the sub -segments in railways? The product type?
J. S. Gujral: There are many. There are brake controllers. The bulk of it will be signaling equipment and other
products which go on to the baggage. But bulk of it would be the signaling system for the
railways. So, it should be a mix 50% what goes on to the locomotive or what goes on to the
wagon and 50% what goes on to the infrastructure which is the signaling.
Sumant Kumar: Thank you so much.
Moderator: Thank you. The next question comes from the line of Bharat Shah from ASK Investment
Managers Limited. Please go ahead.
Bharat Shah: Gujral sir, earlier you mentioned that big turnover from the current infrastructure can be around
6,500 crores , which means virtually before the next year ends, we will need to raise the physical
infrastructure to prepare for the growth ahead.
J. S. Gujral: See, we have this facility in Pune where the equipment can be plugged in. We have just got two
lines in Pune , and it has capacity to take in like a number of more lines. And then, yes, for '26-
'27 onwards, we will be constructing within the same ca mpus a production facility to take care
for the '26-'27, '27-'28 because there will always be an overlap. But the bulk of the cost is the
land which has already been acquired, the building and all that cost, but it's not comparable to
what the land cost is.

Bharat Shah: So, which means if we need to raise the capacity, we can do it fairly quickly.
J. S. Gujral: See, currently for the 9 months my capacity utilization is around 70% or little less than 70%. So,
if I have done 3 ,000 or 2 ,900 crores of reven ue at 70% that this takes us to 4,000 crores in the
new set ups which we have just put

in, which are not called or taken into the capacity, would
yield additional results. The Pune facility has just been set up. So , we don't count that into the
capacity bec ause it takes time for us to build the output from a new plant. You have to get
customer approval . You have to get quality approval.
But with this asset base, with some marginal balancing equipment, 6,000-6,500 crores is
achievable , and this would also depend upon the product profile . Hypothetically, if I was to do
only consumer, then it could be even more than 7 ,000. But with a low volume, high mix, all
those things, the blended output should be about 6 ,000 to 6 ,500 crores .

Bharat Shah: So, basically, as we get into the next year, at some stage, we will have to unlock new capacity to prepare for '26-'27. So , basically what you are saying is that can be done reasonably quickly at Pune facility to raise the overall production capacity.
J. S. Gujral: Yes, you are right. You are right. Since it's not a vertical growth, it's a single story growth in Pune, it takes about six months t o set up a manufacturing facility and by the same time you order the equipment and you can sort of align the receipt of the equipment with the completion of construction.
Bharat Shah: Sure, and Bijay, just one issue. For the current year, what is the like ly tax rate for the profits?
Bijay Agrawal: This is approximately 23 to 25 % there. For the quarter it is lower because there is other income which attracts a lower capital gains tax , and that's where it is lower. Otherwise , it will be around 23 to 25 % current year .
Bharat Shah: And the next year would be presumably be similar.
Bijay Agrawal: Yes.
Bharat Shah: Okay, thank you.
Moderator: Thank you. The next question comes from the line of Praveen Sahay from Prabhudas Lilladher Capital . Please go ahe ad.
Praveen Sahay: Yes, hi, sir. Can you give the CAPEX number for '25 and '26?
J. S. Gujral: Bijay ?

Bijay Agrawal: So, current till 9 months I have already spent around Rs. 180 odd crore. In this quarter , I may spend somewhere around 32 crore. So , current year it will be around 200 to 245 crore , and next year I may spend around Rs. 100 crore to Rs. 150 crore.
Praveen Sahay: Okay . And also in the past you had announced the QIP . What's the status of that?
Bijay Agrawal: We have the approval from the Board and stakeholders together. As of now, we have not initiated anything on that thing . We are internally working on few of the expansion growth projects. If we need any further addition al capital, then we will probably go f or that.
Praveen Sahay: Thank you, sir. All the best.
Moderator: Thank you. The next question comes from the line of Dhaval Shah from Gi rik Capital. Please go ahead.
Dhaval Shah: Yes, hello , sir. Thank you for the opportunity. So, sir, if we understand our progress as a company over the last 2 -3 year period since we went public , so does it mean that our strategy as a company is now more focused on EBITDA margin, the way you mentioned about, you know, you renegotiating the contracts, going back to the cus tomer, versus the kind of growth we were talking about and cha sing growth.
You know, the working capital had expanded and that's where we also thought of doing fundraising. And now we are more of talking more on the margin front. So, what has led to this change in this thought process over the last two years? You know, you saw things changing on the customer side, demand front, competition front. If you could help us understand on this part, number one.
And number two, going forward , in the order book, consumer is still high. But the industrial order book is also increasing. So, does the increasing pie of industrial and other , which is railway , IT also benefit your margin? And will we now consistently be looking at on an

annual basis 7%
plus kind of EBITDA margin without other income? These are my two questions.
J. S. Gujral: See, we have recalibrated our strategy based on the inputs and the growth areas available, which I had earlier also said it was not that we were sacrificing the high margin business for the sake of low margin business , and that continues even today. We are more focused on generating EBITDA . And that's the recalibration we have done.
Why we have done it? It's because of the inputs we have received from various quarters. And correction is always, I think, a welcome thing, if it's for the better. We continue to focus on margins with growth at the industry level.
Now, on your other question of railways and others, those businesses are factored into a normal plan which we share. And I am very confident that going forward, what we have guided for this year and next year, we will be able to achieve that.

Dhaval Shah: Okay. And for this and the sustainable 20% ROCE, so what sort of margins would it require? Like 7-7.5 because the way asset turns will change depending on the product. So , what sort of margins are we looking at for that sustainable 20% ROCE number?
J. S. Gujral: Bijay ?
Bijay Agrawal: So, I think if we are able to improve the overall asset turn somewhere between 6 .5 and 7 x with

an overall EBITDA margin of 8%, I guess we will be nearing towards our target ed ROC E.
J. S. Gujral: And also better working capital management and control.
Dhaval Shah: Okay, so 6.5 to 7x asset turn with an almost 8% EBITDA margin. Now this is possible when we go for what sort of product mix in this then because the margins are also higher, asset are also higher than the historical.
Bijay Agrawal: When we talk about margin percentage , that already factors in the different pr oduct mixture. So, whichever product mix, we are able to deliver that EBITDA margin with lower working capital investments. So , automatically the ROC E will improve a bit.
Dhaval Shah: Okay . Thank you. Good luck.
Moderator: Thank you. The next question comes from the line of Vipraw Srivastava from Phil lipCapital. Please go ahead.
Vipraw Srivastava: Hi, I am Audible, right?
J. S. Gujral: Yes.
Bijay Agrawal: Yes.
Vipraw Srivastava: Yes. Sir, quickly on the PLI thing which one previous participant asked, so in FY '24, it was cash based, in FY '25, it's accrual based . Is this correct or am I wrong?
Bijay Agrawal: So, current year accrual . Only FY crores 23 was cas h basis. T hen gradually we have cha nged the practice.
Vipraw Sriv astava: So, '24, '25 both were accrual based, right?
Bijay Agrawal: Broadly, yes.
Vipraw Srivastava: Okay, thank you. And secondly, sir, quickly on the consumer segment. So , if I remember correctly, you were saying 40% should be from consumers. So , if we take nine months, and if we take the revenue mix for nine months, we already are on 40%. So , in Q4, should we see the same mix of business or do we see consumer going up in Q4?

J. S. Gujral: I personally don't see consumer significantly changing in Q4. At the end of the year, I think we will be around 40%, maybe a percentage lower or a half a percentage higher, maybe 38%, 39% consumer business. The endeavor of the management, as I have all the time been saying, is that to bring it down to 35%.
Vipr aw Srivastava: Right, sir. And sir, lastly, I mean, we do know that in the electronics ecosystem, Government of India is coming up with a PLI on components, where they are going to incentivize a component, let's say like bare board. So , do we see some risk from that end? Because if your peers backward integrate into bare boards in your consumer segment, how do you plan to compete with them?
J. S. Gujral: See, on the backward inte

gration, I have been dealing with it all these quarters. S o, the backward integration essentially would be into either the PCB manufacturing or the semi con manufacturing. And PCB manufacturing and semi con manufacturing, they are independent business units , business projects to be evaluated on an independent basis .
Now, hypothetically, if I set up a PCB plant, Will it give me a positive rub on my EMS business? The answer is no. I manufacture 700 -800 type of SKUs of all types. There is no way I can manufacture the entire thing in my factory. So, maybe some critica l boards are manufactured in the factory, but I will continue to outsource PCBs from the PCB vendors. Today also we have got a dozen PCB vendors for each category, seeing the cost and the capability.
So, these projects are to be evaluated as tag alone pr ojects. It gives you a de -risking of business, fair enough. But there is a downside as the EMS business goes down , who will use the semicon component which I make? It's the EMS which is the major consumer of the semicon component. Who will buy the PC Bs which I make if the EMS business goes down?
So, it is to be evaluated as such. Nothing negative, nothing positive. It has to be evaluated on a standalone basis. If it fits the parameters which the management has set , Johnny will go ahead for it. But it h as no significant leg up to my EMS business .
Vipraw Srivastava: Sure, sir. But sir, I mean, one or two large players, they have been saying that they will consume the entire PCB board they manufacture internally. So , do you think this understanding is not correct? I mean, you can't consume whatever they manufacture internally?
J. S. Gujral: See, t here is a difference. For example, again, I will try, right? For example, if I am making televisions, I am just naming a product not meaning why I am making air conditioners and I make 500,000, 1 million air conditioners then I can logically configure my plant so that I can have that board from my own production.
But in our case which is a well -diversified portfolio. and not concentrated on one model or one vertical or one application, I don't see that situation arising. But yes, if I was to make a million televisions in a year, then logically I can put up a backward PCB plant to supply me 1 mill ion PCBs. But still, it has to be evaluated on its parameters whether it's giving me the returns or not.

The value ad dition, which I am giving to a PCB manufacturer, which I retained in -house, has to
justify the CAPEX and the ROCE.
Vipraw Srivastava: Got it, sir. Thank you, sir.
Moderator: Thank you. The next question comes from the line of CA Garvit Goyal from Nvest Analytics
Advisory . Please go ahead.
CA Garvit Goyal: Hi, sir, I am audible?
Bijay Agrawal: Yes, please.
CA Garvit Goyal: My one quest ion is on the product portfolio side like the end industries. So , our product portfolio
is catering to various end industries including auto, consumers and railways and our industr ial
segment may be including power and capital goods sector as well. So , I just want to hear from
you like based on your discussions happening with the ministries , like i s there any change in the
government budgetary allocation expected for capex and growth in any of our end industries,
sir?
J. S. Gujral: See, end of the day if I go to the utility metering which is end user would essentially be
government or these big private DISCOMs which come up , and I personally don't see that on a
sustained basis there should be any problem with that. Monthly , quarterly bips, some payments
not coming to the guy, funding arrangements and all those things is part and parcel of the thing.
But on a sustained basis, I don't think funding would be an issue. And again, this particular
business is less than, if my memory serves me right, would be les

s than 20% of my industrial
business. I think I should be doing about 200 -250 crores, 220 crores of utility metering
electronics this year. And my budget over industrial will be about 1 ,000. So, it's about 20 -25%
which is directly rel ated to funding from multilateral agencies at the moment. The rest of the
industrial business is purely with private sector.
Now, you scratch it and that private sector may be selling it to data centers or private utilities or
power supply, power managem ent units globally or within the country. I personally don't believe
that funding should be a crunch for us on a sustained basis. Peaks and clocks will happen.
CA Garvit Goyal: Understood, sir. That's it from my side, sir. All the best for the future.
J. S. Gujral: Thank you.
Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Aniruddha Joshi
from IC ICI Securities. Please go ahead.
Aniruddha Joshi: Yes, thanks. Sir, just want to clarify further on the possibility of QIP. So , I guess we were
contemplating entry in OSAT business. So , just wanted to understand any update on that. And

secondly, even if the company decides to go ahead with the QIP, will it be for the existing
business or will be largely for OSAT or third , for any acquisition, because the existing business
seems to be doing fairly well. So , I am not sure whether we require any funding in that business
as such. So , if you can clarify a bit more on that. Yes, thanks.
Bijay Agrawal: We have taken our QIP approv al just to be ready for any future growth. We have never
contemplated any growth.
J. S. Gujral: Inorganic.
Bijay Agrawal: We have never contemplated QIP for our existing business related any kind of a working capital
funding. That's very clear. Regarding our OSAT plan, we have already communicated
previously also, we are evaluating . We have been evaluating this business and once we are clear
in our strategy, yes, this business makes complete full sense in terms of overall profitability,
business numbers and capital risks , then only we will plan for it. But QIP, anyway, whenever
we at least plan, it will be much more for the growth opportunities, not for the existing
businesses. The approvals were clearly taken only just to be ready for any future growth
opportunity.
Satendra Singh: And just to add to what Gujralji and Bijay said, I think equity raising is the most costliest of
funding. We are very clear on that, that only when such an opportunity does arise which requires
equity funding, we will raise it.
J. S. Gujral: Yes, that's true.
Satendra Singh: We have enough accrual happening in the business itself to sustain continuous period of growth.
J. S. Gujral: Yes.
Aniruddha Joshi: Sure, s ir. So, this is very helpful. Just lastly understanding on the inorganic opportunities,
whether we are looking at opportunities in India or internationally and again which segments we
would be looking at the opportunities, means in a way PCBA or we would like to expand the
services in overall EMS portfolio itself or a nything else.
J. S. Gujral: Okay. You see, we have all the time been maintaining consistently for last several, several
quarters that the inorganic acquisition will not be made only for the sake of having a bump up

in my EMS business. We would do an inorg anic acquisition if it gives me access to technology,
fills in gaps in my product offering, gives me access to regulatory approvals. Then I would look
at an inorganic acquisition because reinventing the wheel in such cases is a very long time
consuming.
Another thing, I think, where clarity will emerge in the coming months is Mr. Trump's policy on
manufacturing in USA. I am just sharing my thoughts a lot. Nothing on paper, nothing on plan.

But that

may necessitate Indian industries to have a near -shoring facility to the USA. It all
depends upon what the plans and what are the policies which pan out in the coming quarters.
Currently we are evaluating , what you call , inorganic acquisitions , but there is nothing which
has reached the stage where we can shar e it with the street or the analysts . There would be areas
of design, there would be areas of defense and other things where we are not present today.
Aniruddha Joshi: Sure, sir. This is very helpful. Thank you.
Moderator: Thank you. Ladies and gentlemen, that concludes our question -and-answer session. I now hand
the conference over to Mr. Guj ral for his closing comments.
J. S. Gujral: Well, ladies and gentlemen, thank you very much and for an insightful Q&A session. From the
management side, I would like to assure each and every one of you that we are, as I have all the
time been saying, focused on building an organization and an institution. Business is a by -
product . Business will happen.
But a growth, sustainable growth in business has to be backed by tangible steps to create the
organization to which we are fully committed and we are doing. One of the steps is that instead
of standalone units, we have started going on the campus routes to save on the cost. That's one
of the long -term strategies of the company.
We have commissioned or in the process of final commissioning of our facility in Germany.
Germany currently is in a bit of a spot . So, I can't say today how fruitful that would be, but I am
sure in the long run it w ill be a big leg up to my export business. We are very , very mindful of
our social responsibilities, diversity and nurturing and retaining talent. Respect mutual
admiration, care of the employees and all the stakeholders is at the core of our philosophy.
I will just ask Satendra to share his thoughts on it for the final word.
Satendra Singh: Thank you, Gujral ji. I think , thank you everyone for good questions. Your questions are
motivating us to think different and make sure that we are doing everything we can to satisfy all
our stakeholders which is, of course, the shareholders , customers, suppliers, as well as our
employees and society at large.
We are committed to a strategy. We are always talking about consistency, thinking long term.
Yes, we are ke eping very close eye on the quarterly results like we report every quarter to you.
But on a long -term strategy, we are clearly focused on building this organization for future. And
we are continuing to invest there. We are definitely encouraged with the pr ogress we have made
over the last couple of quarters , and we expect to keep the momentum going. Thank you .
J. S. Gujral: Thank you, gentlemen. Thank you very much , ladies and gentlemen.

Moderator: Thank you. On behalf of ICICI Securities, that concludes t his conference. Thank you for joining
us, and you may now disconnect your lines.

Call: May 2025

Date: May 20 , 202 5

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for the audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31, 2025 .

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31, 2025 , held on Wednesday, May 14, 2025 , at 10:30 AM (IST).

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations .

We request you to take the same on your record.

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

"Syrma SGS Technology Limited
Q4 and FY '2 5 Earnings Conference Call "
May 1 4, 2025

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED

MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS
TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. SHALIN CHOKSY – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call for Syrma SGS Technology Limited hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shalin Choksy from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.
Shalin Choksy: Thank you, Navya. Good morning, everyone. On behalf of JM Financial, we welcome you all to the Q4 FY '25 Earnings Call of Syrma SGS. Today, we have with us the senior management of Syrma SGS. I will now hand over the call to Nikhil to take the call forward. Thank you, and over to you, Nikhil.
Nikhil Gupta: Thank you, Shalin. Hi, a very good morning to all . Welcome to Syrma SGS Quarter 4 and Fiscal Year 2025 Earnings Call. We have with us today: Mr. J.S. Gujral, Managing Director; Mr. Jayesh Doshi, Director; Mr. Satendra Singh, Chief Executive Officer; and Mr. Bijay Agrawal, Chief Financial Officer, Syrma S GS, to discuss the performance of the company during the fourth quarter and financial year 2025, followed by a detailed question -and- session.
During the call, certain statements that will be made are forward -looking, which involve several risks, uncertai nties, assumptions and other factors that can cause results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on the information presently available to the management, and the company d oes not undertake to update any forward -looking statements that may be made during this call. In this regard, we request please do review the disclaimer statements in the earnings release and all other factors that can cause the difference.
With this, I w ill now hand over the call to Mr. J.S. Gujral, Managing Director of Syrma SGS. Thank you.
J.S. Gujral: Good morning, everyone. A warm welcome to the Syrma SGS Q4 and FY '25 Earnings Call. I'll delve on the broader picture, the business scenario and the mac ro level things affecting the company, and the quarterly numbers and details will be dealt by Bijay Agrawal in detail. We started the year with a guidance of 7% of EBITDA, which was at about INR310 – INR 315 crores, a recalibrating of the business strategy to bring Consumer business down to about 35%, which also means accretion in the business, high -margin business of Industrial, Automotive and Health care.
As we close the year, we find that we have achieved the target set and communicated to everyone. We have brought out the Consumer business to 35%, 36% of overall revenues. EBITDA expansion has been a bit healthy at 8.6%, up almost 1.8% from FY '24. As we look forward for the coming years, we are in line to grow the business at about 30% - 35% with consum er being retained at about 30%.
So we further see a reduction in the consumer content from 35% to about 30% in the coming

years. As a natural corollary, this would imply or this means that our superior margin business in the Industrial, Health care, Automo tive verticals would further go up, which would help us in sustaining the EBITDA margins of about 8% in the coming years.
As we look back, we find that we have added about 20, 25 new customers in the current year, which would go on stream this year and in FY '26, '27. We have commissioned our Pune facility. We have commissioned our facility in Germany, consolidating it into one location.
This facility was acquired somewhere in June, July, August

last year. We have started large
format box build for custome rs, global customers, which would accrue decent size of revenues in the comin g years.

We are fully on track in achieving the growth targets of about 30% - 35%, which is backed by the orders in hand with a focus on high -margin verticals. Another issue, whic h is of great satisfaction to us is that our ESG initiatives are on track. And EcoVadis, which is a global agency which monitors ESG has given us a percentile score of plus 70% and we are among the top 35 companies globally, which are meeting the ESG norms set by the companies and the government.

Our leadership training programs and induction of talent is almost complete now, and we are fully poised to grow the business and be a forefront runner in the EMS space, especially in the exports. Exports in the c urrent year have been subdued. We had guided a INR1,000 crores export target. We have fallen short by about INR200 crores. We are about INR800 crores plus, largely driven by the ta riff uncertainties and a muted EU environment.

However, based on the guida nce inputs received from our customers, we expect the exports to cross the INR1,000 crores mark. So we are delayed by a year. We should have achieved it in FY '25. We intend achieving it in FY '26. We have generated a free cash flow of about INR176 crores. Working capital, net working capital at about 69 days, work in progress, scope for further reduction.

Now what gives us the satisfaction is that if we look back on 4 years sort of period, what do we see? Our revenues have grown by about 44% CAGR; EBITDA 34%; PBT 29%; Exports 15%. And mind you, neither EU nor America is growing at that rate, which clearly indicates onboarding of customers or drawing more business from the existing customers. If I was to see the landscape of the verticals, in the last 4 yea rs my Automotive segment has expanded by 57%; Consumer by 60%; Health care by 23%; and Industrial by 29%.

If I see only for the last year, FY '25 over FY '24, I have seen Autom otive increase of 26% a decline of about 7% in Consumer, in line with our target of bringing on the low -margin, high -volume Consumer business content. Health care has grown by 15%, Industrial by about 29%. And we believe that in the current year, Consumer will be about 30% of my revenue and remaining 70% will be Industrial, which should be about 30%; Automotive, about 25%, Health care and other things about 15% - 18% and the balance by Railways and IT.

With that, I hand over to Bijay Agrawal to take you through the details. And any quest ions which you have, I'll be more than happy to address them.

Bijay Agrawal: Thank you, Gujral -ji. Good morning, everyone. I will now take you through the brief financial performance of the company for the quarter and for the financial year FY '25. I can s tart with the revenue. Our consolidated total revenue for the quarter is INR 947 crores, which has grown by 6% quarter -on-quarter. And similarly, the total revenue for the full year is INR3,836 crores that grew by 19% year -on-year as against the previous ye ar.

The growth for the period is contributed largely by higher growth in the Auto segment, Industrial segment and IT businesses. Our export revenue for the quarter is about INR280 crores. And for the full year, it is around INR860 crores, which is approximately 23% of our total operating revenue. Our ODM revenue for the quarter and for the f ull year also, it is about 12%.

In the quarter, we have shown good rebound in the margins led by expansion into the gross margin on the back of change in busine ss mix, mainly lower consumer, as Mr. Gujral has explained, better Industrial business, higher Health care business and our continuous effort on operational efficiencies and stable overhead costs.

Our gross margin for the quarter is about 27.8%. And fo

r t he full year, it is 22.6% with a
healthy expansion of around 200 bps as against the gross margin of the previous year. Our operating EBITDA for the quarter stood at around INR116 crores, which is year -on-year growth of approximately 39% and the EBITDA mar gin of 12.4%. Similarly, when we see the operating EBITDA for the full year, it is about INR324 crores with operating EBITDA margin of 8.6% which has grown almost 48% over the previous year.

Same way PBT for the quarter is INR93 crores with a PBT margin o f 9.9%. And for the full year, it is INR239 crores, which is PBT margin of 6.2%. Our PAT for the quarter is INR72 crores with a PAT margin of 7.5%. And for the full year, it is around INR184 crores, which is 4.8% of PAT margin for the full year.

Coming to the overall working capital performance, we are currently running at around 69 days of net working capital days of investment. Wecontinue to make our efforts to bring it down to below 6 5 days, we'll be focusing on the same and targeting to bring those nu mbers in the upcoming year.

Moving to our debt position. We have a total gross debt of around INR611 crores at the end of the year, largely working capital debt, which is around INR520 crores and balance INR90 crores is a term loan. We continue to hold a healthy treasury balance of approximately INR347 crores here. And with this, our net debt position at the end of the year is INR264 crores. Our cash flow -- the operating cash flow for the year is INR176 crores positive, which is resulting into the OCF to EBITDA of approximately around 54%.

Coming to capex investment. During the year, we did almost INR180 crores of capex , largely towards greenfield expansion of our Pune campus facility and some bit of brownfield expansion into Bawal and Chennai location, m ainly driven through new customers onboarding and related tools and fixtures and plant and machinery installations.

Coming to asset turn and the returns, we have achieved 5.5x of asset turn during the year. And

ROCE is around 16% on an adjusted basis. We expect this to further improve as we set our assets and we improve our overall asset utilization gradually. Lastly, I would say we continue to focus on the high -margin business verticals, operational efficiencies, overall cash flow improvement and thereby improving the returns. We still continue to focus upon the working capital improvement -- and that's all from our side.

Nikhil Gupta: Thank you, Bijay. I'll now hand over the call to Mr. Satendr a, our Chief Executive Officer, to hear his comments on the business.

Satendra Singh: Thank you, Nikhil, and good morning, everyone. Thanks for joining the call. I think we have had a very good quarter as a company. First of all, I'd like to say thanks to all the 9,000 -plus people we are employing in the company wh o work day -in and day -out all of the year to bring us the results which we have reported to you a few minutes ago.

Overall, I think we continue to stay focused on the strategy, which we have always outlined. Consistently, as a company, we are looking at t he businesses which are medium volume and higher margin. Essentially, we continue to focus on Automotive, Industrial, Medical, Railways. Accordingly, the business mix will evolve, as Gujral -ji already highlighted that Consumer business will shift slightly down as a percentage. However, all our businesses will continue to grow.

We have taken many steps to improve our operating efficiency, to improve our procurement efficiency to ensure that we sweat our assets, as Bijay highlighted in his comments. That's key of EMS business. At the same time, it's not lost on us to ensure that we have enough capacity available. We will continue to i nvest as and when it is needed.

At this point, we are looking -- we are evaluating our footprint, and we are expanding our Bangalore

facility, a marginal expansion to ensure that we are able to serve our increased business in Bangalore. Overall, I think we stay focused, and we look forward to results in line with what Mr. Gujral highlighted. So thank you very much. Back to you, Nikhil.

Nikhil Gupta: Thank you, Satendr a. Navya, you can help us on the Q&A session .

Moderator: Thank you very much. The first question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: I have 3 questions. First, if you c an elaborate a little bit more on what is troubling our Consumer business? Which product segment? And how is the current run rate in terms of exit? How do you look at it?

J.S. Gujral: Sorry, could you please repeat the question again? It was not very clear .

Indrajit Agarwal: Yes. So what exactly is troubling our Consumer business? And how is the exit run rate versus what we have achieved for the full year?

J.S. Gujral: See there's nothing troubling in the Consumer business. We have always shared that the

consumer, the high -volume, low -margin Consumer business is one of the low -hanging fruits which we had picked up. But with a conscious sort of focus on concentrating on our core competencies, which is engineering design -led manufacturing, which is more into I ndustrial, Health care segments. So there was a very cautious call of the management to recalibrate its focus on the high -margin segments.

And as I've already shared, there are no free lunches. When you concentrate on high -margin verticals, which have a l ot of engineering design content, the natural casualty is the top line. So it's a call which the management has taken to have accretive EBITDA from superior

verticals.
Bijay Agrawal: Also on the exit run rate, we have done around INR190 crores of consumer revenue in the quarter 4, which is around 21%, while for the full year, it is around 35%. The only clarification here is this is not like evenly distributed kind of a thing. The schedules come into 1 quarter probably a much higher number and 1 quarter much lower number that way. So from an exit run rate point of view, we should consider a full year revenue rather than a quarterly revenue.
J.S. Gujral: Yes. I've always been maintaining that we should not look businesses on a quarter -on-quarter basis. If you recall, Q1, the Consumer business constituted 54% of our revenues. Q4, it constitutes about 20% of our revenues. But on a blended basis, it has come down to 35% this year, and we further intend to take it down on an annualized basis to 30% in the coming ye ar. Q-on-Q, there could be variations.
Indrajit Agarwal: Sure. On that note, while we are looking at full year numbers, our Consumer business will go down further in terms of mix from 35% to 30%. So what would drive the EBITDA margin decline from 8.6% to 8% as you have guided for FY '26?
J.S. Gujral: See, we have guided 7%. We have delivered 8.6% or 8.5%, whatever that is. We are guiding 8%, which is almost a 15% increase on 7%. As the quarters pass by, if we believe and we are confident to achieve an EBITDA higher than 8%, we would share with that. Currently, on a conservative basis, we guide 8% EBITDA margin. We guided 7% last year, and we are now guiding 8%.
Bijay Agrawal: Also when we see the Consumer business coming down to 30%, but simultaneously, maybe IT plus Automotive business will also increase slight a bit higher in this overall mix. And based on the weighted average mix only, we are guiding about 8%.
Indrajit Agarwal: Sure. A couple of housekeeping questions. One, both receivable and payable days have increased. So what is driving this sharp uptick? I understand the overall working capital is still under control of about 69, 70 days, but the mix has shifted. So what is driving this?
J.S. Gujral: Bijay will run through the figures. You see in working ca

pital, I think the quality of working capital is reflected by the lower inventories. So what we have achieved this year, we have brought down our inventory levels by about 18% to INR822 crores, down from about INR1,000 -plus crores. Payables and r eceivables are commercial transactions, which we, as a strategy, try to match off. So if my customers ask for extended terms of credit, what is under my control is have an efficient manufacturing and bring down the inventory levels, which we

have done 18% this year.
We go back to our vendors and as our volumes increase, we go back to our vendors for extended payment terms. So that's a commercial balancing of receivables and payables. So this is the part and parcel of the business environment. What is criti cal is, is my inventory under control or not? And there, I'm happy to share our team has done a phenomenally good job of reducing inventory by about 19%. I hope that answers your question.
Indrajit Agarwal: Sure. Yes, it does. Lastly, if you can give us th e order book number, like?
J.S. Gujral: Bijay, will take you through the numbers. But on a macro level basis, whatever we guide our revenue, it is based on the orders in hand and orders in pipeline and visibilities and everything. So order book is in line with what we have guided. But for the specific numbers, if you want, Bijay will share with you here. He has some -- he has the details we can share with you. But broadly, I think our orders in hand are in line with the revenues guided. So we can derive the figure. If you want it from Bijay, he can share it with you.
Bijay Agrawal: So broadly, as Mr. Gujral has explained, order book is in line with my revenue guidance. But still the overall order book is somewhere between INR5,200 crores to INR5,400 crores a s of now, which is as of 31st March 2025. And in this the breakup would be around 25% to 27% is Auto -related business; approximately 30% Consumer business; Industrial would be around 28% to 30%; and rest 15% is approximately between IT, Health care and Rai lway business.
Moderator: We will take the next question from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Can you hear me?
J.S. Gujral: Yes, please.
Aniruddha Joshi: Yes. Sir, 2 questions. Should we consider the change in strategy t owards Consumer business as a perpetual thing means in a way, it will be going forward the same approach we will keep to have a relatively lower focus on Consumer business and the margin focus will remain higher. So is that the strategy? A perpetual change in the strategy, should we assume that? Question number one.
And question number two is there is a material increase in the debtor days and largely it is attributable to higher -margin business also. So will that also be a -- in a way permanent change in terms of the working capital numbers as well? That is the second question. Yes. That's it

from my side.
J.S. Gujral: Okay. Now as a strategy, yes, we would concentrate on the high -margin businesses, higher margin vertical more in the coming years, this yea r and coming years. High volume, very high volume, very low -margin Consumer business would be sort of slowly and steadily brought down to 30%. But this does not mean that the Consumer segment, the subvertical in the Consumer sector, which is my own design and manufacture, that will be a focus for the management.

So when we say the overall Consumer business has come down to 35% this year, it also includes my own design and manufacture and other products which I give to the consumer segment, which are compar atively higher margin. The focus will be on higher -margin business irrespective of the vertical. Consumer also has a sort of a vertical within it, which is decent margin business. It's only the high -volume,

low -margin business, which would in a structured way, be brought down.
Coming down to your working capital level, when we were at 40% Consumer business, 5 of our Consumer business, we were at about 70 days. We have brought down the Consumer business to 35%, and we are down to 69 days. So the focus of th e management would be to control the w orking capital in its totality.
Yes, when we do Industrial, when we do Exports, when we go into railways, the working capital cycles are comparatively elongated. But with efficient management of resources and producti on, I think we are in line to reduce the working capital further.
Just for clarification, these are -- the working capital figures are without any factoring of off -balance sheet adjustments. Bijay will run through the details.
Bijay Agrawal: So you are right there, Aniruddha. Primarily with the high -margin business, we may have to deploy certain high receivables, but that is all backed by high payables also because we negotiate the business accordingly. And going forward, we are further targeting to brin g it down at receivables and payables level, in fact, along with the overall reduction at the NWC level also.
Aniruddha Joshi: Okay. Sure. So this is very helpful. Just second line -- last question, if you can indicate a bit more on the QIP plan and also t he bare PCB business that we are planning to start under new wholly -owned subsidiary. So what are the time lines where the new plant will be? And in a way, what are the incentives, state incentives, central incentives that we are looking at? And in a way, any customer details, client details, if you can share. So whatever business plan you can share at this stage?
J.S. Gujral: Okay. QIP is just a revalidation of the QIP, which is the permission of the authority, which we had taken from the Board last year. So that was expiring in about whatever a couple of months. So we have taken resanction from the Board of a QIP. This QIP would be used, one, if we do an inorganic acquisition, and that's what we had shared last year. So it's an enabling resolution to have sort of funding arrangements ready.
Second, if we go -- and I'd rather not if, when we go into component manufacturing under the Government of India component scheme, which has recently announced, we'll share with the Street once we have something concret e, it could be used for that. And then the remaining is the general purpose working capital and other things. As of date, there is no fixed concrete proposal on the table to say this much is for this, this much is for that. That we'll share once we have th e detail. I hope that answers your question.
Aniruddha Joshi: Yes, sir. That is helpful. And any other details that you can share on the bare PCB business that we are looking at?

J.S. Gujral: See, we are looking at components in totality and bare PCB is pa rt of one of them. As of date, there's nothing -- no concrete proposal which has been approved by the Board. We are evaluating various sort of piece and piece parts, which are in the component policy. PCB is part of that. But as of date, there is nothing f inalized or concrete on the table. We are evaluating and discussing. And we'll share with the Street once there is something concrete, something once we have concluded.
Aniruddha Joshi: Okay. That's fine, sir. And I missed the revenue guidance that you sha red for FY '26. I understand margin you have indicated around 8%.
J.S. Gujral: Yes, 30%, 35% growth with about 8% margin profile.

Moderator: We'll take the next question from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaonkar: Congratulations on a great set of margin growth. Sir, my first question is actually regarding the new component manufacturing scheme, which is being rolled out by the government, ECMS. So tentatively, as of now, which would be the are

as of interest for the management to apply? And in that conjunction, what would be the kind of capex that we would be looking forward in FY '26 and '27?
J.S. Gujral: Under the component policies, we are evaluating components, whether they are electromechanical, long components, there are something like camera modules, PCB is one of them. Connectors also are there. As of date, there are 3, 4 verticals, which our teams are working seriously on, and we are looking for tie -ups and other things. Once we have a detail, then we'll shar e. But broadly, the component ecosystem has to be developed in India, and we are very seriously evaluating that. And I think we should be participating in the scheme. There's still a window of about 80 -odd days or 78 days till 31st of July to file the app lications. Again, what we are very, very mindful of is that wherever we go in, whatever sort of component we go in, we must go with a very credible, reputed technology partner. I think that's the underlying philosophy of the management and the group that w e should have credible partners, which are very well placed in the vertical we would like to go.
Bijay Agrawal: On the capex , again, overall capex varies depending upon which component we select and maybe what -- how much of the capacity we plan to put ove r there. Broadly, we can see the capex varies from maybe a INR300 crores, INR400 crores to almost INR1,000 crores also here.
Sonali Salgaonkar: Great. Sir, this is very helpful. Sir, my second question is regarding the exports. Now clearly, we are one of t he key players exporting to geographies across. So any thoughts on the U.S. tariffs? I know there is a 90 -day pause, but any thoughts therein or how the exports will shape up going forward?
J.S. Gujral: See, exports have been muted in FY '25, I shared in m y opening comments. In FY '26, based on the orders which we have and the guidance which we have received from our customers, we would be able to cross the INR1,000 crores, which will be -- which will signify almost a 20%, 22%, 23% increase.

Tariffs are st ill in a fluid and a nebulous stage. How would it pan out, no one knows. So despite that, we are expecting a growth of about 20%, 22%. I think we are working very closely with our customers and other stakeholders. And I think we'll navigate once some sembl ance of a clarity of stability emerges on it. Satendra, is there anything which you would like to add?
Satendra Singh: No, I think we have been in close discussion with our customers, meeting them in person as well as having regular touch points with them, closely following their strategy. And I think as of today, the tariff is frozen. So once the administrations are making a decision on which direction they are taking, we will work closely with our customers to support them in their strategy. But clearly, as Mr. Gujral said, we see our exports growing this year compared to what we did in the last financial year.
J.S. Gujral: And just to add on to what Satendra is saying, our judgment or our assessment is that India would not be negatively impacted by the ta riffs. So I don't see -- we don't see a situation where India has higher tariffs than the competitive countries. Tariffs will come, but India would still have a headroom in that. I think India would be taxed at a comparatively lower tariff rate than the co mpetitors -- competing countries. That's our assessment.
Sonali Salgaonkar: Understood, sir. Very clear. And just one last question from my side. We completely understand that you want to transition from the lower -margin Consumer business and yet grow our top line. So which would be the top 2 sectors who would contribute to the revenue more than the Consumer? Would that be Industrial and Auto? Is this understanding correct?
J.S. Gujral: Yes. Our major growth drivers are Industrial and Auto secto

rs, along wi th the Exports, which we just talked about. So these 3 will be the major drivers for top line growth next year.
Sonali Salgaonkar: So would Exports be margin accretive as well?
J.S. Gujral: Yes. Yes, they are.
Moderator: We will take the next question from the line of Pranjal Jain from Morgan Stanley.
Pranjal Jain: So you did mention in the opening remarks that we have added around 20 to 25 new customers, which are likely to see some revenue booking from FY '26 onwards. With that in context, which are these key segments that these new customers cater to? That's number one. And which are the subsegments that are driving growth in Industrial segment in particular?
Management: Majority of our customers are in Automotive and Industrial. So if I would look at it , 3/4 of the

customers are in -- between Automotive and Industrials. And that's in line with our strategy. That's where our focus -- major focus would be.
J.S. Gujral: And on your question on the vertical, subverticals within the Industrial segment -- in domestic segment, the Industrial would be driven by the energy metering. Globally, it would be power electronics, a large format box build for various applications, including EV charging and power supplies. Utility metering globally also would see a tractio n, growth traction in this year. So it's a very broad wide mix. Automotive will be driven by primarily EV and acquisition of more

customers in the ICT space.
Pranjal Jain: Sure, sir. That answers well. And secondly, what would be the incentive -- PLI incen tive that we may have booked in the full year of FY '25?
J.S. Gujral: Bijay?
Bijay Agrawal: Approximately around INR36-38 crores is what we have booked in the full year.
Pranjal Jain: And could you also help us with Q4 in specific?
Bijay Agrawal: About app roximately INR8 crores.
Moderator: We'll take the next question from the line of Bhoomika Nair from DAM Capital.
Bhoomika Nair: Congratulations on a good set of numbers. Sir, my first question is on exports. I know you spoke about exports being a strong driver of growth next year. And we were looking at U.S. to kind of support that. But given the tariff situation, one is on a wait and watch out there. Could you throw some color in terms of how is Europe sales really going or other parts of the globe, whic h is supporting our confidence in terms of the growth aspect out there as we look at next year?
J.S. Gujral: See, 2 parts. One, my growth in the sales will be driven by some customers which saw a 4, 5, 6 months window of revenue last year, and I'll see a 1 2-month window of revenue this year. So that is almost like a 100% jump in the revenues from those customers. Because if I did a customer for 5 months and I do it for 12 months, there is an incremental revenue.
On Europe specifically, it has been muted th us far. We have now seen a rebound, a slow rebound in order inflow, which points that towards the end of this calendar year, Europe, we would see it back to what we were there in '24. See, we have maintained INR863 crores of revenue, up from about INR800 c rores last year on the back of a very subdued demand from EU.
So my customers -- additional customers offsetted or compensated me for the decline in demand or revenues from the EU customers. We have now started seeing an upturn in this. And the new custom ers which we onboarded and the orders which we have got, the visibilities which we have got gives us the confidence that if the things were to pan out as they are currently panning out, we should cross the INR1,000 crores mark in the coming year.
It will also be aided by Health care, though Health care business is small, but it will also be aided by Health care business. This is if -- again, I give the caveat that if things pan out as they are, if tomorrow something out of the world was to happ

en on tariff s or something, which we
-- none of us estimate, then it would have a different impact.
But under the normal circumstances, we would achieve the INR1,000 crores mark. And I've shared you based on rebound in Europe, some customers which saw revenues kickin g in, in second half of FY '25, having a full 12 -month window and some new customers which we have added, which would see some months of revenue this year. All these 3 factors put together

would sort of take us to cross the INR1,000 crores revenue mark, an d we are very confident on that.
Bhoomika Nair: Sure. That helps, sir. Sir, my second question is on Industrials. We're looking at a very sharp growth out there and the percentage contribution also kind of improving. A lot of the growth is also driven by t he domestic segment where the energy meters will play a significant role.
Now how large is this segment for subvertical for us? Are we seeing a decent traction out here? Or are there delays in terms of execution on ground, which could possibly impact into the second half? So just trying to understand this subvertical out here.
J.S. Gujral: So are you referring to the smart metering business or the Industrial in general.
Bhoomika Nair: Yes, sir. Smart metering within Industrial, sir.
J.S. Gujral: Yes, that i s -- smart metering business or I would call it, utility metering business within the Industrial is a significant component. And just as a reference point, I was looking at the figures,

we did about 3.9 million or 4 million units of energy metering electro nics in the years gone by, and we expect that traction to continue in this year also.
Bhoomika Nair: And this would be what growth in '25 when we are saying 4 million -- close to 4 million number in FY '25?
J.S. Gujral: I think it will grow. Overall, Indus trial, as I shared earlier, over a 4 -year period, it has grown by 29%. Incidentally, last year also, it has grown by about the same percentage. We expect this business to continue to grow. Now whether the smart metering business grows by 20% and gets the o ther components in the power thing like boxer build, format build, fuel dispensing, power supplies, power controls, solar. So all these things put together, we expect what Bijay had shared that we have targeted a growth of about 29%, 30%?
Bijay Agrawal: 30%.
J.S. Gujral: 30%-plus in the Industrial segment. So it will be a blended mix.
Bijay Agrawal: For FY '25, similar utility metering business would be approximately INR300 crores -plus.
Bhoomika Nair: Okay. Okay. Got it, sir. This is helpful. Lastly, on the bare PCB board business that we are looking to get into and evaluating, would we kind of be doing this on our own? Are we planning to do some tech partnership? Any color on that business would really help.
J.S. Gujral: On what trend? On what trend?
Bhoomi ka Nair: On the bare PCB board business, sir.
J.S. Gujral: Again, I said bare PCB is part of the component policy. So let's not be specific to Bare PCB. Whatever vertical we enter, whether it is the bare PCB or the components, whether they are magnetics, b ound, if we believe that we have the in -house capability to do it, it will be done in-house. Wherever we believe that having a partner would be worthwhile, so it will be with a partner. What contours that association takes place would -- we'll come to know once we sign

off our agreement with a potential partner, whether it's a JV, financial JV, technical JV. So those are all things under discussion today.
But one thing is clear that we would be participating in the component PLI. What particular things? Th ey are still under discussion, and I'm not at a liberty to sort of disclose and discuss them, till they are finalized.
Moderator: We'll take the next question from the line

of Bharat Shah from ASK Investment Managers.
Bharat Shah: Hearty congratulations. B harat Shah. I just had a comment to offer and would like to have a response from you on that. I think our business model is now acquiring a much more solid and concrete shape. Earlier perhaps the business was -- the turnover was an outcome of the order book and availability where growth of the top line seem to be #1 priority.
Now I think balancing the business with healthy profitability, capital efficiency, working capital management and carefully balancing overall business so that business becomes an outcome of the business model rather than the other way around. Would you say that is a fair comment as to how we have evolved in, let us say, last 2 to 3 years?
J.S. Gujral: Yes. If you sort of just scan over the last 2, 3 years for about a year -- 1 year, 1.5 years, we had a very high component of the low -margin, high -volume Consumer business where we were not present earlier. So it was a new sort of a dish for us. And we are now recalibrating or rather we have recalibrated our strategy to refocus on our core competencies, though manufacturing of high -volume consumer is also we have developed that core competency, and we are comparable to the best in the industry today.
But h aving said that, we have recalibrated our strategy to focus on comparatively higher margin design engineering -led manufacturing, which was our core competency pre -'21, '22. So you're right, we are refocusing that to focus on growth in these high verticals. And I said -- as I said earlier, Bharat -ji, there are no free lunches.
If we have to focus on margin accretion, Industrial, Automotive, they have a certain growth trajectory unlike the Consumer, which is a low -hanging fruit and could have a very high gro wth trajectory. So we will continue to concentrate on Industrial, Automotive, Health care and design -led manufacturing, which will have some impact on the top line, but on the bottom line and other things, it will be all positive.
Bharat Shah: And presumably greater focus on technology, which is our own ODM business, carefully chosen and selected and improved margin with a discipline on working capital, all that should lead to measurable improvement in capital efficiency?
J.S. Gujral: Yes, please. B ut these high -margin businesses have an elongated working capital cycle as a nature. But I think with a proper focus and control and empowered team, we should be able to maintain rather reduce the working capital cycle, which we have thus far achieved, whi ch is about 69 days. Despite these high -margin businesses going up, which have a longer working capital cycle, I think we are in a position to bring down the working capital cycle further.

Bharat Shah: One question for Bijay Agrawal. Bijay -ji, is the PLI i ncentive likely for the coming year if there is any calculation done?
Bijay Agrawal: So this is all varying actually based on the overall how much of consumer and specifically telecom consumer business we are doing in the next year. We can say based on the order book visibility, this income can be somewhere ranging between INR15 crores to INR18 crores for the next year also.
Bharat Shah: INR15 crores to INR18 crores for the company only, right?
J.S. Gujral: FY'26 yes.
Bharat Shah: Sorry, INR15 crores to INR18 crores in entirety for the company?
Bijay Agrawal: This is like what the company can retain for sharing if there is anything. This can reflect into the company's P&L going forward also.
Bharat Shah: But compared to INR35 crores booked in the FY '25, you are saying about half of that number is likely for the company in the entirety?
Bijay Agrawal: Yes.
Bharat Shah: Okay. And I presume depreciation probably would grow marginally for the next year as I think most of the capitalization has occurred. Am I rig

h t?
Bijay Agrawal: That's right. Most of the assets -- the capex is already done. Capitalization is already done. So we don't foresee much of increase in the depre ciation going forward, barring standard depreciation
Bharat Shah: Okay. And interest, which is about INR58 crores for the last year, would you say -- of course, it will grow less because of then the top line growth, because of the rate reduction likely plus the reduction in working capital. But would you say it will be -- the growth in interest cost will be much lower than the top line growth of 30%, 35% that you have talked about?
Bijay Agrawal: Yes, that's what we are targeting for. We don't expect that much of straightforward linear increase in the overall borrowing le vel and this interest cost is primarily linked with the borrowing level only. So we expect a better improved cash flows going forward. With that, this increase in the finance cost will be much lower.
Bharat Shah: It will be much lower than the top line gro wth?
Bijay Agrawal: Yes, absolutely.
Moderator: We'll take the next question from the line of Vipraw Srivastava from PhillipCapital.
Vipraw Srivastava: Sir, quickly on a question on the P&L. So the other expense for the last 4 quarters doesn't add up if we consolidate with the full year other expense. Can you explain the reason for that?

J.S. Gujral: Bijay?
Bijay Agrawal: You can send maybe separately, we can check and reply you back on that, to see if there is a regrouping.
J.S. Gujral: It could be because of regrouping in the quarter or something like that. But -- you said other expenses?
Vipraw Srivastava: Yes, yes, other expenses. Yes, sir.
J.S. Gujral: Okay. It will be regrouping, but . Yes.
Vipraw Srivastava: Sure. We will take it offline, yes. No worri es, sir. Sir, quickly on the order book. So obviously, as Bijay said, we currently have an order book of around INR5,200 crores to INR5,400 crores. So will it have an execution time line of 14 to 15 months? Is that right?
Bijay Agrawal: It varies up to 18 months also. A few of the businesses may go beyond 12 months.
Vipraw Srivastava: So sir, I mean, if I divide that number by, let's say, 1.25, assuming to have an execution period of 15 months, the growth trajectory which you have shared doesn't add up. So are you expecting to win more orders, short -term orders, which will lead you to achieve that target?
J.S. Gujral: Yes, yes. It is not that the orders which we have got on 1st April would only constitute the revenue for the current year. What we have shared is the orders which we have another thing during the course of the year, the visibility which we receive and the new customers which we get, we keep getting the revenue, sir.
So it's not that only opening orders as on 1/4/'25 would form the basis of the revenue for '25, '26. It is the orders in hand as of 31st of March or 1st of April, plus the orders which accrue during the year. We had guided the same figure last time, what was the figure last time which we have guided?
Management: Just one comment on this. Different customers behave differently. Some customers give you

order for a couple of months. Other customers give visibility for the whole year or even higher than that. So it's a combination of different customer behaviors.
Vipraw Srivastava: Right , sir. So you're expecting short -cycle orders in coming months and that leads to your confidence in the target, right?
Management: Yes, there will be orders coming in. As we go through the year, it will keep coming in. We'll keep fulfilling the orders and the new orders are coming in from the customers.
Vipraw Srivastava: Sure, sir. And sir, lastly, on the smart metering side, obviously, the utilities -- what we are hearing from utilities is that they're not -- a lot of these installations are not happening at a great p

ace. So what are your thoughts from the ground view? Are you seeing the installations happening? What are your clients seeing on smart metering?
J.S. Gujral: See, end of the day, we supply to the metering companies. And what we are expecting a nd we

are witnessing is a robust demand from that. There could be monthly, quarterly bits. For example, if one of my customers has an order and where installations are not happening, obviously, he will then slow down in one quarter and then ramp up in the next quarter. But on an annualized basis, we expect this business to have a robust growth. We witnessed it over the last 12 to 15 months. And we are, by the way, one of the largest electronics EMS companies in the country providing these metering devices, not now, but for the last 18 years.
But we are very selective with our clients. We are very selective with our clients because the end customer being the government. The working capital cycle is long enough, and we are very mindful of the financial credib ility of our customers. The business can grow much faster if we just pick up the customers where our working capital will subsequently get stuck up. So we are a bit choosy on the customers in this segment.
Vipraw Srivastava: Right, sir. And sir, last quest ion, if I'm allowed to ask, what percentage of bill of material will be contributing in smart metering? I mean, the final box is around INR5,000. So your contribution will be around INR3,000. Is that correct? Or is it less or is it more?
J.S. Gujral: No, n o, no, it's not INR3,000. I think the smart metering value would vary from INR700, INR800 to INR1,200, INR1,500, nothing more than that. The electronics -- the electronics. We do only the electronics. We don't do the electrical. We don't do the plastics of the box builds. Shunts and other things we don't do.
Moderator: We'll take the next question from the line of Mahesh Chavan from I -Wealth Management.
Mahesh Chavan: Congratulations on a good set of numbers. 2 questions were there. First question was from the Consumer side, what percentage of RFID module contributes in the Consumer business?
And another question was in the industry -- sorry, the segment bifurcation, which you mentioned that the Consumer segment will be going down from 35% to 30%. Can you j ust repeat the bifurcation for other segments as well?
Bijay Agrawal: RFID business will be approximately 8%. 7.5% to 8% of my total business, company as well.
Mahesh Chavan: Okay, sir. And segment bifurcation going ahead for FY '26 and '27?
Bijay Agrawal: FY '26 also, we are expecting the overall RFID business will be somewhere in the range of 8% to 10% only. That's what we are guiding right now.
Mahesh Chavan: No, I meant the overall, like the Consumer segment, which you said right now it contributes around 35% of the total revenue. Right? In FY '26, you are saying that it will scale down to 30%. So similarly, I wanted for FY '27 as well.
J.S. Gujral: See, FY '26, we said Consumer business will be around 30%. We'll try to bring it down to 30%. And I think we'll retain it at about 30%. It may come down slightly more between 25% and 30%, but our endeavor would be to fill up that gap with our own design products in the other consumer segment. What we are referring to is a high -volume, low -margin consumer segme nt, which is part of this Consumer business. That will come down. But I think in '26, '27, the

consumer segment in totality would be anything between 25% and 30%.
Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to Mr. Gujral for closing comments.
J.S. Gujral: Thank you, everyone. I think we have had a good year in FY '25, and we expect to continue this good work going forward in FY

'26 and '27. The figures and financials have all been discussed. What the objective we have for the management is to again, as I've always been saying, to have a sustainable organization, which can continue to deliver returns to all the stakeholders.

ESG is very, very important for us. And we have a separate team monitoring our ESG performance. And as I shared with you, we are among the top 35% companies globally adhering to the ESG standards. Going forward, this effort will be further doubled up.

We have our capacities in place. And as we have shared last time, we are now planning to grow on a campus model rather than a stand -alone unit model. Efforts for the long run, '25 -'26, '26 - '27 is short run. For the long run is to move up the value -added chain through ODM, which currently in this year wa s, I think, about 12% of our revenues.

And I had shared last year that we internally believe that we should be at about 25%, which is a very, very tall path. But I believe that in the long run, this 12% should grow up. And once this goes up, along with th e exports and growth in the other verticals, high -margin verticals, we are on track to deliver sustained growth at superior EBITDA margins than what we have been delivering in the past.

Focus will be on generating cash flow, working capital, capital effic iency, and organization building. And we would, as I said, in all probability, seriously, we are evaluating to participate in the component PLI. So to make India an electronics hub, we would like to participate in that scheme of the Government of India and the Honorable Prime Minister with all o ur sincerity and efforts. Thank you very much.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Date: July 29, 202 5

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex, Bandra
(East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investor Conference held for the un audited Financial Results (Consolidated and Standalone) of the Company for the quarter ended June 30 , 2025 .

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find attached the transcript in respect to the Earning Conference Call on the unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter ended June 30, 2025, held on Thursday , July 24, 2025, at 10:30 AM (IST) .

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations/ .

We request you to take the same on your record .

For Syrma SGS Technology Limited

Komal Malik
Company Secretary & Compliance Officer
Membership No: F6430
Place: Gurgaon

ENCL : as above.

"Syrma SGS Technology Limited Q1 FY '26 Earnings
Conference Call"

July 24, 2025

MANAGEMENT : MR. J. S. G UJRAL – MANAGING DIRECTOR , SYRMA
SGS T ECHNOLOGY LIMITED

MR. JAYESH DOSHI – DIRECTOR , SYRMA SGS
TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER ,
SYRMA SGS T ECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER ,
SYRMA SGS T ECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD (INVESTOR RELATIONS),
SYRMA SGS T ECHNOLOGY LIMITED
MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

Moderator : Ladies and gentlemen , good day and welcome to Syrma SGS Q1 FY '26 Earnings Conference Call hosted by Nu vama Institutional Equities.

As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mr. Achal Lohade . Thank you, and over to you, Mr. Lohade.

Achal Lohade: Thank you. Good morning, everyone. On behalf of Nu vama Institutional Equities, we welcome you all to the Q1 FY '26 Earnings Call of Syrma SGS .

Today, we have with us the Senior Management Team of Syrma SGS . I will now hand over the call to Nikhil to take the call forward. Over to you, Nikhil.

Nikhil Gupta: Thank you, Achal. Hi, very good morning to you all. Welcome to Syrma SGS Quarter 1 Financial Year 2026 Earnings Call.

We have with us today Mr. J.S. Gujral – Managing Director , Mr. Jayesh Doshi – Director; Mr. Satendra Singh – Chief Executive Officer , and Mr. Bijay Agrawal – Chief Financial Officer, Syrma SGS, to discuss the performance of the Company during the first quarter of the Financial Year 2026, followed by a detailed question -and-answer session.

During th is call, certain statements that will be made are forward -looking, which involve several risks, uncertainties, assumptions and other factors that can cause results to differ materially from those in such forward -looking statements. We request you to kindly refer to the disclaimer statements as presented in the earnings release for the same.

With this, I now hand over the call to Mr. J.S. Gujral – Managing Director , for his opening remarks on the performance. Thank you.

J.S. Gujral: Thank you, Nikhil. A warm welcome, ladies and gentlemen, to the Q1 FY '2 6 Earning Call of Syrma SGS .

It is my pleasure to share with you that the quarter gone by has been a good quarter and all the vital parameters of the Company have shown significant positive improvement. Our EBITDA margins are up from 5.2% of Q1 last year to over 10% in this year. My gross material margin is also up from 15% to 24%.

Now, if we see on a landscape of two -year period, which we normally look at and we don't focus on quarter -to-quarter, what do we see? We see a revenue growth of 25% , an EBITDA growth of 50%, PBT growth of 27%, and a PA T growth of 32%.

So, the recalibration of the strategies which the management consciously started executing from Q2 of last year has panned out as we had planned. And we now believe that we are on that cu sp of growth and encashing on this platform which we have built over the last four quarters.

It is also very heartening to note that my exports during this quarter have gone up from 180 of Q1 FY '2 5 to 232 in Q1 of FY '26 , registering a 29% growth. This, despite the looming uncertainty of the tariffs, was being raised by the U.S. government. So , as things pan out and settle down, I am very confident that going forward, we would be able to grow on the solid platform which we have built now.

I am also happy to share with you that we have entered into a joint venture agreement for manufacturing of PCBs. The PCB industry in India, in our considered opinion, is ripe for entry of organized players.

The market is estimated at about $5 billion, 90% of which is imported, approximately , and only 10% is made in India. Out of that 10%, 30% is contributed by one single Company , another 40% by 8 or 9 other organized companies, 10 companies, and balance 30% are in the unorganized sector, the small -scale industry sector.

We believe there is a vacuum for an orga

nized player to come in. And we have decided to come in with a very strong technology partner to encash in on the emerging requirements of PCBs in India. These are being facilitated by anti -dumping duties and the PLI scheme . So, I believe that we have exciting times ahead in this particular vertical.

We are now manufacturing large format box build products for exports and for Indian market. And we have added a significant number of customers , which give us confidence that the growth in the coming quarter will be more than what we have thus far seen.

Another very qualitative improvement is that the high margin verticals of automotive, industrial have all shown significant growth. Automotive in Q1 of last year accounted for 16%. This year it accounts for about 24%. Industrial in Q1 of last year was 19%. This year it is about 30%. And significantly, Consumer , which is a low -margin business, has shown a planned decline from 53% to 34% of my revenue. Healthcare has also shown a bump from 5% to 7%. IT and Railways is a bit muted, but we expect this to pick up in the coming quarters.

On an overall basis, I think it has been a satisfying quarter. And there is a catch -up in the revenue. We are very confident that we will be able to do it in the remaining three quarters so that we are able to meet the guidance shared with you.

Thank you very much. And I now hand you over to Bijay for a detailed build -on on the financial numbers.

Bijay Agrawal: Thank you, Mr. Gujral. Good morning, everyone . I will now take you through the brief financial performance for the quarter ending June 2025.

Starting with the revenue numbers, our consolidated total revenue for the quarter is approximately Rs. 960-odd crores as against Rs. 947 crores in the previous quarter. We have been able to see good demand growth in the Auto and Industrial segments , primarily from a year-on-year basis.

The growth has been contributed through strong demand across multiple sectors also. Our export revenue for the quarter is approximately Rs. 233 crores, which is again 25% of our total operating revenue for the quarter. Our ODM revenue for the quarter is about 12 -odd percent.

Coming to gross margin :

The gross margin for the quarter is 25%, as again st 15.5% for the Q1 of last year. The margin improvement is mainly led by healthy business mix, lower consumer and IT business, which is relatively lower margin business , and again, our continuous efforts on operational efficiencies improvement.

The operating EBITDA for the quarter stood at healthy Rs. 96 odd crore s with a year -on-year growth of 75% and an operating EBITDA margin of 10%.

Coming to P BT for the quarter :

It is Rs. 67.1 crores, again strong year -on-year growth 128% with a P BT margin of 7%. Our PAT for the quarter is Rs. 50 crores, 145% year -on-year growth versus Q1 of last year with a PAT margin of 5%.

Coming to our working capital performance :

For the quarter, we are currently at 69 days of net working capital days investment, which is largely same as the position it was there one quarter back also. But again, there is a continuous internal focus on reduction of the net working capital day s, and we are confident of reducing or maybe bringing it below 65 days in the next few quarters.

Moving to our net debt position :

We have a total gross debt of approximately Rs. 780 crores. As against the same, we also hold a healthy tr easury balance of Rs. 467 crores. With this, my net debt position as on 30th June 2025 is Rs. 314 crores . During this quarter, we have spent approximately Rs. 35 crores of CAPEX towards stuffing of plant and machine ries into my existing facilities largely.

Coming to ROC E performance for the quarter :

This is around 14.5% when we calculate on the adjusted basis and the adjustments are primarily IPO unutilized money and the goodwill . We

expect this to further improve over the year as we

expect a higher capacity utilization or maybe the revenue growth as Mr. Gujral has also guided during the all.

Once again, we reiterate the fact that we continue to focus on high -margin vertical s, operational efficiency, overall cash flow improvement , and net working capital improvement. And with this,

we are very much confident on delivering the guidance which we have been given so far.
With this, thank you very much. I will hand over this call to Mr. Satendra Singh now.
Satendra Singh: Thank you, Bijay . And thank you, Gujral Ji. But most importantly, thank you to all our customers who have posed their trust in us over the last several decades. We are looking forward to serving you day after day, quarter after quarter, and year after year. And thanks to my colleagues as well who are working every day to ensure that the demands of our customers are satisfied.
As you heard from Gujralj i and Bijay , we have made very, very strong progress. The results speak to the fact that our strategy, which we built over the last couple of years, has been the right one. And the results are in line with our strategy.
The focus from our perspective is customers , obsessed with the customers. We are listening to our customers every day. We are adapting our processes. We are adapting our capability and ensuring that we are ready for our customers' requirements before the requirements come to us.
We are continuously investing in our people. Leadership team is built already. We have been working through our processes, which we have improved over the last 18 to 24 months. And we continue to build capacity. As we speak, we have Bangalore plan t under construction, which we have talked about in last quarter as well. And it is in line. It will go on stream end of this year, early next year, calendar year.
In terms of business strategy, I think you already heard about one comment that we are recalibrating our business mix. And we are seeing strong growth in the segments which are our focus, which is auto and industrial, as well as on exports.
All in all, I think a very good quarter. And with the efforts we have made, with the processes we have set, with the capabilities we have in our team, I am looking forward to exciting times ahead and serving our customers to the best of our ability and to their expectations , in the end, delighting them.
Thank you, everyone. And back to you, Nikhil.
Nikhil Gupta: Thank you, Satendra . Renju, we are open for Q&A session. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Ankur with HDFC Life . Please go ahead.

Ankur: Hi, sir. Good morning. Thanks for your time as always. A few questions. One, if you could just help me with the order book as of end Q1 '26 and also the mix within that order book, the context being just trying to understand the share of industrial , auto, etc. And therefore, trying to get a sense of how the new journey will pan out over 26 months.
J.S. Gujral: So, the order book position as on quarter end June '25 is approximately Rs. 5,400 crores to Rs. 5,500 crore s. Of which, if I give you the breakup, auto segment comprises 35 % to 40%.
Consumer segment is 25 % to 27%, as of now. Industrial is again 25 %-27%. Healthcare is 6 % to 8%, which includes med tech business also. And balance is IT and Railways .
Ankur: That's helpful. And if you could just help us again with your guidance for the full year, both on top line and also on margin.
J.S. Gujral: Top line side, we are expecting we should be again get a good growth of 30 %-35% over the previous year numbers. And margin, somewhere we are saying it should be somewhere in the range of 8.5% to 9%. EBIT

DA margin, operating EBITDA margin is what we are saying.
Ankur: That is excluding other income, right? So, this is the operating margin.
J.S. Gujral: Excluding other income , but it should include my earnings, foreign exchange impact whether gain or loss, both.
Ankur: Thirdly, sir, just on the consumer business and we are seeing clear positive signs of the way you are kind of trying to restrict growth there. But still, even in Q1, it is still sizable, right? Almost 30%, 35% of overall mix. So, do you believe in absolute terms you did about Rs. 320 crores. So, is this where it kind of stays and gets better? Or do you think, while in percentage terms, it may come lower? So , just trying to understand from a full -year perspective and also how you see the consumer business kind of shaping up.
J.S. Gujral: You see, we have guided in the FY ‘2 5 Q4 Earning Call that our endeavor would be to bring down the consumer sort of vertical business to 30% of the total revenue. And on an annualized basis, we believe that we are on track to achieve that.
So, this consumer vertical, when we classify , it includes a low margin, high volume, as well as my ODM, which is high margin and low volume. So, we believe that going forward, 33 quarter -on-quarter, it could be 1%, 2% here and there, but on an annualized basis, we are confident that we should be able to achieve the 30% mark which we have set out for us at the beginning of the year.
And if my own ODM high -margin, low -volume consumer business picks up, so be it. It is a margin -accretive business. What we are concentrating on is to bring down the low -margin, high -volume consumer business within this particular bucket.

Ankur: And just one last bit, on the PCB manufacturing JV that we have proposed and we have to set up, if you could just give us more details, whatever you can share in terms of CAPEX , by when do you expect this plan t to come up, what kind of sales, margins, ROEs you believe could be made . Also on the customer side, whatever details you can share would be very helpful there .
J.S. Gujral: You see, we have planned out this PCB plant, which would be a multi -layer and single -layer plant, with a capacity of about, once it is fully set up, about 1.5 to 2 million square meters per annum. The CAPEX plan in Phase -1, which will be spent not in a bullet way, but over the next three to four years, is $91 million.
PCB business typically is a positive 15%, 12% to 15% EBITDA margin business. We believe that with the world -class plant and a high -technology plant, we would be able to drive yield efficiencies which would enable us to achieve these EBITDA margins.
In PCB, the yield, because it is a chemical process, are very, very critical. And we have a very solid technology partner. I think the beauty of this venture is that we have a very solid technology partner, which will help us to address a very huge potential domestic demand, which is not available anyplace outside China. If we scan the world, the PCB demand, other than China, is all limited.
So, India offers a virgin currency. And if we have a solid technology partner, it opens up great whispers of growth for the coming years. So, $91 million is approximately CAPEX . And this will be entitled to a PLI. EBITDA margin 15 %-18% once the whole process is stabilized and once we move into the higher layer margin business, because here also as the layers go up, the margin also goes up.
So, we expect that once the plant is matured, we should be able to earn a 20 %, 18%, 20%, 20% EBITDA margin , and the ROCE of about the same percentage around 20 %. And this CAPEX is also entitled to state government subsidies, which are under negotiation, which could vary from 35%, 40% to 60% of the CAPEX . These will not be bullet payments. These will be payments staggered as we execute the project.

And because there is some form of GS T fund and there is electricity subsidy and all those things, employment subsidy and all those things.
But even if on a conservative basis, we say we get about a 40% subsidy, so about 90 million, so 36 million will be subsidized by the potential states who are wanting to get this project in the ir state a nd balance 60% will be by us. If we get 60%, it will be 40%. So , we are taking it on a conservative basis. Bijay, anything you want to add.
Bijay Agrawal: And t here will be at least two components PLI driven benefits which is revenue benefits that will be over and all. But the margins which you are expecting, that should improve all the benefits.
Ankur: And typically, 1x asset t urns is what we should build in, right , once the plant is fully utilized ?

J.S. Gujral: Depends upon which kind of product which we are manufacturing here. Asset t urns, we expect it should vary somewhere between 1.2 x to 2x.
Moderator: Next question comes from the line of Kishore Kumar with Unifi Capital. Please go ahead.
Kishore Kumar: Sir, good morning , and thanks for the opportunity. I just have a small query on the JV. What is the timeline that we are looking at it?
Bijay Agrawal: Speak a little louder , please.
J.S. Gujral: See, he was asking timeline.
Kishore Kumar: What is the timeline? Yes, sir. Timeline , yes.
J.S. Gujral: So, the JV agreement has been signed. The application has been filed with the central government for the PL I scheme. And we understand the terminal date for the PL I application is 31st July. And in the month of August, these applications will be taken up for scrutiny and approval. So, assuming we expect the approval to come in s omewhere in August or September , we have already applied to the various , in talks with the various state governments.
So, during the period when the application is being scrutinized, PL I application, we expect to get approvals from the state government with the final set of incentives. Potential lands have been identified at a couple of places. So , I think by about Q2, end of Q2, by September '25, we should be in a position to sort of start the execution of the project.
These intervening periods of approximately 45 odd days, we will also use for making our blueprint drawings and all those back -end work so that we don't lose time once we get the approval t hrough the government.
The project on an a ggressive basis should go on stream somewhere around Diwali next year on a conservative basis between Q4 of FY '26 or end of December FY '26 , yes.

Bijay Agrawal: Q4 of FY '2 7.
J.S. Gujral: Yes.
Bijay Agrawal: The commercial production we expect it should start sometime towards Q4 of FY '2 7 or first quarter of FY '2 8.
J.S. Gujral: So, 18 months, 18, 20 months, 21 months is what we are targeting for the whole thing.
Moderator: Mr. Kumar, please go ahead. Since there is no reply from the line of Mr. Kumar, we will take the next. That is Mr. Uttam Kumar from Aven dus S park. Please go ahead.

Uttam Kumar: Sir, two questions from my end. Firstly, on the gross margins , we are seeing that the gross margins have improved because of the consumer business mix going down. At the same time, we would also like to understand, are we seeing some kind of a margin shaping up upwards when it comes to automotive and industrial category? Are there any cost of mix which is happening? Is the gross margin trending higher? Or is there a ny scope for the mix to increase going forward in these two verticals?
J.S. Gujral: See, in the automotive sector, the margins vary if we are a Tier 1 supplier or a Tier 2 supplier vendor. And in EV space, we are primarily a Tier 1 supplier, which gives us incremental margins. The margin profile over the coming quarters and yea

rs would improve apart from the above two factors by more efficient, more cost -effective purchasing. As our purchase spend goes up, we should be able to negotiate better prices. That is number one.
In the Industrial segment, the margins are higher in exports, lower in domestic. But by and large, they are much better than the Consumer . And we have not seen any depreciation of margins in each of the verticals. Only we have seen improvements. And we don't expect them to depreciate in the coming quarters and years.
Uttam Kumar: So, the second question is on exports. So , could you give us more flavor on , again, one you said Industrial category is where we are doing exports. Is there any other categor y where we are seeing traction? And which are the geographies which are doing well including U.S. and other geographies? Can you give some mix split and where we can see traction improving going forward? And eventually over the next 2 to 3 years, where can we look at this export mix been for the Company ?
J.S. Gujral: Exports we are probably doing to Western Europe and USA. Mix, I think, B ijay will share between the two geographies. But on an overall basis, if we see , neither Western Europe nor America is growing at the pace at which our exports have grown, which is about 22%, I think, in Q1 at Rs. 233 crores. They are in line.
The tariffs uncertainty is definitely holding back customers from releasing large orders. Hopefully, within this quarter, between now and September, this uncertainty won't sort of be a thing of the past. And then we can expect more aggressive stance from our customers for going ahead with purchasing from India or other countries.
Currently, they are slightly holding back because they don't know what the tariff thing will pan out. But by all discussions with the Chambers of Commerce and general thing, we don't believe that India will be placed at a disadvantage compared to its competing countries. At worst, it could be at par, but we expect that India will be favorably placed compared to the competing countries.
Bijay Agrawal: Our export to U .S. is somewhere between 5.5% to 6%. And rest is all Europe plus other regions there. That is the broader mix. And on the expectation side, again, we have guided we should be doing about 24% to 27% of exports . And for the quarter, it is about 24.5% as of now.

J.S. Gujral: So, in line with our annual budgets and targets.
Uttam Kumar: I will get back in the queue.
Moderator: Next question comes from the line of Pranjal with Morgan Stanley. Please go ahead.
Pranjal: Thanks for taking my question. And I have two questions on the bare board PCB manufacturing that we are fora ying into. One is , if you could add more color in terms of the capability of the tech partner right now that we are dealing with and what is their ballpark mix in terms of the end applications. And number two would be what working capital cycle do we expect in the PCB manufa cturing?
J.S. Gujral: See, as far as the industries to be serviced by us, we would be venturing into multi -layer, double - layer PCBs, and these would find application in industrial, automotive, consumer also. We are currently not venturing into HDI flex PCBs, so mobile phones and all that. We would not be sort of tapping to it in the current phase.
As far as the technology competence of the partner is concerned, it is one of the oldest companies

in Korea , and they have a deep domain expertise of more than 3.5 decades in PCB manufacturing. And if we go to the PCB manufacturing per se , it is the process control, which is the most critical factor. And in process control, it is the inputs, which are the chemicals, the substrates, and other things which go, which have to be of top -class quality with min variation in parameters. Rest, we will be putting a world -class plant with the

latest equipment. And these equipments are very, very rugged.
Once you set the process, it really doesn't change. If you control the process chemicals which go into it, if you control the environment which goes into it, then it becomes a comparatively , I won't call it an easy ride, but comparatively comfortable ride. The inputs and the parameters are more critical and the machines are capable of delivering the desired output. So , I don't see any challenge in meeting these requirements.
And our technical partner, the collaborator, would also give us access to his existing customer logos which he is servicing out of Korea. So, if he is servicing a Company X in Korea, and that Company also has a manufacturing operation in India, we sort of get a door opening, and then we have to only ensure that our process capabilities meet its requirements. So , we are very confident on that, and we don't see a challenge on that.
On the working capital requirement, I will hand it over to Bijay.
Bijay Agrawal: So, working capital side, we expect initially the investment could be in the range of 60 to 75 days of net working capital investment for this business.
Pranjal: That is helpful. And one last question in terms of is there any change in terms of the guidance we would have for our CAPEX for this year and next year in the EMS business?

Bijay Agrawal: In the EMS, yes, the guidance remains same. Full -year CAPEX should be less than Rs. 100 odd crores f or this year.
Pranjal: That's it from my side.
Moderator: Next question comes from the line of Bhavik Mehta with J.P. Morgan . Please go ahead.
Bhavik Mehta: Just one question. If I look at your revenue guidance of 30 %-25% for full year and with consumers slowing down from 36% of share to 30% share, it means that the rest of the business has to really grow at more like 40% and we haven't seen that kind of growth ex-Consumer in 1Q. So, what gives us confidence that we can see the growth accelerating to 40% over the next 3 quarters? Do we have that order book already in the bag from a visibility perspective?
J.S. Gujral: We have confidence based on the order book and the discussions which we have had with our customers. When you recalibrate a strategy, in EMS business, it is not a fast food joint reaction that we dispense in one business, and the next business comes immediately. We have to work on it. And what working we have been doing for the last four quarters on it would start yielding results in the coming quarters. We are very confident of achieving our revenues, especially on the EBITDA margin .
Bijay Agrawal: Also, if you see the order book breakup, which we have already given here , you can see the Auto segment composition in the order book is about 35% plus. While the current Auto segment in the Quarter 1 actual revenue is 24% here. So , you can see we are expecting the Auto sector should grow at a faster pace , definitely. That is the interpretation.
Moderator: Next question comes from the line of Keshav Lahoti with HDFC Securities. Please go ahead.
Keshav Lahoti: Sir, firstly, can you give us some idea how is your current segmental margin, how it was two years back, and possibly what are your plans to take it two years down the line? How do you see the Company shaping up?
J.S. Gujral: See, the segmental margins, as I shared in one of the earlier comments, we have not seen any depreciation in the segmental margins. And the margin profile of each vertical which we service, which is either the automotive, the EV, the industrial export s, med tech, and all that, they are holding. And in fact, they are showing marginal incremental increases because of more efficient buying and operational efficiency. We don't see a challenge in maintaining the gross material margin of each vertica l as they stand today. We expect them to only improve

in the coming quarters and years.
Keshav Lahoti: And s ir, what is the idea of letting go of the low margin consumer business? Is it they are not good ROI business or how should we see ? Or is it more like possibly the demand slowdown is there?

J.S. Gujral: See, it was a conscious call of the management to recalibrate the strategy. And this was based

on various factors. A low -margin business has a positive spin -off on the networking capital. But end of the day, we have to see where we want to position the Company . The growth in the low - margin business was high. But in isolation, it was still a very small pie when we see the consumer business per se as it is available in the market landscape.
The opportunities in industrial, in automotive, med tech, and others were also emerging. And we should always be mindful that none of these verticals got compromised because of the Consumer business.
Consumer business was very low in the earlier part of '23-'24, and then '24-'25. And it skewed the whole thing. So, it is a cautious decision of the management to , in a calibrated way, move away from the low margin business.
And then this low margin business is also dictated, the top line of the low margin business is also dictated by the PLI limits. So, if my PLI limits dictate a certain value of consumer business, I have to limit it to that because above that, it doesn't make sense. Hence, it was a combination of factors.
Keshav Lahoti: What was the smart meter revenue for this quarter? And what is the target for this year?
J.S. Gujral: Just on the smart meters , I will just answer it. I don't have it offhand. I will just get back to you.
Keshav Lahoti: That's it from my side.
Moderator: Next question comes from the line of Keyur Pandya with ICICI Prudential Life Insurance Company Limited. Please go ahead.
Keyur Pandya: Just t he first question is on the revenue growth for FY '2 7. I mean, with just less than Rs. 100 crores of CAPEX this year, how do you see growth in FY '27? I think in the past, you mentioned about 5x kind s of fix ed asset turn, w hich, at current level, basically would suffice to feed your FY '26 growth. So, if you can just reconcile this or give outlook for '27 as well, that would be helpful. That is the first question.
J.S. Gujral: See, I will just answer the first question which was asked by the earlier gentleman. My smart metering revenue for the first quarter is approximately Rs. 55 crores to Rs. 60 crores rupees. And it is in line with what we had expected that it should be anything between Rs. 250 crores to Rs. 300 crores this year, along that. So, that is the figure. Can you please repeat the question?
Keyur Pandya: So, with the current g ross block, which was there in FY '2 5 end and your past guidance of 5x kind of fixed asset turn, you can achieve FY '2 6 revenue. But then with less than Rs. 100 crores of CAPEX , how do you see growth for FY '2 7? You would have enough capacity to feed that growth.

J.S. Gujral: Yes, you see, at the end of the day, we expect that once, even now, if we take current year, some of the plants are working at less than 50% . The new plants which have been commissioned are working at less than 50%, 40% of the capacity. So , we believe that once the plants mature and the businesses flow into the new plants, we should be able to achieve not only this year's revenue, but with some minor investments every year , we should be able to achieve the next year's revenue also.
Keyur Pandya: And what is th e steady -state fixed asset turn?
J.S. Gujral: My replacement and my balancing CAPEX every year would be to the tune of …
Bijay Agrawal: Rs. 80 crores to Rs. 100 odd crores.
J.S. Gujral: Rs. 80 crores to Rs. 100 crores will be my annual CAPEX spend, whether it

is on balancing
equipment, some replacement and all that. So , I think with that, we should be able to. And as all industries mature, as the products mature, the efficiencies would come in.
Bijay Agrawal: Also, when we see 5x asset turn from this year, we will be at around 65% , 70% of the total capacity utilization. So , we have enough space to grow on the same better capacity utilization, the similar CAPEX without any further larger addition here. And the asset turn may move up 6%, 6.5 x plus also, together, at full capacity utilization.
Keyur Pandya: Second question. On the margin side, as you mentioned that order for automobile or industr ial is higher than what is Q1's revenue share. And does that mean that margin should go up in subsequent quarters of the year?
J.S. Gujral: Well, we believe that with what we have achieved in Q1, we would be able to deliver a n EBITDA margin of 8.5% to 9% this year. What we had guided earlier was approximately 8%. So, we are believing that based on our Q1 performance, the order book which we have, and the execution schedules which we have, we should be able to deliver our EBITDA of 8.5% to 9% this year.
Moderator: Next question comes from the line of Arshia Khosla with Nirmal Bang - Institutional Equities . Please go ahead.
Arshia Khosla: Thanks for taking my question. Sir, I just want to understand, I mean, now th at exports form 25% of our top line. So , what will be your guidance for FY '2 6? And any new geographies that are adding on to this gro wth?
J.S. Gujral: So, you said the top -line guidance and the geograph ies which are adding to the growth, are these

two legs of your question?
Arshia Khosla: Sir, on the exports part of the business.

J.S. Gujral: On the export. On the exports , we expect that we should be able to cross the Rs. 1,000 crores mark, which we had earlier guided for FY '2 5. We fell short of it because of delay in release of orders and approvals by the customers. We are on track. We have already achieved Rs. 233 crores exports in the first quarter. And typically, as we progress the quarter, the revenues grow up. And these would primarily be coming in from Western Europe and North America.
Primarily , these two geographies will be contributing to the export bucket of the Company .
Mexico, yes, North America.
Arshia Khosla: And on the IT and Railway s side, part of the business, and in that segment, how are we seeing growth in that part of the business?
J.S. Gujral: See, IT has been a bit muted in Q1. We have the visibility for the remaining nine months, and I think it is in line with what we had guided for the full FY '2 6.
Railways is still a lumpy business. We have done about Rs. 20-odd crores or Rs. 21 crores of railway business. We have orders in hand , and I expect that this year it should be between Rs. 80 crores and Rs. 100 crores of railway business.
And next year, we are in negotiation with some big sort of RFQs. If those material ize, next year should be a better year for railways. You see, these are long -term driven contracts, and the initial approvals take a lot of time, not only with the customer, but with the RDS O and other things.
And RDSO has its own pace to move. So , whether you can make an elephant dance or not, I don't know. But that is the thing. We expect next year to be better.
Moderator: Next question comes from the line of Anupam Goswami with SUD Life. Please go ahead.
Anupam Goswami: Sir, a little follow -up on the previous question. When you say about auto and industrial g rowing at 40%, that sort of order which we have, I want to know , sir, what sort of products are we adding new products? Are we adding new customers in this vertical? And if you can give a little broader picture, where is the market size and how much of we can do in a little longer period of time?
Bijay Agrawal: So

, I will just clarify first on the order book side, when we say auto is about 35 % to 40-odd percent. But industr ial is somewhere in the range of 25 % to 27% as a part of order book.
Now coming to your next question on that, which are the new customers? So , like, customers of product side, we have introduced some, one more very large product like fuel injectin g system.
There are few more customers which like auto side airbag system is also which we are currently exploring.
J.S. Gujral: See, okay, I will just dwell on the segments. Let's take the industrial . Industrial smart metering and utility metering is one segment, which is both domestic and export. Fuel dispensing is another. Large build format for power charging, vehicle charging is another thing. We have got some orders which we are exporting to Africa.

Then we have the large telecom antennas projects, which will start seeing the light of the day in the coming next two quarters, September onwards. On the automotive front, it's addition of new customers and new products from the same customers. And Satendra can add more details on that.
Satendra Singh: I think you covered pretty comprehensively, Gujral ji. But what we are doing is we are going deeper into the automotive supply chain. We are working with our existing customers and focusing on some of the new things which are coming in , things around safety systems, things around driver assistance systems.
So, those are a couple of areas wherein the changes in the regulation are kind of promoting more electronics coming into vehicles . So, working with existing customers on some of these things .
In parallel, we are exploring the export opportunities with some of our customers to Europe and U.S. So , these are the two drivers for growth in automotive. And we are, of course, our industr ial, we are exploring lots of export opportunities, which will take some time to mature , but which should give us a significant fillip in the next financial year.
Anupam Goswami: Sir, also, how much is our ODM content at the moment? And for our capacity, how much of an utilization space -wise or assembly line -wise, how much capacity has been utilized till now?
Satendra Singh: So, ODM is approximately 2% of my total business for this quarter. And capacity utilization is what we are expecting for the full year this year, we will be at around 65 % to 70% of our total gross capacity utilization. That includes the new capacities developed just like Pune plant and maybe incremental Brownfield expansion in my Bawal and Chennai locations , everything put together.

Moderator: Next question comes from the line of Vineet with Investec. Please go ahead.
Vineet: Good morning, sir. Thank you for the opportunity. So, just wanted , sorry to harp on this revenue growth bit again. Now, when we are speaking about 30 %-35% sort of revenue growth, that implies a fairly steep ask for the remainder of the year. And considering consumer business will remain capped at, let's say, 30 %-32% of our revenues , then the ask rate for other segments is even higher. So , what gives you confidence or is it a case wherein we will have to run at full throttle to be able to get there?
J.S. Gujral: See, in the coming quarters, this quarter, the IT has been muted. IT will go up in the remaining 9 months or 8.5-9 months. My Med Tech business is typically rear loaded . That will be an incremental thing to it. And then my exports also.
So, overall, yes, there would be a significant bump from the current whatever thing is to about 38%-40% quarter -on-quarter growth we have to show in the remaining 3 quarters. Based on the orders in hand which Bijay has shared, and the 2 -3 factors which I have just enumerated, the IT, the Med Tech, and some other large contracts which we are executing, we believe we are in

position to achieve the 30% growth rate which we have guided, which means that we have to do approximately, we have done about Rs. 900 odd crores this year.
We have to do about 44,000, 4,100, 3,900 to 4,100 in the remaining 3 quarters, which translates to about Rs. 1,300 crores per quarter on an average basis. It will not be average basis. Based on the holistic things which we have seen, we are confident that we should be there about what we have guided.
Bijay Agrawal: Also, if you see the seasonality, normally Quarter 1 is like 20 %-22% of the full -year revenue there. So , if you are targeting somewhere around Rs. 4,800 crores to Rs. 5,000 crores kind of revenue for the full year , so Quarter 1 is in line with that thing about 20 odd percent. And generally, it is like this 22% moving to 23 %-25% in Quarter 2 and gradually then the revenue moves. And generally, when that is the trend, we have seen that H1 is about 40 %-45% of the full year and H2 is like 50 %-55%. That is what the trend is.
Vineet: And the second question on working capital. Now, while we were expecting some improvement this quarter, which hasn't come through, and now we are honestly back to where we were, let's say, a couple of years back as far as the working capital was concerned. Whi le we had the aspirations of getting it down to 60% at one point in time, now we are speaking about more like 65 days of working capital levels now. So , what has really changed? Is it purely the mix impact wherein the consumer has gone down, wh ich has hurt us here?
Bijay Agrawal: So, first of all, I think we are exactly at the similar level where we were in the previous quarter also. 69 days of working capital where we were at March and right now also we are saying we are at 69 days of working capital. And when we are guided for th e full year, we will be bringing it around 5 to 7 days of residency. That is actually for the full year. It may not reflect exactly in the Quarter 1 or maybe in a proportion if we keep two days every quarter .
That may not happen. And we are very clear on this thing. It is like quarter -on-quarter you can see the benefits here. And we are confident and there is nothing like nothing much has changed. We are confident we should be able to bring it below 65 days. Now how much below 65 ? Can we achieve 60 or 62 or 63? That is something we are yet to see .
J.S. Gujral: And another factor which I think we should all be mindful of is in the sectors which we service. See, consumer sector has a quick turnaround, shorter gestation period. Industrial and all that, when we are building up new customers, new models and all that, we have to stack the inventory. And you can't buy for 10 pieces and make 10 pieces. You have to buy f or a minimum order quantity. And maybe supply the 10, 15, 20, 50 prototype pieces, and then the series production commences later on.
So, quarter -on-quarter , we would love to do it, but it is not possible. But for the year as a whole, based again on whatever visibility we have got of the order executions and all those things, with the same level of inventory, if my revenues go up, and they have gone up in the past, it

automatically comes down as number of days. So , it is a play of absolute figure of inventory, which a minimum has to be carried, and how fast you execute them.
So, when you are executing new orders, they take time. There is a prototyping . There is a, what you call it, the first 10 series. The series production starts two, three months down the line. So , on an overall basis, I think we should be nearer to what we have guided, which is 60 days. In fact, we have guided below 60 days, but I think it should be around 60 days.
Bijay Agrawal: Below 65.

J.S. Gujral: 65, 60 days. I think it is possible. And you will see it in the coming qua

rters.
Moderator: Next question comes from the line of Sonali Salgaonkar with Jefferies India . Please go ahead.
Sonali Salgaonkar: Sir, my question is on CAPEX . You did talk about $90 million of PCB manufacturing CAPEX , of which about 40% you are expecting from state subsidies. Sir, may we check what is the CAPEX guiding for FY '2 6-'27, and how much do you think would the Central government subsidy in terms of PPM also accrue to this subsidy part?
J.S. Gujral: Now, you see the CAPEX, which is $91 million, it is for the Phase -1 of the project which may spread over 3 to 5 years. I personally believe that in the next 12 to 18 months, when we start the plant with a certain capacity, initial capacity, should be about a third of the total, which should be about $30 million to $35 million. Once those capacities go on stream, then we will modularly keep adding additional capacities.
The understanding with the state governments where the policies of various governments are in public domain is that they disburse the incentive once you cross a certain milestone . And typically it is done on an an nualized basis. So , whatever we spend in, say, '25-'26, we may get a subsidy in '26-'27. So , there could be a year, a year -and-a-half lag between the dispensing of the expenditure , expanding of the expenditure and receipt of subsidies from the government.
Bijay Agrawal: On the PLI piece, we expect it will be around 5 % to 7% of the revenue number.
Sonali Salgaonkar: So, what is the effective CAPEX for FY '2 6-'27 outlook?
Bijay Agrawal: So, excluding this PCB, it should be around Rs. 80 crores to Rs. 100 crores . Including this PCB, there will be another $30 million of CAPEX .
Sonali Salgaonkar: Spread over the next two years, right?
Bijay Agrawal: Yes.
Sonali Salgaonkar: And my second question is regarding the exports. Now you did mention that 5 % to 6% goes into the U .S. and the rest into Europe. So , in the U .S., I understand there is tariff uncertainty. But

should the hypothesis be that we will stick to the 26% tariff which has been imposed earlier , do you think it will be a pass -on which will be done from the end -user’s bit? Or do you think that there could be a margin impact for the export business ?
J.S. Gujral: See, on the tariff part, on the tariff part, what you are referring to, end of the day, it is a game of dance. And there are three players who will have to absorb this. It is either the ultimate consumer or my customer or me. There is no fourth player who is going to absorb this tariff cost. These things will pan out and stabilize. And for us to say that it will be impacting only the end consumer and not me or not my customer , it is very difficult to predict.
So, it is a deep negotiation with the customers which will happen, and then it would be there. Bulk of it, in my opinion. Bulk of it, because a tariff will be common to almost all my customers. So, if it is a common factor to all my customers, or customers of my competitors, then, logically, the bulk of the tariff should be passed on to the end consumer. The residual part will be a sort of bone of contention between me and my customer or my competitor and his customer how it turns out.
See, if t he tariff was only unique to me , then, passing it on to the consumer would be tough. But it will be a global, so -called, pan -national America scenario. And I don't think India will be placed at a disadvantage vis-à-vis our competing countries.
Sonali Salgaonkar: So, as of now, the shipments are on track to the U.S., right?
J.S. Gujral: We have grown by 22 -odd percent or whatever. The shipments are on track. The volume could have been even higher. But for this, what you call uncertainty. Satendra, you would like to add anything?
Satendra Singh: I think one thing we need to be aware of , first is our export gr

owth has been good. And we have
guided for a certain number is about Rs. 1,000 crores. So , we see that on track.
Important thing is, given the uncertainty around the tariff situation, we are discussing very closely with our customers. We are working with them with plans to ensure that they are supported. And bas is the current understanding, the tariff, everyone in the industry is expecting it to be either neutral or favorable to India. And that, if it turns out to be favorable, I would expect that it would help us grow our exports even further.
J.S. Gujral: And in fact, we see tariffs as a big opportunity for India, not only for Syrma SGS , but for India to start playing a bigger role in the export markets.
Sonali Salgaonkar: Sir, on the ECMS, apart from PCB, any other category we would be interested or evaluate right now to apply for?
J.S. Gujral: We have not applied for correctly, but there would be some mechanical and non -passive components. But they are small. They would be more for backward integration and all that. They

are not significant in terms of CAPEX requirements. They are not significant in terms of CAPEX requirements and even in terms of revenue. But we may apply for sort of inductors, round components, all that. But they are not game changers for us in this, our scheme of things. Hence, we have not alluded to that in our commentary.
Sonali Salgaonkar: And just one last question from my side. The PCB manufacturing, when do you expect it to start yielding revenues for you? From which quarter? And probably the initial utilization , is it fair to understand , would be sub 20 %-30% in the first year?
J.S. Gujral: See, we expect that trial productions of it could start by Q3 of FY '2 7, which is October to December of Calendar '26. It all depends on when the approvals from the government come in. If the government delays the approvals of the PLI scheme by three months, then obviously the project gets delayed by some more time. Maybe not exactly three months, but it will definitely get pushed out. So , it all depends on , if we were to get the scheme, sort of approvals in, say, 30, 40 days by September, and we were able to get the thing, then we are working backwards and we are working on the drawing board to ensure that we have the production out in Q4 of FY '2 7, which is January to March '27. And we will have a full year of production in '27-'28.
Moderator: Next question comes from the line of Praveen Saha y with PL Capital. Please go ahead.
Praveen Sahay: So, first question is related to the working capital loan which has increased on the sequential basis by around 33%. Is it because of your mix changes towards a higher working capital and that is the reason this working capital loan hasn't increased?
Bijay Agrawal: Yes, gross debt has increased, but if you see simultaneously treasury has also increased. So, net debt basis, there is only an increase of Rs. 50 crores , and that is mainly on account of incremental working capital requirements.
Praveen Sahay: So, the question is, is that going to normalize in the coming quarters or it will be at the elevated level because the mix is changing?
Bijay Agrawal: No, it is like mix is like it is broadly in line what we are expecting there. What we see going forward, we should be able to, this should normalize or maybe this should maybe reduce slightly going forward towards the end of the year.
Praveen Sahay: And the next is the PLI incentive for a quarter , if you can give.
Bijay Agrawal: That is somewhere around , should be in the range of around Rs. 4 crores to Rs. 6 crores.
Moderator: Last question comes from the line of Kishore Kumar with Unif i Capital. Please go ahead.
Kishore Kumar: Sir, my line was cut last time. I am sorry about that. Sir, I just have a small query on the laptop business with MSI and Dynabook . Wh

at is the current monthly or quarterly run rate ? And where do we see the full year revenues actually for this business?

J.S. Gujral: See, on the Dyna laptop, we are just starting the production. It would start this month or maybe in the month of August.
On the MSI thing, we make small quantities currently, which is only for the Indian market. Now, we are in negotiation with the Company that we should also be supplying for the global market. The current revenue projection which we have given, I think with the products which we are making, the Dyna and the MSI, we should be able to achieve the targets for the full year.
On the quantities per se, we are guided by some confidentiality agreements and we can't share the absolute number figures. But based on whatever offtake they have given us , we are confident of achieving our sales guidance in the IT segment for this year.
It could see a significant bump. I again repeat, it could see a significant bump if we were to go back into the manufacturing of motherboards and all that, because that would make us eligible for the PLI. Current laptop assembly is not making us eligible for PLI incentives.
So, we are in talks with the customers. It is a chicken and egg story. The volumes of the Indian market don't justify making of the boards in India. They are yet to sort of take a call on the servicing of export markets from India while the tariff sort of uncertainty settles down. So , that is the holistic view o n the IT business.
Moderator: Next question comes from the line of Rajesh Kothari with AlfAccurate Advisors . Please go ahead.
Rajesh Kothari: Just two questions from my side. You have created a number of subsidiaries. So , just trying to understand which Company basically take what kind of role each of these companies will play. That is number one.
And number two, apart from PCB, are you looking at any other components? Because there are a lot of new things which have happened in the last three months, particularly, for example, on the defense side and within electronics as well, because of this, the China constraints and the rare earth minerals and so on and so forth. So, are you exploring any further options where you

think your competence can match for further Make in India kind of an attempt?
J.S. Gujral: On the number of subsidiaries and then after I assume I think B ijay will answer that. But I will take up your first question , the second question. We are always looking out for opportunities to grow and manufacture. And defense is also one of the opportunities. We are supplying some very small parts to government companies in defense, which is negligible. But we are very actively pursuing to see where we can fit in the whole thing. And defense, unlike other industries, requires a deep domain expertise and a solution or a module to the end user.

So, defense sector plays out in two parts. One is I become an EMS partner to one of the big defense players , and I do a vanilla EMS b uild for him. Whether I become a Boeing or XYZ, any of the defense contractors, I just build products for them. That will be a vanilla EMS.
The real meat and the stickiness of the business lies in providing solutions. So , build up on a module which is available with one of the technology providers and build a solution whether it is a communication solution, whether it is a radar solution, whether it is an ammunition jamming solution, whatever, to the end user, which could be the paramil itary forces, which could be the armed forces, or which could be the defense labs and the defense companies of the government of India.
This vertical is a vertical of interest to us. And as I have always been sharing over the last, maybe, eight quarters, we are mindful of what we will be entering into. And

we are evaluating
this vertical seriously because we believe it serves the twin objectives of Made in India. And it gives us a new vertical business.
Defense business would be a lumpy business. It would not be a regular constant quarter -on-quarter business. You win tenders, you could see a big bump in your revenues and they could be followed by a certain amount of slowness. And then there could be again another tick.
On the companies, I think Bijay will answer that question.
Bijay Agrawal: On the new subsidiary incorporation, we have incorporated two new subsidiaries in the last quarter, which is Syrma Components Private Limited and Syrma Elecomp Private Limited both. Primarily, if you ask about the use, these are something as Mr. Gujral has already explained , we are exploring two of these businesses on the component side . And we are not very much sure whether if somewhere there is some kind of a technology association is required , we may use these subsidiaries to get those tec hnology partnerships executed in a way. That is why these are kind of enabling subsidiaries have been created to be in place. And as we progress on our business strategies, we will use it for the relevant businesses.
Rajesh Kothari: One question, follow -up question. In terms of the total CAPEX , which also, as well, probably, you might also look for maybe M &A acquisitions. I am not too sure the tuck -in acquisitions, whether you are looking for anything actively or not.
So, in terms of the total capital raising, how do you look at this business? Because, one, your organic business is growing fast, and, of course, you might have some working capital requirement. Second, your PCB business, which is a new venture. Third is y our, you know, maybe some tuck -in acquisition in case if you are looking for it. So, what kind of total capital raising you think you might need over next two years or so?
J.S. Gujral: See, details will be answered by Bijay, but on a global, on a sort of holistic basis, we don't believe that we require a capital inclusion for organic business. With the profits which we earn, the cash profits which we earn, and the tighter working capital cycle management, we are well -placed to

fund organic growth from the internal accrual s. And we are almost a zero -debt Company . So, we have the leverage of utilizing that, which is a post-tax expense in any case.
The usage of the fund, whenever it happens, would essentially be for acquisition of verticals that we are not present, and I have been sharing this every time, and for any other Greenfield expansion project. Bijay can then give --
Bijay Agrawal: So, from each side, yes, we already have some internal accruals, treasury already in place with us, Rs. 400 crores plus. But you are right, if we happen to at least close something on a good sizeable kind of inorganic acquisition or something, maybe large CAPEX , just like PCB or anything like that , we may go for a fund raise and that is how we have already taken and have this resolution for this Q IP raise of Rs. 1,000 odd crores . As and when we need, depending upon the fund usage , we will go for those fundrais ing. And accordingly, the exact usage will be decided at that point of time only.
Rajesh Kothari: So, PCB will require fundraising, am I right?
J.S. Gujral: No, you see, at the end of the day, PCBs would require some money when we spend $91 million

over the three to five-year period. The initial expenditure, we said, is about $30 million. $30 million could be funded by our own equity, maybe some individual partner or from fund raise. And then we get back 40 %-50% from the government. So , it is only a bridge financing which is required.

So, it is a thing which we will decide once we start rolling out the plans. But one thing is reasonably clear that fundraise for organic growth may n

ot be required in the coming years. We have enough cash on bank, I think. We are a zero -debt Company , almost a zero -debt Company . And we have internal cash accruals. This coupled with the more efficient working capital management, I think, gives us ample room for organic growth without infusion of external funds.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Gujral for closing comments.

J.S. Gujral: Thank you, ladies and gentlemen, for sparing time and having a very honest and interesting exchange of ideas.

I close with a comment that we in Syrma is clear , the team, and everyone is very confident based on our performance for the last four quarters. And we are very confident that we will continue to grow with superior margins and make India contribute over a little bit of making India a hub for electronics manufacturing.

Exports continue to be one of our focused areas. And other than the mobile companies, we are one of the dominant players in export market of electronics. This coupled with over sort of very

cautious effort on corporate social responsibility, ESG compliance , we are building an organization.

And I am happy to share with you that there is a global platform EcoVadis . And we have been listed. We have gone through the survey and everything. And we have come under the top 35 % companies globally scoring more than 75 percentile points, which means we are among the top 35% global companies which are adhering to the global ESG norms. So, we are very cautious of that. And all of our design efforts and everything is all aimed at designing products with energy conservation in mind.

So, I think exciting time. It's been almost three years since we listed. It has been a good drive. And we are thankful to all the investors for the confidence they have repo sed in us. And we can assure you that the management will leave no stone unturned to make Syrma SGS a great, valuable Company . Thank you.

Moderator: Thank you. On behalf of Nu vama Institutional Equities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2025

Date: November 15,202 5

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex, Bandra
(East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investor Conference held for the un audited Financial Results (Consolidated and Standalone) of the Company for the quarter and half year ended September 30, 2025 .

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find attached the Transcript in respect to the Earning Conference Call on the unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter and half year ended September 30, 2025, held on Tuesday , November 11 , 2025, at 10:30 AM (IST) .

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations/

We request you to take the same on your record .
For Syrma SGS Technology Limited

Bhabagrahi Pradhan
Company Secretary & Compliance Officer
Membership No: F4921
Place : Delhi

ENCL: as above.

"Syrma SGS Technology Limited
Q2 FY '26 Earnings Conference Call"
November 11, 2025

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED

MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD, INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Syrma SGS Technology Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you, ma'am.
Bhoomika Nair: Yes. Thanks. Good morning, everyone. On behalf of DAM Capital, I welcome you to the Q2 FY '26 Earnings Call of Syrma SGS Technology Limited. We have the entire management of the company with us. At this point, I'll hand over the floor to Nikhil Gupta, Head of Investor Relations of Syrma to take the proceedings forward. Over to you, Nikhil.
Nikhil Gupta: Thank you, Bhoomika. Hi, everyone. A very good morning to you all. Welcome to Syrma SGS Second Quarter Financial Year 2026 Earnings Call. We have with us today Mr. J.S. Gujral, Managing Director; Mr. Jayesh Doshi, Director; Mr. Satendra Singh, Chief Executive Officer; and Mr. Bijay Agrawal, Chief Financial Officer, Syrma SGS, to discuss the performance of the company during the second quarter of the financial year 2026, followed by a detailed question -and-answer session.
During this call, certain statements that will be made are forward -looking, which involve several risks, uncertainties, assumptions and other factors that can cause results to differ materially from those in such forward -looking statements. We request you to kindly refer to the disclaimer statements as presented in the earnings release for the same. With this, I now hand over the call to Mr. J.S. Gujral, Managing Director, for his opening remarks on the performance. Thank you.
J. S. Gujral: Good morning, ladies and gentlemen. A very warm welcome to all of you. Q2 has been a quarter full of activities and a lot of positivity. While we achieved record EBITDA, profit margins, turnovers, what was more significant in this quarter is the slew of tie-ups and joint ventures, which we have executed. And I think these joint ventures and tie-ups lay the foundation for the sustained future growth in the years to come.
While the figures for the quarter and the half year will be explained by Bijay in detail, I would like to dwell on the macro level scenario. As we have been always communicating that we would be going in for inorganic expansions in verticals where we were not present, and defense has always been highlighted as one of the verticals where we had a very minimal presence.
Now we are very happy to announce that we have acquired 60% stake in Elcome, which is almost a 50-year-old company was established in '78 and provides navigation, surveillance, communication and such solutions to the armed forces, paramilitary and private sector.
It has a very good reputation in the market and has a top line of about INR200 crores with a

profit EBITDA margin of about 25%, 24%. And we expect that this acquisition would in the coming years show a very good growth and will be margin accretive to the company.
The second tie-up which we made, as we have announced earlier, was a joint venture with Elemaster of Italy. And Elemaster is again a very old company servicing clients across the world and the venture which we are setting up in India would in the initial phase cater to the

demand of the Indian market.
But once sort of we have established our credibility in terms of delivery, quality and other things, it opens up doors for integrating to the global supply chain of Elemaster. This may not

happen in '26-'27, but in the years to come, I think this will form a very substantial base and growth strategy for the Elemaster joint venture.
The PCB project, which we are setting up since our last call, we have got the ECMS approval from the Government of India. We were the first among the 3 companies. And the project has already been approved by the Andhra Pradesh government, and we should be breaking ground for construction in the coming months, somewhere in December. And we hope that by December '26, we should be able to start out our trial production.
The response, the sort of feedback which we have got from the customers on the PCB to say the least has been very, very encouraging. And all major companies are looking at indigenizing their supply chain for the PCB. So we are very confident that going forward, this project and this sort of diversification would help us to not only expand our revenues, but also be margin accretive.
The fourth tie-up which we made was the acquisition of KSolare along with Premier. It's a decade or 15-year-old company into solar inverters has a revenue of about INR300-odd crores. And the solar market is growing. So Syrma and KSolare have tied up to manufacture these inverters. These will be manufactured at our Pune facility and we expect a good revenue traction coming out of this in the coming year.
The product portfolio, which currently is sort of tilted towards the rooftop solar would be diversified to bring in the grid inverters, the microinverters and the like. So we are very confident and gung -ho about this particular venture. So all put in the 4 ventures which we have sort of entered into lay the foundation for a very strong growth trajectory in the years to come.
For the current quarter, we have onboarded 8 major customers, which have a potential of giving revenues of $100 million in the next year. In addition to that, we have now started focusing on long-term framework contracts with the customers. And we have entered into one such contract with one of our major customers, which has the potential of giving a revenue of about $250 million over a 2-, 3-year period.
Going forward, we would be strategizing to sustain this momentum of long-term contracts so that the growth visibility for the future becomes more clearer. We are very, very confident that the results achieved thus far would be sustained in the coming quarters. And next year would see an incremental jump in revenues and EBITDA margins. I now hand over to Bijay to take you through the detailed financials. Thank you.

Bijay Agrawal: Thank you, Mr. Gujral. Good morning, everyone. I'll now quickly take you through the brief summary of financial performance for the quarter and half year ended September 2025.
I can start with the consolidated total revenue. For the half year, we did approximately INR2,109 crores of total revenue. And for the quarter ending September 2025, we did INR1,146 crores of revenue, which is a growth of 37% on a year-on-year basis. This robust growth for the period is contributed by higher growth in auto, industrial and IT segment.
Our export revenue for the quarter is approximately INR270 crores, which is again grown by 40% on a year-on-year basis. And for the half year, it is around INR502 crores, which is again a 35% growth on a year-on-year basis.
Our ODM revenue for the quarter and for th

e half year is around 38%. On the customer
concentration, my top 10 customer contributes here about 56%, 57% of my total revenue and top 20 customers here about 72%. When we see this overall business mix wherein the industrial sector contributed 26% as against 21% in H1 of last year. So it has increased as the business mix here in this current year.
Similarly, auto has also contributed 24% of my total business as against 21% of last year. And consumer sector has contributed around 32% in H1 as anticipated and previously communicated that we will bring it down below 35%. This overall improvement in the business mix has helped in improving the gross margin by about 500 bps in H1 as compared to the similar period of the previous year.
Our gross margin for the quarter is about 23.8% and for the half year it is 24.3% with a healthy expansion of 500 bps here. My operating EBITDA for the quarter stood at healthy around INR116 crores which is a 56% growth on a year-on-year basis and again 10.1% of EBITDA margin, operating EBITDA margin. Similarly for the half year my total overall operating EBITDA is INR211 crores which is again 10.1% of our EBITDA margin and with a growth of 64% on a year on year basis.
Same way when we see PBT for the quarter is around INR90 crores , which is again 7.8% of the PBT margin and for the half year it is INR156.6 crores which is a PBT margin of 7.4%.
Our PAT for the quarter is INR66.3 crores with a PAT margin of 5.7% and for the half year it is around INR116 crores with a PAT margin of 5.5%.

With this when we see the overall order book position as of September end is approximately INR5,800 crores, which comprises maximum from auto segment, which is around 35%. Both consumer segment and industrial segment contributes near about 35% in the order book, open order book currently. Healthcare is about 6% to 7% and balance is from IT and railway sector.
Coming to our networking capital as of September end my overall networking capital days is around 73 days which is 4 days higher on a year-on-year basis. We again continue to make efforts to bring it down to below 65 days and we are confident of bringing down by another 5 to 7 days in next 2 to 3 quarters.
Moving to our debt and treasury position, we have a total gross debt of around INR282 crores

as on September 9. And on treasury we hold a healthy balance of around INR758 crores as of September 8. With this we have a net cash position of INR477 crores.
Coming to operating cash flow. My operating cash flow for the half year is negative INR115 crores, and this is mainly because of incremental investment into the working capital. We are carrying higher inventory by almost INR100 crores, mainly because of anticipation of supply chain constraints around rare earth and some bit of volume push out related to the U.S. tariffs, which we see gradually in the second half, we should be able to liquidate the same quickly.
With this, we are confident of achieving a positive cash flow of around 25% to 30% for the full year as targeted and communicated previously.
Coming to capex for the half year, we had spent around INR45 crores during the H1 of this year, and we expect to invest around INR60 crores to INR100 crores, including my investments towards the PCB business also in the balance of the year. My asset term currently is about 5.3x and the ROCE for the period is approximately 15% when we adjusted for the goodwill and surplus IPO money, which we have recently raised.
Coming to the acquisition of Elcome and Navicom together with Mr. Gujral has already explained, we expect

this to be consolidated in our overall financials in Q4. That's what we are targeting. The company together with Navicom is currently doing about INR205 crores of revenue with a healthy EBITDA margin of 25%, 26% and PAT margin of near about 15%.
With this, we continue to focus on high-margin business verticals, expanding our portfolio base, improving our operational efficiencies and the overall cash flow improvement thereby.
Thank you very much. And now I hand over to Mr. Satendra, our CEO, to take on the business strategy side.
Satendra Singh: Thank you, Bijay, and thank you, Mr. Gujral. As always, I'd like to start my remarks by thanking the customers whose trust over decades has brought us here, and we would continue to do everything in our part to continue to delight them over the next decade.
We had a stellar quarter with organic growth of 37% and almost 53% growth in EBITDA, in addition to the inorganic moves, which Mr. Gujral already alluded to. This is possible only with the wholehearted support and efforts of all our team of almost 10,000 colleagues in the plant and the offices. So I would definitely like to thank them once again for all their efforts to delight our customers and the investors as well.
There are 3 elements of excellence: people, strategy and execution. We continue to focus on all of them and which is what is resulting into the results, which we reported just now. On people side, we continue to augment the leadership capabilities, and we brought in a new leader on the digital and information systems. Strategy remains unchanged, and we have always said that we will focus on certain strategic segment.
We will look at growth across geographies, and we'll continue to build capability for the future.
I'm encouraged with the results which we reported today and very excited and very optimistic about Syrma SGS as a family here as well as the wider electronics industry. Thank you very much, and I'll turn it over to Nikhil to take it forward.

Nikhil Gupta: Thank you, Satendra. Operator, back to you. We can get into the Q&A session. Thank you.
Moderator: Thank you very much. The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: So a couple of questions. Firstly, given how 2Q or, let's say, 1H has panned out, are we sticking to the 30% to 35% revenue guidance from an organic perspective for the full year? And also if you can update your EBITDA margin guidance given that we have done extremely well in the first half?

Bijay Agrawal: Bhavik, I request if you can repeat your question. I think there was some problem in your voice.
Bhavik Mehta: The question was that given how 1H has panned out so far, are we sticking to the 30% to 35% top line guidance for FY '26? And also if you can update the EBITDA margin guide given 1H has been extremely strong?
J. S. Gujral: Okay. See, on the turnover, we stand by 30% approximately growth esimates , give or take a couple of percentage points here or there. On EBITDA, we had guided 8.5% to 9% and seeing the performance for the first half year, which is now 10%, we are very confident that we'll be able to exceed the guidance which we had shared with the Street last quarter. Whether it is 9.5%, 9.4%, 9.6%, I think that we'll leave it at that, but we'll be positive giving EBITDA north of what we had guided last quarter for the full year as a whole.
Bhavik Mehta: Okay. Got it. That's helpful. The second question is on the ECMS approval since you have received now. How should we think about the capex outlay of INR8.5 billion over the

next 12
months? Is it something which will start right away? Or will it be coming over phases over the next 12 to 18 months?
J. S. Gujral: Okay. No, we got the ECMS approval. We were in the first place and the plans are on target. So the land has now been allotted to us. So the formalities of getting the land registered are being done. Architects have already been finalized. Tenders for civil and building and other things are being floated or have been floated in some cases. And we expect to break the ground for construction sometime next month.
The moment the property is registered and rolling, that takes about a week, 10 days, that's the government process. But the plans are on track from all sites, we are all ready and the layouts have been finalized, the machine vendors are being finalized. So these things will go on parallelly. And we are confident that we would be able to stick to the deadline of starting trial production somewhere around December '26 or fourth quarter of '26-'27. So there is no change on that.
Moderator: The next question is from the line of Sameet Sinha from Macquarie.
Sameet Sinha: A couple of questions here. So we're just talking about revenue increase sequentially, but gross margin declined. So my guess is some sort of a mix issue or something did not -- one of the high-margin verticals did not go as per plan. If you can address that? Then also talk about kind

of EBITDA margin increased sequentially. Is there -- you obviously saw some operating leverage. Was there anything onetime there? Or is that sustainable? And then I have a couple of follow -up questions.
Bijay Agrawal: So if you are sequentially comparing Q2 gross margin versus Q1 gross margin, there is a slight difference, but that is because of the business mix because in Q2, IT business has taken a larger portion near about 5% of my total business in Q2 . That is where we see there is a slight bit of mix change and some impact on the overall gross margin. But overall EBITDA margin -wise because that comes at a very low cost on the low operating cost. So that is why overall EBITDA margin further remains same Q1 versus Q2.
J. S. Gujral: Sameet, on annualized basis, we sort of -- there could be marginal variations quarter -on-quarter. And as we always been saying that we don't look at businesses on quarter -on- versus rather than yearly and long term, we are very confident that what we have guided, we'll be able to deliver a performance better than that.
Sameet Sinha: Got it. The second question is regarding these long-term contracts that you're signing. Do you have to provide some sort of incentives for these customers to get into these long-term contracts, maybe heavier discounting? I mean it's obviously important to have long-term visibility, which is at least we would love. But I just wanted to kind of get a thought -- your thoughts there. Secondly, you mentioned some sort of deferments because of tariffs. If you can clarify that as well.
J. S. Gujral: See, there are no discount for things to be given on the long-term framework contracts. It's just that we have to build up capacity, we have to commit capacity. So with big customers, it's a mutual 2-way fee. When we -- when we commit capacity, the capital we would like to have a commitment from their side on what businesses they would give to us. So it's not linked to any discount.
On the tariff part, I think the last ball is yet to be born. There is still a lot of confusion, lack of clarity, and that has impacted us slightly decision -making and taking only need -based supply. But I think fro

m whatever we hear in the press for whatever it is worth, I think the worst is behind us and in the coming few weeks or a month or so, I'm confident before Christmas, we

should have a deal on the table. And I think that will help us to strategize for the future growth.
As we have communicated, U.S.A. accounts for about 5%, 6% of my total revenue, the exports to U.S.A. in the current year. But on the longer sort of time frame, U.S.A. would be a key player, which would help us increase our export presence. And I think once the clarity of the tariff emerges, we have more clarity on our future plans, which is next year and the year beyond.

Moderator: The next question is from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: A couple of questions. One, in Q2, we've seen the slowdown on the industrial segment sales to I think about 9%, 10%. If you could just help us understand what's driving that slowdown? And more importantly, how do you see sales for the full year?

J. S. Gujral: Again, we don't -- we are mindful of Q-on-Q things. But sort of on an annualized basis, we are very confident on our industrial portfolio and which has grown very decently in the half year, about 30% in the half year and which is, I think, a robust growth despite the Ame rican tariffs and other things.
So we believe that industrial portfolio would continue to be a mainstay of growth and profitability. And the contracts which I was alluding to that we had entered the orders which we have got from some new customers, they are spread across industrial vertical also in the power management, power distribution and the like. We don't look at quarter -on-quarter. We are mindful, but strategy is based on the long term.

Ankur Sharma: Okay. So we're broadly on track for the full year. Okay. And similarly, on the IT, railways segment, we've seen a very strong growth, I think, this quarter, I think about INR160-odd crores of sales. Is there something -- is there some orders that are now getting executed? Can we expect this quarterly run rate to sustain? Just some color there, please?

J. S. Gujral: See, the IT products are essentially laptops and other things. So one of the major clients with which we have tied up, it has shown a very good growth in the last 6 months, and we expect that the growth would continue, whether it's at the same pace, but we believe that IT would continue to grow at a decent pace and with onboarding of another client Dynabook, I think we get a broader base for additional customer to grow the revenue.

Ankur Sharma: Got it. Okay. And just one last one on this acquisition that we've done and you announced on Elcome. If you could just spend maybe a minute what does it bring to the table for you on the defense electronics side? How do you see this business kind of shaping up over the next 2, 3 years? What are the synergies you're talking about? Just if you could spend some time on this, please?

J. S. Gujral: I think we have all the time been sharing with the Street that defense is one of our priority areas for growth where we had a minimal presence. And in defense approvals and other things take a long time. It is a long gestation period. So we had sort of indicated to the Street that we would be going in for an inorganic route to enter the defense sector.
Now this company is almost a 5-decade old company established in '78. So it's about 47 years old company and has been in this business and is supplying navigation, communication, display, surveillance, safety, helideck monitoring, alarm monitoring, a lot of solutions to the armed forces,

especially Navy and paramilitary forces.
So again, we sort of get a platform on which to build the business. Defense business by nature is lumpy. So it is sort of loaded always towards the second half of the year. But we believe and we are confident that we would be able to grow this business from the current level of about INR200 crores to maybe INR300 crores, INR350 crores in the years to come.
And these businesses are compatibly higher -margin business with a higher sort of working capital cycle also. So these 2 go in tandem. So I think we are very excited about this acquisition and it gives us an opportunity to add in other portfolio and skill set as we go along to widen the product offerings to the defense forces.

Ankur Sharma: Got it. Okay. And if I may just squeeze in one more on this long-term agreements, you said these could add close to $250 million, $300 million over 2, 3 years on top line. I don't know if it's too early for the '27 kind of guidance, but can we expect a higher growth rate than the 30% we've been guiding for '26 with these long-term agreements kind of coming through? Is that how directionally we should be thinking about it?

J. S. Gujral: I think based on whatever figures we have got today and the budgets and the things for the next year are being finalized, we are very confident that we should be able to give a better growth trajectory in the coming years starting '26-'27 under normal circumstances and the tariff condition gets sort of clarified and all those things. We are confident that the growth rate would be of a higher trajectory than what we would achieve in '25-'26.

Moderator: The next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, congratulations on the good set of numbers. Sir, my first question on the -- if you can give us a little picture on the x of acquisition, Syrma, where does the growth lies in which segment? And what are the TAM are we looking for and the growth avenues for Syrma itself apart from the acquisitions that we have done?

J. S. Gujral: Okay. You see about defense acquisition is a new vertical. PCB is a backward integration and new vertical. Elemaster is into railway, so it's part and parcel of our existing portfolio and so is the renewable energy. Now if I were to only talk of excluding the defense and the PCB venture, we still believe that we are in a position to deliver superior growth in the coming years than what we have achieved this year thus far.

I hope that clarifies the thing. And this would primarily be driven by industrial, automotive, including EV, renewable, the solar business would grow. It would add a decent amount of top line. It's a competitive landscape and a decent margin. Exports would continue to be the cornerstone for our growth in the coming years. Long -term sustenance of any EMS company cannot come without exports. And we are well positioned to cater to this market.

And in the first half of the year, our exports have grown by almost like 36%. And we are -- by and large, we have already achieved about INR500-plus crores of exports, and we have guided about INR1,000 crores of exports in the current year. We are on track to achieve that. The defense and the PCB, the defense revenues will kick in, in '27-'28 -- '26-'27, sorry. The PCB revenues would kick in in '27-'28. So whatever guidance we are giving today of a superior growth rate is without defense and without PCB.

Anupam Goswami: Right, sir. Sir, you mentioned about auto and industrial segment to take a lead in our growth. Where do you see the growth coming from in terms

of the pipeline of new customers or new products? How is that pipeline shaping up and inquiries?

J. S. Gujral: See, automotive growth would come in from the automotive sector, including the EV as the adoption of EV becomes bigger, the per unit electronic content in EV is bigger and that would increase the pie of the business available. In industrial segment, the growth would come in from the metering with a lot of data centers coming into the country, the requirement of power management unit, power electronics and the contracts, which I was referring to essentially

cater to both requirements.

Bijay Agrawal: Yes. In addition, I think industrial is a segment which we are addressing not only for India, but also for outside India customers. So some of the global customers, one Mr. Gujral referred to today, and there are more in the works are for global requirements. So our growth in industrial will come across geographies.

And automotive growth will have 2 pieces. One is EV, which Mr. Gujral already spoke. And second is the holistic growth on the electronics content in the traditional vehicles as well. So there are new things which are being added like safety systems or ad hoc requirements. So those are going to fuel the growth of electronics absorption into automotive -- traditional automotive vehicles as well.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund.

Naushad Chaudhary: I have few clarifications. First, if you can quantify what was the PLI incentives...

J. S. Gujral: Your voice is not clear, sir. Can you speak a bit loudly? Your voice is not clear.

Naushad Chaudhary: First, I wanted to check if you can quantify what was the PLI incentive we booked in this quarter and what was -- and for the same quarter last year?

J. S. Gujral: Okay. Bijay?

Bijay Agrawal: So PLI is something which is part of normal income telecom business and is what we are accruing here. For the financial year, generally, we have already guided it should be in the range of around INR20 crores to INR25 crores on net basis . And quarter specific numbers, we are yet to check what is exactly there in that.

J. S. Gujral: But it's in line with the revenue. You see we had guided our consumer revenue, for example, that it will come down. So the consumer revenue of the PLI denominated business would be almost the same as the last year. And so we have guided about INR24 crores, INR25 crores of PLI income on an annualized basis. This is what was there last year on an annualized basis..

Naushad Chaudhary: And should it be equally spread in all 4 quarters more or less? Or should there be a lumpiness?

J. S. Gujral: It could be margin again, quarter -on-quarter basis, if my consumer business picks up, for example, in the first quarter of last year, it was 54%. So it will be there, but I now believe we

have passed that bump. So it should be by and large. I'm not saying it will be secular, but by and large, it should be evenly spread over the 4 quarters, by and large.
Naushad Chaudhary: And how much revenue we booked from smart meters in this quarter?
Moderator: Ladies and gentlemen, we have the management back on line with us. Sir, you may proceed.
Naushad Chaudhary: I was asking on smart meter, how much revenue we did in this quarter?
J. S. Gujral: Just hold-on. I think Bijay will pull out the details, but I think we did about 4 million units of

smart metering.
Bijay Agrawal: We did approximately INR50 crores in this quarter.
Naushad Chaudhary:

Okay. If I remember it correctly, we had a target of roughly INR250 crores to INR300 crores from this piece of segment. Are we on track to achieve our full year guidance on smart meter?
Bijay Agrawal: We are on full track. These are quarter -on-quarter variations would always be there. So broadly, we are targeting near about INR300 crores plus from the smart metering business. That's where we are already there on that track. We have also onboarded one more new customer, large customer on the smart metering side. The respective revenue from that customer should now reflect in the H2 also additionally.
Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaonkar A big congratulations for the team for all-round beat. Sir, my question is on the PCB manufacturing. I know Gujral, sir has talked a lot about the timelines and the capex , et cetera. But just on the revenue front, should we assume sort of a 1x asset turnover to the capex ? And what would be the kind of steady -state annual revenues that you expect from PCB manufacturing to accrue to your overall P&L from FY '29 onwards?
J. S. Gujral: See, PCB industry typically works at 1, 1.2 of the gross fixed assets, 1.5 max-max. So if we are targeting an investment of about INR1,500 crores , so the max revenues, which we can expect from the business would be INR2,500 crores.
Sonali Salgaonkar Understood. Sir, and sort of -- I know it's a bit too early, but from the point of view of usage of your production, would you be targeting customers domestically or to the exports? And sort of which segment will you be targeting on?
J. S. Gujral: Okay. See, this is something very, very exciting for us and the number of calls which our teams have been receiving from big companies in India who want to indigenize their supply chain of the PCB. And I'm talking of big multibillion -dollar groups who are showing interest that when is the plant going on stream. And these groups have usage in automotive, industrial, health care all around.
So in the short term, the way we are planning is that we would be catering to the domestic market. And it has a certain time approval, the process approval, the product approvals take place. But going forward, when I say going forward is beyond '28, we would be looking at the export markets also. The usage would be automotive, consumer, industrial, med tech, telecom.
Sonali Salgaonkar Got it, sir. Very clear. And just one last question. You mentioned total capex of about INR1,500 crores, that's INR15 billion. Of this, I think FY '26, we are expecting not more than INR2,000 million, that's INR200 crores. How should we look at the capex over the coming years, say, FY '27 or '28?
J. S. Gujral: Bijay will deal in detail on this.
Bijay Agrawal: So FY '26 may not be INR200 crores only for PCB, it will be even much lesser. Maybe the

capex is slightly loaded in FY '27. So what we are anticipating between FY '26, '27, '28 together is what we would be spending around INR700 crores to INR800 crores together.
Moderator: The next question is from the line of Praveen from PL Capital.
Praveen Sahay: Sir, my first question is related to receivables. In this quarter or in the first half, if I look at, your receivable has increased significantly. So will that going forward in a year going to normalize?
J. S. Gujral: See, I wish everything would be normal in all the quarters. But on an annualized basis, that was on a lighter vein. This is a work in progress. So clearly, we have sort of exceeded the target what we had set to ourselves for working

capital allocation or utilization. We are very confident that by the year-end, as Bijay had alluded in his commentary that we would be able to bring down the net working capital to below 65 days and receivables are a big chunk of that.

So we are very confident in all these are big companies and you can see if a INR200 crores payment gets delayed by 5 days, your month -end thing goes on a top. But on an overall basis, I think we are on track. This is a work in progress. We should be able to come down to the levels which we had indicated of 65 or below 65 days in the net working capital.
Bijay Agrawal: Also, receivables and payables are going in tandem together. So there is an increase in receivables and simultaneously parallel increase in payable also. We are working on the overall net working capital basis to reduce it to the targeted level. That's what we are confident of bringing it down towards the year-end.
Praveen Sahay: Okay. Next question is related to the acquisition and especially the Elcome, where we had seen that last 3 years, the CAGR has been more than 20%. So do you see this business to grow more than that way forward? How your estimate is?
J. S. Gujral: If we see the defense sector, it has really picked up steam only in the last 2, 3 years. Before that, it used to have bumpy ride. We are very confident that we should be able to maintain the growth rate or slightly increase on it. And in the next 2 to 3 years, we should be able to do about 350?
Bijay Agrawal: Yes. Additionally, with Syrma's synergy here together, we can even now target large -sized projects, tenders together with a partnership. So that's where we see the growth will be much steeper here onwards.
Praveen Sahay: Okay. Okay. And last clarification on the order book. As you had mentioned about the major customer of $100 million order or one large contract, is any of them are a part of your order book right now?
J. S. Gujral: See, the framework contracts, which we talk of are not part of the order book. They are general next 2 to 3 years. We talk of order book, what we receive the orders and the delivery schedules from the customers. So these long-term contracts would reflect in the coming quarters as of 30th September because one of the contracts was entered into a year after the close of the year. After the close of the period, sorry. Quarter.

Moderator: The next question is from the line of Veenit from Investec.
Veenit: Just continuing the question of the previous participant. Our working capital and within working capital, if I were to break it down, receivables have increased quite sharply, maybe 80% year-over-year versus 40% growth we've had in revenues. So what specifically led to such a high jump in receivables in particular?
J. S. Gujral: Obviously, the collections have lagged the sort of sales. And to me, internally and to me personally, managing receivables is comparatively the easier part of the working capital cycle management than managing inventories. So some sense of satisfaction in an otherwise sort of working capital sort of abnormality or thing, we have been able to control the inventories well and the task is cut out to control the receivables. And I'm very confident that when we meet somewhere in January or whatever when we announce the Q3 results, you will see a significant change in the receivables position. Yes, Bijay.
Bijay Agrawal: Also additionally, whatever businesses we do on a job work basis, so that is not fully reflecting into the revenues because the net job work amount or maybe net value addition is what is reflecting into th

e revenues. But the related full value receivables and payables are reflect ing into the receivables and payables. That is also another point which is showing as an increase on a year-to-year basis here.
J. S. Gujral: So more than the amount, we stick to the guidance that we'll be able to bring our net working capital to between 60 and 65 days. 60 is the desired state, but it would be anything between 60 and 65 days of the revenues. To me, that is more important than the absolute amount.
Veenit: Okay. So is the understanding correct, the IT business, which we are doing now is more on job book basis, which is driving, wherein the accounting is such that which is leading to higher receivables and only job work -related revenues are getting recorded in the P&L?
Bijay Agrawal: No, it is not related to IT business. With few of the select customers, wherever we are doing it. And maybe accounting that says wherein the receivable payables are there to the account of customers. That's how we are accounting it for. So in those cases, receivables and payables are both are reflecting at the full value on the balance sheet, but the revenues are reflecting on a net value basis.
Veenit: Understood. Understood. My second question is on the KSolare bit. If you can give some idea about what proportion of their current revenues is coming from inverters. Solar rooftop is what I understand, a larger proportion where we cannot contribute much as of now. And only when inverters revenue pick up, that's where we'll contribute. So what is their proportion of inverter revenues as of today? And will the entire inverter sales, which they'll do be manufactured by us and will be reflected in our top line?

J. S. Gujral: KSolare has been acquired 51% by Premier and 49% by Syrma SGS. So the consolidation will happen at the Premier end and not at the Syrma end. KSolare is manufacturing inverters, primarily rooftop and have capability of manufacturing other types of inverters also. So what we will be doing is manufacturing the entire module and assembly of inverter and then billing it from KSolare directly to the customers. So to my books, the accretion will be on the module

assembly, which will be done in Syrma SGS.

Veenit: Okay. So module assembly and inverter assembly related will be in our book s or it will be directly from KSolare books to customers?

J. S. Gujral: KSolare books to customers.

Veenit: Okay. So we won't get any benefit on revenues. It will be a single line consolidation as far as KSolare is concerned?

J. S. Gujral: We would get the benefit of value addition on the modules which we make in Syrma SGS. The revenues -- inverter revenues will be accounted for in KSolare box.

Bijay Agrawal: So the EMS, whatever is going for inverters is what will be there as a revenue in Syrma books.

Moderator: The next question is from the line of Santhosh from Avendus Spark.

Santhosh: Sir, your margins have remained quite resilient this quarter despite the overall revenue mix shifting towards some low-margin businesses. So could you elaborate on what is driving this resilient margins? Is there any underlying efficiency or cost factors at play?

J. S. Gujral: The margins are, by and large, again, we don't look at margins quarter -on-quarter because if the product mix changes, the margins for a particular quarter would take a sort of positive or negative variation. Once my business has now stabilized with almost all the verticals being at the levels at which they were budgeted to be, I personally don't see any significant variation in the gross material margins

going forward.

When my health care and exports pick up, there would be an uptick in the margins. So my gross material margins continue to be hovering around 24%, 24%.. And therefore when the consumer was very high, they were at about 15%, 16%. So the consumer business having normalized, I think it will be around 23% to 25%, 24% to 25%, 26%. That would be the range of the gross material margin.

Santhosh: And my second question is with the recent acquisitions and ongoing expansions, how are you thinking about scaling up your workforce? Should we expect to see some meaningful ramp -up in employee costs going forward?

J. S. Gujral: See, the projects which are stand -alone, the PCB project would have its own workforce. So obviously, the cost will be absorbed by the PCB project. And on the EMS front, whatever growth we do, my direct cost of -- sort of direct manufacturing cost would go up. The corporate cost, the indirect salaries would, by and large, having now staffed almost all our positions except 1 or 2, I don't think there will be a significant increase in that. It will be the normal increase in salary cost year-on-year. The direct manufacturing cost as the turnover ramps up would go in tandem.

Moderator: The next question is from the line Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Congrats on a great set of numbers. Sir, quickly on the JV with Shinhyup, which you have

signed for PCBs, wanted some clarity on the HDI side because as far as my understanding goes, Shinhyup doesn't have much capability on HDI side, but what are your thoughts on that? Do they manufacture HDIs or it's only multilayer as of now?

J. S. Gujral: They manufacture multilayers and HDIs also. So HDIs will be starting to manufacture '27-'28 onwards. And we have the technology, and I don't see a challenge in that.

Vipraw Srivastava: Right, sir. And yet to receive approval for that, right? In coming months we'll receive approval for HDI also, right?

J. S. Gujral: We have applied for it. That's a separate set of applications because the multilayer PCB that only the PLI, no capex incentive. The HDI and other things have a capex incentive. So that set of applications is always already with the government. So I think we'll see the approval of that in coming days. And our objective is very clear to cater to the high-volume market of multilayer PCBs, which is about 70% to 80% of the total PCB demand.

Vipraw Srivastava: Right. Fair enough, sir. And sir, lastly, on the HDI side only, currently, in India, obviously, HDIs are mainly used for smartphones and automotive, which are relatively more complex to manufacture. So do we have plans? Are we looking to onboard HDIs and their clients? And

secondly, also on the CCL side, what are the plans on that? We have read online that Syrma also wants to do CCL. So do we have a client there? How are we trying to do CCL?
J. S. Gujral: See, on the CCL, we are planning to put up a plant of CCL in the second phase. And it would be obviously -- when I'm putting up a 2.5 million square meter capacity for the PCBs. So that is a captive consumption, which I'll be doing. In addition to that, I will be servicing the other PCB companies in the country.
Moderator: The next question is from the line Keshav Lahoti HDFC Securities.
Keshav Lahoti: Sir, on the PCB project front, as you highlighted, the first phase would be INR800 crores capex . How about the second phase? When should we expect that to start? And secondly, how are the incentives on the state and central government and how -- what lag they will flow in?
J. S.

Gujral: See, the state capital incentives of 50% of the amount spent, in the Phase 1, we will be spending approximately immediately INR40-odd million and then INR90-odd million in total, which would cover my multilayer line. The next INR800-odd crores will be spent on CCL and HDI.
The state incentives work on an annualized basis.
So whatever I spend after I have spent, I get it approved and will be given in the subsequent year. So I believe that the state capital incentives should come back to us in the financial year '27-'28 for the amount spent between now and March '27.
Keshav Lahoti: Okay. Got it. And when you plan to spend the balance INR800 crores for the Phase 2, any thoughts right now on that?
J. S. Gujral: See, that Phase 2 would start somewhere towards end of '27, which will be the CCL part, followed by the HDI part. On the multilayer line, we are putting up multilayer line, which has

a capacity of approximately 700,000 square meters per annum. The building and the facilities and the utilities are being put up for the complete 3 potential lines, which we'll be putting up. The moment my first multilayer line gets used to the extent of 50%, 60%, 70% is the time when we'll trigger the installation of the second. And when the second gets utilization to that extent, we'll trigger the installation of the third. So purely dependent upon demand, how would pace out the capex .
Keshav Lahoti: Understood. That is helpful. And central incentive would be 5% of the revenue for 6 years, right?
Bijay Agrawal: Yes, between 4% to 10% depending upon different layers. But yes, average would be somewhere around 5% to 6% what we are expecting.
Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Gujral for closing comments.
J. S. Gujral: Thank you, ladies and gentlemen, for sparing time for the Q2 earnings call of Syrma SGS. To sum up, I think we have never been so gung -ho about the business with the government policies in support and the state vying for attracting investments. I think the EMS industry is entering the second phase. The first phase was establishing itself. So I think going forward in the coming years, the electronic manufacturing industry would be one of the pillars of the growth of India. And we are fortunate, Syrma SGS is fortunate to be present at that cusp of time when this is seeing a huge demand. We are very, very confident of growth with profitability, with sustainability and social responsibility. And export would be one of the key sort of cornerstones of our growth in the coming years. They have been thus far. We do about 25% of our revenues from exports. But the endeavor is to widen this base and grow this bucket even further.
Moderator: Thank you. On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
J. S. Gujral: Thank you, everyone. Thank you.

Call: Feb 2026

Date: February 0 3, 202 6

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex, Bandra
(East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investor Conference held for the un audited Financial Results (Consolidated and Standalone) of the Company for the quarter and nine months ended December 31, 2025 .

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find attached the Transcript in respect to the Earning Conference Call on the unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter and nine months ended December 31, 2025, held on Friday , January 30 , 202 6, at 10:30 AM (IST) .

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations/

We request you to take the same on your record .
For Syrma SGS Technology Limited

Bhabagrahi Pradhan
Company Secretary & Compliance Officer
Membership No: F4921
Place : Gurgaon

ENCL: as above.

"Syrma SGS Technology Limited
Q3 FY '26 Earnings Conference Call"
January 30, 2026

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED
M R. JAYESH DOSHI – DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED

M R. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
M R. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
M R. NIKHIL GUPTA – HEAD INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. NIKHIL KANDOI -- AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Syrma SGS Q3 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kandoi from Axis Capital Limited. Thank you, and over to you, sir.

Nikhil Kandoi: Thank you, Iqra. Good morning, everyone. On behalf of Axis, I welcome you all to Q3 FY '26 earnings con call of Syrma SGS Technology Limited. We have with us the entire management of the company.

At this time, I will hand over the floor to Mr. Nikhil Gupta, Head of Investor Relations of Syrma to take the proceeding forward. Thank you.

Nikhil Gupta: Yes. Thank you, Nikhil. A very good morning to everyone. Welcome to Syrma SGS Third Quarter Financial Year 2026 Earnings Call. We have with us today, Mr. J. S. Gujral, Managing Director; Mr. Jayesh Doshi, Director; Mr. Satendra Singh, Chief Executive Officer; and Mr. Bijay Agrawal, Chief Financial Officer, Syrma SGS to discuss the performance of the company during the third quarter of the financial year 2026 followed by detailed question and answer session.

Kindly note during this call, certain statements that we make are forward-looking, which involve several risks, uncertainties, assumptions and other factors that can cause results to differ materially from those in such forward-looking statements. We request you to kindly refer to the disclaimer statements as presented in the earnings release for the same.

With this, I now hand over the call to Mr. J.S. Gujral, Managing Director, for his opening remarks on the performance. Thank you.

J.S. Gujral: Thank you, Nikhil. Ladies and gentlemen, a very good morning, and welcome to Syrma SGS Q3 FY '26 Earnings Call. The last 3 months have been good and exciting. And I'm happy to share that the company has posted robust performance on all parameters.

If we look at the sales, my Q3 sales have gone up by 45% compared to last Q3 of FY '25. EBITDA has shown a very healthy growth of 101%, up from INR79 crores to INR159 crores. PBT and PAT have also registered corresponding good growth of about 108%. One of the important features of this quarter was a 66% growth in my exports, up from INR202 crores to INR335 crores between Q3 FY '25 and Q3 FY '26.

So, if I sort of scan the 9-month performance, again, we find that the performance is in line with what we had guided and in fact, better on some of the parameters. We have achieved in 9 months revenue of about INR3,350-odd crores with operating EBITDA of INR370 crores, up from INR208 crores; a PBT of INR295 crores, up from INR146 crores; a PAT of INR227 crores, up from INR113 crores; and export up by 45% from INR576 crores to INR837 crores.

Going into some of our bit granular detail, what is satisfying and gives us confidence of maintaining this tempo of performance is almost a secular growth across all verticals -- all the sort of 4 cylinders of firing, the auto has grown by a robust margin of growth of 30%, med-tech by 31%, industrial by 29%, IT/railways because the base was very low, it has shown a robust performance of 70% growth.

So, this gives us the confidence that going forward, we would be able to achieve the guided figures and maybe exceed on the margin front. When we started off this year, we had guided a margin of 8%, EBITDA margin of 8%, which was revised to 9%.

And now we are confident that we should be able to deliver INR500 crores plus of EBITDA, up from INR324 crores of last year, which would trans

late into a 55%, 57% growth against a
targeted growth of 30%, which we had guided.
Going forward, in the coming year, we believe that we are well poised to take sort of capitalize on the emerging opportunities and grow healthy growth rate across all verticals, such that we would be able to deliver a 30% growth rate in the coming year also.
One of factors which we should keep in mind is that this performance has been under sort of the so-called cloud of tariff uncertainties from USA. We have been hoping for the last quarter on 4, 5 months that it would settle. We are still very hopeful that in this quarter, this sort of thing that the tariff uncertainty should be out of our way. When I say over, it also applies to the entire industry.
One very positive thing which has happened a couple of days back is the signing of the EU -- FTA with the EU Union. And this -- in the long run, not in the short run, not maybe in '26, '27, but in the long run, I think it bodes very well for the electronic industry in 2 ways. Some of the end equipment's, which were attracting duties, have been rationalized or brought down to zero or very low duties, which would enable export of end products from India, automobile as a case.
Now if automobiles are exported, the electronics which go into the automobiles, we are there to service that. And for us, it creates a broad ecosystem and an environment, a positive environment that going forward, the trade with EU would see a uprise.
We are very strong in EU. We have been exporting for the last 30 years. We have a plant in Germany. So, I believe that in the long run, this thing, the FTA would help us in sustaining the growth of our exports, which, as I just shared, have grown by 45% over 9 months. And I expect that we should be able to cross the INR1,000 crores, maybe close to INR1,100 crores in the coming year. We're already sitting at INR837 crores of exports.
On the domestic front, we -- the industries which we service are seeing robust growth, and I expect the growth to continue in the coming year also. As far as the new verticals of projects are concerned, our PCB project is on track.
The construction has started, and we expect the construction to be completed by about June, July. Parallelly, the equipment's are being ordered, and we are on track to start the trial

production by December 26, January, March '27 quarter so that we have a first 1 year of sales from the capacity which we are creating this year.
Further capacities will be created based on the demand, which we believe would be very good and we believe that the additional capacities which we have planned should come in sooner than later. We are sort of expanding our footprint in Pune, expansion of capacity in Pune.
We have acquired Elcome. The deal has been closed, and we expect that, going forward, the defence vertical would contribute to the bottom line more and to the top line as a proportionate figure, a little lower because it will be about 5%, 6% of overall revenue.
On a whole, I think it's been a very satisfying 9 months on the financial parameters, performance, delivery, everything. One soft thing which we believe is of a very great significance for our company and the country is that we have got the gold rating from EcoVadis which is the ESG compliance, and we are now rated among the top 5% companies globally.
Last year, it was a bronze rating. So, we have qualified from bronze to gold. Some of those customers are in platinum. So, I think the journey is on, and we'll endeavour to do that.
With that, I hand over to Bijay to run you through with the detailed number crunching. But overall, I think the team has done very well, and we are happy that we are on track and are delivering what we have guided this year. Thank you.
Bijay Agrawal: Thank you, sir. Good morning, everyone. I'll now take you through our brie

f financial
performance for the quarter and 9 months ended December 2025. I can start with the update on Elcome first. During the quarter, we consummated the deal, sometime around mid of December.
So, for about 15-16 days, we have been able to include ELcome P&L performance into our consolidated financials for the quarter. Considering the same, our overall total consolidated revenue for the quarter is INR1,274 crores as against INR891 crores corresponding quarter previously last year, registering a 43% growth year-on-year basis.
Our total revenue for the 9 months is approximately INR3380 crores, which is again 17% growth on a year-on-year basis. The robust growth for the period is contributed by higher growth in auto, industrial, healthcare and mainly export business. The consumer sector business for the quarter is approximately 31%, which is in line with our previous guidance.
Our export revenue for the quarter is approximately INR335 crores, highest ever per quarter, which has grown by 65% on a year-on-year basis.
And for the 9 months, it is around INR837 crores, which is again 45% growth year-on-year

basis. Overall export business mix is approximately 25% for the entire 9-month period, which was about 22.5% for last financial year. So, we can see overall export has improved by almost 250 bps in the overall revenues. Our ODM revenue for the quarter is approximately 16%.
Coming to gross margin. Gross margin for the quarter is 27.4% as against 26% for Q3 of last year. The margin improvement is mainly led by our export, higher export mix, higher ODM,

higher industrial and healthcare business and also lower consumer and IT, which is a relatively lower gross margin business. We continue to focus our efforts on our operational efficiency improvement further to improve margins.
Our operating EBITDA for the quarter stood at healthy INR159 crores with a year-on-year growth of 101% and an operating EBITDA margin of 12.6%. The current quarter consolidated EBITDA also includes INR12 crore from Elcome consolidation. So, excluding Elcome and apple-to-apple basis increased INR147 crores.
Our 9-month operating EBITDA is approximately INR370 crores, which has grown by 78% year-on-year basis, and 9-month operating EBITDA margin is approximately 11%. PBT for the quarter is INR138 crores. And for the 9 months, it is INR295 crores, which has grown again by 105% on a year-on-year basis. PBT margin for the 9-month period is 8.7%.
Coming to PAT performance. PAT for the quarter is INR110 crores, which has again grown by 108% year-on-year. PAT margin was 8.7% for the quarter. Similarly, for the 9-month period, PAT is INR227 crores with INR100 growth on a Y-o-Y basis.
Overall, net working capital days investment as of December end, we are running the business at around 76 days of net working capital days investments. These numbers also include consolidation of Elcome. So, if we remove it to make it apple-to-apple, net working capital investment is 68 days, which is 5 days lower than the previous quarter.
So that much of efficiency we were able to bring in during the quarter. And considering the same overall operating cash flow for the entire 9-month period is now positive for the company.
We again continue to focus on reduction of net working capital days by another maybe 3 to 5 days over the next 2 to 3 quarters.
Moving to our debt position. We have a total gross debt of INR529 crores as on December end. And as again saying, we are carrying a healthy treasury balance of INR933 crores. With this, we have a net cash position of INR404 crores as on December 8. Turning to capex spend. It is all on track. We have been able to spend around INR55 crores during the quarter. And for the entire 9 months, it is approximately INR115.
Coming to ROCE performance, ROCE for the quarter is approximately 16% on an adjusted basis when

we adjusted for the goodwill and unutilized IPO money. We expect this to improve further up for the year when we are able to pay the full P&L benefit -- full period related full benefit of Elcome because as of now, Elcome has already included into the capital employed, but returns should also include it for that going forward.
Our order book visibility as of December end is approximately INR6,400 crores, which includes auto sector related approximately 31%; consumer business, about 25%; industrial business, 27%; and balance in healthcare, IT/railways. Just an update on the merger. We have already concluded the merger. Syrma SGS merger is all done, and now we are reporting only SGS is already merged in Syrma, so there is nothing pending on that side.
Once again, we continue to focus on high-margin verticals, operational efficiency

improvement, improving the overall working capital investment and thereby improving the overall operating cash flow.
That is all and thank you very much. I will now hand it over to Satendra Singh, our CEO.
Satendra Singh: Thanks, Bijay. And good morning from my side. I think we had an excellent quarter as already summed up by Mr. Gujral and Bijay in their remarks with numbers. I couldn't be happy.
I think this is a combination of all the efforts made by our team across the plants, across all support functions, and most importantly, the customers. We have a very healthy strong pipeline, and we are looking forward to exciting times ahead. Our factories are getting busier, as Mr. Gujral alluded to, in his remarks. We have seen utilization improvement between quarter 2 to quarter 3, almost 5% up. And that would mean -- and that we are very closely watching for expansion of capacities.
Last quarter, I had commented that we are building a factory in Bangalore. That's on track, and

we are looking forward to more capacity enhancements in this year, which will obviously be required and the right structure to meet the exciting growth ahead. Strategy-wise, we remain very focused. We are working basis what we always believed in and what we continue to execute on.

First things first, customer. We're listening to the customers very, very carefully, working with them, walking the walk and ensuring that we are ready as and when they want us to be ready with the capacities, with the systems, with the competencies needed to support their business. We have continued focus on the segments, which we always talk about, auto, industrial, medical, railways. We are continuing to build our capabilities. I think last week also brought in an interesting news to the trade and manufacturing ecosystem, which is the Europe-India deal.

I think that's as the newspapers call it mother of all deals, I would kind of believe that this is going to be a significant impact on the way businesses are growing. It definitely will bring strong tailwinds to Indian electronics companies. And we, as Syrma SGS, have been in European market for more than 2 decades. And we have been physically present for almost a decade via our factory and engineering presence in Stuttgart. We are looking forward to building on that to ensure that our export growth, which already Bijay said, we grew almost 45% year-on-year. We are looking forward to using our position there, our knowledge of the market to ensure that we have solid growth.

Last but not the least, I think we continue to be a business which is keeping -- doing all the right things required for the planet, and that's reflected in our EcoVadis rating moving from bronze to gold. There is clearly way ahead. Our endeavour would be to get to platinum, but the best -- the good part is that we are on the right track.

With this, I'll turn it back to Nikhil and thank you very much. Looking forward to exciting times together. Nikhil, over to you.

Nikhil Gupta: Thank you, Satendra. Over to you, Iqra, for getting into the Q&A session.

Moderator: The first question is from the line of Sumant Kumar from Motilal Oswal Financial Services Limited.

Sumant Kumar: So, my question is for consumer. We have seen a swing of INR116 crores in this quarter and also in industrial, INR120 crores. So, I understand industrial is majorly driven by the smart meter.

So -- but can you talk on consumer side, what is leading this kind of growth because we have focused on high-value, high-margin business for consumer, what we have discussed earlier? That is number one. Number two, what other subsegment is driving industry?

Bijay Agrawal: So, we have done approximately INR390 crores in this quarter, while it was INR365 crores in the previous quarter. So, there is a growth of approximately INR23 crores, INR24 crores over the last quarter.

And this is, again, mainly largely driven by telecom business, which we are doing, the set-top boxes, GPON, IDU, ODU, that is one last thing. Additionally, the consumer sector-driven ODM business, what we are doing is like water purification and maybe some bit of RFID tags, and consumer end use, those are the products which we are doing in the consumer segment.

J.S. Gujral: You see end of the day, when we started off this year, we had said that we would like our consumer sort of basket to be about 31% -- 30%, 31% of our revenue. And for this quarter, it is at about 30%. And even if I say for the whole year, it is at about 32% of the total sale.

So, I think we are on track. The industrial is driven by -- across the sort of applications, including exports. It's not purely driven by the energy metering, which is our domestic business, but by growth in my exports, my exports predominantly are in med-tech and industrial with a component of automotive also, which is touching around INR100 crores.

So, it's the business growth across verticals and within verticals across applications. That's what is, I think, the strength and satisfaction, which we derive when we see the quality of growth that it is not driven by 1 leg, all the cylinders are firing. And within the -- within each vertical, the different applications are also growing secularly with marginal variations. Some will grow faster; some will be at a slightly lower clip than the fastest one.

Sumant Kumar: So can you talk on the industrial side. What is the smart meter contribution of overall industrial in Q3? And also, in IT and railways, what is the mix of railway in IT and railway in this quarter?

Bijay Agrawal: In this IT and railways during the quarter, we have done approximately INR82 crores, of which railways is only INR17 crores, INR18 crores, and balance is IT. And similarly in the industrial breakup, smart metering is less than INR50 crores for the quarter here.

Sumant Kumar: How much?

Bijay Agrawal: Around INR50 crores.

Sumant Kumar: Smart meter?
J.S. Gujral: Yes.
Sumant Kumar: So, in industrial, we have a higher proportion of telecom?
J.S. Gujral: No, no. Not in exports, other applications.
Industrial has power supplies, it has exports. It has the metering.
Moderator: The next question is from the line of Sameet Sinha from Macquarie Capital.
Sameet Sinha: Yes. So good performance here. So, if I'm looking at your full year guidance, 30%, 35% year-over-year growth requires -- so fourth quarter, you're assuming it implies about INR300 crores to INR500 crores sequential growth.
How -- can you help us get there because that's a pretty sequent strong year-over-year acceleration that's required. Of course, Elcome will contribute. How much is Elemaster closing included in guidance? And then I have a follow-up question.
J.S. Gujral: Okay. Now if you see the quarter-on-quarter performance, Q1, we had a negative revenue growth of 19%. Q2, we did 37-odd percen

t positive growth. So, from a negative 19% -- 18%,
19% to 37%, it means implies whatever the growth is.
And in Q3, this 37% has grown up to 44% or 45%. Q4 going forward, we are confident that we should be able to grow sequential or sequential target, which we did about INR1,264 crores, we should be able to grow this figure by about INR1,600 crores plus such that we should be sitting at anything between INR4,850 crores, INR4,900 crores to INR5,000 crores. That's the range. But to me, the revenue figures are very important, but more important is the EBITDA.
I think we started off the year with a guidance of INR400 crores of EBITDA.
We are already sitting at INR370 crores in 9 months. Even if I exclude the INR12 crores of EBITDA, which has been consolidated, it means INR358 crores. I'm very confident that we should be able to cross the INR500 crore mark of EBITDA for the full year.
If INR500 crores, we do that it's almost like 58-odd percent increase over the previous year.
And it would have a similar positive increase in the PAT. Once the PAT goes up, it will have a similar positive impact on my EPS. So, I think on the finer points of performance, I think we are delivering or exceeding what we had committed to The Street.
Bijay Agrawal: Just to add here, we are not expecting any revenue from Elemaster JV in the fourth quarter.
And also, Elcome related, we are expecting INR100 crores to INR120 crores of revenue in the quarter 4. That would be included in there. Simultaneously, we are also expecting healthcare higher number in the next quarter as it is always a much more year loaded business in any year.
Sameet Sinha: So, then-- it seems like you have pretty high visibility into '27 as well. Can you help us think about some of these segments and key drivers are? And if you can brackets sort of growth rates for each of these segments, that would be helpful.

J.S. Gujral: As I just shared that if I see my 9-month performance or my sort of 3 months performance, all my major verticals are growing at a pace of 30-plus percent.
Railways and IT because of a lower base growth at about 70-odd percent. I expect this secular growth among verticals to continue. Some may grow mild, some may grow at 35%, some may grow at 28%. But on an overall basis, we believe that we are in a position to deliver a 30% growth on top line and on EBITDA in the coming year -- in the coming year '26, '27.
Moderator: The next question is from the line of Sonali S. from Jefferies.
Sonali S.: Many congratulations for such a wonderful result to you, Mr. Gujral, Mr. Bijay and the team.
So, my first question is margin trajectory has been really strong this quarter.
Bijay, you did talk about the levers for that. But just wanted to get in a little more detail because if I look at the product mix in Q3 FY '26 versus Q3 FY '25, I mean consumer autos were broadly in and around the same percentage of sales as they are right now. So keen to understand what led to this excellent margin and the sustainability of the same?
J.S. Gujral: See, we don't -- as we have all the time been saying, we don't concentrate or point on quarter-on-quarter margins. So even if you recall, my Q4 of last year was -- I think it was about 12% EBITDA margin, Q4 of last year. And this time, it is in Q3.
So, let's not say that Q3 becomes the base for future projections. What we are saying is that we guide a 30% growth in absolute EBITDA, which translates into a 10% EBITDA margin going forward.
What drove the margins in Q3 is my export performance. Export is a very high-margin

business, and it has grown by 66%, compared to Q3 of last year. So, in exports, we are up from INR202 crores to INR335 crores. This INR135 crores additional sales results in a comparatively very high contribution towards EBITDA.
Similarly, if I see my performance on industrial, my industrial is 31% in quarter 3

, grown 46%
over corresponding period of last year. So, these high-margin verticals where the growth has come this quarter has resulted in 12-odd percent EBITDA. Going forward, we guide that we should be able to deliver a blended EBITDA margin of 10% for the next year.
Bijay Agrawal: Just to add, Sonali, here, you are right. The overall business mix is exactly the same as it was in Q3 of FY '25. So that is where when you see gross margin level, overall improvement is only 1% because of the better margin controls or maybe some bit of procurement efficiencies. And the larger part of savings is coming because of the scale improvement versus Q3 of FY '25, there's a 45% of the scale improvement, which is also helping us in the operating leverage improvement. That is where the overall EBITDA margin increase is 3.5% versus Q3 of FY '25.
Sonali S.: Got it. Very clear. And just one last question for the PCB manufacturer we had set out the overall capex estimate to about INR15 billion. How should we look at the per annum capex

guidance considering that we'll be doing this capex in phases? So, is about INR3 billion per annum a fair number to go by in FY '26, '27?
J.S. Gujral: Okay. So, in the first phase, which would be completed by December '26 or '26, '27, we should be spending approximately INR360 crores to INR400 crores, which would give us capacity of 720,000 square meters of multiyear line and 480,000 square meters of single layer PCBs. The facility, which is being created is to accommodate 2 additional multilayer lines. So, the civil and the infrastructure, which we are creating, the attendant utilities and all that, they are all geared up for my full 3 ML and 1 single layer line. I personally believe that the stuffing of the multilayer lines, additional multilayer lines, would be sooner than what we had envisaged. We had envisaged that the second and the third line would come towards end of calendar '27 or beginning of FY '27, '28.
I think it would be preponed because the traction or the inquiries or the interest which we are receiving from potential customers is very strong. So, this year, it is about INR360 crores to INR400 crores. And next year, I think, on the PCB for this would be approximately the same amount and purely dependent on demand.
As far as the INR1,500 crores, you said that also included CCL and HDI and Flex. We are yet to receive the approvals of the government because we had also planned starting of those projects in '27, '28.
Bijay Agrawal: Overall, the INR1,500 crores, we want to -- we are planning to spend that by FY '30.
Moderator: The next question is from the line of Praveen Sahay from PL Capital.
Praveen Sahay: Many congratulations for a very good set of numbers. My first question is related to the export. Because last year, I can see that the U.S. contribution for the export were on the higher side, and now even after a lot of fluctuation because of a tariff, you are doing very good in the export as well.
So, can you give some geographical indication from where you are getting growth? As you have already highlighted, industrial contribution in the export is the higher. And also, is that the Elcome contribution into export is also there?
J.S. Gujral: No. Elcome is all domestic consumption, in domestic sales, so it was not included in the export. The export, which, for the 9 months, stands at INR837 crores versus last full year exports of about INR858 crores or INR860 crores. These exports have primarily been driven by my robust growth in the industrial exports and also med-tech and healthcare. Healthcare is pre-eminently to U.S.A. and others are primarily to EU. Breakup-wise, you have the...
Bijay Agrawal: So, breakup while during the quarter, we have done almost INR103 crores on the healthcare side and about INR178 crores on the industrial side, out of the total INR335 crores.
Prav

een Sahay: Geographical also if you can...
J.S. Gujral: Sorry.

Praveen Sahay: Geographical bifurcation, if you can give for 9 months.

Bijay Agrawal: 5% is U.S. and 35% is Europe. Our industrial is largely 90% is Europe.
J.S. Gujral: See my med-tech business is pre-eminently going to USA. My RFID and EMS business is directed towards EU and maybe Mexico. And something to that. Geography-wise, I don't have the figures off and we'll have to sort of work out. But I think it should be maybe 55%, 45%, but I have to work on the figures.
Praveen Sahay: All right. Sir, any number on PLI for a quarter and 9 months, if you can share?
Bijay Agrawal: PLI annualized number for any year is near about INR30 crores, INR32 crores for us, right? That's what is coming in the normal business.
J.S. Gujral: And there are no abnormal variation quarter-on-quarter.
Moderator: The next question is from the line of Tanay Shah from DAM Capital.
Tanay Shah: Congratulations on a very good set of numbers. Sir, my first question is if you could possibly spend just a couple of minutes on all the newer initiatives especially the defence acquisition since it's consummated in our numbers.
And if you can just give some direction on where we want to take this business in terms of revenues, how it's going to sort of be accretive to our margin profile? And what sort of return ratios does it enjoy? So, one is on defence.
And second is if you can possibly just for the bare PCB project, indicate what kind of applications we are sort of aiming at. Will it be more industrial? Auto? What are the segments that you're looking at? And what would the indicative margin profile be on basis of current projections for the bare PCB plant?
J.S. Gujral: Okay. Now on Elcome, we just acquired it. And this year, we believe that it will account for approximately maybe about Elcome as an entity, I'm not talking of what it will be consolidated into because of the previous 9 months, which were not done.
Elcome should be delivering anything between INR280 crores to INR300 crores of revenue. Elcome as an entity, the entire thing will not get -- line-wise, it will not get consolidated into our things. Going forward, we expect that the business has the potential to grow at maybe 10%, 15%, 20% with the present offering of bouquet of products which we have got. But obviously, when we have acquired a platform, and we have got a foot in the door in defence application, we would like to increase the bouquet of offerings.
Next year, I think if we are doing about INR280 crores to INR300 crores this year in Elcome, next year, we should be taking it anything between a 10% to 15% growth rate because in defence, the gestation period is pretty long and the orders could also be lumpy. As far as the margin profile is concerned, this is a high-margin business.
And the margins are upwards of 20%, 24%, 25%, which we believe we will be able to sustain

in the coming years also. That's as far as Elcome is concerned. On PCB front, we are in touch with customers in the industrial, automotive and consumer segment. And industrial is a very wide application. And energy metering is one of them.
And broadly, in the PCB industry, the margin profile is 15% -- 15% to 17% EBITDA margin profile without the PLI. So, I think we would be in line with the industry margins and grow in the Industrial and Automotive segment. Automotive. Also, within automotive, there are various categories, the lighting PCBAs, the infotainment PCBAs. So, we'll be cut into the entire sort of consumption by what you call the PCB, which goes into the automotive.
And subsequently, we'll also be targeting the med tech. They are high-end PCBs that have a longer approval cycle. So, we'll be plucking the low-hanging fruits in the initial phase and finally build up

the ecosystem and the pipeline to target the high-end PCBs, which would also include exploring export markets.
Tanay Shah: Sure. And just a follow-up on the PCB.

Tanay Shah: Yes. Just a follow-up on the PCB business, right? We've spoken about multi-layers, but what kind of multilayers are we going to do? Till what amount of...
J.S. Gujral: See typically, if we analyse the PCB consumption, about 10% to 15% is HDI and other things, and rest is all single and multilayer. And if we further drill down bulk of the consumption, which I say, if I say the total pie-800, 75% of that -- 70% to 75% of that would be sub-8 layer -- single to sub-8 layer of 8 layers.
Then as you go up in the layer profile from 8 to 10 to 15 or whatever, it like oxygen, it gets very fine, the quantities keep reducing. So, we are targeting the market, which is available, which is bulk market. I'm not saying that we'll not be targeting the 15-layer or 12-layer, the volumes are very less.
Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund.
Naushad Chaudhary: Just one clarification, sir. Apologies if I'm repeating. I joined a bit late. Did you share your

order book number? Can you reshare it if you have already shared?
Bijay Agrawal: Order book?
Naushad Chaudhary: Yes.
Bijay Agrawal: Yes, we have already shared. So total order book and visibility is approximately INR6,400 crores. And out of that, around 31% is from Auto segment, about 25% from Consumer segment and approximately 27% from Industrial segment. Balance is healthcare, IT and railways.
Naushad Chaudhary: And export, sir?
J.S. Gujral: Exports are within, say, when I say industrial, it will be exports. Med-tech is all exports.

Naushad Chaudhary: Export is about 24% there in that.
J.S. Gujral: And the volume 24%, 25% of the enhanced value. So, if we are targeting, we are doing about INR1,100 crores this year. For next year, we expect this figure to go up further. If we're starting a 30% growth rate, so we should be having a 25%, 30% growth rate in exports also.
Moderator: The next question is from the line of Manan Goyal from ICICI Securities.
Aniruddha Joshi: Aniruddha Joshi here. Just one question after all the acquisitions M&A, what is the goodwill on the balance sheet? And how do you see the -- in a way, writing off of the -- or amortization of the goodwill panning out over the next 2, 3 years? And will it qualify for any tax benefits? And second question, what is the capex that we are looking at for FY '26 -- sorry, FY '27 and '28? And lastly, what is the current net working capital, inventory days or debtor days if you can share? Yes, that's it from my side.
Bijay Agrawal: So, to answer your first one on the goodwill and intangibles and the tax benefit and the amortization of the same, that is something we are working out along with our valuers and the auditors together. And probably in the next quarter results, we will be able to disclose it completely that way.
Whatever intangibles is coming out of that PPA valuation, purchase price allocation, that intangibles will be eligible for a tax benefit, amortization and tax benefit. Goodwill is something we will not be able to amortize it, so there will not be any tax benefit or P&L impact of the same thing.
But that is something we will be able to disclose properly in the next quarter results. Coming to your capex requirement, normal organic-related capex requirement would be INR80 crores to INR100 crores on a year-on-year basis.
Apart from that, special project, just like PCB business related, near about INR300 crores to INR350 crores is what we will be spending over the next year. And beyond that, if we furthermore announce any other new special project, that will be over and above that additionally.
Coming to net working capital trade requirement, we are already at 76 days

of working capital
days. We are still -- that is also including Elcome related working capital number so far. We are still working on it and trying to reduce it further over probably next 2 to 3 quarters, we should be able to bring in an efficiency of around 5 to 6 days.
And we have already disclosed that the 76 days, if we exclude Elcome on the current year number or excluding Elcome, this is about 68 days. That's where we are currently.
J.S. Gujral: So, which reflects 5 days or 6 days reduction from September '23 and the 4 days increase from last year, corresponding period.
Bijay Agrawal: And even after considering all these things, my overall 9-month operating cash flow is positive right now, which we are trying to furthermore improve for the entire full year.

Moderator: The next question is from the line of Keshav Vijay Ratan Lahoti from HDFC Securities.
Keshav Lahoti: I remember your smart meter revenue, which was INR50 crore each quarter, which was coming. And this quarter also, you highlighted that INR50 crores, so totalling INR150 crore, INR160 crores in 9 months. But your guidance for this year was INR300 crores. Earlier, you indicated possibly H2 would be better on smart meter front? So, what's the update on that side?
J.S. Gujral: See, on the smart meters, one thing is it is a very sticky business in terms of working capital cycle. And we don't want to land into a situation, where we have the sales, but not the recovery, to be very honest.
So, the growth is driven by choice as long as I'm confident of delivering on the overall business. And we are selective about customers in the, what you call, energy metering business. And has this sort of slight softness in growth numbers of the value of the energy meters.

In terms of quantities, we are growing well. And because of the sort of working capital cycle, we, at times, ask our customers to sort of give us the key dedicated controller free of cost. So, while my quantitative numbers may go up, then the material is being procured by the customer, it does have an impact on the value of sales. So, there are 2, 3 factors: a, the working capital cycle. We are choosy about the customers we service. If I'm not going to be choosy, the sales, the business is available.

I can grow several times what I'm doing today in the energy metering business. But I don't want to land in a situation where the sales cycle does not result into a sort of a short-term cash flow cycle.

Keshav Lahoti: Got it. So, what is the revised guidance of smart meter revenue for this and next year?

J.S. Gujral: Next year, I think if we are doing about INR200 crores this year, we should be going about another 20%, 25%, 30% next year. Again, what I sort of focus or the company's focus on is overall growth with profitable margins and positive cash flow.

So, these are the 3 parameters. So, if we find that the growth is not coming, then go into the sort of a sticky business, sort of a sticky thing where the cash flow cycles are long. But if you are able to manage the growth without the longest working capital cycle business, I think we'll prefer that.

Keshav Lahoti: Understood. One last question from my side, the guidance of 30% revenue growth. This is including everything Elcome and whatever inorganic you do or it's purely organic you are talking?

J.S. Gujral: See, we had guided last year also. And this year also, we are saying that we'll be growing at around 30%. Now this year, when we say we are growing at this rate from whatever we did last year, INR324 crore EBITDA, INR3,700-odd crores of revenue. So, it will be apple-to-apple, and the group Elcome will be in addition.

Next year, since Elcome comes into a fold, we would share the different vertical separately,

but then the growth overall would be blended of all the t

hings.

So, if we are able to do about INR5,000 crores, INR4,900 crores of revenue this year, a 30% growth will be what would result in to. And more importantly, if we deliver INR500 crores EBITDA, which I'm very confident, it's not. If it will deliver INR500 crores EBITDA this year, next year, a 30% growth rate is INR650 crores of EBITDA.

Keshav Lahoti: Got it. That is very helpful.

Bijay Agrawal: Also just to add on the previous question, the breakup of export during the 9 months, we did total export of approximately INR835 crores, of which near about INR255 crores is to U.S. and balance INR580 crores is for other than -- other markets, other than U.S., which includes Belgium, Germany, Mexico, Canada, China and Singapore together.

Moderator: The next question is from the line of Dhrumil Wani from Girik Capital.

Dhaval Shah: Dhaval Shah this side. Great performance and good luck for the future. Sir, my only question is regarding the good drop in the finance cost quarter-over-quarter, while the debt number is higher. So, is it some refinancing of the debt? Or can you just help us understand?

Bijay Agrawal: Yes, this closing debt was not exactly available for the entire period. So, this is something -- during the quarter, the debt number was actually lower. And yes, we were able to negotiate or renegotiate some of the interest costs with the bankers to achieve some efficiency. So, it is a result of both the things.

Dhaval Shah: Okay. Got it. And Bijay, the other question is on the -- what tax should we assume, tax rate for fourth quarter and next year? Plus, you mentioned the total cash outflow from our balance sheet will be around INR400 crores for capex, like INR300 crores for the PCBA plus INR100 crores for the -- our existing business.

So then next year, we're planning to meet the entire requirement with our operating cash flow or how it's going to be funded. So, what sort of debt -- on 31st March '27, how the balance sheet will look like?

Bijay Agrawal: So, of this capex, whatever PCB's related capex, we are planning to raise 50%, get 50% through equity and part of that equity, 25% of that equity requirement will also be funded by my partner also.

So, in totality, yes, including debt or equity outflow, whichever we can say, capex-related near about INR300 crores to INR350 crores will be the overall outflow here on the capex side. And what was your first question regarding the cash balance?

Dhaval Shah: Yes. So, on this capex, so INR300 crores. So, from our balance sheet INR300 crores will go from Syrma balance sheet?

Bijay Agrawal: Yes.

J.S. Gujral: On the capex for the PCB INR350 crores, INR400 crores, whatever is the figure by March '27,

would be making us eligible for a 50% subsidy from the government of Andhra Pradesh. So, it is sort of a bridge financing over a period of 1 year. So, whatever is spent till March of '27, I expect to get the money in '27, '28, 50% of that.
So, on a full sort of cycle basis, my investment in the PCB project would, for this phase, if it is INR400 crores will be actually INR200 crores from Syrma. And out of that INR200 crores, whatever is the equity portion, 25% will be funded by my collaborator.
Dhaval Shah: Okay. Understood. Understood. And my other question was on the tax rate for the fourth quarter and for the next year, what should we be assuming?
Bijay Agrawal: Tax rate for the fourth quarter would be somewhere around 23% -- 23%, 24%. And next year, we can assume over 26%.
Dhaval Shah: 26% Got it. Got it.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to Mr. J.S. Gujral for closing comments. Over to you, sir.
J.S. Gujral: Thank you, ladies and gentlemen. I think we are well poised, well positioned what we had set out to do when we hit the street in 2022 when we got listed. We

had guided all the investors in
the street that we are making a truly global EMS company.
And we are on way sort of on right track for that. In between, there would be bumps. But on a long-term basis, I think we are very well poised with our customers, with our vendors, with all the stakeholders and to take benefit of the emerging opportunities in electronic manufacturing.
We are building an organization, which is now almost there. The capability building is an ongoing exercise, which would continue year-on-year. When I say capability building, it is introducing the best of the software, the best of the tools, online monitoring of performance of the machine, so that we sort of get a better efficiency out of the sort of assets which we have created.
We have, as I shared last time, tied up with the Canadian -- American company, Ark Systems, which gives us sort of access to online monitoring of my SMT lines across plants. So, sitting in the corporate office, my team who have been given excess can, on a real-time basis, monitor the performance.
It has -- we have started a pilot project, and the results are very, very encouraging. And if we have, say, 40 lines and 500 hours is per line, it is 20,000 hours of capacity. If I'm able to get a 5% improvement, it gives me 1,000 hours of capacity which is equivalent to 2 lines.
So, I think we have now embarked on a journey to bring in the operational efficiencies, which Bijay also alluded to that while my gross material margin has improved by 1.7%, 1.5%, my EBITDA margins have improved by almost like 3%. The remaining 1.5% is coming from the operational efficiencies, and we continue relentlessly to work on this.
So, the motto on the shop floor is relentless improvement of efficiencies. This, coupled with

over other objectives of increasing the value, increasing the exports, increasing the ODM, ODM growth is sort of a treacherous part. It's not easy, but we are very focused on increasing that. This with our foray into PCB and other sort of piece parts under the ECMS policy, I think positions Syrma SGS in a very, very strong position to capitalize on the emerging opportunities within India and outside India.
So overall, a satisfactory 9 months globally also, macro also and micro also. And we believe that we are in a good position to keep growing at profitable margin and which we have said that our objective is to grow a 30% growth on EBITDA, positive cash flows, 25%, 30%, 35% growth on top line. So, these 3 are the cornerstones on which we measure our performance. And each one of them has its own importance.
I now hand over to Satendra to give his view on the overall sales. Satendra, over to you.
Satendra Singh: Thank you, Gujral. I think this was a great call from all of us. We are very excited about the growth we have reported, and we're looking forward to great future. Thank you, everyone.
Have a good rest of the day.
Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: Jun 2026

Date: May 18, 202 6

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
Symbol: SYRMA
Department of Corporate Service
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
Scrip Code: 543573

Subject: Earnings Call transcript of the Investors Conference Call held for the audited Financial Results (Consolidated and Standalone) of the Company for the quarter and financial year ended March 31, 202 6.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015, please find attached the Transcript in respect to the Earning Conference Call on the audited Financial Results (Consolidated and Standalone) of the Company for the quarter and financial year ended March 31, 202 6, held on Tuesday , May 1 2, 202 6, at 10:30 AM (IST).

The transcript of the conference call will also be accessed at the website of the Company at https://www.syrmasgs.com/investor -relations .

We request you to take the same on your record.

For Syrma SGS Technology Limited

Bhabagrahi Pradhan
Company Secretary & Compliance Officer
M. No.: F4921
Place: Gurgaon

“Syrma SGS Technology Limited
Q4 FY '26 Earnings Conference Call ”
May 12 , 2026

MANAGEMENT : MR. J. S. GUJRAL – MANAGING DIRECTOR – SYRMA SGS TECHNOLOGY LIMITED

MR. JAYESH DOSHI – DIRECTOR – SYRMA SGS
TECHNOLOGY LIMITED
MR. SATENDRA SINGH – CHIEF EXECUTIVE OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. BIJAY AGRAWAL – CHIEF FINANCIAL OFFICER –
SYRMA SGS TECHNOLOGY LIMITED
MR. NIKHIL GUPTA – HEAD, INVESTOR RELATIONS –
SYRMA SGS TECHNOLOGY LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Syrma SGS Technology Limited's Q4 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, Mr. Joshi.

Aniruddha Joshi : Yes. Thanks, Michelle . ICICI Securities is pleased to invite you all to Q4 FY '26 and FY '26 Results Conference Call of Syrma SGS Technology. We have with us, today, senior management team to attend the call. I congratulate the management for posting strong set of numbers.

And now I hand over the call to Mr. Nikhil Gupta, Head of Investor Relations, to introduce the management and take the call forward. Thanks, and over to you, Nikhil.

Nikhil Gupta : Thank you, Aniruddha. A very good morning to all. On behalf of Syrma SGS family, we welcome you all to Syrma SGS Quarter 4 and Fiscal Year 2026 Earnings Call. We have with us today, Mr. J.S. Gujral, Managing Director; Mr. Jayesh Doshi, Director; Mr. Satendra Singh, Chief Executive Officer; and Mr. Bijay Agrawal, Chief Financial Officer, Syrma SGS, to discuss the performance of the company during the fourth quarter and fiscal year 2026 followed by detailed question -answer sessions.

Kindly note, during this call, certain statements that will be made are forward -looking, which involve several risks, uncertainties, assumptions and other factors that can cause results to differ materially from those in s uch forward -looking statements.

All forward -looking statements made herein are based on the information presently available to the management and to the company, and the company does not undertake to update any forward -looking statements that may be made during this call. In this regard, kindly review the disclaimer statements in the earnings release and all the other factors that can cause a difference.

With this, I will now hand over the call to Mr. J.S. Gujral, Managing Director, Syrma SGS. Thank you. Over to you, sir.

J.S. Gujral: A very warm welcome, ladies and gentlemen, to the FY '26 earnings call of Syrma SGS Technology Limited. When we sit back and reflect on what has happened in the year gone by, it gives us a great sense of satisfaction that we have achieved almost all the parameters or exceeded what we had set for ourselves at the start of the year.

Just to recollect, we had started the year with a guidance of about INR400-plus crores of EBITDA figures, a revenue growth of about 30% to 35% and a positive cash flow with exports targeted to cross the INR1,100 crores mark. So these are the 4, 5 set of parameters which we had set for oursel ves.

And when we look at the figures for the year gone by, it gives us a great sense of satisfaction that we have achieved EBITDA of INR545 crores. Even if we exclude the Elcome EBITDA, it still stands at INR490-plus crores, so with the original start guidance of INR400 crores to INR490 crores of operating EBITDA.

Exports, we had targeted INR1,100 crores. We are at INR1,200 -plus crores. Working capital cycle, we had said that we will endeavour to bring it down, and we have brought it down from 69 days to 63 days. At Elcome this figure is at 58 days. All this has enabled us to generate a positive cash flow -- operating cash flow of INR290-plus crores, which is almost at 53% of the operating EBITDA.

So all these 4 parameters, we have sort of exceeded what we had guided the market. If I was to exclude cons

umer business from our portfolio because consumer is a low -margin business
and there's a conscious effort of the management to sustain it at a certain level, my export -- my revenues have grown by a healthy 38%. Ex Elcome, they have grown by 31%.
All the key drivers of superior margin, automotive, industrial, health care, exports and ODM, they're all fired in the right direction. Automotive has grown 39%, industrial 30%, health care 36%, export 41% and ODM has also gone up significantly to approximately 17%, which is almost like 80% jump from INR453 crores to INR825 crores.
Now this gives us a good platform to grow in the coming year. We achieved INR1,477 crores revenue in the last quarter, which is a run rate of approximately INR500 crores a month, which translates into INR6,000 crores revenue at the same pace without the growth coming in, in the second half of the year.
My exports at INR372 crores give a good run rate of INR125 crores, which is again equivalent to the next year's target of about INR1,500 crores. So we are well set to capitalize on this consolidation, which we have done in the current year.
And going forward, we are very confident that on the 3 critical parameters which we measure ourselves against, primarily the EBITDA, operating cash flow and the revenue growth, on all these 3, we would be able to exceed the performance of this year or sust ain the performance of this year. Thank you very much.
Nikhil Gupta : Yes. So now I hand over the call to Mr. Bijay Agrawal, Chief Financial Officer.
Bijay Agrawal : Good morning, everyone, and welcome to Syrma SGS earnings call for quarter 4 and full financial year 2026. I'm pleased to report that this has been a landmark year for us, defined by strong execution, meaningful margin expansion and significantly strength ened balance sheet.
Let me begin with quarterly numbers first and then I'll take you through the annual performance. Quarter 4, 2026 was our strongest quarter yet. Consolidated total revenue for the quarter was INR1,477 crores, up by 56% on a year -on-year basis and 16% sequentially, an outstanding outcome, in a way.
On business mix side, industrial vertical contributed maximum as 31% of our revenue,

followed by consumer vertical 26%, auto vertical 24%. While all verticals showed a solid double -digit growth on a year -on-year basis, IT and railways was a standout segment this quarter, growing 182% year -on-year basis.
Our operating EBITDA for the quarter came in INR174 crores, up by 51% year -on-year at 11.9% EBITDA margin. PBT grew 61% Y -o-Y to INR150 crores, and PAT rose 67% to INR119 crores with PAT margin of 8.1%, up by 60 basis points over last year. On a sequential basis, margins moderated slightly. Operating EBITDA margin was 11.9% versus 12.6% in quarter 3, primarily due to higher mix of IT business during this quarter.
Moving to our annual performance. Our total revenue for FY '26 came in at INR4,857 crores, reflecting 27% year -on-year growth. When we see, as we have previously guided that we will keep consumer business vertical below 35%, which is actually 31% for FY '26, and when we calculate our growth, ex of consumer business, my revenue grow th is actual ly 38% on a year -on-year basis.
More importantly, this revenue was only because growth was highly profitable. Operating EBITDA expanded 68% year -on-year basis to INR545 crores, with operating EBITDA margin improving 270 basis points to 11.3%. Reported EBITDA stood at INR582 crores at a 12% EBITDA margin.
The profitability story is even stronger at the bottom line. PBT grew at 88% year -on-year basis to INR445 crores with the PBT margin expanding 300 basis points to 9.2%. PAT is about INR346 crores for the year, up by 87% on a year -on-year basis, with PAT margin of 7.1%.
We can see this kind of a leverage where bottom line growth is nearly double

the top line
growth, reflecting a structural improvement on our business model, reflecting our operating leverage benefit, reflecting it into the business model. On revenue mix si de, exports business constitutes 24% to 25% of my operating revenue, and grew 41% year -on-year basis, highlighting our increasing global relevance.
Across verticals, IT and railways are our fastest growth segment, 74% year -on-year, followed by auto at 39% and health care at 36% growth on a year -on-year basis. Our ODM revenue for the year is about 17%, substantially increased from 12% last year. Comin g to customer concentration. Our top 5 customers contribute around 34% of revenue, top 10 around 47%, top 20 around 63% of my revenu e on a full year basis, FY '26.

On the order book visibility, as on March end, we have about INR600 crores of total order book visibility together, of which auto is about 29%, consumer is about 30%, industrial vertical is about 24%, health care is about 5%, and IT and railways together is about 11% of Order book .

Coming to balance sheet and capital allocation. We moved from a net debt position of INR264 crores as on FY '25 end to now a net cash position of INR467 crores this year -end. Total debt reduced sharply from INR611 crores to INR353 crores and while cash and equivalents increased to INR820 crores at the year -end.

Debt to equity is 0.1x and ROCE improved from 12.4% to 16.9% this year. When we calculate ROCE on a goodwill -adjusted basis, my actual ROCE is 20.1%, the threshold number which we have been tracking always.

Coming to working capital performance, our working capital days improved from 69 days to 63 days on a year -on-year basis, reflecting better operational efficiency. Net working capital days, when we calculate, ex cluding Elcome, which we have recently acquired, it is actually 58 days. So on a like -to-like basis, versus last year, the overall improvement into the net working capital days is about 11 days.

For the year, we generated a healthy operating cash flow of INR290 crores, which is around 53% of my operating EBITDA, and this outcome is based on disciplined working capital management and strong profitability delivery here. The capex investment for the year is about INR140 crores, and we expect another INR100 crores to INR150 crores of capex investment into the current year, which is FY '27.

We want to update regarding one of our previously announced JV with Premier Energies, wherein we were planning to acquire a company called Ksolare through that JV. We want to update that there were certain conditions precedent, which we agreed with the se llers for the acquisition and which the seller was not able t o fulfil as per the time line.

Hence, we decided to drop the same acquisition or JV transaction. To summarize, FY '26 has been a strong execution across revenue, profitability, cash flows. We enter FY '27 with a net cash position, improving ROCE, a diversified and growth revenue base an d capacity investments that position us well on the next phase of the growth.

We also want to update the market on our rating upgrade -- long-term rating upgrade from AA - to AA now, showing a strong confidence of the -- all the stakeholders in the market in our credi bility.

We remain committed to our aspirations of sustained revenue growth of 35% with a sustainable operating EBITDA margin of at least 10% to 10.5%, targeting INR700 crores of total EBITDA for the next year, FY '27. The demand environment across all key verticals: auto, industrial, health care and the emerging IT and railways and the defense and maritime business remains encouraging.

With that, I'll hand it over to Mr. Satendra Singh, our CEO.

Satendra Singh : Thank you, Bijay, and thank you, Gujral ji and everyone on the call. Thank you for joining today. As always, I'll start my comments with thanking all

my 10,000 -plus colleagues in our factories, in our offices who workday in and day out to ensure that our customers stay delighted and they help us in the growth story, which Gujral ji and Bijay shared with you.

Financial year '26 has been a defining year for Syrma. It's the one where we didn't just grow the top line, but we strengthened every pillar of our business: our people, customers, operations and supply chain.

On profitability, margin expanded meaningfully across the year. Our gross margin improved from 22.6% to 25.6% year -on-year. EBITDA margins improved significantly, as Bijay shared, and profit after tax doubled almost year -on-year and margins have been 7.1% . This clearly reflects operating leverage at scale.

We continue to make improvements in our customer acquisition. We acquired several customers, and we -- those customers will help us fuel the growth in financial year '27 and onwards. Most importantly, we continue to deepen our engagement with the customer s, which is reflecting in larger wallet share with many of our customers and maturity of the programs which we execute with them.

This year, operationally, we have made several improvements. The utilization of our people resources, utilization of our machines have gone up significantly over FY '25. This -- all the improvements and all the efforts across the operations and across our businesses clearly has been noticed by our customers and by industry alike. We got 9 customer awards and 19 industry recognition during the year.

As we know, the supply chains are going through certain anxieties and our supply chain team and procurement teams across the plant have worked hand in hand with our customers to ensure continuity of supply chain and ensuring that we stay competitive forev er.

On people, our engagement continues to improve and our last Great Place to Work score rose from 83 to 86 this year. We continue to upgrade our processes across all the areas of our business.

Looking ahead, FY '27 reflects strong conviction in our pipeline, our customer additions and our operational readiness. And our strong balance sheet gives us the flexibility to invest in this growth while delivering consistent returns.

We remain committed to our long -term vision of being India's leading integrated electronics manufacturing partner. And this year, the FY '26, has brought us meaningfully closer to that goal. Thank you, everyone, on this call, and once again to our customers, to our colleagues across the factories for great support, and we look forward to similar support in the years ahead.

Thank you once again, and I'll hand it over to Nikhil.

Nikhil Gupta : Yes. Thank you, Satendra. Over to you, Michelle, we can go ahead on the Q&A session. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal : Congratulations on a good set of numbers. Two questions from my side. If you can highlight the capex -- pending capex on key projects, not just for FY '27, but also over the medium term, PCB and any other projects that you're undertaking right now?

Bijay Agrawal : Sure. I'll take this one. So overall, the large project which we are taking over right now is the

PCB -related business. So PCB -related, we said that we are planning to spend approximately $90 million, which is INR800 crores of capex over the year for this multilayer line kind of a PCB setup.

And this capex we are spreading across 2 phases. Initial phase is INR400 crores, which is going on, and of which, about INR50 crores is already spent till last year. This year, we are expecting we'll be spending around INR250-odd crores against the same project and balanc

e INR100 crores can go in the next year.

And the second phase can be spent over the next year and in the mid of FY '29 also. That's what we are spreading that multiyear business -related INR800 crores of capex . Apart from that, organic capex within the system, normally in the business, we are expecting INR100 crores to INR150 crores of capex this year.

Indrajit Agarwal : Okay. So INR100 crores to INR150 crores is only the organic and then add to that the INR250 crores. So broadly, overall capex comes around INR350 crores to INR400 crores. And when do you expect the incentives or the benefits to come from the government, post FY '28, right?

Bijay Agrawal : We are expecting the commissioning of the projects towards the end of this year, maybe start of next financial year FY '28. Then we will be eligible to claim for the incentives in part basis. And generally, I expect at least a year will take to get that i ncentives.

Indrajit Agarwal : Sure. This is helpful. And second, while you touched upon it in the opening remarks, if we can get more granular details on the impact of the current geopolitical tensions. Is there an issue in availability of raw materials? What kind of inflation are you seeing? And are we passing that on, with what lead lag?

J.S. Gujral: See, the supply chain issues are, again, global in nature and not specific to one company or one industry. So it is a phenomenon where the basic metal prices have gone up. The Middle Eastern crisis has sort of disrupted the supply chain routes. The logistic costs have gone up.

Now these things are a part and parcel of the business. And when all the companies are impacted, it's not unique to us. Having said that, we are in constant touch, and we have contract arrangements with the customers where there is a pass -through mechanis m of variation in prices. Now does it happen on day 0? The answer is no. It is negotiated and then taken into account.

We believe that in the current year, these things would continue to play out until the situation comes back to normal. We believe that this partial increase in these costs could be offset by better buying. The volumes go up, you get a better negotiation p ath, operational efficiencies and then sharing these costs among the 4 -- there are essentially 4 stakehold ers in the entire supply chain.

In our case, it is our vendor, Syrma SGS, the customers of Syrma and the ultimate consumer.
Now once the situation sort of stabilizes, then the cost impact will be borne by all the 4 stakeholders.

What is the impact of that? We are not very clear right now. But having delivered an EBITDA margin of 12 %-odd this year, next year, we are guiding 10.5% to 11%, keeping this turmoil into account. But if the situation stabilizes and we come back to normal situation, if it warrants upward revision beyond that, we will guide the market accordingly.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar : So can you talk on the IT and railway? We have seen a 182% growth. So can you talk on more sub-segment, how other sub -segment and what are the key drivers for the segment?

J.S. Gujral: The IT and the railways are a small portion of our revenue. And again, we don't look at the revenues on a quarterly basis . If I look at it on an overall basis, my IT and railways have gone up from about INR240 crores to about INR476 crores on an annualized basis. This is as we said that the railways, we were in touch with the customers.

And IT is essentially the laptop -related and the motherboard -related business and the memory -related business which we do. So going forward, we expect this momentum of 80 -odd, 90% not to continue, but it will continue to deliver healthy 30%, 40% growth rates over the coming years.

Moderator: We'll take the next question from the line of Achal Lohade from

Nuvama Institutional Equities.

Achal Lohade : Congratulations for excellent performance. I was just curious, sir, while you have indicated on the margin front, I'm just trying dig a little deeper on this aspect. We have touched 12% margin the last two quarters -- 12.5% and 12%.

And if we are talking about similar growth across verticals, why the margin guidance, that 10.5% to 11% despite having an improvement on account of the exports, ODM mix going up and third, the operating leverage. Just curious, given kind of a pass -through arrangement for the cost, any particular reason, apart from the generic reason, what you have given, for the margin guidance?

J.S. Gujral: See, as I just said in the preceding question, we would like to err on the side of caution. The current volatility in the global trade, in the shipping routes, in the geopolitical, the basic metal prices going up would cause a stress on the economy on a m acro level, which is beyond our control. Hence, we would like to err on the side of caution and we have guided 10.5% to 11% margin despite having delivered 12% margin. We're very honest.

Now if 3 months down the line when we talk -- when we meet you again for the Q1 earnings call of FY '27, if the situation has stabilized and we have a better picture, we'd revise our guidance. But we'd like, again, at the expense of repetition, err on the side of caution. And the pass-throughs are there, but it doesn't happen on day 0. It takes time.

So keeping all the things into account, we have guided that thing. But the more critical thing which we have guided is that we'll deliver a 30% absolute increase in EBITDA.

Achal Lohade : Understood. And if you could comment on each of the segments, what is the outlook on the

growth path? While you have given a broad guidance, if you could give on each of the segments?

Achal Lohade : Sorry for that. If you could talk a little bit on each of the segments like auto, consumer, health care, if the underlying industry growth is as much if this growth is driven by domestic or export and stuff like that, give a little bit more detail on each of these 4, 5 key segments, sir?

J.S. Gujral: If we go back to '25 -'26, what do we see? We see a 39 %-odd growth in automotive, 30% in industrial, 36% in health care, 38% in consumer and 41% growth in exports. My current order mix, which we have order book, has the same level of component of each with the automotive accounting for about 30%, industrial ab out 25%, health care about 5%.

So based on this, I think we are in a position to deliver a blended growth of about 30%, 35% for the current year. Individual verticals, overall annualized basis, some would be at 35%, some would be at 28%. The industrial growth would primarily be driven by exports and new sort of products which we'll be manufacturing for the power management units and other things.

Automotive would primarily be driven by domestic, though for the first time last year, we have crossed INR125 crores in automotive exports, then would register some increase over there also.

MedTech has grown significantly. The health care business has grown significantly from INR291 crores to INR395 crores this year. And we expect this continuous growth to happen, which means that next year, my MedTech business should cross the INR500 crore s mark.
Consumer, we are cautiously pegging it down at about 30% of our revenue. This year it's about INR1,452 crores and 8%, 10% growth, it should be about INR1,600 crores, INR1,500 crores, INR1,600 crores. So the blended growth would come in from the dominant sectors of automotive, industrial, health care, which is MedTech. IT and railways are a small portion of our revenue. But they would grow.
Moderator: The next question is from the line of Bhavya Gandhi from Bajaj Alternate Investment Management Limited.
Bhavya Gandhi: My firs

t question is regarding the total order book. Between December and March, our order book has grown by almost 3% versus our historical run rate of 7% to 10%. If you can explain, is there any slowdown in terms of order intake or what is the reason for this? Better execution or any other factors, if you can provide?
J.S. Gujral: I'll request Bijay to take this on.
Bijay Agrawal : So when we see, with the higher delivery in this quarter, we have done almost INR1,500 crores of revenue for the quarter. So this is after executing that quarter 4 also. In the previous quarter in INR6,400 crores, you should actually see the -- out of INR6,400 crores, INR1,470 crores is alread y delivered during the quarter.
And then, additionally, we were able to add about INR1,670 crores or INR1,700 crores to reach

to INR6,600 crores level. The growth is even higher than the previous quarter's net addition. This INR200 crores is net addition after the delivery of the quarter 4.
Bhavya Gandhi: Right. Basis the current order book and run rate, the overall revenue growth for the next year comes to 24%, whereas you are guiding for 35%. So are we seeing any order pipeline that we are expecting order intake in coming quarters?
Bijay Agrawal : So we are guiding actually about 35% of our growth for FY '27. And this order book is indicating whatever is there in hand today. But this order book has to be, over the period, over the next few quarters, has to be completely -- continuously upgraded bas ed on the -- as new order additio ns.
And all these orders are not for 1 year. In this order book, there will be many customers who will be giving the orders for a very shorter period, maybe 3 months, 6 months, 5 months, 4 months, that way. So that's how this operates, in a way.
J.S. Gujral: See, just to add on, we have achieved a run rate of about INR1,465 crores in the current quarter, which is tagged less than INR500 crores a month. And that's the starting point. Now if the starting point is INR500 crores or INR495 crores a month, the run rate, and going forward, historically, the second half is much better than the first half, we are very confident of delivering the figures which Bijay just pointed out.
And my exports segment -- as I said in my opening statement, my exports are currently at INR125 crores run rate, and we are targeting INR1,500 crores plus. So we are already at a INR6,000 -plus crores revenue level at the current run rate. And the second half typically is a superior half in terms of top line and the resultant figures on the bottom line.
Bhavya Gandhi: Got it, sir. Got it. Wonderful. Sir, just in terms of cash, we are around INR470 crores of net cash at this point in time and basis your capex that you announced for the PCB, if I'm not wrong, we have to spend around INR1,400 crores.
So after a year, we will be short of cash in terms of -- if we assume another INR200 crores, INR300 crores of operating cash flows also next year, still will be short of cash. So how do we plan to fund this because we only spent INR50 crores for the PCB thing.
Bijay Agrawal : So this year for the PCB business, we will spending around INR250 crores and for the same it will partly funded through debt and partly through internal accruals and there is a JV partner also, 25% of this capex has to be funded by the JV partner also together, so that's how this has to be funded.
Against the current cash, net cash position is INR470 crores but actual cash on the balance sheet is about INR829 crores. We are confident of using this cash on the balance sheet for the growth purpose going forward. And cash flow side, we don't see any challenges over here.
Bhavya Gandhi: No. Just wanted to understand, on the PCB capex , we will not fall short of cash, right? That is what I wanted to understand.

J.S. Gujral: We'll not fall short of cash. You see, what we spent, we have projected about $40 million, which is about INR400 crores or whatever, INR360 crores, INR400 crores for the current year. And next year, we'll get a 50%, 60% subsidy of that. So this will be a sort of circular thing that you spend in 1 year, you get back a subsidy in the next year.
Then you again invest partly from the subsidy, partly from your cash flow, then the borrowing, and you get back. So we don't do -- we have a plan for our cash flow that we will not fall short of cash for this project over its execution life cycle.
Moderator: We'll take the next question from the line of Bhavik Mehta from JPMorgan.
Bhavik Mehta : Sir, my first question is you recently received ECMS approval for flexible PCB and copper clad laminates. So any color you can provide in terms of the capex , which will go into this and over what time frame we could expect?
Bijay Agrawal : So we got approvals for CCL, copper clad laminate, plus HDI and Flex PCB. That's another one. So both put together, we will be spending another INR800 crores for those projects. But that project capex may get executed somewhere between FY '28 to FY '30 .
Bhavik Mehta : Okay. Got it. The second question is on working capital and cash flows. How should we think about working capital for next year? Will it keep on coming down and hence, the OCF will keep on going up in FY '27?
J.S. Gujral: See, with the defense business coming in our portfolio and we have reached a 63 days working capital cycle, the endeavour would be to say if we can bring it down further. How much, by 3 days, 5 days? I really can't say. But I think we should be all rest assured that working capital management and capital allocation is one of the prime focus of the management.
We are willing to sacrifice top line growth if the working capital cycle is elongated. We are not chasing growth at the expense of working capital cycle. We'll be selective in our customers. We'll be selective in the verticals, reflecting that we'll do ou r due diligence to ensure that each vertical has its own typical working capital cycle.
We would like to have the best working capital cycle in that vertical. And that is reflected in the way we have brought down the working capital cycle over the last 4 years. I think when we started off, it was 90 -odd days.
And from 90 days last year, we came down to 69 days. This year, if 69 was to compare apple -to-apple, if I have to exclude Elcome, both from the revenue and the working capital, my days have come down from 69 to 58, which is 11 days reduction. 11 days on 69 is almost like a 16% reduction, efficiency improvement in my working capital cycle.
So that would remain the focus of the management. And I think everyone should be rest assured that we'll not let this slip out on an annualized basis. Quarter -on-quarter, there could be some variations.
Moderator: The next question is from the line of Renu Baid Pugalia from IIFL Capital.

Renu Baid Pugalia : Sir, if you can throw some more insights in terms of the value -add products and inputs that we're targeting within the industrial segment? And how do we see these applications scaling up in our portfolio over the next 2 years? Some more insights would be helpful. That's my first question?
J.S. Gujral: See, the value addition, the superior value addition, as I was saying in my opening remarks, comes in from ODM business, from exports within each vertical. Each vertical has its own margin profile, and MedTech. Now what do we see? We have seen our ODM bus iness growing up from INR453 crores to INR825 crores.
Now this is almost a growth of 70% growth. My exports have gone up by 41%. Our effort in the current year is to try and sustain the ODM growth to around 16%, 17%. I don't see it going up beyond 17% because

we are planning -- targeting to grow by 35% to 30%, 35%. I personally don't see that in the current year, my export -- the ODM growth would grow. If we are able to sustain it at 17%, it means we have grown the ODM business by another 30%.
Renu Baid Pugalia : 17% of the revenue mix?
J.S. Gujral: Yes, yes, yes -- no, no, no. See, if my overall revenue goes up by 35% and if the ODM business has to sustain at 17%, this also has to grow by that rate. A 30% growth on INR825 crores is we have to grow the ODM business by another INR250 crores next year in '26 -'27. We'll endeavour to sustain this in the coming year. But the profitability would come in from working capital management, exports, MedTech and ODM.
And all these verticals, we are showing a very healthy growth over the last year, and we expect this growth to continue. My exports grew by 41% last year. I expect them to cross the INR1,500 crores mark from the INR1,200 crores against the target of INR1,100 crores, which we had said. So INR300 crores in exports, absolute increase in exports, adds to the margin profile.

Renu Baid Pugalia : I was just wanting to ask what percentage of the ODM business would be housed in the industrial segment? Or how would be the ODM split across key end segments in which you operate?
J.S. Gujral: See, MedTech is typically all ODM. So if I were to take my health care business, which is INR395 crores, it's all broadly back of the hand calculation, we have to split it into the thing. But back of the hand calculation, out of the INR825 crores, INR395 crores is MedTech. So remaining comes in from consumer and industrial. Automotive has very little MedTech -- ODM business. INR430 crores is both industrial and consumer. But I don't have the figures of how much of this is among each.
Renu Baid Pugalia : Sure. And sir, secondly, just a follow -up and harping a bit again on the margin side. While I understand you would err to be slightly more conservative here, but given that the ODM portfolio, exports, both are expected to further improve in terms of mix, rupee has been in our Favor , which will probably help offset some of the cost headwinds that we're sitting on, this operating leverage, still, do you think that the quarterly run rate which you were doing in the second half or mid of the year of 12%, will see headwinds of about 200 basis points or do you think the cushion are very thin here and we may not have beyond 100 bps margin cushion?

J.S. Gujral: End of the day, the current situation in the market, volatility and everything, I think we expect that we should have the luxury of being conservative. Let's put it that way. There's no point -- tomorrow, I say 12% and I give 11%, you will skin me down wh y it is 11%. So we would like to have the luxury of being conservative.
Renu Baid Pugalia : Absolutely. And sir, lastly, just your thoughts on -- now we are seeing larger players also foray into electronics, EMS, focusing on industrial and other segments. So how do you see, a, the India EMS market growing? And also, do you feel that competitive i ntensity in the domestic space may increase even for experienced veterans like Syrma SGS here despite newer entrants entering in the space?
So for example, Larsen has recently announced a significant foray in electronics, INR50 billion of capex in the next 2 years. So that's -- I'm just trying to connect the dots and see how are we looking at the market outlook.
J.S. Gujral: See, now we have been in the industry for 40 years. We've been exporting since '96 when China was at its prime and our exports have grown. Domestic, there are big players already in the country, whether it was Flex, whether it is Jabil, whether it is Sanm ina, they were present not now, they have been present for quite a while.
We are competing with the Tier 2 level global EMS companies. Competition -- co

mpetitive
intensity would increase. Am I afraid of it? No. Am I mindful of it? Yes. And how do we take care of that? I think we can give a far better cost structure than the big corporates within the country.
We have to be relentless in our focus on cost control, frugality, efficient buying. And as we get integrated to the global supply chains with our global customers, it gives us the confidence that we are doing something right. Otherwise, my exports would no t have gone up by 41%.
But there are companies all around the world who are competing for the same business. So we are very mindful of the emerging competition, but we welcome it. We can't stop it, so welcome it.
Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.
Keshav Lahoti : Just want to understand when you talk about 30%, 35% addressable growth in your business going forward for multiple years, so this growth is industry growing so fast? Or is it more like you're gaining market share? Or is it like you are getting in new pro duct segment? How should we see this growth?
J.S. Gujral: I think we have hit the nail on that. You have provided all the answers in your question. We are gaining market share. We are expanding our portfolio. MedTech was not there in my portfolio a couple of years back. It is now contributing approximately 7%, 8% -- 8% of my revenue. Defense has just been added. So that's an incremental sort of a vertical to a thing.
So we are now migrating to bigger contracts with bigger customers. So it's not one piece which gives me the confidence of a 30%, 35% growth rate. It's the mosaic of all the customers put

together, global, domestic, verticals, my ODM business, which gives me the confidence of delivering what I'm saying.

And this is backed by a very detailed working by our teams, going down to industries, customers, SKU of customers, what are the plans of the customers, how they intend to grow, what is the wallet share which we'll be taking.

And to us, growth is just a figure. To me, what is more satisfying is the quality of growth. And the quality of growth comes in when I gain market share from my competition, when I gain wallet share from my competition. And on both these 2 fronts, I think our teams are doing a phenomenally good job.

Keshav Lahoti : Got it. What would be the addressable market growth as you cater to multiple segments? But blended, what would be the addressable market growth? And lastly, when you talk about this growth in FY '28, you will be entering PCB manufacturing business. So pos sibly, this growth would be faster because of entry in that segment?

J.S. Gujral: Yes. The PCB business would kick in somewhere in '27 -'28. So whatever growth I am projecting today for the next year is for the businesses in my portfolio. '27 -'28 would be the first year when my PCB business will kick in. If it gives me a INR400 crores, INR300 crores, INR700 crores, whatever is the figure, that will be incremental to this growth.

So if you are saying we'll grow by, let's take a round figure of 30% or 35%, you'll have to calculate, on INR4,800 crores, it will result into some resultant figure. Add another 30%, 35%, that will be the organic growth in '27 - '28, add the PCB to that. So '27 -'28, logically, the growth should be superior to 30%, 35% because of the addition of the PCB vertical.

Keshav Lahoti : Got it, sir. One of my question was what would be the addressable market growth that you are catering?

J.S. Gujral: See, the addressable market is so huge, what are we talking of? We are not even a $1 billion company. If you take the likes of Jabil and all that, they will be multibillion, $20 billion, $25 billion company. So I think addressable market is sort of just a feel-good factor that this is the biggest market, what we are addressing. What we are concentrating is the

market is there, we should be able to consistently deliver 30%, 35% growth over the next 2 to 5 years, organic, coupled with inorganic w hen we grow.

Satendra Singh : Maybe if I just could add on. So as a business, we are addressing not only India; we are addressing global. Like if you see our numbers, 25% of our revenue comes from exports. And global addressable market, for reference, is about north of $600 million. S o -- and today, what we reported to you is, give or take, about $500 million plus revenue. There is huge potential for growth. And that's the market we are looking at addressing overall.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay : Many congratulations for a very good set of numbers. The first question is related to the export. So as you had guided for about INR1,500 -odd crores for '27. And also in the last call, you had

highlighted the strong EU market exposure is driving your number. So if you can give some color on the -- how the EU market and what -- how much is the contribution and how is the growth going there?

J.S. Gujral: See, my growth in exports last year has been 41%. And what we are targeting this year is less than 30%. If I do INR1,560 crores, it will be about 30%. So I'm guiding INR1,500 crores. And these are based on the customers which we have on board, where we have started supplying. Some of the new customers which we have onboarded this year, which means till March '26, would go on stream on a pilot basis in '26 -'27. That gives me the confidence that '27 -'28, the customers which would have INR2 crores, INR5 crores, INR10 crores, INR15 crores, INR20 crores of revenue in FY '26 -'27 would have the potential to cross the INR50 crores revenue, INR100 crores revenue, INR40 crores revenue in '27 -'28.

So we believe that, with the existing customers already sort of reaching their, what you call, regular offtake levels, the new customers which we have onboarded, which would be doing the prototyping this year, the growth of exports of about 25% minimum ove r the coming years is a distinct possibility, and we will be able to achieve that.

Some of the major customers which we have onboarded, they have the potential to further accelerate the export growth, but for the time, we have been conservative and putting in a target of 20% to 30%, 25% to 30% export growth for the coming year.

Praveen Sahay : Any contribution from the EU, can you highlight?

J.S. Gujral: Sorry?

Bijay Agrawal : So if you're talking about EU FTA, that has a positive impact in a way that there will be maybe sentimentally, psychologically, there will be larger business opportunities that are available, which we can expand further. In terms of number, yes, in few of the select cases, there was a duty applicable of about 1% to 1.5%. That will be -- that is something as a financial benefit one can look for going forward.

J.S. Gujral: See, these FTA agreements don't typically have an immediate positive or negative impact. It takes time for the negativity to settle, in negativity, it is slightly faster. In case of positivity, it is slightly slower. But long -term impact is very, very pos itive. And I believe that we are very well positioned to take benefit of the FTA which the Government of India has signed with EU, with America, with New Zealand, with Canada and others.

Praveen Sahay : Next question is related to the Syrma and Premier, which decided to not go with the Ksolare acquisition. So is there any expense related to that we have accounted? And related to that is...

J.S. Gujral: There was very little expense related to the Ksolare acquisition. Whatever has been spent has been charged off to the P&L. There were certain conditions precedent which Ksolare had to comply with. When they expressed their inability to comply with, we bot h decided that

it was
best to drop the deal. So we have dropped the plans to acquire Ksolare.

But I would like to reiterate that we have not dropped the plans to be -- not to be in the renewable energy space. We have very solid intent of entering the renewable energy space market in the inverter business and the related products. Instead of an ino rganic acquisition, we would now be putting up a greenfield project.

Currently, we are evaluating various proposals which we have got from the technology partners. I would not be able to give color on that because nothing is firmed up. But I think in the coming quarter or something, we should come back to share our plans o n that. But renewable energy space is very much in our focus for future growth.

Praveen Sahay : And anything on the PLI benefit for a full year? Last quarter, you had given an indication of INR30 crores to INR32 crores for '26. How much we had done -- PLI benefit we received?

Bijay Agrawal : Gross PLI for the full year would be approximately INR80 crores. And post -sharing , we are expecting it will be -- net PLI would be approximately INR38 crores related the year FY '26.

Moderator: The next question is from the line of Nikhil Kandoi from Axis Capital.

Nikhil Kandoi: Congratulations for a good set of results, sir. Sir, just can you help me with the Q4 PLI number also?

Bijay Agrawal : Q4 PLI would be approximately -- proportionate number will be approximately INR10-12 crores.

Nikhil Kandoi: Okay. Sir, just wanted to understand that the order inflow of INR6,200 crores, majority inflow from consumer and IT business around 44%, and if I include also, that comes out to 70% . So just want to understand that these are relatively lower -margin business where the ODM share from these units are very low. So the guidance of 10%, 10.5% is because of the increasing share of lower -margin business? Is that right understanding, apart fr om the supply chain issue, which you highlighted?

Bijay Agrawal : So order book is just an indication, first of all. Order book is not a clear reflection of the same similar way percentage for the full year of the business. So in order book, you can see current order book for industrial business is 24% only because in i ndustrial segment, customers generally does not give you full maybe more than 12 months kind of an order book initially. So that's how generally it follows.

My business mix, mostly we are expecting it should remain same as it was in FY '26. Consumer should be around 30%, 32%. IT business, yes, it is growing. It can be around -- IT plus railways is around 10%, and about 25% of auto business and 28% to 30% of i ndustrial business. Keeping the same, my margin would be in check.

Yes, as Mr. Gujral has already guided, we are expecting because IT business is also slightly growing and maybe some bit of geopolitical factors, which are also impacting, including raw material prices increase. That's where we are guiding for these margins .

Nikhil Kandoi: Okay. Understood. Sir, one last question from my side. Sir, can you throw more light on the

smart metering business? How much is it in the order book? And how much did we do in FY '26? And a related question to that would be that sir, can we consider Elcome business to be similar to smart meter business, which is higher working capital intensive, but also giving us higher margins?

Bijay Agrawal : So smart metering business, we have done in the current year, approximately INR250 crores, INR260 crores of total business. In the order book, I need to check exactly what the number is. But as Mr. Gujral has already explained that we are going slightly selective here, keeping the working capital balance in measure here , and that's how we are following.

Nikhil Kandoi: And sir, on the Elcome and smart meterin

g business, are they almost similar because -- not in
terms of industry, but in terms of high working capital and high margins, which can impact
future working capital days for us?
J.S. Gujral: The smart metering business is not a high -margin business. It is a normal industrial -- it would
come lower in the industrial category. So in terms of margin profile, the 2 businesses cannot
be compared. One is a superior -- very high -margin business. The smart metering business is
not a very high -margin business. It's a moderate 15 %-odd gross material margin business, 12%
to 15% gross margin material business.
But it has the same elongated working capital cycle. Hence, the profitability of a smart
metering business, if you are not choosy about your customers, if you change revenues would
be suspect. In case of defence , despite it's a longer working capital thing, but since it's a very
high-margin business, it's an OD M and you give a solution to the customer, it is offset such
that even the higher working capital cycle results in a very superior EBITDA margin business.
And if -- I just shared that if we were to exclude Elcome business from our working capital for
a minute and exclude its revenue, my working capital cycle for my business is down from 69
to 58 days. With Elcome, it is down to 63 days.
Elcome, on its own, would be -- defense as the business is notorious for long 3 to 5 months, 6
months working capital cycles. But since it forms a very small portion of our revenue, I don't
see it negatively impacting my overall working capital cycle significantly.
Nikhil Kandoi: Got it. And sir, just if I can add one more question. Sir, what will be the percentage of order
book from Elcome in the total order book?
Bijay Agrawal : In the total order book, Elcome's order book would be approximately 5%.
Moderator: This will be the last question for today from the line of Tanay Shah from DAM Capital.
Tanay Shah : Congratulations on a great set of numbers. I have 2 questions. First one being that while we're
on track to grow at around 30%, 35% for FY '27, can you possibly discuss the -- how we're
going to get that growth, possibly some client additions which you wo uld have added through
FY '26? And for what applications would that be across segments, which will sort of help us
get that growth?

And the second question would be -- so I'm assuming that the defense number is coming in the
industrial piece right now. And if we exclude that, we have seen some softness out there as
indicated by you for smart meters. But going forward, ex of the defens e business, some color
on the applications in industrial, which will sort of help us continue the growth profile?
J.S. Gujral: Okay. Now going forward, we are projecting a growth of 30%, 35%, and that's backed by the
orders which we have in hand and the visibilities which we have received from the customers.
We expect the businesses to grow deeply sort of at the same pace. Automo tive this year has
grown by 39%. Health care has grown by 36%.
Industrial, including Elcome has grown by 30%. Excluding Elcome, it would be slightly lower.
But some of the new customers in the power management sector and the UPS sector and those
industrial electronics and controls would give us the revenue in the next year. We have added
how many customers last year, Bijay?
Bijay Agrawal : 32 customers is what we have added, onboarded in the last year and of which, if we talk about
industrial, about 7 customers we have onboarded on the industrial segment. In fact, if we talk
about applications, it is varying across fuel injection systems, s olar trackers, data center
applications -related motherboards, liquid processing machines for FMCG applications. So
those kind of applications for which we have added these customers here.
And when we talk about these 32 customers, they have a pot

ential to add at least INR1,000
crores plus in my current year revenue, FY '26, and full potential maybe about INR2,500 crores
plus in a long -term basis per annum.
Moderator: As that was the last question for today, I would now like to hand the conference over to Mr.
Gujral for closing comments. Thank you, and over to you, sir.
J.S. Gujral: Thank you. On an overall basis, a very satisfying year, but that's past. We have to focus on
what we are going to do in the future. And as we have all the time been saying that we would
like to build a sustainable business, which has superior margin profi le, which has a decent
component of export and ODM. And on all these fronts, I think we are well poised to achieve
that. We are relentlessly focusing on quality and environment.
And a small issue, but I would like to share with you that we are the first company in the
country to get a certification for automotive -- electronics information security for automotive
industry known as TISAX. I didn't know it about 6, 7 months back. W e were informed by one

of our overseas customers, which we are starting off the production somewhere towards the end of the year, which will give us a series production in '2 7-'28 to get the certification.
So TISAX. So we are relentlessly focused on building top -notch factories with solid processes to give us operational efficiencies. We are among the first Indian company to have a real -time monitoring system on our assembly lines. It's being inducted in phases over a ll the plants. And the initial results have been very, very encouraging. We have seen a 5% to 7% improvement in the operational efficiency.
So I think broad customer base, solid customers, reputed blue -chip companies, leaders in their

verticals, very strong set of operational parameters in place at the plants and hunger for growth and hunger for learning, I think these 2, 3 factors define t he DNA of Syrma SGS.
And I think, going forward, in a couple of years when we again talk, I think Syrma would be at a different platform level in terms of revenues and product mix, which it is servicing and the customer profile which it is servicing.
So this is a journey. It's not a 100 -meter sprint. It's a marathon, which we are running, but mindful of meeting the street expectations on a quarterly and annual basis. So I think we are well poised to be among the top leading companies globally also. Cu rrently, I was told we are ranked somewhere about 65 globally.
I was reading in some EMS magazine. So the effort is to that, keep graduating that Syrma SGS is the first brand which is recalled in the mind of a potential customer when he's looking for an EMS or ODM business.
With this, I thank everyone for the support, all the stakeholders, the vendors, the employees, the bankers, the investors for the faith reposed in the management of Syrma SGS. And we on our part would ensure that we build an institution which is par excel lence in the country. Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.